

Economic Calendar

July 2026



MON	TUE	WED	THU	FRI
		1	2	3
		AUSTRALIA Cotality Home Value Index Jun exp -0.5% prev -0.1% (11:30am) Dwelling Approvals May exp -1.0% prev -3.4% (11:30am) CHINA RatingDog Manufacturing PMI Jun exp 52.0 prev 51.8 (11:45am) EURO ZONE CPI Jun y/y (P) exp 3.0% prev 3.2% (7:00pm) JAPAN Tankan Large Manufacturers Index Q2 exp 16 prev 17 (9:50am) UNITED KINGDOM Nationwide House Prices Jun prev -0.6% (4:00pm) UNITED STATES ADP Employment Change Jun exp 120k prev 122k (10:15pm) ISM Manufacturing Jun exp 53.8 prev 54.0 (12:00am) Construction Spending May exp 0.2% prev 0.4% (12:00am) GLOBAL S&P Global Manufacturing PMI Jun (F) ECB Forum Panel – Warsh, Lagarde, Bailey, Macklem (11:00pm)	AUSTRALIA Goods Trade Balance May exp \$2.5bn prev \$1.8bn (11:30am) EURO ZONE Unemployment Rate May exp 6.3% prev 6.3% (7:00pm) NEW ZEALAND Building Permits May prev 10.9% (8:45am) UNITED STATES Employment Report Jun (10:30pm) Nonfarm Payrolls Chg exp 110k prev 172k Unemployment Rate exp 4.3% prev 4.3% Avg Hourly Earnings exp 0.3% prev 0.3% Factory Orders May exp -2.0% prev 4.8% (12:00am) Durable Goods Orders May (F) exp -4.5% prev -4.5% (12:00am)	CHINA RatingDog Services PMI Jun exp 53.0 prev 54.4 (11:45am) NEW ZEALAND ANZ Consumer Confidence Jun prev 86.5 (8:00am) UNITED STATES Independence Day – Markets Closed GLOBAL S&P Global Services PMI Jun (F)
6	7	8	9	10
AUSTRALIA MI Inflation Gauge Jun y/y prev 4.4% (11:00am) ANZ-Indeed Job Ads Jun prev 1.8% (11:30am) EURO ZONE Ger. Factory Orders May prev -3.8% (4:00pm) Sentix Investor Confidence Jul prev -13.4 (6:30pm) PPI May y/y prev 4.9% (7:00pm) Retail Sales May prev -0.4% (7:00pm) UNITED STATES S&P Global Services PMI Jun (F) prev 51.3 (11:45pm) ISM Services Jun prev 54.5 (12:00am)	CHINA Foreign Reserves Jun prev US\$3442bn EURO ZONE Ger. Industrial Production May prev 0.4% (4:00pm) JAPAN Household Spending May y/y prev -0.5% (9:30am) UNITED STATES Trade Balance May prev -US\$55.9bn (10:30pm)	AUSTRALIA RBA's Hunter – Speech (11:00am) JAPAN Current Account May prev ¥3907.8bn (9:50am) NEW ZEALAND RBNZ Policy Decision prev 2.25% (12:00pm) UNITED STATES FOMC Minutes (4:00am) Consumer Credit May prev US\$20.733bn (5:00am)	CHINA CPI Jun y/y prev 1.2% (11:30am) PPI Jun y/y prev 3.9% (11:30am) NEW ZEALAND BusinessNZ Mfg PMI Jun prev 49.9 (8:30am) UNITED STATES Existing Home Sales Jun prev 3.2% (12:00am)	NEW ZEALAND Matariki – Markets Closed

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MON	TUE	WED	THU	FRI
13 NEW ZEALAND Performance Services Index Jun prev 47.5 (8:30am)	14 AUSTRALIA Westpac-MI Consumer Sentiment Jul prev 80.6 (10:30am) NAB Business Survey Jun (11:30am) Conditions prev 3 Confidence prev -14 CHINA Exports Jun y/y prev 19.4% Imports Jun y/y prev 27.4% Trade Balance Jun prev US\$105.43bn JAPAN Industrial Production May (F) prev 0.5% (2:30pm) NEW ZEALAND Net Migration May prev 3090 (8:45am) UNITED STATES NFIB Small Business Optimism Jun prev 95.3 (8:00pm) CPI Jun prev 0.5% (10:30pm) Fedspeak - Goolsbee (3:00am)	15 CHINA GDP Q2 y/y prev 5.0% (12:00pm) Activity Indicators Jun ytd y/y (12:00pm) Retail Sales prev 1.4% Industrial Production prev 5.4% Fixed Asset Investment prev -4.1% EURO ZONE Industrial Production May prev 0.1% (7:00pm) JAPAN Core Machinery Orders May prev 8.7% (9:50am) NEW ZEALAND Retail Card Spending Jun prev 1.7% (8:45am) UNITED STATES NY Fed Empire Manufacturing Jul prev 5.7 (10:30pm) PPI Jun y/y prev 6.5% (10:30pm)	16 AUSTRALIA MI Inflation Expectations Jul y/y prev 5.5% (11:00am) EURO ZONE Trade Balance May prev €1.3bn (7:00pm) UNITED KINGDOM Monthly GDP May prev -0.1% (4:00pm) UNITED STATES Philly Fed Manufacturing Index Jul prev 10.3 (10:30pm) Retail Sales Jun prev 0.9% (10:30pm) NAHB Housing Market Index Jul prev 35 (12:00am) Business Inventories May prev 0.5% (12:00am) Pending Home Sales Jun prev 3.8% (12:00am)	17 EURO ZONE CPI Jun (F) (7:00pm) NEW ZEALAND Selected Price Indices Jun (8:45am) UNITED STATES Import Price Index Jun prev 1.9% (10:30pm) Housing Starts Jun prev -15.4% (10:30pm) Building Permits Jun (P) prev -0.9% (10:30pm) Industrial Production Jun prev 0.1% (11:15pm) UoM Consumer Sentiment Jul (P) prev 49.5 (12:00am)
20 NEW ZEALAND Trade Balance Jun prev NZ\$800mn (8:45am) UNITED KINGDOM Rightmove House Prices Jul prev -0.6% (9:01am) UNITED STATES Leading Index Jun prev 0.1% (12:00am)	21 EURO ZONE EU ZEW Expectations Jul prev 9.5 (7:00pm) NEW ZEALAND CPI Q2 (8:45am) q/q prev 0.9% y/y prev 3.1% UNITED KINGDOM Public Sector Borrowing Jun prev £23.3bn (4:00pm) ILO Unemployment Rate May prev 4.9% (4:00pm)	22 AUSTRALIA Westpac-MI Leading Index Jun ann'd prev -0.17% (10:30am) UNITED KINGDOM CPI Jun y/y prev 2.8% (4:00pm)	23 AUSTRALIA Labour Force Survey Jun (11:30am) Employment Change exp 15k prev 40.3k Unemployment Rate exp 4.4% prev 4.4% Participation Rate exp 66.7% prev 66.7% EURO ZONE ECB Policy Decision (Deposit Rate) prev 2.25% (10:15pm) EC Consumer Confidence Jul (P) prev -17.7 (12:00am) UNITED STATES Chicago Fed Nat Act Index Jun prev -0.1% (10:30pm) Kansas City Fed Manufacturing Index Jul prev 11 (1:00am)	24 JAPAN CPI Jun y/y prev 1.5% (9:30am) UNITED KINGDOM GfK Consumer Sentiment Jul prev -23 (9:01am) Retail Sales Jun prev 1.2% (4:00pm) UNITED STATES New Home Sales Jun prev -7.3% (12:00am) GLOBAL S&P Global PMIs Jul (P) Manufacturing Services

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Economic Calendar

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MON	TUE	WED	THU	FRI
27 CHINA Industrial Profits Jun y/y prev 21.1% (11:30am) EURO ZONE IFO Business Climate Survey Jul prev 85.6 (6:00pm) M3 Money Supply Jun y/y prev 3.2% (6:00pm) UNITED STATES Durable Goods Orders Jun (P) (10:30pm) Dallas Fed Manufacturing Index Jul prev 0.0 (12:30am)	28 AUSTRALIA RBA's Bullock – Speech (1:05pm) UNITED STATES FHFA House Prices May (11:00pm) S&P CoreLogic CS House Prices May (11:00pm) Richmond Fed Manufacturing Index Jul prev 4 (12:00am) Consumer Confidence Index Jul (12:00am)	29 AUSTRALIA CPI Q2 (11:30am) Headline q/q exp 1.0% prev 1.4% Headline y/y exp 4.4% prev 4.1% Trimmed Mean q/q exp 1.0% prev 0.8% Trimmed Mean y/y exp 3.8% prev 3.5% NEW ZEALAND Filled Jobs Jun prev 0.3% (8:45am) UNITED STATES FOMC Policy Decision prev 3.625% (4:00am)	30 AUSTRALIA RBA's Hunter – Fireside Chat (8:40am) Dwelling Approvals Jun (11:30am) Trade Price Indices Q2 (11:30am) Export Prices prev 0.5% Import Prices prev 0.1% EURO ZONE EC Economic Confidence Jul (7:00pm) EC Consumer Confidence Jul (F) (7:00pm) GDP Q2 (P) prev –0.2% (7:00pm) Unemployment Rate Jun (7:00pm) NEW ZEALAND ANZ Business Confidence Jul prev 36.6 (11:00am) UNITED KINGDOM BoE Policy Decision prev 3.75% (9:00pm) UNITED STATES Personal Income Jun prev 0.7% (10:30pm) Personal Spending Jun prev 0.7% (10:30pm) PCE Deflator Jun prev 0.4% (10:30pm) GDP Q2 (P) ann'd prev 2.1% (10:30pm)	31 AUSTRALIA PPI Q2 prev 0.4% (11:30am) Private Sector Credit Jun (11:30am) CHINA NBS PMIs Jul (11:30am) Manufacturing prev 50.3 Non-Manufacturing prev 50.2 EURO ZONE CPI Jul y/y (P) (7:00pm) JAPAN Tokyo CPI Jul y/y prev 1.7% (9:30am) Jobless Rate Jun prev 2.5% (9:30am) Industrial Production Jun (P) (9:50am) BoJ Policy Decision prev 1.00% NEW ZEALAND ANZ Consumer Confidence Jul (8:00am) UNITED STATES Employment Cost Index Q2 prev 0.9% (10:30pm) Chicago PMI Jul (11:45pm) UoM Consumer Sentiment Jul (F) (12:00am)

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30 June 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

There was a risk-on tone overnight as peace talks over the Strait of Hormuz are set to continue, with both the US and Iran agreeing to halt the attacks seen over the weekend.

US equities rallied, reversing some of last week's sharp sell-off. Tech stocks led the market higher, with the Mag Seven index climbing more than 2.5%. European equities were mixed, while Asian markets were generally higher.

Bond markets were little changed, while the US dollar index slipped. The yen touched its weakest level against the dollar since 1986. The Aussie was slightly lower, trading at 0.6886 against the greenback, while the TWI was broadly unchanged.

Commodity markets were mixed, with oil jumping higher despite the prospect of peace talks. Iron ore also edged higher.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.8	0.0%
AUD/USD	0.6886	-0.1%
AUD/JPY	111.49	0.0%
AUD/GBP	0.5195	-0.6%
AUD/NZD	1.2178	-0.3%
AUD/EUR	0.6027	-0.4%
AUD/CNH	4.6819	-0.2%
AUD/SGD	0.8901	-0.2%
AUD/HKD	5.3995	-0.1%
AUD/CAD	0.9785	0.0%
EUR/USD	1.1426	0.3%
USD/JPY	161.92	0.1%
USD Index	101.12	-0.2%

Equities	Close	Change
S&P/ASX 200	8,823	0.7%
S&P 500	7,440	1.2%
Japan Nikkei	69,468	0.2%
Hang Seng	23,027	1.6%
Euro Stoxx 50	6,232	0.2%
UK FTSE100	10,484	-0.2%
VIX Index	17.65	-4.1%

Commodities	Current	Change
CRB Index	351.31	-0.3%
Gold	4015.33	-1.8%
Copper	13278	-0.6%
Oil (WTI futures)	70.75	2.2%
Coal (coking)	243.17	0.0%
Coal (thermal)	127.45	1.8%
Iron Ore	98.80	0.1%
ACCU	36.13	-4.3%

AUS Interest Rate Swaps	p	Change
30 day BBSY	4.34	-0.01
90 day BBSY	4.51	0.00
180 day BBSY	4.86	0.00
1 year swap	4.50	0.00
2 year swap	4.42	0.00
3 year swap	4.36	0.00
4 year swap	4.35	0.00
5 year swap	4.38	-0.01
6 year swap	4.42	-0.01
7 year swap	4.47	-0.01
8 year swap	4.52	-0.01
9 year swap	4.57	-0.02
10 year swap	4.61	-0.01

Government Bond Yields	Close	Change
Australia		
3 year bond	4.39	0.03
10 year bond	4.75	0.03
United States		
3-month T Bill	3.68	0.01
2 year bond	4.10	0.01
10 year bond	4.37	0.01
Other (10 year yields)		
Germany	2.86	0.01
Japan	2.64	0.02
UK	4.72	-0.01

Sydney Futures Exchange	Current	Change
10 yr bond	4.77	-0.01
3 yr bond	4.37	0.00
3 mth bill rate	4.51	0.00
SPI 200	8,825	0.0%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



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Financial Markets

- There was a slight risk-on tone overnight after President Trump said peace talks with Iran are set to resume. Control of the Strait of Hormuz is expected to be a key focus of upcoming negotiations, with Iran stating that it wants to maintain oversight of traffic through the Strait, while US Secretary of State Marco Rubio said that any attempt to impose tolls on ships passing through the waterway would be unacceptable. The prospect of renewed diplomacy helped ease some geopolitical concerns and supported sentiment across financial markets.
- With negotiations back on, major US equity indices rallied, recovering some of last week's sharp losses. The market was led higher by technology stocks, with the Magnificent Seven megacaps rising 2.6%. Sentiment in the tech sector was further supported after Samsung Electronics and SK Hynix announced plans to invest more than US\$500bn in a new semiconductor manufacturing hub in South Korea.
- The S&P 500 climbed 1.2%, while the Dow Jones Industrial Average added 306 points, or 0.6%. The Nasdaq Composite outperformed, rising 2.1% as investors rotated back into growth stocks. Volatility also eased, with the VIX falling 4.1% to 17.65 points.
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9:50	JP Industrial Production May Prel.	0.7%	0.5%
11:00	NZ ANZ Business Confidence Jun	-	10pts
11:30	AU RBA Minutes	-	-
11:30	AU Private Sector Credit May	0.6%	0.7%
11:30	CN Manufacturing PMI Jun	50.1pts	50pts
11:30	CN Non-Manufacturing PMI Jun	49.9pts	50.1pts
16:00	GB GDP Q1 Final	0.6%	0.6%
23:00	US FHFA House Prices Apr	0.2%	0.1%
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30 June 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

There was a risk-on tone overnight as peace talks over the Strait of Hormuz are set to continue, with both the US and Iran agreeing to halt the attacks seen over the weekend.

US equities rallied, reversing some of last week's sharp sell-off. Tech stocks led the market higher, with the Mag Seven index climbing more than 2.5%. European equities were mixed, while Asian markets were generally higher.

Bond markets were little changed, while the US dollar index slipped. The yen touched its weakest level against the dollar since 1986. The Aussie was slightly lower, trading at 0.6886 against the greenback, while the TWI was broadly unchanged.

Commodity markets were mixed, with oil jumping higher despite the prospect of peace talks. Iron ore also edged higher.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.8	0.0%
AUD/USD	0.6886	-0.1%
AUD/JPY	111.49	0.0%
AUD/GBP	0.5195	-0.6%
AUD/NZD	1.2178	-0.3%
AUD/EUR	0.6027	-0.4%
AUD/CNH	4.6819	-0.2%
AUD/SGD	0.8901	-0.2%
AUD/HKD	5.3995	-0.1%
AUD/CAD	0.9785	0.0%
EUR/USD	1.1426	0.3%
USD/JPY	161.92	0.1%
USD Index	101.12	-0.2%

Equities	Close	Change
S&P/ASX 200	8,823	0.7%
S&P 500	7,440	1.2%
Japan Nikkei	69,468	0.2%
Hang Seng	23,027	1.6%
Euro Stoxx 50	6,232	0.2%
UK FTSE100	10,484	-0.2%
VIX Index	17.65	-4.1%

Commodities	Current	Change
CRB Index	351.31	-0.3%
Gold	4015.33	-1.8%
Copper	13278	-0.6%
Oil (WTI futures)	70.75	2.2%
Coal (coking)	243.17	0.0%
Coal (thermal)	127.45	1.8%
Iron Ore	98.80	0.1%
ACCU	36.13	-4.3%

AUS Interest Rate Swaps	p	Change
30 day BBSY	4.34	-0.01
90 day BBSY	4.51	0.00
180 day BBSY	4.86	0.00
1 year swap	4.50	0.00
2 year swap	4.42	0.00
3 year swap	4.36	0.00
4 year swap	4.35	0.00
5 year swap	4.38	-0.01
6 year swap	4.42	-0.01
7 year swap	4.47	-0.01
8 year swap	4.52	-0.01
9 year swap	4.57	-0.02
10 year swap	4.61	-0.01

Government Bond Yields	Close	Change
Australia		
3 year bond	4.39	0.03
10 year bond	4.75	0.03
United States		
3-month T Bill	3.68	0.01
2 year bond	4.10	0.01
10 year bond	4.37	0.01
Other (10 year yields)		
Germany	2.86	0.01
Japan	2.64	0.02
UK	4.72	-0.01

Sydney Futures Exchange	Current	Change
10 yr bond	4.77	-0.01
3 yr bond	4.37	0.00
3 mth bill rate	4.51	0.00
SPI 200	8,825	0.0%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



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Financial Markets

- There was a slight risk-on tone overnight after President Trump said peace talks with Iran are set to resume. Control of the Strait of Hormuz is expected to be a key focus of upcoming negotiations, with Iran stating that it wants to maintain oversight of traffic through the Strait, while US Secretary of State Marco Rubio said that any attempt to impose tolls on ships passing through the waterway would be unacceptable. The prospect of renewed diplomacy helped ease some geopolitical concerns and supported sentiment across financial markets.
- With negotiations back on, major US equity indices rallied, recovering some of last week's sharp losses. The market was led higher by technology stocks, with the Magnificent Seven megacaps rising 2.6%. Sentiment in the tech sector was further supported after Samsung Electronics and SK Hynix announced plans to invest more than US\$500bn in a new semiconductor manufacturing hub in South Korea.
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30 June 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

There was a risk-on tone overnight as peace talks over the Strait of Hormuz are set to continue, with both the US and Iran agreeing to halt the attacks seen over the weekend.

US equities rallied, reversing some of last week's sharp sell-off. Tech stocks led the market higher, with the Mag Seven index climbing more than 2.5%. European equities were mixed, while Asian markets were generally higher.

Bond markets were little changed, while the US dollar index slipped. The yen touched its weakest level against the dollar since 1986. The Aussie was slightly lower, trading at 0.6886 against the greenback, while the TWI was broadly unchanged.

Commodity markets were mixed, with oil jumping higher despite the prospect of peace talks. Iron ore also edged higher.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.8	0.0%
AUD/USD	0.6886	-0.1%
AUD/JPY	111.49	0.0%
AUD/GBP	0.5195	-0.6%
AUD/NZD	1.2178	-0.3%
AUD/EUR	0.6027	-0.4%
AUD/CNH	4.6819	-0.2%
AUD/SGD	0.8901	-0.2%
AUD/HKD	5.3995	-0.1%
AUD/CAD	0.9785	0.0%
EUR/USD	1.1426	0.3%
USD/JPY	161.92	0.1%
USD Index	101.12	-0.2%

Equities	Close	Change
S&P/ASX 200	8,823	0.7%
S&P 500	7,440	1.2%
Japan Nikkei	69,468	0.2%
Hang Seng	23,027	1.6%
Euro Stoxx 50	6,232	0.2%
UK FTSE100	10,484	-0.2%
VIX Index	17.65	-4.1%

Commodities	Current	Change
CRB Index	351.31	-0.3%
Gold	4015.33	-1.8%
Copper	13278	-0.6%
Oil (WTI futures)	70.75	2.2%
Coal (coking)	243.17	0.0%
Coal (thermal)	127.45	1.8%
Iron Ore	98.80	0.1%
ACCU	36.13	-4.3%

AUS Interest Rate Swaps	p	Change
30 day BBSY	4.34	-0.01
90 day BBSY	4.51	0.00
180 day BBSY	4.86	0.00
1 year swap	4.50	0.00
2 year swap	4.42	0.00
3 year swap	4.36	0.00
4 year swap	4.35	0.00
5 year swap	4.38	-0.01
6 year swap	4.42	-0.01
7 year swap	4.47	-0.01
8 year swap	4.52	-0.01
9 year swap	4.57	-0.02
10 year swap	4.61	-0.01

Government Bond Yields	Close	Change
Australia		
3 year bond	4.39	0.03
10 year bond	4.75	0.03
United States		
3-month T Bill	3.68	0.01
2 year bond	4.10	0.01
10 year bond	4.37	0.01
Other (10 year yields)		
Germany	2.86	0.01
Japan	2.64	0.02
UK	4.72	-0.01

Sydney Futures Exchange	Current	Change
10 yr bond	4.77	-0.01
3 yr bond	4.37	0.00
3 mth bill rate	4.51	0.00
SPI 200	8,825	0.0%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



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Financial Markets

- There was a slight risk-on tone overnight after President Trump said peace talks with Iran are set to resume. Control of the Strait of Hormuz is expected to be a key focus of upcoming negotiations, with Iran stating that it wants to maintain oversight of traffic through the Strait, while US Secretary of State Marco Rubio said that any attempt to impose tolls on ships passing through the waterway would be unacceptable. The prospect of renewed diplomacy helped ease some geopolitical concerns and supported sentiment across financial markets.
- With negotiations back on, major US equity indices rallied, recovering some of last week's sharp losses. The market was led higher by technology stocks, with the Magnificent Seven megacaps rising 2.6%. Sentiment in the tech sector was further supported after Samsung Electronics and SK Hynix announced plans to invest more than US\$500bn in a new semiconductor manufacturing hub in South Korea.
- The S&P 500 climbed 1.2%, while the Dow Jones Industrial Average added 306 points, or 0.6%. The Nasdaq Composite outperformed, rising 2.1% as investors rotated back into growth stocks. Volatility also eased, with the VIX falling 4.1% to 17.65 points.
- European markets were mixed. The Euro Stoxx 50 rose 0.2%, while the FTSE 100 slipped 0.2%. Elsewhere, Asian equities performed well, led by a 1.6% rise in the Hang Seng, while the Nikkei gained 0.2%. Locally, the S&P/ASX 200 rose 0.7% to 8,823, supported by gains across resources and financials. SPI futures were little changed, suggesting a steady start for the local market.
- Moves in bond markets were generally modest. US Treasury yields edged slightly higher across the curve, with the 2-year Treasury yield up 1bp to 4.10% and the 10-year Treasury yield up 1bp to 4.37%. Interest rate futures now price one hike in late 2026 and no change through 2027.
- European bond markets were mixed. German 10-year Bund yields rose 1bp to 2.86%, while UK 10-year gilt yields eased 1bp to 4.72%. In Japan, the 10-year government bond yield rose 2bps to 2.64%.
- Australian government bond yields were little changed on futures. The 3-year government bond yield was unchanged at 4.37% on futures, while the 10-year yield declined 1bp to 4.77%. OIS pricing suggests a terminal cash rate of around 4.47% this year, with the market still not convinced of another hike.
- In foreign exchange markets, the US dollar softened modestly. The DXY fell 0.2% to 101.12, extending its recent pullback. The yen touched its weakest level against the

Today's key data and events

Time	Event	Exp	Prev
9:30	JP Job-to-Applcmt May	120.0%	120.0%
9:50	JP Industrial Production May Prel.	0.7%	0.5%
11:00	NZ ANZ Business Confidence Jun	-	10pts
11:30	AU RBA Minutes	-	-
11:30	AU Private Sector Credit May	0.6%	0.7%
11:30	CN Manufacturing PMI Jun	50.1pts	50pts
11:30	CN Non-Manufacturing PMI Jun	49.9pts	50.1pts
16:00	GB GDP Q1 Final	0.6%	0.6%
23:00	US FHFA House Prices Apr	0.2%	0.1%
23:00	US S&P/Cs Home Price Index Apr	-0.1%	-0.2%
23:45	US Chicago PMI Jun	55.4pts	62.7pts
0:00	US Consumer Confidence Jun	94.6pts	93.1pts
0:00	US Jolts Job Openings May	7287.5k	7618k

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

dollar since 1986. The Australian dollar was weaker against most major currencies, falling 0.1% against the US dollar to 0.6886, 0.6% against sterling, 0.4% against the euro and 0.3% against the New Zealand dollar. Against Asian currencies, moves were generally modest, leaving the TWI unchanged at 64.8.

- Commodity markets were mixed. WTI crude oil rose 2.2% to US\$70.75/bbl as traders assessed the prospects of upcoming peace talks between the US and Iran. Industrial commodities were also mixed, with iron ore edging 0.1% higher to US\$98.80/t, while copper declined 0.6%. Coal prices were also stronger, with thermal coal rising 1.8%. In contrast, precious metals weakened, with gold falling 1.8%.

International Data

The EC Economic Confidence Survey showed that confidence in the euro area improved this month, with the headline index rising 1.3pts to 95.0, though it remains well below the levels seen at the beginning of the year. Construction firms reported the lowest confidence levels in almost two years, while businesses in industry and services turned slightly more upbeat in the latest month. The retail sector saw a more substantial improvement, with the relevant index rising by more than 1pt

The Dallas Fed Activity Survey of Texas business executives indicated that business conditions were unchanged in June, with the headline index coming in at zero, very similar to the May's print. The survey highlighted weaker production growth and softer new orders, with both indicators falling to their lowest levels this year. On the inflation front, input cost growth remained very high, while the indicator for product prices also rose significantly, suggesting substantial pass-through.

Local Data

There was no top tier data released yesterday.



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30 June 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

There was a risk-on tone overnight as peace talks over the Strait of Hormuz are set to continue, with both the US and Iran agreeing to halt the attacks seen over the weekend.

US equities rallied, reversing some of last week's sharp sell-off. Tech stocks led the market higher, with the Mag Seven index climbing more than 2.5%. European equities were mixed, while Asian markets were generally higher.

Bond markets were little changed, while the US dollar index slipped. The yen touched its weakest level against the dollar since 1986. The Aussie was slightly lower, trading at 0.6886 against the greenback, while the TWI was broadly unchanged.

Commodity markets were mixed, with oil jumping higher despite the prospect of peace talks. Iron ore also edged higher.

Data snapshot

FX Last 24 hrs	Current	Change	AUS Interest Rate Swaps	p	Change
TWI	64.8	0.0%	30 day BBSY	4.34	-0.01
AUD/USD	0.6886	-0.1%	90 day BBSY	4.51	0.00
AUD/JPY	111.49	0.0%	180 day BBSY	4.86	0.00
AUD/GBP	0.5195	-0.6%	1 year swap	4.50	0.00
AUD/NZD	1.2178	-0.3%	2 year swap	4.42	0.00
AUD/EUR	0.6027	-0.4%	3 year swap	4.36	0.00
AUD/CNH	4.6819	-0.2%	4 year swap	4.35	0.00
AUD/SGD	0.8901	-0.2%	5 year swap	4.38	-0.01
AUD/HKD	5.3995	-0.1%	6 year swap	4.42	-0.01
AUD/CAD	0.9785	0.0%	7 year swap	4.47	-0.01
EUR/USD	1.1426	0.3%	8 year swap	4.52	-0.01
USD/JPY	161.92	0.1%	9 year swap	4.57	-0.02
USD Index	101.12	-0.2%	10 year swap	4.61	-0.01
Equities	Close	Change	Government Bond Yields	Close	Change
S&P/ASX 200	8,823	0.7%	Australia		
S&P 500	7,440	1.2%	3 year bond	4.39	0.03
Japan Nikkei	69,468	0.2%	10 year bond	4.75	0.03
Hang Seng	23,027	1.6%	United States		
Euro Stoxx 50	6,232	0.2%	3-month T Bill	3.68	0.01
UK FTSE100	10,484	-0.2%	2 year bond	4.10	0.01
VIX Index	17.65	-4.1%	10 year bond	4.37	0.01
Commodities	Current	Change	Other (10 year yields)		
CRB Index	351.31	-0.3%	Germany	2.86	0.01
Gold	4015.33	-1.8%	Japan	2.64	0.02
Copper	13278	-0.6%	UK	4.72	-0.01
Oil (WTI futures)	70.75	2.2%	Sydney Futures Exchange	Current	Change
Coal (coking)	243.17	0.0%	10 yr bond	4.77	-0.01
Coal (thermal)	127.45	1.8%	3 yr bond	4.37	0.00
Iron Ore	98.80	0.1%	3 mth bill rate	4.51	0.00
ACCU	36.13	-4.3%	SPI 200	8,825	0.0%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



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Financial Markets

- There was a slight risk-on tone overnight after President Trump said peace talks with Iran are set to resume. Control of the Strait of Hormuz is expected to be a key focus of upcoming negotiations, with Iran stating that it wants to maintain oversight of traffic through the Strait, while US Secretary of State Marco Rubio said that any attempt to impose tolls on ships passing through the waterway would be unacceptable. The prospect of renewed diplomacy helped ease some geopolitical concerns and supported sentiment across financial markets.
- With negotiations back on, major US equity indices rallied, recovering some of last week's sharp losses. The market was led higher by technology stocks, with the Magnificent Seven megacaps rising 2.6%. Sentiment in the tech sector was further supported after Samsung Electronics and SK Hynix announced plans to invest more than US\$500bn in a new semiconductor manufacturing hub in South Korea.
- The S&P 500 climbed 1.2%, while the Dow Jones Industrial Average added 306 points, or 0.6%. The Nasdaq Composite outperformed, rising 2.1% as investors rotated back into growth stocks. Volatility also eased, with the VIX falling 4.1% to 17.65 points.
- European markets were mixed. The Euro Stoxx 50 rose 0.2%, while the FTSE 100 slipped 0.2%. Elsewhere, Asian equities performed well, led by a 1.6% rise in the Hang Seng, while the Nikkei gained 0.2%. Locally, the S&P/ASX 200 rose 0.7% to 8,823, supported by gains across resources and financials. SPI futures were little changed, suggesting a steady start for the local market.
- Moves in bond markets were generally modest. US Treasury yields edged slightly higher across the curve, with the 2-year Treasury yield up 1bp to 4.10% and the 10-year Treasury yield up 1bp to 4.37%. Interest rate futures now price one hike in late 2026 and no change through 2027.
- European bond markets were mixed. German 10-year Bund yields rose 1bp to 2.86%, while UK 10-year gilt yields eased 1bp to 4.72%. In Japan, the 10-year government bond yield rose 2bps to 2.64%.
- Australian government bond yields were little changed on futures. The 3-year government bond yield was unchanged at 4.37% on futures, while the 10-year yield declined 1bp to 4.77%. OIS pricing suggests a terminal cash rate of around 4.47% this year, with the market still not convinced of another hike.
- In foreign exchange markets, the US dollar softened modestly. The DXY fell 0.2% to 101.12, extending its recent pullback. The yen touched its weakest level against the

Today's key data and events

Time	Event	Exp	Prev
9:30	JP Job-to-Applicant May	120.0%	120.0%
9:50	JP Industrial Production May Prel.	0.7%	0.5%
11:00	NZ ANZ Business Confidence Jun	-	10pts
11:30	AU RBA Minutes	-	-
11:30	AU Private Sector Credit May	0.6%	0.7%
11:30	CN Manufacturing PMI Jun	50.1pts	50pts
11:30	CN Non-Manufacturing PMI Jun	49.9pts	50.1pts
16:00	GB GDP Q1 Final	0.6%	0.6%
23:00	US FHFA House Prices Apr	0.2%	0.1%
23:00	US S&P/Cs Home Price Index Apr	-0.1%	-0.2%
23:45	US Chicago PMI Jun	55.4pts	62.7pts
0:00	US Consumer Confidence Jun	94.6pts	93.1pts
0:00	US Jolts Job Openings May	7287.5k	7618k

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

dollar since 1986. The Australian dollar was weaker against most major currencies, falling 0.1% against the US dollar to 0.6886, 0.6% against sterling, 0.4% against the euro and 0.3% against the New Zealand dollar. Against Asian currencies, moves were generally modest, leaving the TWI unchanged at 64.8.

- Commodity markets were mixed. WTI crude oil rose 2.2% to US\$70.75/bbl as traders assessed the prospects of upcoming peace talks between the US and Iran. Industrial commodities were also mixed, with iron ore edging 0.1% higher to US\$98.80/t, while copper declined 0.6%. Coal prices were also stronger, with thermal coal rising 1.8%. In contrast, precious metals weakened, with gold falling 1.8%.

International Data

The EC Economic Confidence Survey showed that confidence in the euro area improved this month, with the headline index rising 1.3pts to 95.0, though it remains well below the levels seen at the beginning of the year. Construction firms reported the lowest confidence levels in almost two years, while businesses in industry and services turned slightly more upbeat in the latest month. The retail sector saw a more substantial improvement, with the relevant index rising by more than 1pt

The Dallas Fed Activity Survey of Texas business executives indicated that business conditions were unchanged in June, with the headline index coming in at zero, very similar to the May's print. The survey highlighted weaker production growth and softer new orders, with both indicators falling to their lowest levels this year. On the inflation front, input cost growth remained very high, while the indicator for product prices also rose significantly, suggesting substantial pass-through.

Local Data

There was no top tier data released yesterday.



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Cliff Notes: policy matters

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By [Elliot Clarke](#), [Ryan Wells](#), [Illiana Jain](#) & [Mantas Vanagas](#)

10:45 June 19 2026

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Key insights from the week that was.



The RBA Monetary Policy Board (MPB) unanimously decided to leave the cash rate unchanged at 4.35% this week, as widely expected. However, in the subsequent communications, the MPB clearly leaned against the idea that the hiking cycle is definitively over. After emphasising that both headline and underlying inflation is “too high” and warning that “[t]here are signs that some firms experiencing cost pressures are increasing the prices of their goods and services and others are looking to do so”,

the MPB explicitly signalled that it will not rule out “increasing the cash rate target further if required” in order to achieve its objectives.

As discussed by Chief Economist Luci Ellis in a video update midweek, markets have recently taken a larger cue from a softer run of data around consumer spending, housing and the labour market. Some of the weakness in the labour market reflected ‘abnormal seasonality’ which we expect will revert in May. But the important point is that Governor Bullock framed a weaker economy as an intended consequence of tighter monetary policy – slowing demand growth enough to squeeze inflation out of the system and prevent it from becoming embedded in expectations. With upcoming inflation data likely to show further persistence, we think the MPB will feel compelled to respond with further rate hikes in August and September.

Before moving offshore, a final note on local manufacturing. The latest Westpac-ACCI Survey of Industrial Trends revealed that momentum stalled heading into mid-year, the Actual Composite falling from a robust 57.6 in Q1 to a neutral reading of 50.5 in Q2. Underpinning the result was a flattening in new orders, a deceleration in output growth and a decline in employment. This comes as the Middle East conflict compounds the cost-of-living pressures households face, weighing on demand. It has also reignited cost pressures within manufacturing, a net 51% of firms reporting a rise in average unit costs. Firms expect further material increases in selling prices as a result, suggesting the pass-through of higher costs will persist into the second half. What was once budding optimism on the general business outlook has now collapsed to deep pessimism, leading many firms to delay or cancel plans to increase investment and hiring over the coming year.

Before moving further afield, New Zealand received an update on economic activity this week, the 0.8% rise in Q1 GDP a little less than we expected, though revisions meant the annual growth pace came out ahead of our forecasts. The pick-up in momentum evident over recent quarters likely came to a halt in Q2 due to the Middle East conflict, but this week’s apparent resolution (see below) could see the economy pick up again sooner than we had assumed.

In the US, the first FOMC meeting with Kevin Warsh as Chair was largely as anticipated. Notably, Chair Warsh focused on the practices of the Committee and the Federal Reserve as much as the economic outlook, announcing the formation of five separate task forces. On the current state of the economy, the labour market was characterised as largely in balance. The message on inflation was blunt, Chair Warsh making clear the Committee “will deliver price stability”.

Regarding the near-term policy outlook, the market showed concern over 9 of 18 respondents expecting at least one rate hike by year end. However, in the press conference, Chair Warsh made clear the degree of uncertainty participants wrestled with in coming to these views. Also, at least with respect to energy prices, in recent days risks have begun to recede. If the US/Iran deal holds over coming months, we expect the FOMC to remain on hold.

The Bank of England also marked time in June, with seven of the nine Monetary Policy Committee members voting to keep Bank Rate unchanged at 3.75%. The minutes showed that Chief Economist Huw Pill and external member Megan Greene preferred a 25bp hike as a risk-management response given the possibility of material second-round effects from energy inflation. Other members took

comfort from the recent fall in energy prices. The latest labour market and inflation prints were meanwhile interpreted as evidence that disinflation was well underway before the Middle East conflict. Nonetheless, the statement carried a hawkish tone, signalling the Committee still sees price risks as the dominant concern.

In Asia, the Bank of Japan raised its policy rate by 25bps to 1.0%. This follows strong wage outcomes earlier this year and growing evidence of pass-through to domestic inflation, particularly for services. In Governor Ueda's absence, Deputy Governor Uchida signalled further rate hikes ahead. We expect that productivity gains and sustained domestic inflation pressures will support the BoJ reaching a terminal rate of around 1.5% in mid-2027.

The Policy Board also confirmed that it will continue tapering JGB purchases, albeit at a slower pace. Importantly, the Bank retains the flexibility to scale up purchases in the event of disorderly moves in yields and will continue to pre-commit to purchase amounts on a quarterly basis.

On the data front, Chinese activity disappointed again in May. Retail sales contracted over the year, -0.6%yr, as soft income growth, declining wealth and an absence of confidence weighed. Fixed asset investment fell 4.1%ytd, driven by declines in sectors including property, health and education, but also owing to a lull in previously strong areas of the economy, namely manufacturing and utilities. Industrial production growth of 5.4%ytd shows the effective use of current capacity to meet strong growth in external demand, however. Aggregate growth in the economy is largely dependent on net exports' contribution at present. This is unsustainable given the record-high level of the trade surplus, hence the need for material and urgent stimulus for the domestic economy.

Finally, to the Middle East conflict. A resolution now looks to be in effect, at least for the next 60 days after a 14-point Memorandum of Understanding was signed by both the US and Iran. On day 1 of the Strait's re-opening, several VLCCs, which each carry 2 million barrels of oil, were seen transiting the Strait as others readied at port. Further, not only will shipments from other Middle East countries now come to the global market, but also from Iran – waivers allowing the nation to freely sell into the global market without delay and, as conditions are met, the removal of sanctions should confirm long-term access. Negotiations over Iran's nuclear program are still necessary, and until agreed there is risk of further conflict. Also, it will take time for damaged infrastructure and global inventories to be rebuilt. Still, the initial market reaction has been positive, the price of Brent oil falling from a recent peak near USD110 per barrel to USD79, compared to an average of USD63 in Q4 2025.

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30 June 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

There was a risk-on tone overnight as peace talks over the Strait of Hormuz are set to continue, with both the US and Iran agreeing to halt the attacks seen over the weekend.

US equities rallied, reversing some of last week's sharp sell-off. Tech stocks led the market higher, with the Mag Seven index climbing more than 2.5%. European equities were mixed, while Asian markets were generally higher.

Bond markets were little changed, while the US dollar index slipped. The yen touched its weakest level against the dollar since 1986. The Aussie was slightly lower, trading at 0.6886 against the greenback, while the TWI was broadly unchanged.

Commodity markets were mixed, with oil jumping higher despite the prospect of peace talks. Iron ore also edged higher.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.8	0.0%
AUD/USD	0.6886	-0.1%
AUD/JPY	111.49	0.0%
AUD/GBP	0.5195	-0.6%
AUD/NZD	1.2178	-0.3%
AUD/EUR	0.6027	-0.4%
AUD/CNH	4.6819	-0.2%
AUD/SGD	0.8901	-0.2%
AUD/HKD	5.3995	-0.1%
AUD/CAD	0.9785	0.0%
EUR/USD	1.1426	0.3%
USD/JPY	161.92	0.1%
USD Index	101.12	-0.2%

Equities	Close	Change
S&P/ASX 200	8,823	0.7%
S&P 500	7,440	1.2%
Japan Nikkei	69,468	0.2%
Hang Seng	23,027	1.6%
Euro Stoxx 50	6,232	0.2%
UK FTSE100	10,484	-0.2%
VIX Index	17.65	-4.1%

Commodities	Current	Change
CRB Index	351.31	-0.3%
Gold	4015.33	-1.8%
Copper	13278	-0.6%
Oil (WTI futures)	70.75	2.2%
Coal (coking)	243.17	0.0%
Coal (thermal)	127.45	1.8%
Iron Ore	98.80	0.1%
ACCU	36.13	-4.3%

AUS Interest Rate Swaps	p	Change
30 day BBSY	4.34	-0.01
90 day BBSY	4.51	0.00
180 day BBSY	4.86	0.00
1 year swap	4.50	0.00
2 year swap	4.42	0.00
3 year swap	4.36	0.00
4 year swap	4.35	0.00
5 year swap	4.38	-0.01
6 year swap	4.42	-0.01
7 year swap	4.47	-0.01
8 year swap	4.52	-0.01
9 year swap	4.57	-0.02
10 year swap	4.61	-0.01

Government Bond Yields	Close	Change
Australia		
3 year bond	4.39	0.03
10 year bond	4.75	0.03
United States		
3-month T Bill	3.68	0.01
2 year bond	4.10	0.01
10 year bond	4.37	0.01
Other (10 year yields)		
Germany	2.86	0.01
Japan	2.64	0.02
UK	4.72	-0.01

Sydney Futures Exchange	Current	Change
10 yr bond	4.77	-0.01
3 yr bond	4.37	0.00
3 mth bill rate	4.51	0.00
SPI 200	8,825	0.0%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



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Financial Markets

- There was a slight risk-on tone overnight after President Trump said peace talks with Iran are set to resume. Control of the Strait of Hormuz is expected to be a key focus of upcoming negotiations, with Iran stating that it wants to maintain oversight of traffic through the Strait, while US Secretary of State Marco Rubio said that any attempt to impose tolls on ships passing through the waterway would be unacceptable. The prospect of renewed diplomacy helped ease some geopolitical concerns and supported sentiment across financial markets.
- With negotiations back on, major US equity indices rallied, recovering some of last week's sharp losses. The market was led higher by technology stocks, with the Magnificent Seven megacaps rising 2.6%. Sentiment in the tech sector was further supported after Samsung Electronics and SK Hynix announced plans to invest more than US\$500bn in a new semiconductor manufacturing hub in South Korea.
- The S&P 500 climbed 1.2%, while the Dow Jones Industrial Average added 306 points, or 0.6%. The Nasdaq Composite outperformed, rising 2.1% as investors rotated back into growth stocks. Volatility also eased, with the VIX falling 4.1% to 17.65 points.
- European markets were mixed. The Euro Stoxx 50 rose 0.2%, while the FTSE 100 slipped 0.2%. Elsewhere, Asian equities performed well, led by a 1.6% rise in the Hang Seng, while the Nikkei gained 0.2%. Locally, the S&P/ASX 200 rose 0.7% to 8,823, supported by gains across resources and financials. SPI futures were little changed, suggesting a steady start for the local market.
- Moves in bond markets were generally modest. US Treasury yields edged slightly higher across the curve, with the 2-year Treasury yield up 1bp to 4.10% and the 10-year Treasury yield up 1bp to 4.37%. Interest rate futures now price one hike in late 2026 and no change through 2027.
- European bond markets were mixed. German 10-year Bund yields rose 1bp to 2.86%, while UK 10-year gilt yields eased 1bp to 4.72%. In Japan, the 10-year government bond yield rose 2bps to 2.64%.
- Australian government bond yields were little changed on futures. The 3-year government bond yield was unchanged at 4.37% on futures, while the 10-year yield declined 1bp to 4.77%. OIS pricing suggests a terminal cash rate of around 4.47% this year, with the market still not convinced of another hike.
- In foreign exchange markets, the US dollar softened modestly. The DXY fell 0.2% to 101.12, extending its recent pullback. The yen touched its weakest level against the

Today's key data and events

Time	Event	Exp	Prev
9:30	JP Job-to-Applicant May	120.0%	120.0%
9:50	JP Industrial Production May Prel.	0.7%	0.5%
11:00	NZ ANZ Business Confidence Jun	-	10pts
11:30	AU RBA Minutes	-	-
11:30	AU Private Sector Credit May	0.6%	0.7%
11:30	CN Manufacturing PMI Jun	50.1pts	50pts
11:30	CN Non-Manufacturing PMI Jun	49.9pts	50.1pts
16:00	GB GDP Q1 Final	0.6%	0.6%
23:00	US FHFA House Prices Apr	0.2%	0.1%
23:00	US S&P/Cs Home Price Index Apr	-0.1%	-0.2%
23:45	US Chicago PMI Jun	55.4pts	62.7pts
0:00	US Consumer Confidence Jun	94.6pts	93.1pts
0:00	US Jolts Job Openings May	7287.5k	7618k

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

dollar since 1986. The Australian dollar was weaker against most major currencies, falling 0.1% against the US dollar to 0.6886, 0.6% against sterling, 0.4% against the euro and 0.3% against the New Zealand dollar. Against Asian currencies, moves were generally modest, leaving the TWI unchanged at 64.8.

- Commodity markets were mixed. WTI crude oil rose 2.2% to US\$70.75/bbl as traders assessed the prospects of upcoming peace talks between the US and Iran. Industrial commodities were also mixed, with iron ore edging 0.1% higher to US\$98.80/t, while copper declined 0.6%. Coal prices were also stronger, with thermal coal rising 1.8%. In contrast, precious metals weakened, with gold falling 1.8%.

International Data

The EC Economic Confidence Survey showed that confidence in the euro area improved this month, with the headline index rising 1.3pts to 95.0, though it remains well below the levels seen at the beginning of the year. Construction firms reported the lowest confidence levels in almost two years, while businesses in industry and services turned slightly more upbeat in the latest month. The retail sector saw a more substantial improvement, with the relevant index rising by more than 1pt

The Dallas Fed Activity Survey of Texas business executives indicated that business conditions were unchanged in June, with the headline index coming in at zero, very similar to the May's print. The survey highlighted weaker production growth and softer new orders, with both indicators falling to their lowest levels this year. On the inflation front, input cost growth remained very high, while the indicator for product prices also rose significantly, suggesting substantial pass-through.

Local Data

There was no top tier data released yesterday.



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30 June 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

There was a risk-on tone overnight as peace talks over the Strait of Hormuz are set to continue, with both the US and Iran agreeing to halt the attacks seen over the weekend.

US equities rallied, reversing some of last week's sharp sell-off. Tech stocks led the market higher, with the Mag Seven index climbing more than 2.5%. European equities were mixed, while Asian markets were generally higher.

Bond markets were little changed, while the US dollar index slipped. The yen touched its weakest level against the dollar since 1986. The Aussie was slightly lower, trading at 0.6886 against the greenback, while the TWI was broadly unchanged.

Commodity markets were mixed, with oil jumping higher despite the prospect of peace talks. Iron ore also edged higher.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.8	0.0%
AUD/USD	0.6886	-0.1%
AUD/JPY	111.49	0.0%
AUD/GBP	0.5195	-0.6%
AUD/NZD	1.2178	-0.3%
AUD/EUR	0.6027	-0.4%
AUD/CNH	4.6819	-0.2%
AUD/SGD	0.8901	-0.2%
AUD/HKD	5.3995	-0.1%
AUD/CAD	0.9785	0.0%
EUR/USD	1.1426	0.3%
USD/JPY	161.92	0.1%
USD Index	101.12	-0.2%

Equities	Close	Change
S&P/ASX 200	8,823	0.7%
S&P 500	7,440	1.2%
Japan Nikkei	69,468	0.2%
Hang Seng	23,027	1.6%
Euro Stoxx 50	6,232	0.2%
UK FTSE100	10,484	-0.2%
VIX Index	17.65	-4.1%

Commodities	Current	Change
CRB Index	351.31	-0.3%
Gold	4015.33	-1.8%
Copper	13278	-0.6%
Oil (WTI futures)	70.75	2.2%
Coal (coking)	243.17	0.0%
Coal (thermal)	127.45	1.8%
Iron Ore	98.80	0.1%
ACCU	36.13	-4.3%

AUS Interest Rate Swaps	p	Change
30 day BBSY	4.34	-0.01
90 day BBSY	4.51	0.00
180 day BBSY	4.86	0.00
1 year swap	4.50	0.00
2 year swap	4.42	0.00
3 year swap	4.36	0.00
4 year swap	4.35	0.00
5 year swap	4.38	-0.01
6 year swap	4.42	-0.01
7 year swap	4.47	-0.01
8 year swap	4.52	-0.01
9 year swap	4.57	-0.02
10 year swap	4.61	-0.01

Government Bond Yields	Close	Change
Australia		
3 year bond	4.39	0.03
10 year bond	4.75	0.03
United States		
3-month T Bill	3.68	0.01
2 year bond	4.10	0.01
10 year bond	4.37	0.01
Other (10 year yields)		
Germany	2.86	0.01
Japan	2.64	0.02
UK	4.72	-0.01

Sydney Futures Exchange	Current	Change
10 yr bond	4.77	-0.01
3 yr bond	4.37	0.00
3 mth bill rate	4.51	0.00
SPI 200	8,825	0.0%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



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Financial Markets

- There was a slight risk-on tone overnight after President Trump said peace talks with Iran are set to resume. Control of the Strait of Hormuz is expected to be a key focus of upcoming negotiations, with Iran stating that it wants to maintain oversight of traffic through the Strait, while US Secretary of State Marco Rubio said that any attempt to impose tolls on ships passing through the waterway would be unacceptable. The prospect of renewed diplomacy helped ease some geopolitical concerns and supported sentiment across financial markets.
- With negotiations back on, major US equity indices rallied, recovering some of last week's sharp losses. The market was led higher by technology stocks, with the Magnificent Seven megacaps rising 2.6%. Sentiment in the tech sector was further supported after Samsung Electronics and SK Hynix announced plans to invest more than US\$500bn in a new semiconductor manufacturing hub in South Korea.
- The S&P 500 climbed 1.2%, while the Dow Jones Industrial Average added 306 points, or 0.6%. The Nasdaq Composite outperformed, rising 2.1% as investors rotated back into growth stocks. Volatility also eased, with the VIX falling 4.1% to 17.65 points.
- European markets were mixed. The Euro Stoxx 50 rose 0.2%, while the FTSE 100 slipped 0.2%. Elsewhere, Asian equities performed well, led by a 1.6% rise in the Hang Seng, while the Nikkei gained 0.2%. Locally, the S&P/ASX 200 rose 0.7% to 8,823, supported by gains across resources and financials. SPI futures were little changed, suggesting a steady start for the local market.
- Moves in bond markets were generally modest. US Treasury yields edged slightly higher across the curve, with the 2-year Treasury yield up 1bp to 4.10% and the 10-year Treasury yield up 1bp to 4.37%. Interest rate futures now price one hike in late 2026 and no change through 2027.
- European bond markets were mixed. German 10-year Bund yields rose 1bp to 2.86%, while UK 10-year gilt yields eased 1bp to 4.72%. In Japan, the 10-year government bond yield rose 2bps to 2.64%.
- Australian government bond yields were little changed on futures. The 3-year government bond yield was unchanged at 4.37% on futures, while the 10-year yield declined 1bp to 4.77%. OIS pricing suggests a terminal cash rate of around 4.47% this year, with the market still not convinced of another hike.
- In foreign exchange markets, the US dollar softened modestly. The DXY fell 0.2% to 101.12, extending its recent pullback. The yen touched its weakest level against the

Today's key data and events

Time	Event	Exp	Prev
9:30	JP Job-to-Applcmt May	120.0%	120.0%
9:50	JP Industrial Production May Prel.	0.7%	0.5%
11:00	NZ ANZ Business Confidence Jun	-	10pts
11:30	AU RBA Minutes	-	-
11:30	AU Private Sector Credit May	0.6%	0.7%
11:30	CN Manufacturing PMI Jun	50.1pts	50pts
11:30	CN Non-Manufacturing PMI Jun	49.9pts	50.1pts
16:00	GB GDP Q1 Final	0.6%	0.6%
23:00	US FHFA House Prices Apr	0.2%	0.1%
23:00	US S&P/Cs Home Price Index Apr	-0.1%	-0.2%
23:45	US Chicago PMI Jun	55.4pts	62.7pts
0:00	US Consumer Confidence Jun	94.6pts	93.1pts
0:00	US Jolts Job Openings May	7287.5k	7618k

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

dollar since 1986. The Australian dollar was weaker against most major currencies, falling 0.1% against the US dollar to 0.6886, 0.6% against sterling, 0.4% against the euro and 0.3% against the New Zealand dollar. Against Asian currencies, moves were generally modest, leaving the TWI unchanged at 64.8.

- Commodity markets were mixed. WTI crude oil rose 2.2% to US\$70.75/bbl as traders assessed the prospects of upcoming peace talks between the US and Iran. Industrial commodities were also mixed, with iron ore edging 0.1% higher to US\$98.80/t, while copper declined 0.6%. Coal prices were also stronger, with thermal coal rising 1.8%. In contrast, precious metals weakened, with gold falling 1.8%.

International Data

The EC Economic Confidence Survey showed that confidence in the euro area improved this month, with the headline index rising 1.3pts to 95.0, though it remains well below the levels seen at the beginning of the year. Construction firms reported the lowest confidence levels in almost two years, while businesses in industry and services turned slightly more upbeat in the latest month. The retail sector saw a more substantial improvement, with the relevant index rising by more than 1pt

The Dallas Fed Activity Survey of Texas business executives indicated that business conditions were unchanged in June, with the headline index coming in at zero, very similar to the May's print. The survey highlighted weaker production growth and softer new orders, with both indicators falling to their lowest levels this year. On the inflation front, input cost growth remained very high, while the indicator for product prices also rose significantly, suggesting substantial pass-through.

Local Data

There was no top tier data released yesterday.



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30 June 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

There was a risk-on tone overnight as peace talks over the Strait of Hormuz are set to continue, with both the US and Iran agreeing to halt the attacks seen over the weekend.

US equities rallied, reversing some of last week's sharp sell-off. Tech stocks led the market higher, with the Mag Seven index climbing more than 2.5%. European equities were mixed, while Asian markets were generally higher.

Bond markets were little changed, while the US dollar index slipped. The yen touched its weakest level against the dollar since 1986. The Aussie was slightly lower, trading at 0.6886 against the greenback, while the TWI was broadly unchanged.

Commodity markets were mixed, with oil jumping higher despite the prospect of peace talks. Iron ore also edged higher.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.8	0.0%
AUD/USD	0.6886	-0.1%
AUD/JPY	111.49	0.0%
AUD/GBP	0.5195	-0.6%
AUD/NZD	1.2178	-0.3%
AUD/EUR	0.6027	-0.4%
AUD/CNH	4.6819	-0.2%
AUD/SGD	0.8901	-0.2%
AUD/HKD	5.3995	-0.1%
AUD/CAD	0.9785	0.0%
EUR/USD	1.1426	0.3%
USD/JPY	161.92	0.1%
USD Index	101.12	-0.2%

Equities	Close	Change
S&P/ASX 200	8,823	0.7%
S&P 500	7,440	1.2%
Japan Nikkei	69,468	0.2%
Hang Seng	23,027	1.6%
Euro Stoxx 50	6,232	0.2%
UK FTSE100	10,484	-0.2%
VIX Index	17.65	-4.1%

Commodities	Current	Change
CRB Index	351.31	-0.3%
Gold	4015.33	-1.8%
Copper	13278	-0.6%
Oil (WTI futures)	70.75	2.2%
Coal (coking)	243.17	0.0%
Coal (thermal)	127.45	1.8%
Iron Ore	98.80	0.1%
ACCU	36.13	-4.3%

AUS Interest Rate Swaps	p	Change
30 day BBSY	4.34	-0.01
90 day BBSY	4.51	0.00
180 day BBSY	4.86	0.00
1 year swap	4.50	0.00
2 year swap	4.42	0.00
3 year swap	4.36	0.00
4 year swap	4.35	0.00
5 year swap	4.38	-0.01
6 year swap	4.42	-0.01
7 year swap	4.47	-0.01
8 year swap	4.52	-0.01
9 year swap	4.57	-0.02
10 year swap	4.61	-0.01

Government Bond Yields	Close	Change
Australia		
3 year bond	4.39	0.03
10 year bond	4.75	0.03
United States		
3-month T Bill	3.68	0.01
2 year bond	4.10	0.01
10 year bond	4.37	0.01
Other (10 year yields)		
Germany	2.86	0.01
Japan	2.64	0.02
UK	4.72	-0.01

Sydney Futures Exchange	Current	Change
10 yr bond	4.77	-0.01
3 yr bond	4.37	0.00
3 mth bill rate	4.51	0.00
SPI 200	8,825	0.0%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



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Financial Markets

- There was a slight risk-on tone overnight after President Trump said peace talks with Iran are set to resume. Control of the Strait of Hormuz is expected to be a key focus of upcoming negotiations, with Iran stating that it wants to maintain oversight of traffic through the Strait, while US Secretary of State Marco Rubio said that any attempt to impose tolls on ships passing through the waterway would be unacceptable. The prospect of renewed diplomacy helped ease some geopolitical concerns and supported sentiment across financial markets.
- With negotiations back on, major US equity indices rallied, recovering some of last week's sharp losses. The market was led higher by technology stocks, with the Magnificent Seven megacaps rising 2.6%. Sentiment in the tech sector was further supported after Samsung Electronics and SK Hynix announced plans to invest more than US\$500bn in a new semiconductor manufacturing hub in South Korea.
- The S&P 500 climbed 1.2%, while the Dow Jones Industrial Average added 306 points, or 0.6%. The Nasdaq Composite outperformed, rising 2.1% as investors rotated back into growth stocks. Volatility also eased, with the VIX falling 4.1% to 17.65 points.
- European markets were mixed. The Euro Stoxx 50 rose 0.2%, while the FTSE 100 slipped 0.2%. Elsewhere, Asian equities performed well, led by a 1.6% rise in the Hang Seng, while the Nikkei gained 0.2%. Locally, the S&P/ASX 200 rose 0.7% to 8,823, supported by gains across resources and financials. SPI futures were little changed, suggesting a steady start for the local market.
- Moves in bond markets were generally modest. US Treasury yields edged slightly higher across the curve, with the 2-year Treasury yield up 1bp to 4.10% and the 10-year Treasury yield up 1bp to 4.37%. Interest rate futures now price one hike in late 2026 and no change through 2027.
- European bond markets were mixed. German 10-year Bund yields rose 1bp to 2.86%, while UK 10-year gilt yields eased 1bp to 4.72%. In Japan, the 10-year government bond yield rose 2bps to 2.64%.
- Australian government bond yields were little changed on futures. The 3-year government bond yield was unchanged at 4.37% on futures, while the 10-year yield declined 1bp to 4.77%. OIS pricing suggests a terminal cash rate of around 4.47% this year, with the market still not convinced of another hike.
- In foreign exchange markets, the US dollar softened modestly. The DXY fell 0.2% to 101.12, extending its recent pullback. The yen touched its weakest level against the

Today's key data and events

Time	Event	Exp	Prev
9:30	JP Job-to-Applcmt May	120.0%	120.0%
9:50	JP Industrial Production May Prel.	0.7%	0.5%
11:00	NZ ANZ Business Confidence Jun	-	10pts
11:30	AU RBA Minutes	-	-
11:30	AU Private Sector Credit May	0.6%	0.7%
11:30	CN Manufacturing PMI Jun	50.1pts	50pts
11:30	CN Non-Manufacturing PMI Jun	49.9pts	50.1pts
16:00	GB GDP Q1 Final	0.6%	0.6%
23:00	US FHFA House Prices Apr	0.2%	0.1%
23:00	US S&P/Cs Home Price Index Apr	-0.1%	-0.2%
23:45	US Chicago PMI Jun	55.4pts	62.7pts
0:00	US Consumer Confidence Jun	94.6pts	93.1pts
0:00	US Jolts Job Openings May	7287.5k	7618k

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

dollar since 1986. The Australian dollar was weaker against most major currencies, falling 0.1% against the US dollar to 0.6886, 0.6% against sterling, 0.4% against the euro and 0.3% against the New Zealand dollar. Against Asian currencies, moves were generally modest, leaving the TWI unchanged at 64.8.

- Commodity markets were mixed. WTI crude oil rose 2.2% to US\$70.75/bbl as traders assessed the prospects of upcoming peace talks between the US and Iran. Industrial commodities were also mixed, with iron ore edging 0.1% higher to US\$98.80/t, while copper declined 0.6%. Coal prices were also stronger, with thermal coal rising 1.8%. In contrast, precious metals weakened, with gold falling 1.8%.

International Data

The EC Economic Confidence Survey showed that confidence in the euro area improved this month, with the headline index rising 1.3pts to 95.0, though it remains well below the levels seen at the beginning of the year. Construction firms reported the lowest confidence levels in almost two years, while businesses in industry and services turned slightly more upbeat in the latest month. The retail sector saw a more substantial improvement, with the relevant index rising by more than 1pt

The Dallas Fed Activity Survey of Texas business executives indicated that business conditions were unchanged in June, with the headline index coming in at zero, very similar to the May's print. The survey highlighted weaker production growth and softer new orders, with both indicators falling to their lowest levels this year. On the inflation front, input cost growth remained very high, while the indicator for product prices also rose significantly, suggesting substantial pass-through.

Local Data

There was no top tier data released yesterday.



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30 June 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

There was a risk-on tone overnight as peace talks over the Strait of Hormuz are set to continue, with both the US and Iran agreeing to halt the attacks seen over the weekend.

US equities rallied, reversing some of last week's sharp sell-off. Tech stocks led the market higher, with the Mag Seven index climbing more than 2.5%. European equities were mixed, while Asian markets were generally higher.

Bond markets were little changed, while the US dollar index slipped. The yen touched its weakest level against the dollar since 1986. The Aussie was slightly lower, trading at 0.6886 against the greenback, while the TWI was broadly unchanged.

Commodity markets were mixed, with oil jumping higher despite the prospect of peace talks. Iron ore also edged higher.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.8	0.0%
AUD/USD	0.6886	-0.1%
AUD/JPY	111.49	0.0%
AUD/GBP	0.5195	-0.6%
AUD/NZD	1.2178	-0.3%
AUD/EUR	0.6027	-0.4%
AUD/CNH	4.6819	-0.2%
AUD/SGD	0.8901	-0.2%
AUD/HKD	5.3995	-0.1%
AUD/CAD	0.9785	0.0%
EUR/USD	1.1426	0.3%
USD/JPY	161.92	0.1%
USD Index	101.12	-0.2%

Equities	Close	Change
S&P/ASX 200	8,823	0.7%
S&P 500	7,440	1.2%
Japan Nikkei	69,468	0.2%
Hang Seng	23,027	1.6%
Euro Stoxx 50	6,232	0.2%
UK FTSE100	10,484	-0.2%
VIX Index	17.65	-4.1%

Commodities	Current	Change
CRB Index	351.31	-0.3%
Gold	4015.33	-1.8%
Copper	13278	-0.6%
Oil (WTI futures)	70.75	2.2%
Coal (coking)	243.17	0.0%
Coal (thermal)	127.45	1.8%
Iron Ore	98.80	0.1%
ACCU	36.13	-4.3%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

AUS Interest Rate Swaps	p	Change
30 day BBSY	4.34	-0.01
90 day BBSY	4.51	0.00
180 day BBSY	4.86	0.00
1 year swap	4.50	0.00
2 year swap	4.42	0.00
3 year swap	4.36	0.00
4 year swap	4.35	0.00
5 year swap	4.38	-0.01
6 year swap	4.42	-0.01
7 year swap	4.47	-0.01
8 year swap	4.52	-0.01
9 year swap	4.57	-0.02
10 year swap	4.61	-0.01

Government Bond Yields	Close	Change
Australia		
3 year bond	4.39	0.03
10 year bond	4.75	0.03
United States		
3-month T Bill	3.68	0.01
2 year bond	4.10	0.01
10 year bond	4.37	0.01
Other (10 year yields)		
Germany	2.86	0.01
Japan	2.64	0.02
UK	4.72	-0.01

Sydney Futures Exchange	Current	Change
10 yr bond	4.77	-0.01
3 yr bond	4.37	0.00
3 mth bill rate	4.51	0.00
SPI 200	8,825	0.0%



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Financial Markets

- There was a slight risk-on tone overnight after President Trump said peace talks with Iran are set to resume. Control of the Strait of Hormuz is expected to be a key focus of upcoming negotiations, with Iran stating that it wants to maintain oversight of traffic through the Strait, while US Secretary of State Marco Rubio said that any attempt to impose tolls on ships passing through the waterway would be unacceptable. The prospect of renewed diplomacy helped ease some geopolitical concerns and supported sentiment across financial markets.
- With negotiations back on, major US equity indices rallied, recovering some of last week's sharp losses. The market was led higher by technology stocks, with the Magnificent Seven megacaps rising 2.6%. Sentiment in the tech sector was further supported after Samsung Electronics and SK Hynix announced plans to invest more than US\$500bn in a new semiconductor manufacturing hub in South Korea.
- The S&P 500 climbed 1.2%, while the Dow Jones Industrial Average added 306 points, or 0.6%. The Nasdaq Composite outperformed, rising 2.1% as investors rotated back into growth stocks. Volatility also eased, with the VIX falling 4.1% to 17.65 points.
- European markets were mixed. The Euro Stoxx 50 rose 0.2%, while the FTSE 100 slipped 0.2%. Elsewhere, Asian equities performed well, led by a 1.6% rise in the Hang Seng, while the Nikkei gained 0.2%. Locally, the S&P/ASX 200 rose 0.7% to 8,823, supported by gains across resources and financials. SPI futures were little changed, suggesting a steady start for the local market.
- Moves in bond markets were generally modest. US Treasury yields edged slightly higher across the curve, with the 2-year Treasury yield up 1bp to 4.10% and the 10-year Treasury yield up 1bp to 4.37%. Interest rate futures now price one hike in late 2026 and no change through 2027.
- European bond markets were mixed. German 10-year Bund yields rose 1bp to 2.86%, while UK 10-year gilt yields eased 1bp to 4.72%. In Japan, the 10-year government bond yield rose 2bps to 2.64%.
- Australian government bond yields were little changed on futures. The 3-year government bond yield was unchanged at 4.37% on futures, while the 10-year yield declined 1bp to 4.77%. OIS pricing suggests a terminal cash rate of around 4.47% this year, with the market still not convinced of another hike.
- In foreign exchange markets, the US dollar softened modestly. The DXY fell 0.2% to 101.12, extending its recent pullback. The yen touched its weakest level against the

Today's key data and events

Time	Event	Exp	Prev
9:30	JP Job-to-Applicant May	120.0%	120.0%
9:50	JP Industrial Production May Prel.	0.7%	0.5%
11:00	NZ ANZ Business Confidence Jun	-	10pts
11:30	AU RBA Minutes	-	-
11:30	AU Private Sector Credit May	0.6%	0.7%
11:30	CN Manufacturing PMI Jun	50.1pts	50pts
11:30	CN Non-Manufacturing PMI Jun	49.9pts	50.1pts
16:00	GB GDP Q1 Final	0.6%	0.6%
23:00	US FHFA House Prices Apr	0.2%	0.1%
23:00	US S&P/Cs Home Price Index Apr	-0.1%	-0.2%
23:45	US Chicago PMI Jun	55.4pts	62.7pts
0:00	US Consumer Confidence Jun	94.6pts	93.1pts
0:00	US Jolts Job Openings May	7287.5k	7618k

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

dollar since 1986. The Australian dollar was weaker against most major currencies, falling 0.1% against the US dollar to 0.6886, 0.6% against sterling, 0.4% against the euro and 0.3% against the New Zealand dollar. Against Asian currencies, moves were generally modest, leaving the TWI unchanged at 64.8.

- Commodity markets were mixed. WTI crude oil rose 2.2% to US\$70.75/bbl as traders assessed the prospects of upcoming peace talks between the US and Iran. Industrial commodities were also mixed, with iron ore edging 0.1% higher to US\$98.80/t, while copper declined 0.6%. Coal prices were also stronger, with thermal coal rising 1.8%. In contrast, precious metals weakened, with gold falling 1.8%.

International Data

The EC Economic Confidence Survey showed that confidence in the euro area improved this month, with the headline index rising 1.3pts to 95.0, though it remains well below the levels seen at the beginning of the year. Construction firms reported the lowest confidence levels in almost two years, while businesses in industry and services turned slightly more upbeat in the latest month. The retail sector saw a more substantial improvement, with the relevant index rising by more than 1pt

The Dallas Fed Activity Survey of Texas business executives indicated that business conditions were unchanged in June, with the headline index coming in at zero, very similar to the May's print. The survey highlighted weaker production growth and softer new orders, with both indicators falling to their lowest levels this year. On the inflation front, input cost growth remained very high, while the indicator for product prices also rose significantly, suggesting substantial pass-through.

Local Data

There was no top tier data released yesterday.



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Cliff Notes: patience is a virtue

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By [Elliot Clarke](#), [Ryan Wells](#) & [Illiana Jain](#)

10:16 June 26 2026

 Share

Key insights from the week that was.



[Australian consumer prices](#) fell 0.7% in May, bringing the annual rate of headline inflation down from 4.2%yr to 4.0%yr. The main cause of the decline was an 11.9% fall in auto fuel prices; but, relative to our own forecast, it was holiday travel and accommodation that was the primary contributor.

Stripping out these factors, trimmed mean inflation lifted from 3.4%yr to 3.6%yr. Housing inflation was, once again, key with rents surprising to the upside and new dwelling costs recording their strongest monthly increase since late-2022. The latter contrasts with growing evidence of cooling demand in the housing market, pointing to margin pressure for homebuilders. Cost pass-through was also evident in the detail, though weak household spending may stop businesses from recouping costs through mid-year and beyond. The abrupt reversal in energy supply and prices through June (see below) may also see businesses write off margin compression as a transient concern.

Employment subsequently bounced back from holiday-related weakness in April as expected, jobs up +40.3k and the unemployment rate ticking down to 4.4%. That said, revisions to April offset May's gain, stalling growth in Q2-to-date after a robust Q1. Looking past the month-to-month volatility, the unemployment rate trend is starting to edge up, in line with our expectation for a sustained softening.

Offshore, the past week saw the Memorandum of Understanding between the US and Iran take effect and a consequent rapid opening up of the Strait of Hormuz, freeing circa 20 million barrels of oil from the Strait in recent days. For the most part, the price of oil has trended down, reaching USD72 mid-week, a level last seen before the conflict began in February. It has not been all smooth sailing, however, an attack on a commercial ship off the coast of Oman overnight sparking concern and an increase in the oil price back above USD75. Several points still require detailed negotiation, including Iran's nuclear program and the management of the Strait beyond the first 60 days. Discussion on a framework to resolve differences on these matters began at the weekend in Switzerland, and are likely to continue for weeks, if not months. Risks for energy supply and price will therefore linger for the foreseeable future.

On the data front, US personal income surprised to the upside in May, rising 0.7% after being unchanged in April. Compensation growth was more modest at 0.4%, consistent with the average since the beginning of the year. Personal spending growth also accelerated to 0.7%, although much of the gain was driven by inflation, with real spending up just 0.3% after a flat April print. PCE inflation was a touch softer than expected in May at 0.4%, while core inflation was in line at 0.3%. Q2 is therefore looking like another soft period for the US consumer. Notable too is that revisions have been against the consumer, the third estimate of Q1 GDP this week seeing quarterly consumption growth revised down to just 0.5% annualised. An upgrade to business investment and a material reduction in import growth in the quarter more than offset for GDP; but being more than 70% of the economy, the weakness in consumption will have a significant bearing on the aggregate pulse hence.

In our view, this data and events in energy markets warrant the FOMC remaining on hold for the remainder of the year as inflation risks slowly abate. However, the market is likely to continue to price the risk of further tightening, particularly while the White House remains out of the monetary policy debate and AI optimism persists.

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May CPI – underlying pressures firm

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By Neha Sharma
Economist, Westpac

18:00 June 24 2026

Share

Monthly May CPI $-0.7\%_{\text{mth}}/4.0\%_{\text{yr}}$, Trimmed Mean $0.4\%_{\text{mth}}/3.6\%_{\text{yr}}$.



- May CPI fell $-0.7\%_{\text{mth}}/4.0\%_{\text{yr}}$, below both our forecast and market expectations, with the downside surprise concentrated in holiday travel and clothing & footwear.
- Underlying inflation firmed, with trimmed mean inflation in line with our expectations at $0.4\%_{\text{mth}}/3.6\%_{\text{yr}}$. The three-month annualised pace lifted to 3.8%.

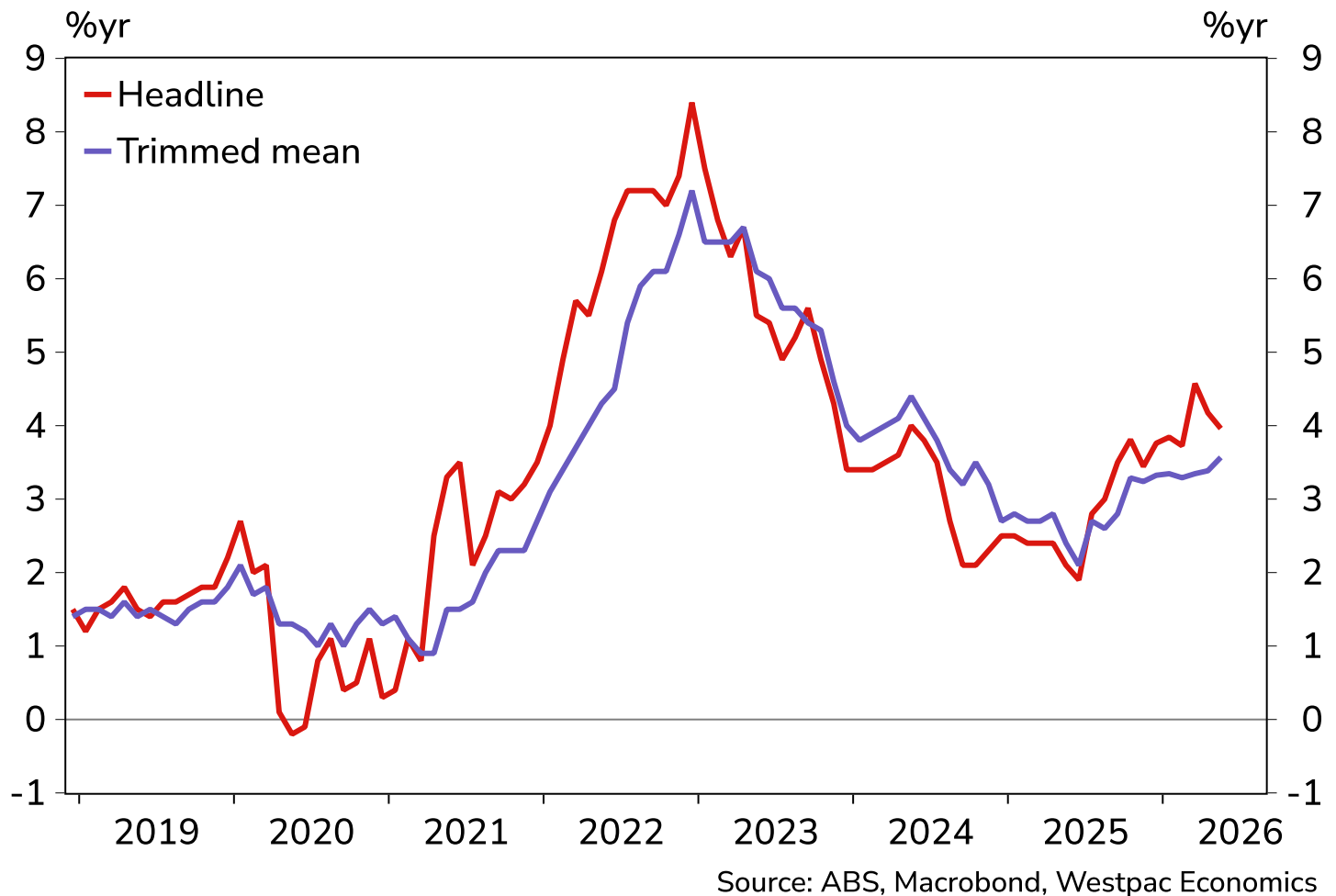
- Housing remains the key inflation pressure point, with new dwelling costs posting their strongest monthly increase since late-2022 and rents also surprising on the upside. There is also stronger evidence that pressures are broadening particularly within services.
- While oil and commodity prices have eased from recent highs, we expect further pass-through into consumer prices over coming months as earlier cost increases continue to filter through the economy. This is likely to keep inflation uncomfortably high for the RBA who will be concerned about high inflation becoming embedded in domestic wage and price setting behaviour.

The May CPI fell -0.7% mth to be up 4.0% yr. This was below our estimate of -0.3% mth/ 4.4% yr and market expectations of -0.4% mth/ 4.3% yr. May is typically a seasonally softer month for the CPI. In seasonally adjusted terms, the CPI dipped -0.1% mth, compared with our estimate of $+0.2\%$ mth.

The key drags on headline inflation were transport (-0.4 ppts), with fuel prices falling 11.9% in the month, clothing & footwear (-0.1 ppt) and recreation & culture (-0.4 ppts). The latter two accounted for nearly all of the miss in our monthly result, with domestic travel also softer than anticipated. Balancing this was strong outcome in the housing component, which added $+0.1$ ppt, with a broad-based pick-up across electricity, rents and new dwelling costs.

While headline inflation was softer than projected, trimmed mean inflation came in-line with our forecast, rising 0.4% mth/ 3.6% yr (slightly softer at the second decimal place). The three-month annualised rate has picked up to 3.8% from 3.1% in February, before the breakout of the Middle East conflict.

Headline and trimmed mean inflation



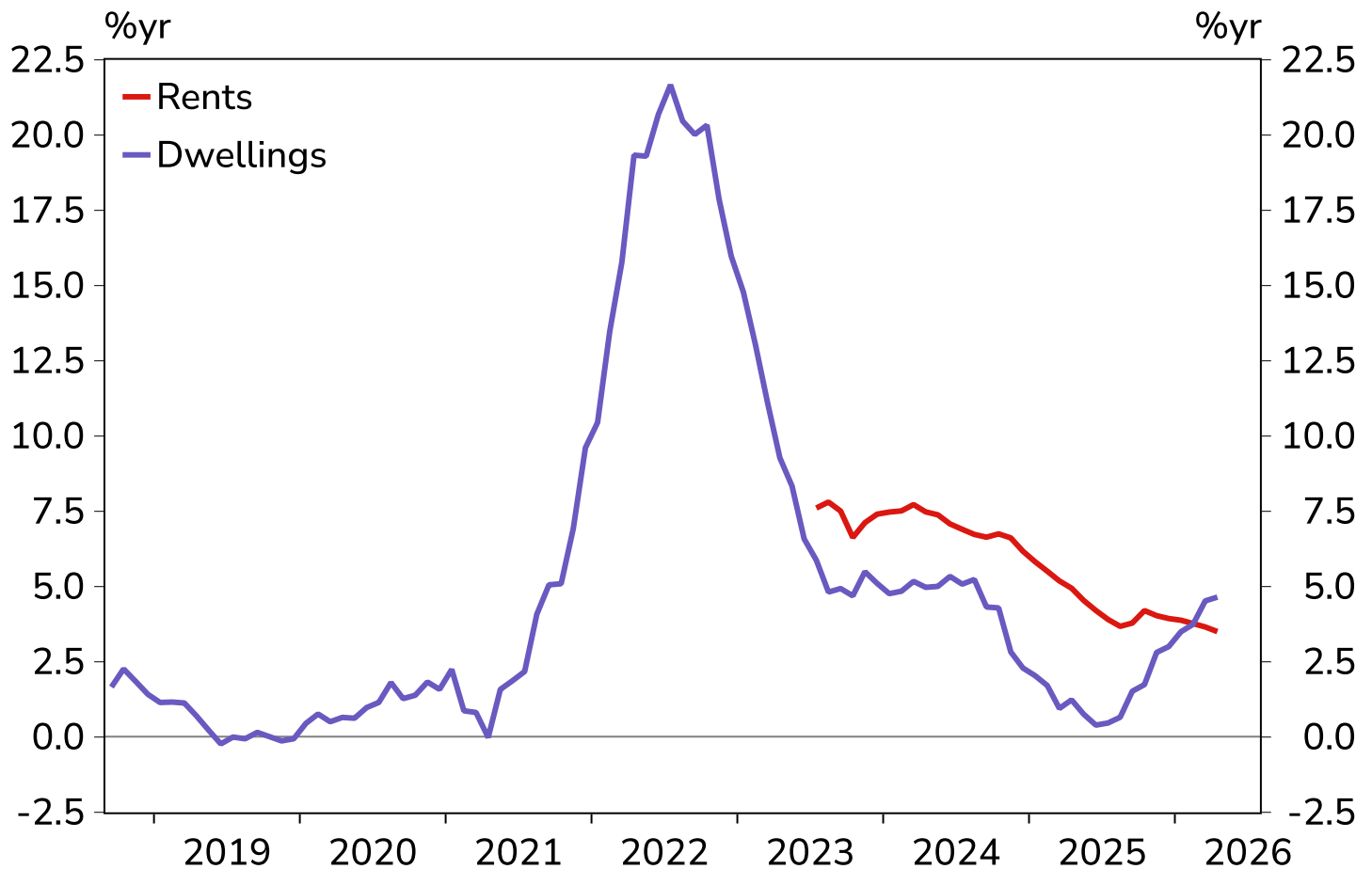
New dwelling costs rose by a stronger than expected 0.9%_{mt}/5.6%_{yr}, the strongest monthly increase since December 2022. The ABS again pointed to project home builders raising base prices to pass through fuel surcharges and higher material costs.

We had flagged upside risks to this. Builder material price notifications data, showed a 17% in average prices in May in seasonally adjusted terms, with data pointing to an easing to 11% in June and 9% in August, but still well above average levels. That points to ongoing pipeline pressure on build costs ahead.

Rents were also firmer than we had expected at 0.4%_{mt}. We also think there is further upside here given trends in advertised rents which take some time to flow through to CPI rents.

At this stage, housing inflation remains the key pressure point. It accounts for around 20% of the CPI basket and is typically a source of persistence for trimmed mean inflation, this keeps upside risk in focus and is likely to keep the RBA uneasy.

Housing inflation – rents and dwellings



Source: ABS, Macrobond, Westpac Economics

Overall, food inflation came in largely as expected (0.6%*mt* vs 0.7%*mt* expected), however there were some swings at the expenditure class level. Dairy products were a key upside surprise rising 2.3%*mt*. This likely reflected some temporary fuel surcharges announced by grocers across dairy products. At the other end fruit & vegetables rose by less than we expected (1.1%*mt* vs 2.9%*mt* expected). Food prices is an area we'll be paying close attention to in H2. We are yet to see the impact of higher fertiliser costs, which is having an impact on farmers planting decisions, and when combined with an El Nino event could see larger food prices increases in late-Q3 onwards.

Market services excluding volatiles fell -0.3%*mt*, with the year-ended rate lifting to 3.2%*yr*. Excluding volatiles and holiday travel, prices rose 0.2%*mt*/4.2%*yr*, in-line with expectations. Areas that showed more pronounced increases include: audio, visual and computing & media services (1.2%*mt*/10.5%*yr*); restaurant meals (0.4%*mt*/3.9%*yr*, takeaway foods was also strong 0.5%*mt*/4.1%*yr*); dwelling and motor vehicle repair costs (0.7%*mt*/3.7%*yr* and 0.9%*mt*/6.3%*yr* respectively). All of these are running at their highest annual pace in the full monthly series and there is risk of further upside given our expectations for stronger wage outcomes in H2 2026.

Overall, underlying pressures are broadening after showing more contained signs in March and April. The share of the CPI basket that is running above 3% at a three-month annualised pace is just under 50%, after recording low-40s reads the past two months. This is also the highest share since around October 2025.

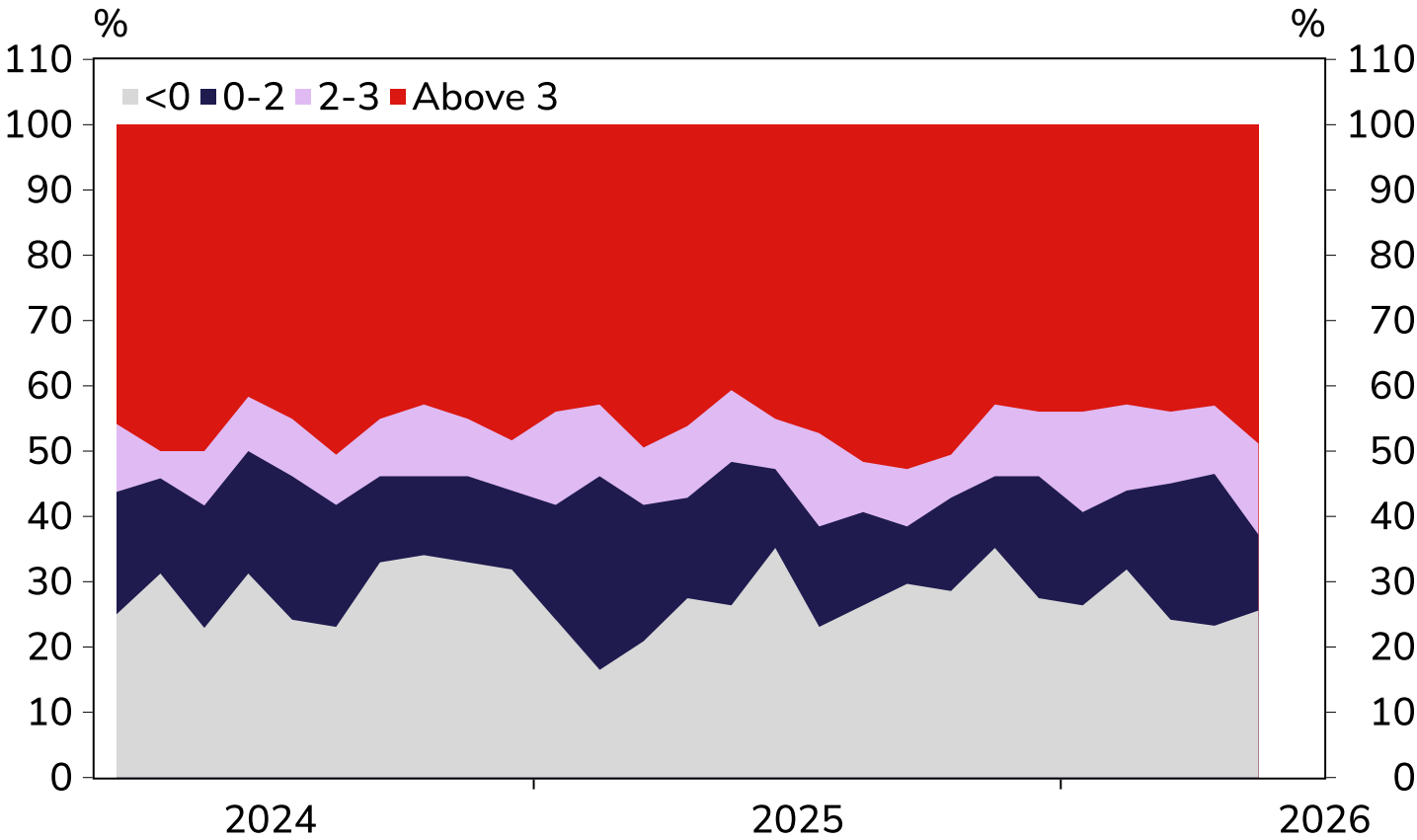
The May data provide a stronger signal that second-order effects from the Middle East supply shock are becoming more visible across consumer prices. Oil prices are off their highs and policy is still dampening parts of fuel inflation, for now, but higher fuel, transport and commodity costs are continuing to feed through to a broader range of categories. This is consistent with firms passing on at least part of the increase in input costs, including energy, freight, plastics and chemicals.

The key question is whether these price increases reverse as cost pressures ease, or whether they persist. Postal costs fell in May, as the fuel surcharge was reduced, showing some pass-through can unwind. But the risk is that pass-through in other areas is stickier, particularly across services. The increase in hairdressing prices, for example, could reflect firms adjusting prices not just for higher fuel and transport costs, but for a broader expectation of higher operating costs. That makes the May outcome less about whether pass-through is occurring, and more about how broad and persistent it becomes.

The May data reinforce the RBA's concern that inflation remains too high and that a period of slower growth will be needed to return inflation to target. The post-meeting statement had already given a stronger steer than recent communication, with the Board adding that it was prepared to increase the cash rate further "if required". Governor Bullock repeated this point in the media conference. That looked deliberate, and suggests the Board wanted to push back against speculation that it is done hiking.

Inflation Sub-Categories

Three-Month Annualised Growth, Share of Basket



Source: ABS, Macrobond, Westpac Economics

CPI Item	Qtr CPI	Monthly CPI			WBC fcs
	Jun-26 % yr	Mar-26 % yr	Apr-26 % yr	May-26 % yr	May-26 % yr fcs
Food	3.4	3.1	2.8	3.3	3.4
of which, bread & cereals	1.4	0.6	0.7	1.5	1.4
of which, meat & seafood	5.5	4.8	5.0	5.4	5.4
of which, dairy & related products	2.8	2.5	2.3	5.2	2.8
of which, fruit & vegetables	3.3	1.8	0.1	2.0	3.8
of which, food products nec	2.4	2.9	2.2	1.6	2.4
of which, non-alcohol beverages	1.9	2.2	2.0	1.5	1.8
Alcohol & tobacco	4.7	4.4	4.3	4.7	4.0
of which, Alcohol	2.1	1.7	1.6	2.2	1.4
of which, Tobacco	11.1	11.2	10.7	10.9	10.5
Clothing & footwear	4.6	7.1	5.9	5.0	6.1
of which, garments	2.3	4.3	3.1	2.1	3.7
Housing	6.6	6.5	6.3	6.5	6.3
of which, Rents	3.6	3.7	3.5	3.6	3.4
of which, House purchases	5.1	4.5	4.7	5.6	5.1
of which, Electricity	21.0	25.4	22.5	21.1	20.0
of which, Gas & other fuels	7.3	5.7	5.7	4.9	8.2
H/hold contents & services	1.5	1.4	1.2	1.7	2.0
Health	4.2	3.0	4.0	3.8	4.0
Transportation	3.1	8.9	6.6	3.3	3.1
of which, auto fuel	6.0	24.2	18.6	7.7	4.5
Communication	1.9	1.4	1.5	2.1	1.4
Recreation	5.3	2.8	2.5	2.4	5.6
of which, holiday travel	7.6	2.2	1.7	1.9	8.5
Education	3.8	4.8	4.8	4.8	4.8
Financial & insurance services	3.4	2.8	3.0	3.2	3.3
CPI: All groups % year	4.4	4.6	4.2	4.0	4.4

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30 June 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

There was a risk-on tone overnight as peace talks over the Strait of Hormuz are set to continue, with both the US and Iran agreeing to halt the attacks seen over the weekend.

US equities rallied, reversing some of last week's sharp sell-off. Tech stocks led the market higher, with the Mag Seven index climbing more than 2.5%. European equities were mixed, while Asian markets were generally higher.

Bond markets were little changed, while the US dollar index slipped. The yen touched its weakest level against the dollar since 1986. The Aussie was slightly lower, trading at 0.6886 against the greenback, while the TWI was broadly unchanged.

Commodity markets were mixed, with oil jumping higher despite the prospect of peace talks. Iron ore also edged higher.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.8	0.0%
AUD/USD	0.6886	-0.1%
AUD/JPY	111.49	0.0%
AUD/GBP	0.5195	-0.6%
AUD/NZD	1.2178	-0.3%
AUD/EUR	0.6027	-0.4%
AUD/CNH	4.6819	-0.2%
AUD/SGD	0.8901	-0.2%
AUD/HKD	5.3995	-0.1%
AUD/CAD	0.9785	0.0%
EUR/USD	1.1426	0.3%
USD/JPY	161.92	0.1%
USD Index	101.12	-0.2%

Equities	Close	Change
S&P/ASX 200	8,823	0.7%
S&P 500	7,440	1.2%
Japan Nikkei	69,468	0.2%
Hang Seng	23,027	1.6%
Euro Stoxx 50	6,232	0.2%
UK FTSE100	10,484	-0.2%
VIX Index	17.65	-4.1%

Commodities	Current	Change
CRB Index	351.31	-0.3%
Gold	4015.33	-1.8%
Copper	13278	-0.6%
Oil (WTI futures)	70.75	2.2%
Coal (coking)	243.17	0.0%
Coal (thermal)	127.45	1.8%
Iron Ore	98.80	0.1%
ACCU	36.13	-4.3%

AUS Interest Rate Swaps	p	Change
30 day BBSY	4.34	-0.01
90 day BBSY	4.51	0.00
180 day BBSY	4.86	0.00
1 year swap	4.50	0.00
2 year swap	4.42	0.00
3 year swap	4.36	0.00
4 year swap	4.35	0.00
5 year swap	4.38	-0.01
6 year swap	4.42	-0.01
7 year swap	4.47	-0.01
8 year swap	4.52	-0.01
9 year swap	4.57	-0.02
10 year swap	4.61	-0.01

Government Bond Yields	Close	Change
Australia		
3 year bond	4.39	0.03
10 year bond	4.75	0.03
United States		
3-month T Bill	3.68	0.01
2 year bond	4.10	0.01
10 year bond	4.37	0.01
Other (10 year yields)		
Germany	2.86	0.01
Japan	2.64	0.02
UK	4.72	-0.01

Sydney Futures Exchange	Current	Change
10 yr bond	4.77	-0.01
3 yr bond	4.37	0.00
3 mth bill rate	4.51	0.00
SPI 200	8,825	0.0%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



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Financial Markets

- There was a slight risk-on tone overnight after President Trump said peace talks with Iran are set to resume. Control of the Strait of Hormuz is expected to be a key focus of upcoming negotiations, with Iran stating that it wants to maintain oversight of traffic through the Strait, while US Secretary of State Marco Rubio said that any attempt to impose tolls on ships passing through the waterway would be unacceptable. The prospect of renewed diplomacy helped ease some geopolitical concerns and supported sentiment across financial markets.
- With negotiations back on, major US equity indices rallied, recovering some of last week's sharp losses. The market was led higher by technology stocks, with the Magnificent Seven megacaps rising 2.6%. Sentiment in the tech sector was further supported after Samsung Electronics and SK Hynix announced plans to invest more than US\$500bn in a new semiconductor manufacturing hub in South Korea.
- The S&P 500 climbed 1.2%, while the Dow Jones Industrial Average added 306 points, or 0.6%. The Nasdaq Composite outperformed, rising 2.1% as investors rotated back into growth stocks. Volatility also eased, with the VIX falling 4.1% to 17.65 points.
- European markets were mixed. The Euro Stoxx 50 rose 0.2%, while the FTSE 100 slipped 0.2%. Elsewhere, Asian equities performed well, led by a 1.6% rise in the Hang Seng, while the Nikkei gained 0.2%. Locally, the S&P/ASX 200 rose 0.7% to 8,823, supported by gains across resources and financials. SPI futures were little changed, suggesting a steady start for the local market.
- Moves in bond markets were generally modest. US Treasury yields edged slightly higher across the curve, with the 2-year Treasury yield up 1bp to 4.10% and the 10-year Treasury yield up 1bp to 4.37%. Interest rate futures now price one hike in late 2026 and no change through 2027.
- European bond markets were mixed. German 10-year Bund yields rose 1bp to 2.86%, while UK 10-year gilt yields eased 1bp to 4.72%. In Japan, the 10-year government bond yield rose 2bps to 2.64%.
- Australian government bond yields were little changed on futures. The 3-year government bond yield was unchanged at 4.37% on futures, while the 10-year yield declined 1bp to 4.77%. OIS pricing suggests a terminal cash rate of around 4.47% this year, with the market still not convinced of another hike.
- In foreign exchange markets, the US dollar softened modestly. The DXY fell 0.2% to 101.12, extending its recent pullback. The yen touched its weakest level against the

Today's key data and events

Time	Event	Exp	Prev
9:30	JP Job-to-Applicant May	120.0%	120.0%
9:50	JP Industrial Production May Prel.	0.7%	0.5%
11:00	NZ ANZ Business Confidence Jun	-	10pts
11:30	AU RBA Minutes	-	-
11:30	AU Private Sector Credit May	0.6%	0.7%
11:30	CN Manufacturing PMI Jun	50.1pts	50pts
11:30	CN Non-Manufacturing PMI Jun	49.9pts	50.1pts
16:00	GB GDP Q1 Final	0.6%	0.6%
23:00	US FHFA House Prices Apr	0.2%	0.1%
23:00	US S&P/Cs Home Price Index Apr	-0.1%	-0.2%
23:45	US Chicago PMI Jun	55.4pts	62.7pts
0:00	US Consumer Confidence Jun	94.6pts	93.1pts
0:00	US Jolts Job Openings May	7287.5k	7618k

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

dollar since 1986. The Australian dollar was weaker against most major currencies, falling 0.1% against the US dollar to 0.6886, 0.6% against sterling, 0.4% against the euro and 0.3% against the New Zealand dollar. Against Asian currencies, moves were generally modest, leaving the TWI unchanged at 64.8.

- Commodity markets were mixed. WTI crude oil rose 2.2% to US\$70.75/bbl as traders assessed the prospects of upcoming peace talks between the US and Iran. Industrial commodities were also mixed, with iron ore edging 0.1% higher to US\$98.80/t, while copper declined 0.6%. Coal prices were also stronger, with thermal coal rising 1.8%. In contrast, precious metals weakened, with gold falling 1.8%.

International Data

The EC Economic Confidence Survey showed that confidence in the euro area improved this month, with the headline index rising 1.3pts to 95.0, though it remains well below the levels seen at the beginning of the year. Construction firms reported the lowest confidence levels in almost two years, while businesses in industry and services turned slightly more upbeat in the latest month. The retail sector saw a more substantial improvement, with the relevant index rising by more than 1pt

The Dallas Fed Activity Survey of Texas business executives indicated that business conditions were unchanged in June, with the headline index coming in at zero, very similar to the May's print. The survey highlighted weaker production growth and softer new orders, with both indicators falling to their lowest levels this year. On the inflation front, input cost growth remained very high, while the indicator for product prices also rose significantly, suggesting substantial pass-through.

Local Data

There was no top tier data released yesterday.



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30 June 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

There was a risk-on tone overnight as peace talks over the Strait of Hormuz are set to continue, with both the US and Iran agreeing to halt the attacks seen over the weekend.

US equities rallied, reversing some of last week's sharp sell-off. Tech stocks led the market higher, with the Mag Seven index climbing more than 2.5%. European equities were mixed, while Asian markets were generally higher.

Bond markets were little changed, while the US dollar index slipped. The yen touched its weakest level against the dollar since 1986. The Aussie was slightly lower, trading at 0.6886 against the greenback, while the TWI was broadly unchanged.

Commodity markets were mixed, with oil jumping higher despite the prospect of peace talks. Iron ore also edged higher.

Data snapshot

FX Last 24 hrs	Current	Change	AUS Interest Rate Swaps	p	Change
TWI	64.8	0.0%	30 day BBSY	4.34	-0.01
AUD/USD	0.6886	-0.1%	90 day BBSY	4.51	0.00
AUD/JPY	111.49	0.0%	180 day BBSY	4.86	0.00
AUD/GBP	0.5195	-0.6%	1 year swap	4.50	0.00
AUD/NZD	1.2178	-0.3%	2 year swap	4.42	0.00
AUD/EUR	0.6027	-0.4%	3 year swap	4.36	0.00
AUD/CNH	4.6819	-0.2%	4 year swap	4.35	0.00
AUD/SGD	0.8901	-0.2%	5 year swap	4.38	-0.01
AUD/HKD	5.3995	-0.1%	6 year swap	4.42	-0.01
AUD/CAD	0.9785	0.0%	7 year swap	4.47	-0.01
EUR/USD	1.1426	0.3%	8 year swap	4.52	-0.01
USD/JPY	161.92	0.1%	9 year swap	4.57	-0.02
USD Index	101.12	-0.2%	10 year swap	4.61	-0.01
Equities	Close	Change	Government Bond Yields	Close	Change
S&P/ASX 200	8,823	0.7%	Australia		
S&P 500	7,440	1.2%	3 year bond	4.39	0.03
Japan Nikkei	69,468	0.2%	10 year bond	4.75	0.03
Hang Seng	23,027	1.6%	United States		
Euro Stoxx 50	6,232	0.2%	3-month T Bill	3.68	0.01
UK FTSE100	10,484	-0.2%	2 year bond	4.10	0.01
VIX Index	17.65	-4.1%	10 year bond	4.37	0.01
Commodities	Current	Change	Other (10 year yields)		
CRB Index	351.31	-0.3%	Germany	2.86	0.01
Gold	4015.33	-1.8%	Japan	2.64	0.02
Copper	13278	-0.6%	UK	4.72	-0.01
Oil (WTI futures)	70.75	2.2%	Sydney Futures Exchange	Current	Change
Coal (coking)	243.17	0.0%	10 yr bond	4.77	-0.01
Coal (thermal)	127.45	1.8%	3 yr bond	4.37	0.00
Iron Ore	98.80	0.1%	3 mth bill rate	4.51	0.00
ACCU	36.13	-4.3%	SPI 200	8,825	0.0%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



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Financial Markets

- There was a slight risk-on tone overnight after President Trump said peace talks with Iran are set to resume. Control of the Strait of Hormuz is expected to be a key focus of upcoming negotiations, with Iran stating that it wants to maintain oversight of traffic through the Strait, while US Secretary of State Marco Rubio said that any attempt to impose tolls on ships passing through the waterway would be unacceptable. The prospect of renewed diplomacy helped ease some geopolitical concerns and supported sentiment across financial markets.
- With negotiations back on, major US equity indices rallied, recovering some of last week's sharp losses. The market was led higher by technology stocks, with the Magnificent Seven megacaps rising 2.6%. Sentiment in the tech sector was further supported after Samsung Electronics and SK Hynix announced plans to invest more than US\$500bn in a new semiconductor manufacturing hub in South Korea.
- The S&P 500 climbed 1.2%, while the Dow Jones Industrial Average added 306 points, or 0.6%. The Nasdaq Composite outperformed, rising 2.1% as investors rotated back into growth stocks. Volatility also eased, with the VIX falling 4.1% to 17.65 points.
- European markets were mixed. The Euro Stoxx 50 rose 0.2%, while the FTSE 100 slipped 0.2%. Elsewhere, Asian equities performed well, led by a 1.6% rise in the Hang Seng, while the Nikkei gained 0.2%. Locally, the S&P/ASX 200 rose 0.7% to 8,823, supported by gains across resources and financials. SPI futures were little changed, suggesting a steady start for the local market.
- Moves in bond markets were generally modest. US Treasury yields edged slightly higher across the curve, with the 2-year Treasury yield up 1bp to 4.10% and the 10-year Treasury yield up 1bp to 4.37%. Interest rate futures now price one hike in late 2026 and no change through 2027.
- European bond markets were mixed. German 10-year Bund yields rose 1bp to 2.86%, while UK 10-year gilt yields eased 1bp to 4.72%. In Japan, the 10-year government bond yield rose 2bps to 2.64%.
- Australian government bond yields were little changed on futures. The 3-year government bond yield was unchanged at 4.37% on futures, while the 10-year yield declined 1bp to 4.77%. OIS pricing suggests a terminal cash rate of around 4.47% this year, with the market still not convinced of another hike.
- In foreign exchange markets, the US dollar softened modestly. The DXY fell 0.2% to 101.12, extending its recent pullback. The yen touched its weakest level against the

Today's key data and events

Time	Event	Exp	Prev
9:30	JP Job-to-Applicant May	120.0%	120.0%
9:50	JP Industrial Production May Prel.	0.7%	0.5%
11:00	NZ ANZ Business Confidence Jun	-	10pts
11:30	AU RBA Minutes	-	-
11:30	AU Private Sector Credit May	0.6%	0.7%
11:30	CN Manufacturing PMI Jun	50.1pts	50pts
11:30	CN Non-Manufacturing PMI Jun	49.9pts	50.1pts
16:00	GB GDP Q1 Final	0.6%	0.6%
23:00	US FHFA House Prices Apr	0.2%	0.1%
23:00	US S&P/Cs Home Price Index Apr	-0.1%	-0.2%
23:45	US Chicago PMI Jun	55.4pts	62.7pts
0:00	US Consumer Confidence Jun	94.6pts	93.1pts
0:00	US Jolts Job Openings May	7287.5k	7618k

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

dollar since 1986. The Australian dollar was weaker against most major currencies, falling 0.1% against the US dollar to 0.6886, 0.6% against sterling, 0.4% against the euro and 0.3% against the New Zealand dollar. Against Asian currencies, moves were generally modest, leaving the TWI unchanged at 64.8.

- Commodity markets were mixed. WTI crude oil rose 2.2% to US\$70.75/bbl as traders assessed the prospects of upcoming peace talks between the US and Iran. Industrial commodities were also mixed, with iron ore edging 0.1% higher to US\$98.80/t, while copper declined 0.6%. Coal prices were also stronger, with thermal coal rising 1.8%. In contrast, precious metals weakened, with gold falling 1.8%.

International Data

The EC Economic Confidence Survey showed that confidence in the euro area improved this month, with the headline index rising 1.3pts to 95.0, though it remains well below the levels seen at the beginning of the year. Construction firms reported the lowest confidence levels in almost two years, while businesses in industry and services turned slightly more upbeat in the latest month. The retail sector saw a more substantial improvement, with the relevant index rising by more than 1pt

The Dallas Fed Activity Survey of Texas business executives indicated that business conditions were unchanged in June, with the headline index coming in at zero, very similar to the May's print. The survey highlighted weaker production growth and softer new orders, with both indicators falling to their lowest levels this year. On the inflation front, input cost growth remained very high, while the indicator for product prices also rose significantly, suggesting substantial pass-through.

Local Data

There was no top tier data released yesterday.



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19 June 2026

MAY CPI PREVIEW

Underlying pressures persist

Key points

- We expect May CPI to fall -0.3% mth, which will still see the annual pace lift to 4.4% yr. On a seasonally adjusted basis, we pencil in a modest 0.2% mth rise.
- Transport is expected to again be the main drag due to lower fuel prices, with clothing & footwear also subtracting. This will be partly offset by modest gains in food and housing.
- The monthly trimmed mean is forecast at 0.4% mth, lifting the annual pace to 3.6% yr. Market services excluding volatiles is expected to be flat in the month; excluding both volatiles & holiday travel is expected to rise 0.2% mth.
- Downside risks are centred on timing, with uncertainty over the pace and extent of price adjustments. Some measures suggest pressures moderated in May but remain elevated. The key upside risk is a faster pass-through of higher construction costs.

Breakdown: Jun Quarter CPI & May Monthly CPI

	Jun	Mar	Apr	May
	Qtr fcs	Mth	Mth	Mth fcs
Item	% qtr	% mth	% mth	% mth
Food	1.2	0.7	0.1	0.7
of which, bread & cereals	-0.2	0.3	-0.3	0.1
of which, meat & seafood	1.0	0.5	-0.3	1.2
of which, dairy & related prod.	0.4	0.8	-0.2	0.0
of which, fruit & vegetables	5.9	2.6	0.7	2.9
of which, food products nec	-0.1	0.1	0.2	-0.1
of which, non-alcohol bev.	1.6	1.1	-0.7	1.8
Alcohol & tobacco	0.7	0.8	-0.5	0.2
of which, alcohol	0.4	0.7	-1.0	0.5
of which, tobacco	1.7	1.1	0.7	-0.4
Clothing & footwear	1.8	-1.9	3.9	-1.8
of which, garments	2.1	-2.5	4.8	-1.7
Housing	0.7	0.2	0.2	0.3
of which, rents	0.8	0.2	0.2	0.3
of which, house purchases	1.5	0.5	0.7	0.5
of which, electricity	-0.6	0.0	-0.9	0.0
of which, gas & other fuels	-0.5	0.0	-0.6	0.0
H/hold contents & services	0.8	0.3	-0.3	0.4
Health	2.4	-0.2	2.6	-0.3
Transportation	-0.8	9.2	-2.7	-4.1
of which, auto fuel	-2.4	32.8	-7.0	-14.5
Communication	0.4	0.5	0.4	-0.5
Recreation	2.1	-0.7	2.6	0.0
of which, holiday travel	3.9	-1.4	5.5	-0.9
Education	0.5	0.0	0.0	0.0
Financial & insurance services	1.0	0.8	0.1	0.2
CPI: All groups	1.0	1.1	0.4	-0.3

Sources: ABS, Westpac Banking Corporation

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Abstracting from the noise



Neha Sharma
Economist

Underlying inflation firmed in April ...

In April, the monthly CPI undershot expectations, with headline inflation easing to 4.2%yr. However, underlying inflation remained firm, with trimmed mean rising to 3.4%yr from 3.3%yr in March.

The release provided a read on pass-through from the Middle East energy shock beyond automotive fuel, and while there were emerging signs of cost pressures feeding into housing and some services, the extent of pass-through across the broader CPI basket was more limited than we had anticipated. This largely reflected policy measures, which have helped dampen the initial impact.

In May, most of the focus will again be on evidence of second-round effects from higher oil prices and energy-intensive goods. While details since the April CPI release show some moderation in cost pressures, levels remain elevated. Purchase cost growth is still 1.4ppts above its long-run average, with selling price growth also sitting above its respective level (see [here](#)). The RBA also noted in its post-meeting statement on Tuesday that some firms are already passing through higher costs, with others signalling an intention to do so (presumably based on insights from its liaison program).

... and should continue to strengthen in May

We expect the May monthly CPI to decline -0.3%mt. With a -0.5%mt fall dropping out of the annual comparison, year-ended inflation lifts to 4.4%yr. May is typically a seasonally soft month; on a seasonally adjusted basis, we expect CPI to rise by 0.2%mt.

The main detractor in the month is transport (-0.4ppts), largely reflecting lower automotive fuel prices. Clothing & footwear is also expected to subtract around -0.1ppt. These are partly offset by modest contributions from food and housing, each adding around 0.1ppt to the monthly outcome.

We estimate trimmed mean inflation to rise 0.4%mt, taking the annual pace to 3.6%yr from 3.4%yr in April.

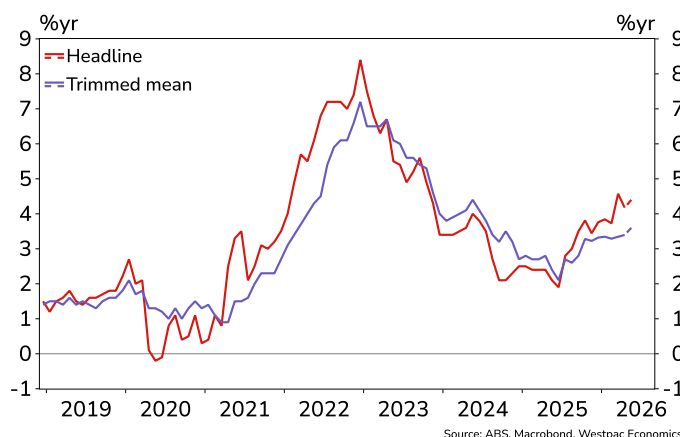
On other underlying measures, market services excluding volatiles is expected to be flat in the month; excluding both volatiles & holiday travel is expected to rise 0.2%mt.

Breakdown Monthly CPI Indicator

	Feb	Mar	Apr	May
	Mth	Mth	Mth	Mth fcs
Item	%yr	%yr	%yr	%yr
Food	3.1	3.1	2.8	3.4
of which, bread & cereals	1.0	0.6	0.7	1.4
of which, meat & seafood	4.5	4.8	5.0	5.4
of which, dairy prod.	2.7	2.5	2.3	2.8
of which, fruit & vegetables	1.9	1.8	0.1	3.8
of which, food products	3.1	2.9	2.2	2.4
of which, non-alcohol bev.	2.0	2.2	2.0	1.8
Alcohol & tobacco	4.3	4.4	4.3	4.0
of which, alcohol	1.4	1.7	1.6	1.4
of which, tobacco	11.5	11.2	10.7	10.5
Clothing & footwear	5.0	7.1	5.9	6.1
of which, garments	3.2	4.3	3.1	3.7
Housing	7.2	6.5	6.3	6.3
of which, rents	3.8	3.7	3.5	3.4
of which, house purchases	3.7	4.5	4.7	5.1
of which, electricity	37.0	25.4	22.5	20.0
of which, gas & other fuels	5.5	5.7	5.7	8.2
H/hold contents & services	1.3	1.4	1.2	2.0
Health	3.2	3.0	4.0	4.0
Transportation	-0.2	8.9	6.6	3.1
of which, auto fuel	-7.2	24.2	18.6	4.5
Communication	0.8	1.4	1.5	1.4
Recreation	4.1	2.8	2.5	5.6
of which, holiday travel	5.3	2.2	1.7	8.5
Education	4.8	4.8	4.8	4.8
Financial & insurance	2.4	2.8	3.0	3.3
CPI: All groups	3.7	4.6	4.2	4.4

Sources: ABS, Westpac Banking Corporation

Inflation with forecasts



Key details

Food prices are expected to lift 0.7%*mt*, driven primarily by a 2.9%*mt* rebound in fruit and vegetables following unexpected softness last month. The Bureau of Meteorology has now confirmed an El Niño event. El Niño's effect on food prices has historically been mixed but combined with higher fertiliser costs we think there could be larger disruptions to agricultural output and hence greater upside pressure to food prices later this year and into next year.

Transport prices are expected to fall -4.1%*mt* in May, reflecting a -14.5%*mt* decline in automotive fuel. Retail petrol and diesel prices continued to ease in the month, averaging \$1.84/l and \$2.35/l, respectively. The fuel excise cut remains in place until end-June, and we expect its expiry to be fully reflected in prices by around the third week of July.

There are ongoing discussions around a potential three-month extension of the fuel excise cut. If implemented – and matched by state government contributions – this would present downside risk to our Q3 inflation forecasts. We estimate this extension would subtract around 0.5ppts from headline inflation in Q3. The direct impact on trimmed mean would be negligible, but it could dampen second-round effects, leading to trimmed mean coming in lower than projected. Even so, it would remain elevated and well above the RBA's target band.

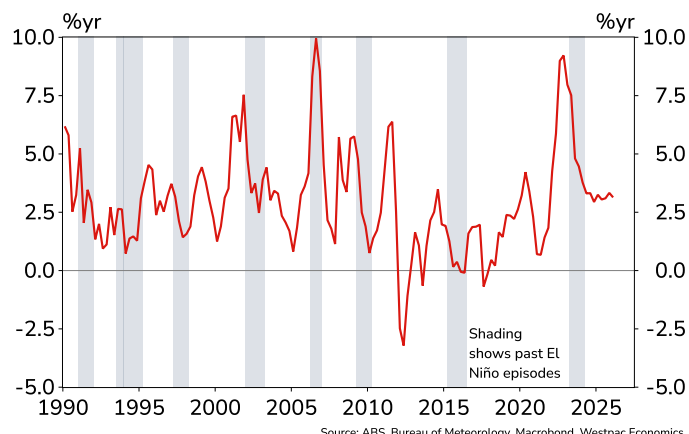
Housing is expected to rise 0.3%*mt*.

- Rents are expected to increase 0.3%*mt*. This is a pick-up from the 0.2%*mt* pace seen over the prior two months, which were dampened by an increase in the Commonwealth Rent Assistance. This will lift annual rent inflation to 3.4%*yr*.
- New dwelling purchase costs are expected to rise 0.5%*mt*, after recording a more than two-year high result of 0.7%*mt* in April. This would take year-ended inflation to 5.1%*yr* – the highest since August 2024.
- Construction cost measures such as the Tradelink price change notification data show a reasonable explanatory relationship with new dwelling costs once short-term volatility and broader housing market conditions are allowed for. This suggests recent increases in price notifications will continue to put upward pressure on new dwelling inflation in the months ahead. The build-out of data centres is also increasing competition for labour and materials, which could add to cost pressures over the coming year.

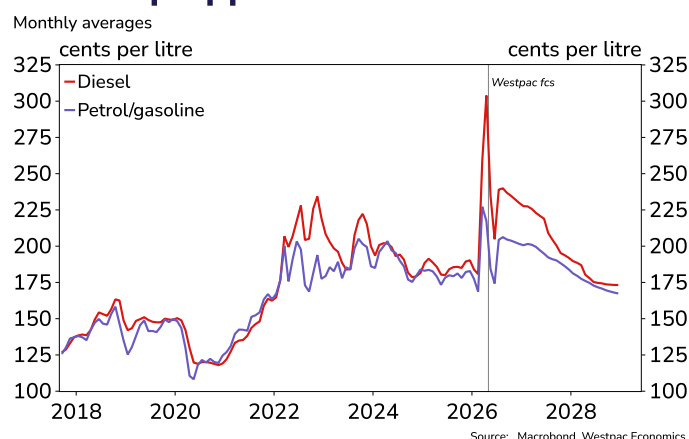
Holiday travel is expected to decline -0.9%*mt*. May is a seasonally weak month, particularly for domestic travel.

Insurance & financial services are expected to rise by 0.2%*mt* in May. This is led by a 0.6%*mt* rise in insurance. We expect insurance premiums to gradually lift into year-end as repair and replacement costs for dwellings and motor vehicles rise.

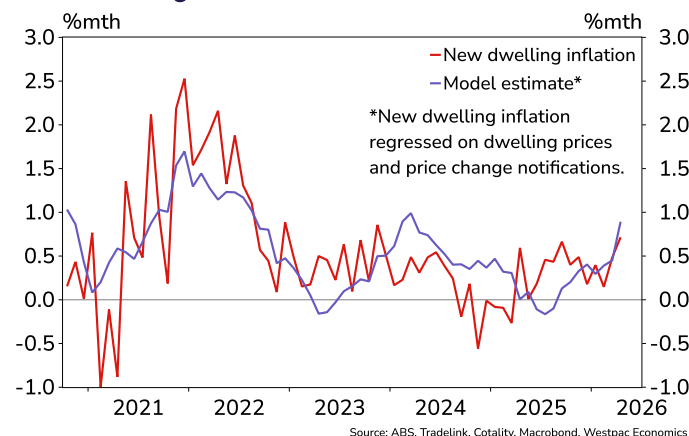
Food inflation



Australian pump prices for auto fuel



New dwelling inflation



Risks to May baseline

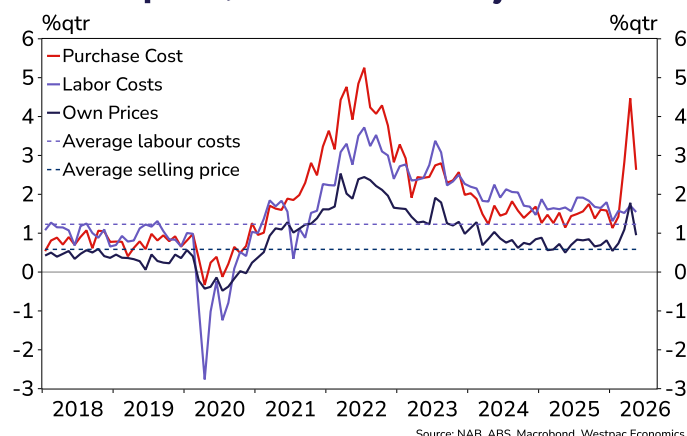
The key risk to the May profile is delayed pass-through, with second-round effects slower-than-expected due to both policy dampening and lags in how price changes feed into the CPI (e.g. lags for holiday travel are around one month for domestic travel and two months for international). Firms may also absorb a larger share of increases, given the softening we have seen in non-fuel consumer spending (see [here](#)) and sentiment stuck in deep pessimism territory (see [here](#)).

On the upside, new dwelling purchase inflation could turn out stronger than our forecast. Average value of price changes among trade suppliers picked-up in May (17% vs 16% in April) and this could flow through more quickly and strongly than we have accounted for.

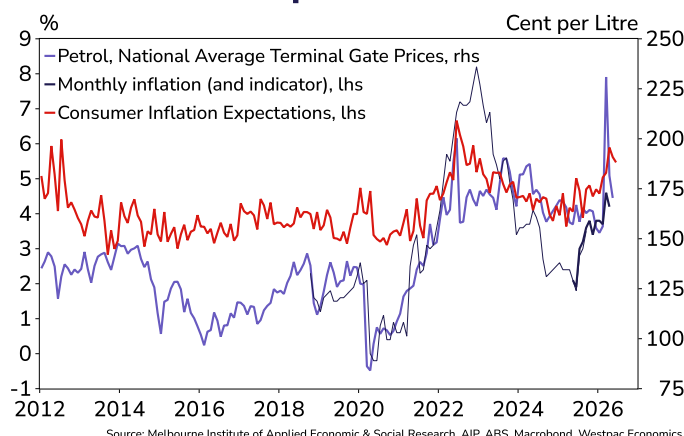
Quarterly profile

We released our updated forecasts following revisions to our baseline oil price scenario in last week's June *Market Outlook* (see [here](#)). Minor rounding impacts have since lifted our Q2 year-ended trimmed mean forecast to 3.8%yr (3.74%yr to 3.78%yr), with the quarterly estimate unchanged at 1.0%qtr. The remainder of the profile is unchanged, with trimmed-mean inflation still expected to peak in Q3 this year. For further details discussing the revisions see [here](#).

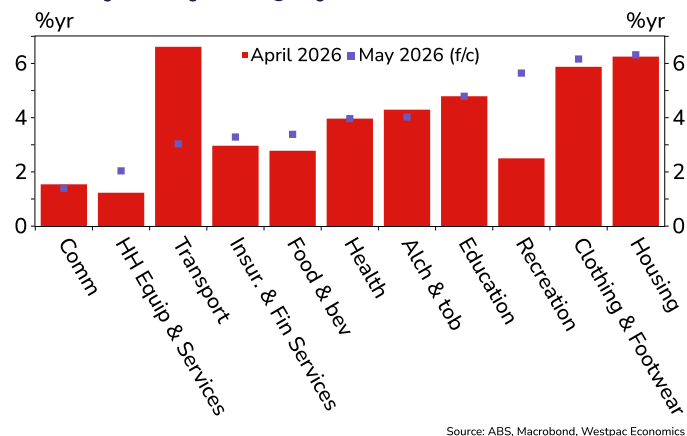
Costs and prices, NAB Business Survey



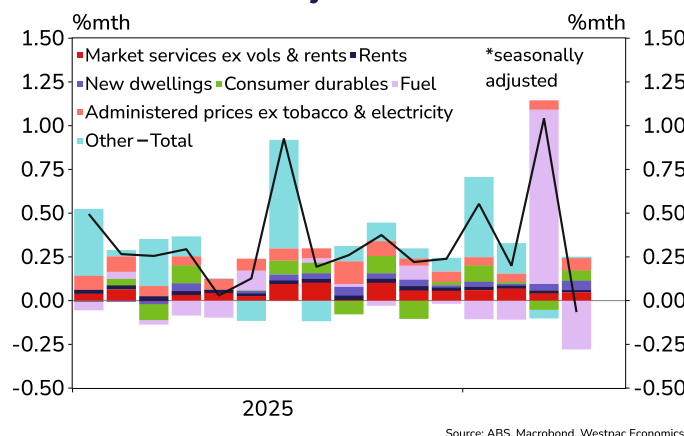
Consumer inflation expectations



Monthly CPI by category



Contribution to monthly CPI inflation





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30 June 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

There was a risk-on tone overnight as peace talks over the Strait of Hormuz are set to continue, with both the US and Iran agreeing to halt the attacks seen over the weekend.

US equities rallied, reversing some of last week's sharp sell-off. Tech stocks led the market higher, with the Mag Seven index climbing more than 2.5%. European equities were mixed, while Asian markets were generally higher.

Bond markets were little changed, while the US dollar index slipped. The yen touched its weakest level against the dollar since 1986. The Aussie was slightly lower, trading at 0.6886 against the greenback, while the TWI was broadly unchanged.

Commodity markets were mixed, with oil jumping higher despite the prospect of peace talks. Iron ore also edged higher.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.8	0.0%
AUD/USD	0.6886	-0.1%
AUD/JPY	111.49	0.0%
AUD/GBP	0.5195	-0.6%
AUD/NZD	1.2178	-0.3%
AUD/EUR	0.6027	-0.4%
AUD/CNH	4.6819	-0.2%
AUD/SGD	0.8901	-0.2%
AUD/HKD	5.3995	-0.1%
AUD/CAD	0.9785	0.0%
EUR/USD	1.1426	0.3%
USD/JPY	161.92	0.1%
USD Index	101.12	-0.2%

Equities	Close	Change
S&P/ASX 200	8,823	0.7%
S&P 500	7,440	1.2%
Japan Nikkei	69,468	0.2%
Hang Seng	23,027	1.6%
Euro Stoxx 50	6,232	0.2%
UK FTSE100	10,484	-0.2%
VIX Index	17.65	-4.1%

Commodities	Current	Change
CRB Index	351.31	-0.3%
Gold	4015.33	-1.8%
Copper	13278	-0.6%
Oil (WTI futures)	70.75	2.2%
Coal (coking)	243.17	0.0%
Coal (thermal)	127.45	1.8%
Iron Ore	98.80	0.1%
ACCU	36.13	-4.3%

AUS Interest Rate Swaps	p	Change
30 day BBSY	4.34	-0.01
90 day BBSY	4.51	0.00
180 day BBSY	4.86	0.00
1 year swap	4.50	0.00
2 year swap	4.42	0.00
3 year swap	4.36	0.00
4 year swap	4.35	0.00
5 year swap	4.38	-0.01
6 year swap	4.42	-0.01
7 year swap	4.47	-0.01
8 year swap	4.52	-0.01
9 year swap	4.57	-0.02
10 year swap	4.61	-0.01

Government Bond Yields	Close	Change
Australia		
3 year bond	4.39	0.03
10 year bond	4.75	0.03
United States		
3-month T Bill	3.68	0.01
2 year bond	4.10	0.01
10 year bond	4.37	0.01
Other (10 year yields)		
Germany	2.86	0.01
Japan	2.64	0.02
UK	4.72	-0.01

Sydney Futures Exchange	Current	Change
10 yr bond	4.77	-0.01
3 yr bond	4.37	0.00
3 mth bill rate	4.51	0.00
SPI 200	8,825	0.0%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



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Financial Markets

- There was a slight risk-on tone overnight after President Trump said peace talks with Iran are set to resume. Control of the Strait of Hormuz is expected to be a key focus of upcoming negotiations, with Iran stating that it wants to maintain oversight of traffic through the Strait, while US Secretary of State Marco Rubio said that any attempt to impose tolls on ships passing through the waterway would be unacceptable. The prospect of renewed diplomacy helped ease some geopolitical concerns and supported sentiment across financial markets.
- With negotiations back on, major US equity indices rallied, recovering some of last week's sharp losses. The market was led higher by technology stocks, with the Magnificent Seven megacaps rising 2.6%. Sentiment in the tech sector was further supported after Samsung Electronics and SK Hynix announced plans to invest more than US\$500bn in a new semiconductor manufacturing hub in South Korea.
- The S&P 500 climbed 1.2%, while the Dow Jones Industrial Average added 306 points, or 0.6%. The Nasdaq Composite outperformed, rising 2.1% as investors rotated back into growth stocks. Volatility also eased, with the VIX falling 4.1% to 17.65 points.
- European markets were mixed. The Euro Stoxx 50 rose 0.2%, while the FTSE 100 slipped 0.2%. Elsewhere, Asian equities performed well, led by a 1.6% rise in the Hang Seng, while the Nikkei gained 0.2%. Locally, the S&P/ASX 200 rose 0.7% to 8,823, supported by gains across resources and financials. SPI futures were little changed, suggesting a steady start for the local market.
- Moves in bond markets were generally modest. US Treasury yields edged slightly higher across the curve, with the 2-year Treasury yield up 1bp to 4.10% and the 10-year Treasury yield up 1bp to 4.37%. Interest rate futures now price one hike in late 2026 and no change through 2027.
- European bond markets were mixed. German 10-year Bund yields rose 1bp to 2.86%, while UK 10-year gilt yields eased 1bp to 4.72%. In Japan, the 10-year government bond yield rose 2bps to 2.64%.
- Australian government bond yields were little changed on futures. The 3-year government bond yield was unchanged at 4.37% on futures, while the 10-year yield declined 1bp to 4.77%. OIS pricing suggests a terminal cash rate of around 4.47% this year, with the market still not convinced of another hike.
- In foreign exchange markets, the US dollar softened modestly. The DXY fell 0.2% to 101.12, extending its recent pullback. The yen touched its weakest level against the

Today's key data and events

Time	Event	Exp	Prev
9:30	JP Job-to-Applicant May	120.0%	120.0%
9:50	JP Industrial Production May Prel.	0.7%	0.5%
11:00	NZ ANZ Business Confidence Jun	-	10pts
11:30	AU RBA Minutes	-	-
11:30	AU Private Sector Credit May	0.6%	0.7%
11:30	CN Manufacturing PMI Jun	50.1pts	50pts
11:30	CN Non-Manufacturing PMI Jun	49.9pts	50.1pts
16:00	GB GDP Q1 Final	0.6%	0.6%
23:00	US FHFA House Prices Apr	0.2%	0.1%
23:00	US S&P/Cs Home Price Index Apr	-0.1%	-0.2%
23:45	US Chicago PMI Jun	55.4pts	62.7pts
0:00	US Consumer Confidence Jun	94.6pts	93.1pts
0:00	US Jolts Job Openings May	7287.5k	7618k

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

dollar since 1986. The Australian dollar was weaker against most major currencies, falling 0.1% against the US dollar to 0.6886, 0.6% against sterling, 0.4% against the euro and 0.3% against the New Zealand dollar. Against Asian currencies, moves were generally modest, leaving the TWI unchanged at 64.8.

- Commodity markets were mixed. WTI crude oil rose 2.2% to US\$70.75/bbl as traders assessed the prospects of upcoming peace talks between the US and Iran. Industrial commodities were also mixed, with iron ore edging 0.1% higher to US\$98.80/t, while copper declined 0.6%. Coal prices were also stronger, with thermal coal rising 1.8%. In contrast, precious metals weakened, with gold falling 1.8%.

International Data

The EC Economic Confidence Survey showed that confidence in the euro area improved this month, with the headline index rising 1.3pts to 95.0, though it remains well below the levels seen at the beginning of the year. Construction firms reported the lowest confidence levels in almost two years, while businesses in industry and services turned slightly more upbeat in the latest month. The retail sector saw a more substantial improvement, with the relevant index rising by more than 1pt

The Dallas Fed Activity Survey of Texas business executives indicated that business conditions were unchanged in June, with the headline index coming in at zero, very similar to the May's print. The survey highlighted weaker production growth and softer new orders, with both indicators falling to their lowest levels this year. On the inflation front, input cost growth remained very high, while the indicator for product prices also rose significantly, suggesting substantial pass-through.

Local Data

There was no top tier data released yesterday.



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17 June 2026

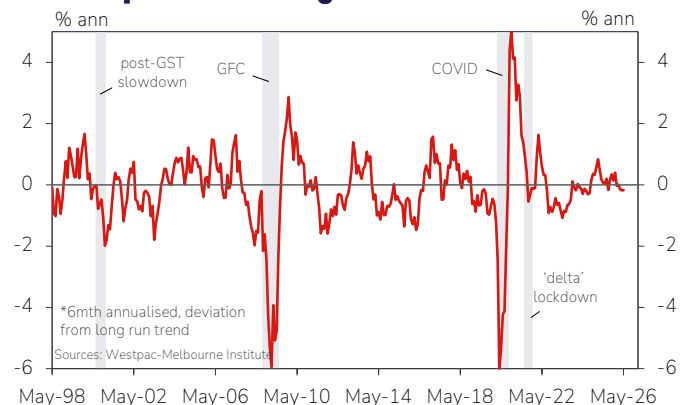
WESTPAC-MI LEADING INDEX BULLETIN

Latest insights into economic momentum

Key points

- Leading Index growth rate remains weak at -0.17% .
- Sluggish momentum carrying into the second half of 2026.
- Most components contributing to the weaker tone since late last year.

Westpac-MI Leading Index



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Leading Index points to sluggish, below-trend growth



Matthew Hassan
Head of Australian Macro-Forecasting

The six-month annualised growth rate in the Westpac–Melbourne Institute Leading Index, which indicates the likely pace of economic activity relative to trend three to nine months into the future, ticked up slightly to -0.17% in May from -0.18% in April.

The Australian economy is showing clearer signs of a loss of momentum. The March quarter national accounts revealed a clear softening in activity with demand near flat outside of a pick-up in data centre related investment. The May Leading Index shows this sluggish, below-trend growth momentum is likely to continue through the second half of 2026 and into early 2027. While the growth pulse is still not overly weak, it's likely to take some time yet before the full negative impacts from higher interest rates and the spike in fuel costs become apparent.

The last six months have seen the Leading Index growth rate swing from a solid positive $+0.40\%$ in December to a decidedly sluggish -0.18% . The deterioration has been fairly broad-based with five of the eight components contributing to the slowdown.

The main weakness has come from: a narrowing yield gap, mainly stemming from the RBA's cash rate rises (accounting for -0.25 pts of the slowdown); and a slump in the forward-looking components of consumer sentiment, the Westpac–Melbourne Institute Consumer Expectations Index down nearly 15% (taking a further -0.18 pts off the headline growth rate). This has combined with a flattening out in monthly dwelling approvals (-0.14 pts); stalling commodity prices in AUD terms (-0.12 pts); and a softening in consumer expectations for the labour market, the Westpac–Melbourne Institute Unemployment Expectations Index down 10% (taking another -0.12 pts off headline growth). The contribution from the S&P/ASX200 has remained broadly unchanged at flat, reflecting the decided mixed performance of the Australian sharemarket since the start of the year.

This combined drag of 0.81pts has been partially offset by a lift in US industrial production (adding $+0.15$ pts) and some firming in total hours worked ($+0.09$ pts).

The Westpac–Melbourne Institute Leading Index of Economic Activity is designed to assist in identifying turning points in the economy. The index combines variables that reflect different aspects of the economy into a single index that generally produces a more reliable cyclical indicator than any single component taken individually. The Leading Index of Economic Activity provides advance information on the state of the economy and gives early warnings of cyclical turning points.

The Reserve Bank Monetary Policy Board next meets on August 10–11. The Board opted to pause at its mid-June meeting in order to assess the impact of previous rate increases and the energy price shock. However, the Governor clearly warned that inflation risks were still tilted to the upside and the Board was prepared to raise rates again if required. The latest Leading Index update suggests growth momentum remains sluggish. However, the Bank's more pressing concerns are clearly still around inflation. We expect CPI updates in coming months to be uncomfortably high for the RBA with further rate hikes in subsequent meetings as a result.



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16 June 2026

MIDDLE EAST SCENARIOS BULLETIN

Deal reached but risks remain two side

Key points

- A US-Iran deal has been agreed, extending the ceasefire and opening the door to the reopening of the Strait of Hormuz. If upheld, it will see shipping increase. However, we still expect the recovery in shipping and Gulf production to take time and, as temporary buffers fade, current price optimism to unwind, leading to higher prices and more volatility ahead. We forecast Brent to average US\$87 in Q4 2026, gradually easing to an average US\$68/bbl in Q4 2027.
- We see two sided risks around what the reopening of Hormuz will mean in practice for shipping, production and prices. In the benign scenario, to which we attach greater probability, a faster normalisation sees prices return toward US\$60/bbl by end-2027.
- While petrol prices rise in Q3 as the fuel excise tax is reimposed, prices then ease falling back below \$2.00/l in early 2027 with diesel prices down below this level by H2 2027. Headline inflation falls but the impact on Trimmed Mean inflation is modest given existing cost pass through already in the pipeline to businesses and consumers. For New Zealand, a sharper fall in headline and core inflation provides a stronger boost to economic activity.
- In an adverse scenario, constrained shipping and prolonged supply disruption see oil prices rise above US\$155/bbl this year and remain above US\$100/bbl into end-2027
- This drives diesel and petrol prices to around \$3.07/l and \$2.68/l by year end and with a broader lift in prices globally, Australian headline inflation lifts to nearly 6%yr in Q4 and economic activity takes a significant hit. The impact on New Zealand is more pronounced.

Strait of Hormuz reopens but path to normal uncertain



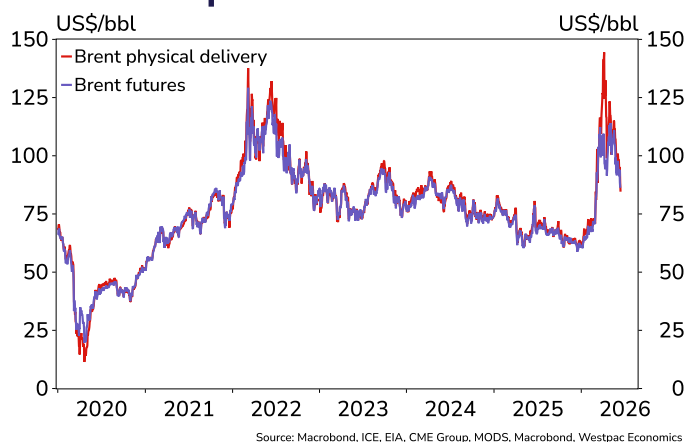
Sian Fenner

Head of Business & Industry Economics

A deal between the US and Iran was finally agreed on the 15th June. This follows months of repeated claims that a deal was imminent, following the 8th April ceasefire, and intermittent US–Iran and Israel–Iran clashes. Assuming the deal holds, it will be the first step in reaching a longer-term permanent agreement and unwinding the energy shock. It extends the ceasefire by 60 days and is set to see the reopening of the Strait of Hormuz, which has been closed for around 15 weeks.

As we anticipated would occur following a deal, oil prices sold off sharply on the news. Brent has fallen to around \$83/bbl, down sharply from \$141/bbl price for Dated Brent recorded in March. A deal reduces the ‘war risk premium’, and if upheld, will see shipping recover, as it reportedly already has, reinforcing downward pressure on prices.

Brent Crude oil price

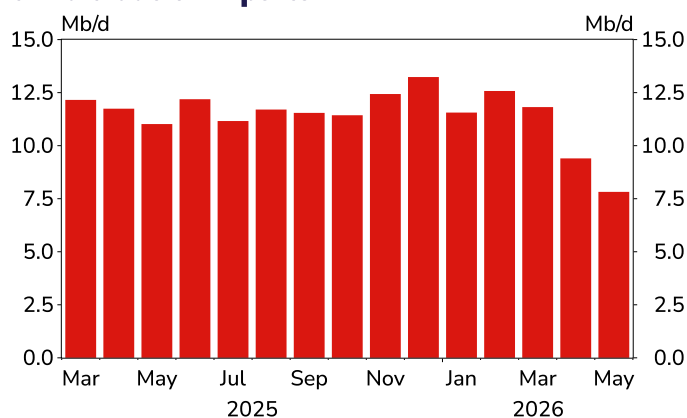


However, as detailed in the [June Market Outlook \(13th June\)](#), we expect this optimism to be pared back, with prices to push higher as it becomes evident that the return of Gulf oil production will still take time. Even if shipowners’ fears over security are allayed, with assurances around attacks or mines, vessels still need to be repositioned back to the Strait and contracts realigned. Insurance costs are therefore likely to remain elevated.

Oil fields will also need to be restarted after weeks of shut-ins driven by storage constraints. The pace depends on shipping flows and how quickly storage is freed up. Only then can production be brought back online, and even then reservoir pressure will take time to rebuild. Any damage to refining, export and storage infrastructure will also need to be repaired before Gulf production is fully restored.

At the same time, temporary buffers, cushioning the supply shock such as record US exports and very weak Chinese demand, will fade with inventories likely to continue to fall or remain close to critical levels in coming months.

China Crude Oil Imports



As such, our base case still sees only a gradual normalisation in shipping through the Strait of Hormuz, with flows not returning to pre-conflict levels until mid-2027. At the same time, the conflict has highlighted the vulnerability of countries, particularly across Asia, and we expect a policy-driven push to rebuild reserves. As a result, while moderating, we forecast oil prices to remain above pre-conflict levels until late-2027. We expect spot prices to average US\$85/bbl in Q4 2026, before easing to US\$68/bbl in Q4 2027.

That said, much will depend on the durability of the US–Iran deal. As it stands, this is only a Memorandum of Understanding (MOU), allowing for the Strait to reopen while negotiations continue over the next 60 days towards a more permanent agreement.

The MOU reportedly includes the release of frozen assets, with the UAE having already unlocked \$10 billion, and an easing in stages as conditions are met. However, key sticking points that have held back the reopening of the Strait remain, including Iran’s nuclear enrichment. Israel has also not achieved its initial objectives. This was underscored by strikes on Lebanon just hours before the deal, and it has warned that hostilities with Iran would resume if it responds to any clashes with Lebanon.

As such, the deal could still be tested and prone to flare ups in conflict. There are also two-sided risks around what the reopening of Hormuz means in practice for shipping and production, even with a deal in place.

Using the Oxford Economics model, we assess a benign scenario where there is a faster normalisation in transit through the Strait and a quicker return of Gulf production this year, bringing energy prices back more swiftly to pre-conflict levels and lowering global inflation.

We also consider an adverse scenario, where the deal is tested and flare ups in the conflict persist. In this case, shipping through the Strait remains constrained, extending the energy supply shock well into 2027, with oil prices rising above US\$155/bbl this year and remaining above US\$100/bbl into end-2027.

Benign scenario: Faster rebound in supply

In the benign scenario we assume:

A faster normalisation of shipping and energy supply: The US–Iran deal proves durable, with constructive progress towards a more permanent agreement. While it still takes time for vessels to be rerouted, transits through the Strait resume more quickly than in the baseline, lifting to around 70 to 80% by the end of Q3.

The faster resumption of shipping eases storage constraints and supports a quicker recovery in Gulf production, with limited downtime as facilities are restarted. This is reinforced by higher non-OPEC supply, with the UAE boosting production above pre-conflict projections given it is no longer constrained by OPEC quotas.

At the same time, demand does not fully revert to pre-conflict levels, as some demand destruction and efficiency gains prove persistent, particularly in China. As such, underlying demand settles below the pre-conflict trend.

The combination of these demand and supply dynamics drives a faster rebuild in inventories. By year-end, inventories return to more comfortable levels, easing tightness in physical markets.

Short-term floor in prices gives way to a faster return toward pre-conflict: Markets reprice quickly on a credible reopening, with Brent falling sharply as risk premia unwinds. In the near term, prices find a floor around US\$80/bbl in Q3, reflecting ongoing shipping and insurance frictions alongside inventories still need to be rebuilt.

As stocks rise and the supply–demand balance improves, prices move below the baseline by end-2026 to an average US\$75/bbl. With inventories in a stronger position, government replenishment is smaller and more gradual than in the baseline, reinforcing a softer price profile through 2027. By end-2027, Brent is back around US\$60/bbl, broadly in line with pre-conflict levels.

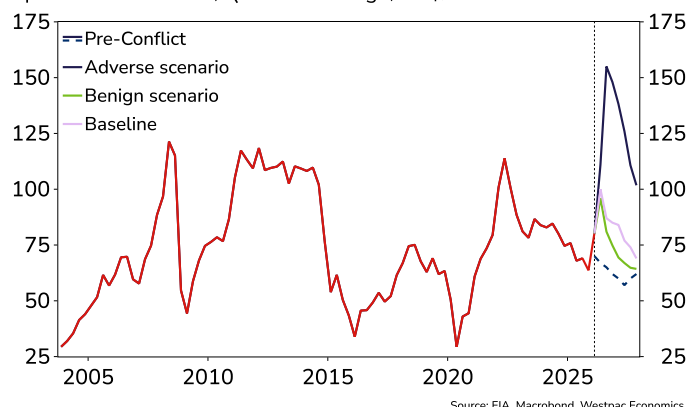
The easing in refined product prices is more gradual and occurs with a lag. However, as supply improves and margins compress, the gap between crude and middle distillates narrows. Petrol prices still rise in Q3 as the fuel excise tax is reimposed, before easing below \$2.00/l in early 2027, with diesel following by H2 2027.

Gas prices are also lower. Asian LNG benchmarks fall to around \$15/MMBtu by end-2026 and US\$12/MMBtu by end-2027, as the end to the conflict sees an acceleration in

LNG flows, alongside higher oil supply lifting associated gas output and improving overall availability.

Oil Price Scenarios

Spot Brent Crude Oil, Quarter-Average, US\$/bbl



Economic impact

Lower energy prices see Australian headline inflation around 0.5ppt lower, at around 4.2% y/y by Q4 2026. While other commodity prices are also softer, the impact on the RBA's preferred Trimmed Mean inflation measure is more modest, given existing cost pass through already in the pipeline to businesses and consumers. With interest rates still elevated, the near-term lift to consumer spending and activity is limited in the short-term.

For New Zealand, a sharper fall in headline and core inflation, provides a stronger boost to economic activity with economic growth around 0.2ppt higher in Q4 2026 on a year-ended basis.

Adverse scenario: Deal tested, disruption persists

In the adverse scenario we assume:

Shipping through the Strait remains constrained: The gap between the parties remains too wide, keeping a durable and credible truce out of reach. This sees the deal repeatedly tested, with flare-ups in conflict. Israel's objective of Iran's complete nuclear disarmament and an end to its support for Hezbollah falls short and sees ongoing intermittent, short-lived attacks on Iran and Lebanon. While contained, these episodes add volatility and further complicate the path to de-escalation.

Prolonged production and supply shortfalls: Shipping through the Strait edges higher, with more vessels opting to go dark. Nonetheless, traffic remains only around 30 to 40% of pre-conflict levels or around 3 to 4.5 mb of Gulf crude oil supply, assuming 7mb/d of the 18mb/d that typically transits the Strait continues to be re-routed through pipelines. It also takes a further 6 months compared to our baseline before shipping is back to normal.

We do not assume a renewed escalation in military targets on energy or port infrastructure. However, the recovery in Gulf production is slower compared to our base case, as the prolonged period of shut ins in the Gulf is assumed to have caused some damage to oil well infrastructure.

Meanwhile, the buffer from higher non-OPEC supply and a sharp pull back in demand fades. Notably, US exports fall from current record levels of around 6.9mbd, back and even below the average 3.9mbd recorded in 2025 as US commercial stocks and Strategic Reserves fall to critical levels. Chinese import demand also increases as their own domestic inventories decline.

This more prolonged stalemate also sees a longer-lasting loss of LNG exports given damage that the world's largest LNG export terminal, Ras Laffan in Qatar, has already sustained.

Oil prices lift to an average US\$155p/b in Q3

As supply tightens, competition for available barrels intensifies. Brent lifts sharply, averaging around \$155/bbl in Q3, above the 150/bbl peak in 2008. While ongoing negotiations between the US and Iran see shipping increase gradually over the rest of this year, prices unwind more slowly.

By end-2026, Brent is still around \$148/bbl, around \$60 above our baseline. Moreover, it remains higher through 2027 as the sharp drawdown in inventories in 2026 brings forward demand from governments to rebuild strategic reserves. This adds a further layer of support to prices.

The prices of refined oil products like jet fuel and diesel, which have already seen larger spikes than crude oil prices, ratchet higher, amplifying the economic hit to activity, particularly for transport, aviation and other energy intensive industries such as agriculture and manufacturing. In Australia, diesel and petrol prices average around \$3.07/l and \$2.68/l by year-end, or 75cents and 65cents higher than in our basecase.

Gas markets also reprice higher with Asian LNG benchmarks reaching around \$28/MMBtu in Q3 as fuel switching and competition for cargoes intensify.

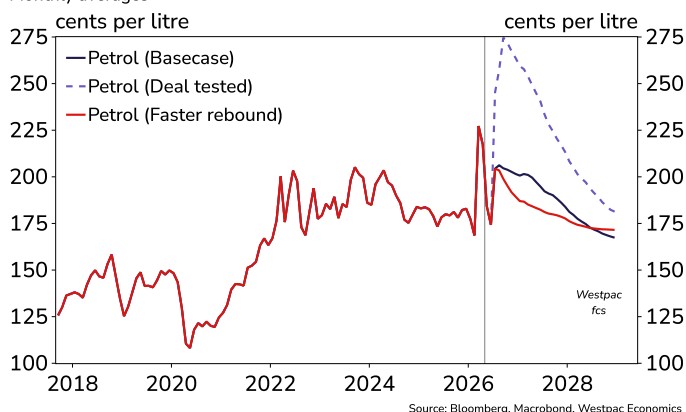
also remains sticky at around 3.4% for most of 2027. The RBA faces a difficult trade-off of managing much higher inflation at a time when economic activity takes a significant hit.

In this scenario the Australian economy records several quarters of negative growth as higher inflation and interest rates further erode household disposable income and households pull back from spending on discretionary goods and services. Businesses defer or cancel new investments amid higher cost pressures, elevated interest rates and weaker demand. Weaker global growth across Australia's major trading partner economies also weighs on export growth, outside of LNG exports.

For New Zealand, the impact is more pronounced. Food and energy account for a larger share of the CPI basket, and the economy does not benefit from offsetting energy exports as in Australia. Headline inflation is around 1.5ppt higher relative to the baseline by end 2026 and economic growth is 0.8pt lower in Q4 2026 on a year ago basis, while the economy contracts in H2.

Australia petrol price

Monthly averages



Economic impact

Higher oil prices lift petrol and diesel prices and raise production and transport costs globally. Energy intensive goods such as plastics and fertilisers also rise further pushing up food and other prices. This drives Australian inflation to nearly 6% in Q4, albeit still lower than its 2022 peak. Underlying inflation



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30 June 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

There was a risk-on tone overnight as peace talks over the Strait of Hormuz are set to continue, with both the US and Iran agreeing to halt the attacks seen over the weekend.

US equities rallied, reversing some of last week's sharp sell-off. Tech stocks led the market higher, with the Mag Seven index climbing more than 2.5%. European equities were mixed, while Asian markets were generally higher.

Bond markets were little changed, while the US dollar index slipped. The yen touched its weakest level against the dollar since 1986. The Aussie was slightly lower, trading at 0.6886 against the greenback, while the TWI was broadly unchanged.

Commodity markets were mixed, with oil jumping higher despite the prospect of peace talks. Iron ore also edged higher.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.8	0.0%
AUD/USD	0.6886	-0.1%
AUD/JPY	111.49	0.0%
AUD/GBP	0.5195	-0.6%
AUD/NZD	1.2178	-0.3%
AUD/EUR	0.6027	-0.4%
AUD/CNH	4.6819	-0.2%
AUD/SGD	0.8901	-0.2%
AUD/HKD	5.3995	-0.1%
AUD/CAD	0.9785	0.0%
EUR/USD	1.1426	0.3%
USD/JPY	161.92	0.1%
USD Index	101.12	-0.2%

Equities	Close	Change
S&P/ASX 200	8,823	0.7%
S&P 500	7,440	1.2%
Japan Nikkei	69,468	0.2%
Hang Seng	23,027	1.6%
Euro Stoxx 50	6,232	0.2%
UK FTSE100	10,484	-0.2%
VIX Index	17.65	-4.1%

Commodities	Current	Change
CRB Index	351.31	-0.3%
Gold	4015.33	-1.8%
Copper	13278	-0.6%
Oil (WTI futures)	70.75	2.2%
Coal (coking)	243.17	0.0%
Coal (thermal)	127.45	1.8%
Iron Ore	98.80	0.1%
ACCU	36.13	-4.3%

AUS Interest Rate Swaps	p	Change
30 day BBSY	4.34	-0.01
90 day BBSY	4.51	0.00
180 day BBSY	4.86	0.00
1 year swap	4.50	0.00
2 year swap	4.42	0.00
3 year swap	4.36	0.00
4 year swap	4.35	0.00
5 year swap	4.38	-0.01
6 year swap	4.42	-0.01
7 year swap	4.47	-0.01
8 year swap	4.52	-0.01
9 year swap	4.57	-0.02
10 year swap	4.61	-0.01

Government Bond Yields	Close	Change
Australia		
3 year bond	4.39	0.03
10 year bond	4.75	0.03
United States		
3-month T Bill	3.68	0.01
2 year bond	4.10	0.01
10 year bond	4.37	0.01
Other (10 year yields)		
Germany	2.86	0.01
Japan	2.64	0.02
UK	4.72	-0.01

Sydney Futures Exchange	Current	Change
10 yr bond	4.77	-0.01
3 yr bond	4.37	0.00
3 mth bill rate	4.51	0.00
SPI 200	8,825	0.0%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



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Financial Markets

- There was a slight risk-on tone overnight after President Trump said peace talks with Iran are set to resume. Control of the Strait of Hormuz is expected to be a key focus of upcoming negotiations, with Iran stating that it wants to maintain oversight of traffic through the Strait, while US Secretary of State Marco Rubio said that any attempt to impose tolls on ships passing through the waterway would be unacceptable. The prospect of renewed diplomacy helped ease some geopolitical concerns and supported sentiment across financial markets.
- With negotiations back on, major US equity indices rallied, recovering some of last week's sharp losses. The market was led higher by technology stocks, with the Magnificent Seven megacaps rising 2.6%. Sentiment in the tech sector was further supported after Samsung Electronics and SK Hynix announced plans to invest more than US\$500bn in a new semiconductor manufacturing hub in South Korea.
- The S&P 500 climbed 1.2%, while the Dow Jones Industrial Average added 306 points, or 0.6%. The Nasdaq Composite outperformed, rising 2.1% as investors rotated back into growth stocks. Volatility also eased, with the VIX falling 4.1% to 17.65 points.
- European markets were mixed. The Euro Stoxx 50 rose 0.2%, while the FTSE 100 slipped 0.2%. Elsewhere, Asian equities performed well, led by a 1.6% rise in the Hang Seng, while the Nikkei gained 0.2%. Locally, the S&P/ASX 200 rose 0.7% to 8,823, supported by gains across resources and financials. SPI futures were little changed, suggesting a steady start for the local market.
- Moves in bond markets were generally modest. US Treasury yields edged slightly higher across the curve, with the 2-year Treasury yield up 1bp to 4.10% and the 10-year Treasury yield up 1bp to 4.37%. Interest rate futures now price one hike in late 2026 and no change through 2027.
- European bond markets were mixed. German 10-year Bund yields rose 1bp to 2.86%, while UK 10-year gilt yields eased 1bp to 4.72%. In Japan, the 10-year government bond yield rose 2bps to 2.64%.
- Australian government bond yields were little changed on futures. The 3-year government bond yield was unchanged at 4.37% on futures, while the 10-year yield declined 1bp to 4.77%. OIS pricing suggests a terminal cash rate of around 4.47% this year, with the market still not convinced of another hike.
- In foreign exchange markets, the US dollar softened modestly. The DXY fell 0.2% to 101.12, extending its recent pullback. The yen touched its weakest level against the

Today's key data and events

Time	Event	Exp	Prev
9:30	JP Job-to-Applcmt May	120.0%	120.0%
9:50	JP Industrial Production May Prel.	0.7%	0.5%
11:00	NZ ANZ Business Confidence Jun	-	10pts
11:30	AU RBA Minutes	-	-
11:30	AU Private Sector Credit May	0.6%	0.7%
11:30	CN Manufacturing PMI Jun	50.1pts	50pts
11:30	CN Non-Manufacturing PMI Jun	49.9pts	50.1pts
16:00	GB GDP Q1 Final	0.6%	0.6%
23:00	US FHFA House Prices Apr	0.2%	0.1%
23:00	US S&P/Cs Home Price Index Apr	-0.1%	-0.2%
23:45	US Chicago PMI Jun	55.4pts	62.7pts
0:00	US Consumer Confidence Jun	94.6pts	93.1pts
0:00	US Jolts Job Openings May	7287.5k	7618k

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

dollar since 1986. The Australian dollar was weaker against most major currencies, falling 0.1% against the US dollar to 0.6886, 0.6% against sterling, 0.4% against the euro and 0.3% against the New Zealand dollar. Against Asian currencies, moves were generally modest, leaving the TWI unchanged at 64.8.

- Commodity markets were mixed. WTI crude oil rose 2.2% to US\$70.75/bbl as traders assessed the prospects of upcoming peace talks between the US and Iran. Industrial commodities were also mixed, with iron ore edging 0.1% higher to US\$98.80/t, while copper declined 0.6%. Coal prices were also stronger, with thermal coal rising 1.8%. In contrast, precious metals weakened, with gold falling 1.8%.

International Data

The EC Economic Confidence Survey showed that confidence in the euro area improved this month, with the headline index rising 1.3pts to 95.0, though it remains well below the levels seen at the beginning of the year. Construction firms reported the lowest confidence levels in almost two years, while businesses in industry and services turned slightly more upbeat in the latest month. The retail sector saw a more substantial improvement, with the relevant index rising by more than 1pt

The Dallas Fed Activity Survey of Texas business executives indicated that business conditions were unchanged in June, with the headline index coming in at zero, very similar to the May's print. The survey highlighted weaker production growth and softer new orders, with both indicators falling to their lowest levels this year. On the inflation front, input cost growth remained very high, while the indicator for product prices also rose significantly, suggesting substantial pass-through.

Local Data

There was no top tier data released yesterday.



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RBA Minutes and other commentary: still on edge about inflation

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By [Matthew Hassan](#)

Head of Australian Macro-Forecasting, Westpac

17:56 June 30 2026

 Share

RBA Minutes released today and other commentary over the last week suggest the Monetary Policy Board is still on edge about inflation risks in Australia.



- RBA Minutes reprise the 'hawkish hold' message from June's decision statement.
- Some notable observations on housing and data centre build but central narrative unchanged.

- Deputy Governor Hauser's recent speech and accompanying RBA research underscore risks around tight capacity and possible shift in price-setting behaviour.
- Q2 CPI remains critical, with a lot riding on how this and the balance of risks to the outlook are judged..

The advent of post-meeting media conferences means the minutes to RBA meetings are of less importance than they once were. However, they still serve to remind us of the key considerations for policy. Read alongside last week's speech by the Deputy Governor and a series of RBA insight notes, the latest Minutes suggest the Bank is still on heightened inflation alert.

The central narrative through the meeting Minutes is, unsurprisingly, the same as that set out in the decision statement and in the Governor's post-meeting press conference. The economy is still seen as tight, i.e. "operating with excess demand and widespread inflationary pressures". However, the Board opted to use the 'space' provided by previous rate rises, pausing in June to get a better sense of how the situation was unfolding in the Middle East and how previous rate rises were impacting locally.

There were some interesting titbits in the detail though, including:

- Financial conditions are now seen as restrictive. While the conviction here is not high ("probably somewhat restrictive"; "remained uncertain") it is a little more forthright than the decision statement which simply stated that conditions were now tighter. That uncertainty may also be partly due to staff updates on the RBA's modelled estimates which pointed to a slightly higher real neutral rate compared to when the cash rate was last at 4.35% (at the start of last year).
- Housing market developments were largely absent in the decision statement but featured a few times in the Minutes, including in the 'Considerations for Monetary Policy section' ("Housing demand had eased, which also reflected the broader economic environment and recently proposed tax changes"; and "Members also noted the risks associated with a potentially material weakening in housing markets, including if this were to inhibit growth in consumption"). Likewise, the data centre investment surge rated a mention in the main assessment section as well ("[Members] discussed the potential for continued strength in such activity to exacerbate capacity pressures and skills shortages in other parts of the economy").

While neither topic is a central concern for the Board right now, they are on the radar.

Also of some note were the areas where views within the Board differed. In particular, there were "somewhat differing views about the extent of current capacity pressures". As we have discussed in the past, this likely centres on assessments of slack in the labour market. That would seem to be the case given that members still assessed that persistently weaker-than-expected productivity growth was a problem for bringing inflation back to target.

The other notable point of difference was on the extent to which the Fair Work Commission's moderately higher than expected 4.75% increase in all modern award wages might indirectly influence other wage negotiations. Again, views on the impact differed but Members agreed that it would "depend in part on the tightness of the labour market and expectations for inflation".

Coming back to the central narrative of tight capacity and persistent inflation, the RBA deliberations here have been given some additional framing by the Deputy Governor and a series of RBA 'insight' notes. Titled "The Straight Line Belongs to Man, the Curved Line Belongs to God", Deputy Governor Hauser's Sir Douglas Copland Memorial Lecture, delivered to the Economic Society of Australia last

week, was a little more technical than the ‘fireside chats’ and speeches that have been used to shape mainstream and financial market expectations. However, it focussed on two areas that are extremely pertinent to the Board’s current deliberations, namely: 1) the sensitivity of inflation to shocks when capacity is tight; and 2) potential changes in price-setting behaviour. The ‘straight lines’ and ‘curves’ being discussed were those showing the relationship between unemployment and wage growth or price inflation, and between cost and price changes. And the question is to what degree do these relationships become ‘curvier’ as unemployment falls/capacity tightens.

The Deputy Governor spelled out the clear takeaway for monetary policy: that inflationary pressures are likely to be higher for a given change in activity if; 1) domestic capacity pressures and inflation are already elevated; and/or 2) cost shocks are large or persistent; and/or 3) inflation expectations are elevated. From here the Deputy Governor concluded that “non-linearities in the Phillips curve suggest that policy should respond proactively to an inflationary shock when we are already on the steep part of the curve – and that is what the Monetary Policy Board has done in recent months.”

The insights notes expand on this a little, in an even more technical manner. Some notable points are that:

- the RBA’s models currently incorporate some non-linearity (i.e. curviness) in the relationship between unemployment and wage costs/inflation but not in price-setting behaviour which means the latter will be a key area of judgement for policy making (informed by liaison);
- there is clear evidence that price-setting behaviour did change during and after the pandemic, adjusting more frequently from 2022;
- this increased price flexibility is estimated to account for 0.4-1.3ppts of the gap between modelled estimates and the actual peak in inflation 2022-23; and
- that the way the policy trade-off between inflation and unemployment shifts when prices are more flexible means policy can focus more closely on the inflation part of the mandate (the idea here being that inflation declines will also be associated with more muted rises in unemployment).

All up, the RBA minutes and other communications again point to heightened concerns about persistently above-target inflation. We already knew the June quarter CPI release on July 29 would be the critical piece of domestic information heading into the RBA Monetary Policy Board’s August 10-11 meeting. However, the latest RBA communications make it clear that aside from this, the key judgements will be around the scale and persistence of shocks emanating from the Middle East, and whether price setting behaviour has shifted,

On balance, we continue to see high inflation and an unacceptably slow return to target as drawing additional interest rate rises from the RBA – but depending on how the inflation data, geopolitics and key judgements land, that balance could be a close-run thing.

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First impressions – May CPI

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By [Neha Sharma](#) & [Sian Fenner](#)

12:38 June 24 2026

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The May CPI fell -0.7% mth to be up 4.0% yr. Trimmed mean rose 0.4% mth/ 3.6% yr.



The May CPI fell -0.7% mth to be up 4.0% yr. This was below our estimate of 4.4% yr and market expectations of 4.3% yr. May is typically a seasonally softer month for the CPI. In seasonally adjusted terms, the CPI dipped -0.1% mth, compared with our estimate of $+0.2\%$ mth. The key drivers behind the softer May outcome were transport, clothing & footwear and recreation & culture. The latter two accounted for nearly all of the miss in our monthly result. Balancing this was a firmer result in the

housing component, with a broad-based pick-up across electricity, rents and new dwelling costs.

Despite the weakness in the headline, underlying pressures are picking up and suggest second-round effects from the Middle East conflict are broadening. Trimmed mean inflation printed at 0.4%*mth* and 3.6%*yr*, this was in line with our expectations but higher than the market's 3.5%*yr*. The six-month annualised pace lifted from 3.2% to 3.5%.

In terms of the key surprises to our forecast:

Downside surprises

- Recreation & culture was the key miss, owing to bigger-than expected falls in domestic (–12.1%*mth* vs –5.5%*mth*) and international travel (–0.8%*mth* vs 3.8%*mth*).
- Clothing & footwear fell by more than expected (–2.9%*mth* vs –1.8%*mth*).
- Some of the other areas of weakness were in household textiles (usually weak in May), vegetables and medical appliances.

Upside surprises

- Housing rose 0.5%*mth* vs 0.3%*mth* expected. New dwelling costs was the main surprise here, lifting 0.9%*mth*/5.6%*yr*, this was the strongest monthly increase since December 2022. We had flagged upside risks here given evidence from price notifications data. Rents rose 0.4%*mth* against expectations of 0.3%*mth*.
- Automotive fuel fell by less than expected (–11.9%*mth* vs –14.5%*mth*).

The May data provide a stronger signal that second-order effects from the Middle East supply shock are becoming more visible across consumer prices. Oil prices have come off their highs and policy is still dampening parts of fuel inflation, for now, but higher fuel, transport and commodity costs are continuing to feed through to a broader range of categories. This is consistent with firms passing on at least part of the increase in input costs, including energy, freight, plastics and chemicals.

The key question is whether these price increases reverse as cost pressures ease, or whether they persist. Postal costs fell in May, as the fuel surcharge was reduced, showing some pass-through can unwind. But the risk is that pass-through in other areas is stickier, particularly across services. The increase in hairdressing prices, for example, could reflect firms adjusting prices not just for higher fuel and transport costs, but for a broader expectation of higher operating costs. That makes the May outcome less about whether pass-through is occurring, and more about how broad and persistent it becomes.

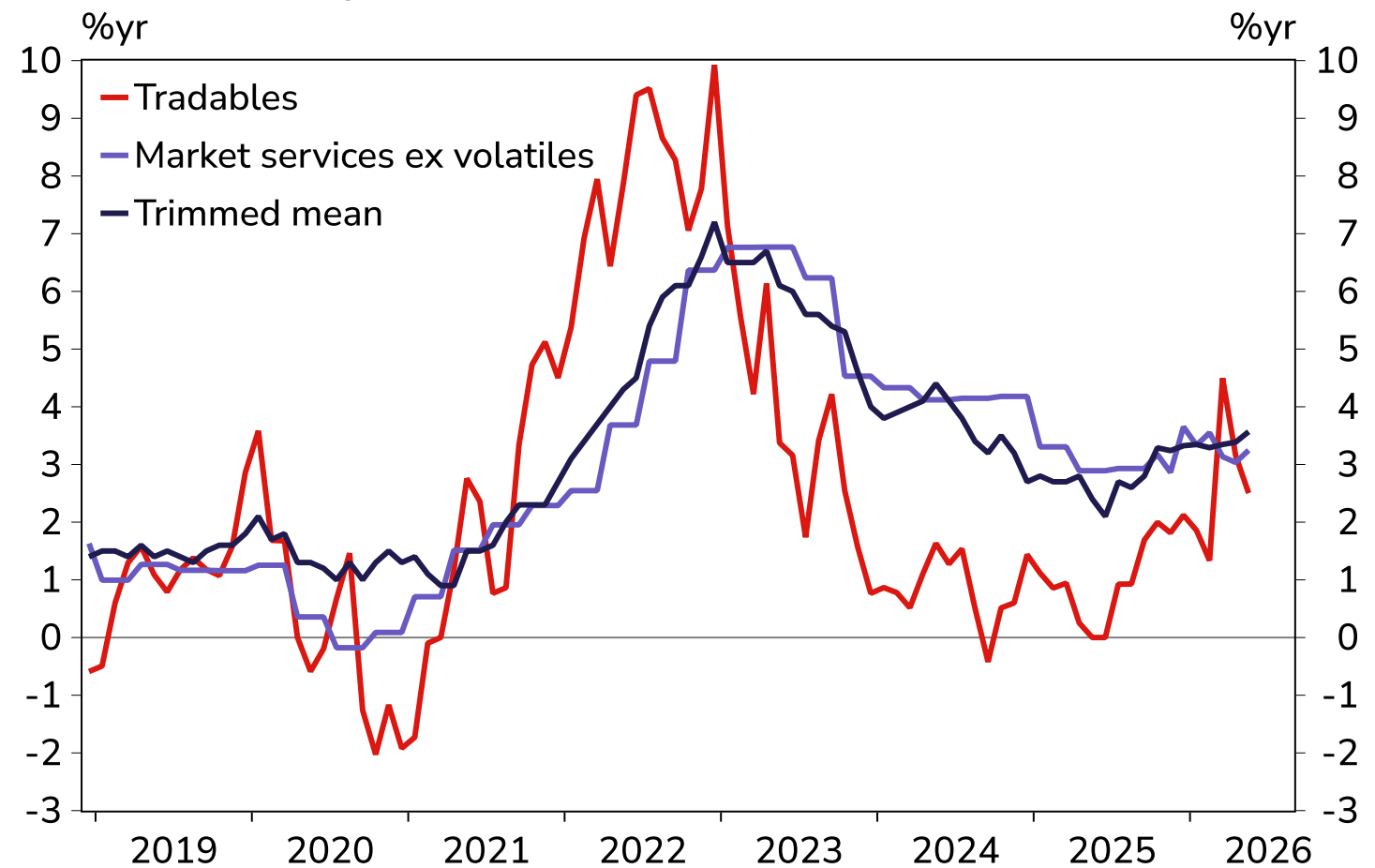
Today's trimmed mean outcome came in line with expectations and is on track to rise 1.0% in Q2, taking annual trimmed mean inflation to 3.8%*yr*. As such, we retain our view that further cash rate increases are coming, with the next hike likely at the August meeting.

The May data reinforce the RBA's concern that inflation remains too high and that a period of slower growth will be needed to return inflation to target. Even with oil prices off their highs, and other commodity prices easing to a lesser extent, we expect some further pass-through from still elevated

fuel and commodity costs over coming months, particularly as policy supports unwind. Wage costs could add further pressure in the second half, especially across market services.

Housing inflation will also remain a key pressure point. It accounts for around 20% of the CPI basket and is typically a source of persistence in trimmed mean inflation. That keeps upside risks front of mind for the RBA and leaves further tightening firmly on the table.

Inflation: analytical measures



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IMPLICATIONS OF RATIONAL INATTENTION

CHRISTOPHER A. SIMS

ABSTRACT. A constraint that actions can depend on observations only through a communication channel with finite Shannon capacity is shown to be able to play a role very similar to that of a signal extraction problem or an adjustment cost in standard control problems. The resulting theory looks enough like familiar dynamic rational expectations theories to suggest that it might be useful and practical, while the implications for policy are different enough to be interesting.

I. INTRODUCTION

Keynes's seminal idea was to trace out the equilibrium implications of the hypothesis that markets did not function the way a seamless model of continuously optimizing agents, interacting in continuously clearing markets would suggest. His formal device, price "stickiness", is still controversial, but those critics of it who fault it for being inconsistent with the assumption of continuously optimizing agents interacting in continuously clearing markets miss the point. This is its appeal, not its weakness.

The influential competitors to Keynes's idea are those that provide us with some other description of the nature of the deviations from the seamless model that might account for important aspects of macroeconomic fluctuations. Lucas's 1973 classic "International Evidence..." paper uses the idea that agents may face a signal-extraction problem in distinguishing movements in the aggregate level of prices and wages from movements in the specific prices they encounter in transactions. Much of subsequent rational expectations macroeconomic modeling has relied on the more tractable device of assuming an "information delay", so that some kinds of aggregate data are observable to some agents only with a delay, though without error after the delay. The modern sticky-price literature provides stories about individual behavior that explain price stickiness and provide a handle for thinking about what determines dynamic behavior of prices.

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Most recently, theories that postulate deviations from the assumption of rational, computationally unconstrained agents have drawn attention. One branch of such thinking is in the behavioral economics literature (Laibson, 1997; Bénabou and Tirole, 2001; Gul and Pesendorfer, 2001, e.g.), another in the learning literature (Sargent, 1993; Evans and Honkapohja, 2001, e.g.), another in the robust control literature (Giannoni, 1999; Hansen and Sargent, 2001; Onatski and Stock, 1999, e.g.). This paper suggests yet another direction for deviation from the seamless model, based on the idea that individual people have limited capacity for processing information.

That people have limited information-processing capacity should not be controversial. It accords with ordinary experience, as do the basic ideas of the behavioral, learning, and robust control literatures. The limited information-processing capacity idea is particularly appealing, though, for two reasons. It accounts for a wide range of observations with a relatively simple single mechanism. And, by exploiting ideas from the engineering theory of coding, it arrives at predictions that do not depend on the details of how information is processed.¹

In this paper we work out formally the implications of adding information-processing constraints to the kind of dynamic programming problem that is used to model behavior in many current macroeconomic models. It turns out that doing so alters the behavior implied by these models in ways that seem to accord, along several dimensions, with observed macroeconomic behavior. It also suggest changes in the way we model the effects of a change in policy “rule” and in the way we construct welfare criteria in assessing macroeconomic policy. These aspects of the results are discussed in detail in later sections of the paper, which can be read independently of the mathematical detail in earlier sections.

II. INFORMATION THEORY

The basic idea of information theory is to measure the rate of information flow as the rate of uncertainty-reduction. It therefore starts with a measure of uncertainty, called entropy. For a random variable X with pdf $p(X)$ the entropy is $-E[\log(p(X))]$. This formula applies whether the pdf is a density with respect to Lebesgue measure on R^k , so X is “continuously distributed”, or with respect to a discrete measure on a finite or countable set of points, so that X is a discrete random variable. We think of $p \log p$ as zero for X values where $p = 0$. It is conventional to take the log in the

¹Of course for psychologists, this may make the theory less interesting. But for economists, whose comparative advantage has been in using the optimization assumption to sweep aside psychological detail in modeling behavior, the ability of this information-theoretic approach to similarly sidestep psychological detail may be attractive.

formula to the base 2, so that the entropy of a discrete distribution with equal weight on two points is 1, and this unit of information is called one “bit”.²

Then information is thought of as moving through a “channel”, in which one enters input data, and output data emerges, possibly error-ridden. If we enter input data that is a realization of a random variable X with pdf p , and the channel provides as output a random variable Z whose pdf, conditional on X , is $q(Z | X)$, we can form a conditional pdf for $X | Z$ by Bayes’ rule as

$$r(X | Z) = \frac{p(X)q(Z | X)}{\int p(x)q(Z | x) dx} . \quad (1)$$

Then the information acquired is the change in entropy,

$$E[\log_2(r(X | Z)) | Z] - E[\log_2(p(X))] . \quad (2)$$

This quantity need not be positive for every possible realized value of Z — we can see a Z that makes us more uncertain about X than we were before we saw Z — but on average across all values of Z , it is necessarily positive.

Here are two examples of transfers of information at the same rate. In the first example, we have a device (e.g. a telegraph key transmitting “dot” or “dash”) that sends one of two signals, and does so without error. We can think of the signals as zeros and ones. If we draw a 0 or 1 from a distribution with equal probability on the two values, and transfer it according to this mechanism, then with each transmission we eliminate all uncertainty in the value of the draw, and thus transmit one bit of information.

In the second example, we draw a value for a continuously distributed $N(0, 1)$ random variable and transfer it by a mechanism that contaminates it with an independent $N(0, 1/3)$ noise. That is, $X \sim N(0, 1)$, $\{Z | X\} \sim N(X, 1/3)$, and therefore $\{X | Z\} \sim N(.75Z, .25)$. It is easy to verify that the entropy of a $N(\mu, \sigma^2)$ random variable is $\log_2 \sigma + .5(\log_2(2\pi e))$ and therefore that the information transmitted in this example by each observation on Z is $\log_2 1 - \log_2 .5 = \log_2 2 = 1$ bit.

Note that if this second channel had transmitted X without error, the rate of information transmittal would have been infinite. This corresponds to the fact that a real number can be represented as an infinite sequence of digits. If we could transmit real numbers without error, we could transmit arbitrary infinite sequences of integers

²Entropy is related to the Kullback-Leibler information $\mathcal{I}(p; q)$ in statistics (Schervish, 1995, p.115). For a random variable X with pdf p entropy is $-\mathcal{I}(p; \mathbf{1})$, where $\mathbf{1}$ is the (possibly improper) “flat” pdf that is identically one. That is, under the usual interpretation of Kullback-Leibler information, entropy is minus a measure of how hard it is to tell from observations on X that its pdf is p , not a uniform density.

(or of zeros and ones) without error, and thus send infinitely many bits in a single transmission.

The channel in our first example has a “capacity” of one bit per transmission, or time unit, say one second. This is the maximum rate at which the channel can transmit information.³ We could use the channel inefficiently, for example by drawing the input zeros and ones from a distribution with probability of 0 $p \neq .5$. But if we actually had to send a sequence of 0’s and 1’s generated by i.i.d. draws from a distribution in which $p = .99$, say, we could in fact, by proper “coding” of the sequence, send it at as close as we like to a 1 bps rate rather than the $-.99 \log .99 - .01 \log .01 = .08$ bps rate that we would achieve by naively sending each 0 and 1 as it appeared.

One easily understood way to do this is with “block codes”. For example, we could consider all 32 possible sequences of 5 zeros and ones. With our assumed p of .99, the sequence of 5 successive zeros is much more likely than any other sequence, so we could map that into a unit-length sequence of a single zero. The 5 sequences containing 4 zeros and 1 one are the next most likely, so we could map them to the sequences 111, 110, 1011, 1010 and 1000. All the remaining sequences of 5 zeros and ones would have to be mapped into sequences that begin with 1001, and thus would be as long or longer than their original length of 5. But since these remaining sequences are much less common in our signal sequence than the sequences consisting mostly of zeros, the *average* length of sequence we transmit will be well under 5.⁴ Coding theorems in information theory show that methods like this can allow transmission at a rate approaching capacity through any channel, regardless of the distribution of the input that one wishes to send.

Notice that the coding theorem result implies that if we would like to be sending a $N(0, 1)$ signal with a $N(0, 1/3)$ error, as in our second example, but we have available only a discrete transmission device like the telegraph key of our second example, we can, by proper coding, send our normally distributed message with normally distributed error at 1 transmission per second using the error-free telegraph key.

The reader may wonder what kind of coding could accomplish this. Suppose $X \sim N(0, 1)$ and we code positive X to 0 and negative X to 1. This produces $\text{Var}(X | Z) = .36$, approximately, slightly bigger than .25, which is our target optimal expected squared error. Of course the conditional distribution of $X | Z$ is a truncated

³Readers may recall, if they use modems with their computers, that modem speeds are rated in “bits per second”, or bps. This is their channel capacity. Speed increases for modems plateaued at 56000 bps, because telephone connections are designed to have approximately that capacity, so no change in modem design can achieve greater speed.

⁴A detailed example like this is worked out in the appendix to my 1998 paper.

normal, and thus quite non-normal. More sophisticated codes, in general requiring that blocks of X values be coded jointly, could do better. There is no simple formula for optimal coding of continuously distributed sources into a discrete “alphabet”, but there is a literature on methods to do it in particular physical settings (Gray and Neuhoﬀ, 2000). The important point for our further discussion below, is that it can be done. Information transmission barriers that take the form of a restriction to sending discrete signals at a finite rate without error are not fundamentally diﬀerent from restrictions to sending continuously distributed signals with contaminating noise.

With continuously distributed variables, some apparently natural speciﬁcations for channels can turn out to be unreasonable because they imply inﬁnite capacity. For example, it can’t be true that an actual channel is capable of transmitting an arbitrary real number X so that the output signal is $X + \varepsilon$, where ε is, say, $N(0, 1)$, independent of X . If this were so, we could, by scaling up our input X to have arbitrarily large variance, achieve arbitrarily high transmission rates. The channel must be speciﬁed in such a way that there is no way, by adjusting input in the permissible range, to make the signal-to-noise ratio arbitrarily large. This point is central to our discussion below when we consider dynamically more complicated channels.

A potentially important point that we will ignore in what follows is that optimal coding generally introduces delay. We will consider dynamic optimization problems in which a decision must be made at each t on the basis of information at that date. We will assume that when the decision is made at t , data on X_s , $s \leq t$ has been observed via an optimally designed ﬁnite capacity channel whose output is available up through time t . If, say, the optimal channel requires Gaussian noise, but our available channel were actually a telegraph key, or a set of them, of the same capacity as the optimal channel, coding optimally will let us approximate the characteristics of the optimal channel arbitrarily well, but at the price of some delay. The excuses for ignoring the delay at this stage are (i) that the gap between the performance of ﬁnite-code-length systems and optimal systems declines exponentially in code length, so that coding delay is likely to be small in practice, and (ii) that when many sources of information are being coded simultaneously, it is possible to come close to transmission at the Shannon capacity rate without delay, even when the rate per source is low.⁵

⁵Conversion of a continuously distributed source to discrete form for transmission through a digital channel (like a telegraph key) is known as *quantization*. The theory is surveyed in Gray and Neuhoﬀ (2000), with the results underlying the assertion (ii) discussed particularly in the section on vector quantization, II.B, p.291.

III. OPTIMIZATION WITH INFORMATION-FLOW CONSTRAINTS

Suppose we would like to minimize $E[(Y - X)^2]$, where Y is our action and X is a random variable that we must observe through a finite-capacity channel. What is the optimal choice for the conditional distribution of $Y | X$, subject to the requirement that the information flow about X required to generate Y is finite? Formally we would like, taking the pdf $p(\cdot)$ of X as given, to solve

$$\min_q \left\{ E[(Y - X)^2] = \int (y - x)^2 q(y | x) p(x) dy dx \right\} \quad (3)$$

s.t.

$$(\forall x) \int q(y | x) dx = 1 \quad (4)$$

$$-E[E[\log(q(Y | X)) | X]] + E \left[\log \left(\int q(x | Y) p(x) dx \right) \right] < C. \quad (5)$$

$$(6)$$

This last expression is easy to interpret as the average reduction in entropy when we use observations on X to reduce uncertainty about Y , which seems to be the opposite of what we are interested in. However it turns out that the information flow is the same whether we are using observations on X to inform ourselves about Y or vice versa. The information flow between the two jointly distributed variables is called their mutual information.

When the X distribution is Gaussian, it is not too hard to show that the optimal form for q is also Gaussian and independent of X , so that Y and X end up jointly normally distributed.⁶

This example illustrates a more general point. The information-flow constraint results in an outcome that looks like a signal-extraction problem's outcome. The optimal behavior of Y is *as if* X were being observed with an i.i.d. error. The variance of Y is less than that of X , as is usual when actions have to be based on error-ridden data. But there are important deviations from signal-extraction results in the predictions of this approach for how response to X will change as the distribution of X is changed. For example, if the capacity constraint remains the same, doubling the

⁶When X has a given non-Gaussian marginal distribution, it is still optimal to make the distribution of $X | Y$ Gaussian and independent of Y , if possible. This can be accomplished by forming $\tilde{h} = \tilde{p}/\tilde{\varphi}$, where the $\tilde{\cdot}$ indicates Fourier transform (or characteristic function) and φ is the standard Normal pdf. Taking the inverse Fourier transform h of $\tilde{h}$ gives us a marginal pdf for y , which we can then multiply by a Gaussian conditional pdf for $X | Y$ to obtain a joint pdf. Finally we apply Bayes rule to the joint pdf to find $q(y | x)$. Of course for some p 's (e.g. those with discontinuities, or discrete distributions), $\tilde{p}/\tilde{\varphi}$ is not square-integrable, so this method won't work.

variance of X will result in doubling the variance in the $Y | X$ distribution. Also, if $\text{Var}(Y | X) \leq \text{Var}(X)/3$, then if X starts being drawn from a distribution concentrated on two points, we expect the “error” in Y and the corresponding damping of response to completely disappear. The same 1 bps transmission rate is maintained with the error-free transmission of the two-point distribution as with the 3:1 Gaussian signal/noise ratio.

IV. DYNAMIC OPTIMIZATION WITH INFORMATION-FLOW CONSTRAINTS: FREQUENCY DOMAIN

Suppose we observe a random vector Y and use it to inform ourselves about a random vector X that is jointly normally distributed with Y , i.e.

$$\begin{bmatrix} X \\ Y \end{bmatrix} \sim N \left(0, \begin{bmatrix} \Sigma_{xx} & \Sigma_{xy} \\ \Sigma'_{xy} & \Sigma_{yy} \end{bmatrix} \right). \quad (7)$$

The entropy of a multivariate $N(\mu, \Omega)$ of dimension n is

$$-\frac{n}{2}(\log(2\pi) + 1) - \frac{1}{2} \log |\Omega|. \quad (8)$$

Therefore the reduction in entropy of X from observing Y (or vice versa) is

$$-\frac{1}{2} \log |I - \Sigma_{yy}^{-1} \Sigma'_{xy} \Sigma_{xx}^{-1} \Sigma_{xy}| \quad (9)$$

If Y and X are finite subsequences drawn from jointly stationary stochastic processes, then the Σ matrices appearing in (9) are Toeplitz forms and can be approximately diagonalized by Fourier transform matrices. If we do so, we can see that as the length of the two vectors gets longer, the information flow they represent converges to a rate per observation of

$$-\frac{1}{2\pi} \int_{-\pi}^{\pi} \log \left(1 - \frac{|S_{xy}(\omega)|^2}{S_x(\omega)S_y(\omega)} \right) d\omega, \quad (10)$$

where S_x and S_y are spectral densities for the Y and X processes and S_{xy} is their cross-spectral density.

This formula extends directly to continuous time, where it becomes (the only difference is the limits of integration)

$$-\frac{1}{2\pi} \int_{-\infty}^{\infty} \log \left(1 - \frac{|S_{xy}(\omega)|^2}{S_x(\omega)S_y(\omega)} \right) d\omega. \quad (11)$$

From (11) we can see one important point. In continuous time, the coherence of the X and Y processes must drop toward zero, at least on average, as $|\omega| \rightarrow \infty$. Otherwise the integral would not converge. This means that the power, or amount of variation, in the noise must grow large relative to that in the “signal” as we go to higher and higher frequency variation. Thus any action taken in response to the finite

information-flow-rate observations on X must be insensitive to the highest-frequency oscillations in X , meaning Y cannot respond sharply and quickly to X . Also, Y must itself show noisy idiosyncratic high-frequency randomness.

To see the implications of these principles, consider the simplest possible quadratic control problem: choosing Y to track X with loss $E(Y - X)^2$. Rather than the conventional constraints that Y is subject to adjustment costs or that Y is based on observation of X contaminated with exogenously specified noise, we assume instead that Y is chosen on the basis of an optimally coded transmission of data about X through a finite-capacity information channel.

If Y could be chosen on the basis of observations of future as well as past X , it would be easy to use frequency-domain methods to solve the optimal tracking problem. For the more realistic situation where Y_t can depend only on $\{X_s, s \leq t\}$, I have not been able find analytic formulas, but it is not too difficult to obtain example solutions using numerical methods. Formally, we solve the problem

$$\min_{b,c} E[(Y_t - X_t)^2] \quad (12)$$

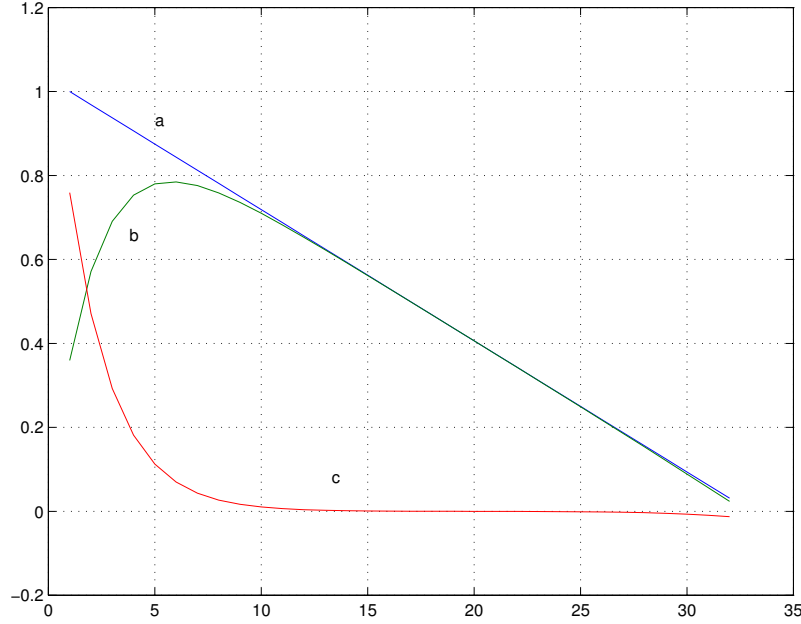
subject to

$$X_t = \sum_{s=0}^n a_s \varepsilon_{t-s}, \quad Y_t = \sum_{s=0}^n b_s \varepsilon_{t-s} + \sum_{s=0}^n c_s \nu_{t-s}, \quad (13)$$

$$\begin{aligned} & -\frac{1}{2} \int_{-\pi}^{\pi} \log \left(1 - \frac{|\tilde{a}\tilde{b}|^2}{|\tilde{a}|^2(|\tilde{b}|^2 + |\tilde{c}|^2)} \right) d\omega \\ & = -\frac{1}{2} \int_{-\pi}^{\pi} \log \left(1 - \frac{1}{1 + |\tilde{c}|^2/|\tilde{b}|^2} \right) d\omega < C, \end{aligned} \quad (14)$$

where the ε and ν processes are both i.i.d. $N(0,1)$ stochastic processes. Note that the left-hand side of (14) is just new notation for (11).

The solution for the case where a is a simple linearly declining sequence of weights, with $n = 31$, is displayed in Figure 1. Note that, as expected, b is smoother than a , with the smoothing distorting the match between a and b especially strongly near 0. In effect, the smoothing creates a delay in the reaction of Y to X . Also note that c is sharply peaked near zero, implying that high frequency variation in Y is dominated by noise. As indicated in the caption to the figure, in notation we use in all figures, this configuration represents data transfer at the rate .641 “bpt”, which stands for “bits per time unit”. If we thought of the time unit as monthly (not unreasonable with 31 lags), implementation of this level of tracking would require less than one bit per month of information flow, a very modest requirement. This is possible in

FIGURE 1. $C = .641$ bpt, $R^2 = .856$, linear a

this example because X , the variable being tracked, is modeled as highly serially correlated, so even a crude updating each month can track it fairly well.

If we allow an increased information flow, the tracking quickly becomes almost perfect, as in Figure 2.

If we instead tighten further the information constraint, as in Figure 3. we find the systematic part of Y smoother and more damped, and the noise in Y more serially correlated. Note that the absolute amount of high-frequency noise has gone down between Figures 1 and 3. This is because the capacity constraint relates only to the signal-noise ratio, $|\tilde{b}/\tilde{c}|$. When the information constraint becomes very tight, Y becomes nearly constant.

When the signal has less serial correlation, it has higher information content, so that a level of capacity that sufficed for quite good tracking in the examples we have examined above delivers much less accuracy. For example, if $a(s) = (.6^t - .5 \cdot .8^t) \cdot (1 - t/32)$, $s = 0, \dots, 31$, then with a capacity of .71, close to that for Figure 1, we obtain Figure 4. Here the unconditional R^2 of Y and X is only .443, in contrast to the .856 achieved with a slightly lower information flow rate in the Figure 1 case. In fact the unconditional R^2 here is lower than that obtained in the Figure 3 case with a much lower information flow rate.

One final example for this section shows that the tendency of information constraints to induce delay is not confined to cases where a is discontinuous at 0. Here

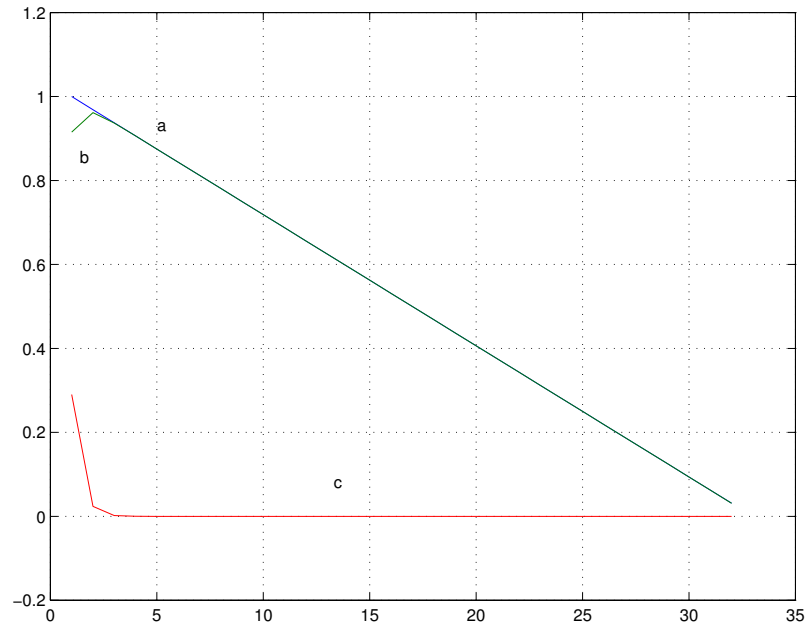


FIGURE 2. $C = 3.56$ bpt, $R^2 = .992$, linear a

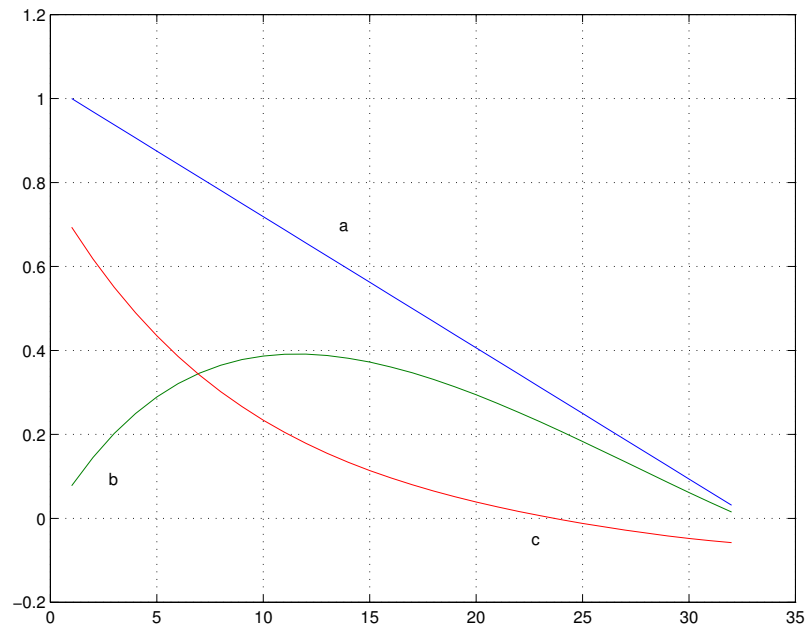


FIGURE 3. $C = .111$ bpt, $R^2 = .577$, linear a

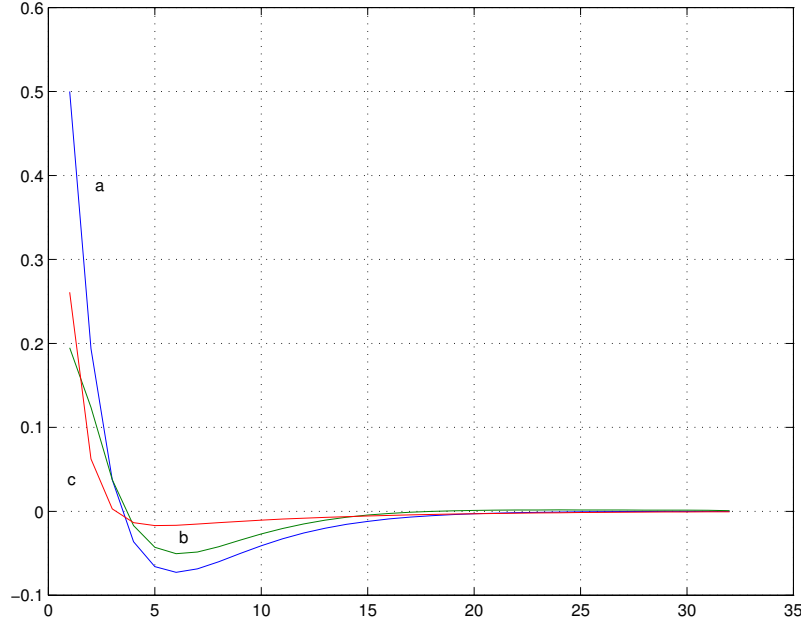
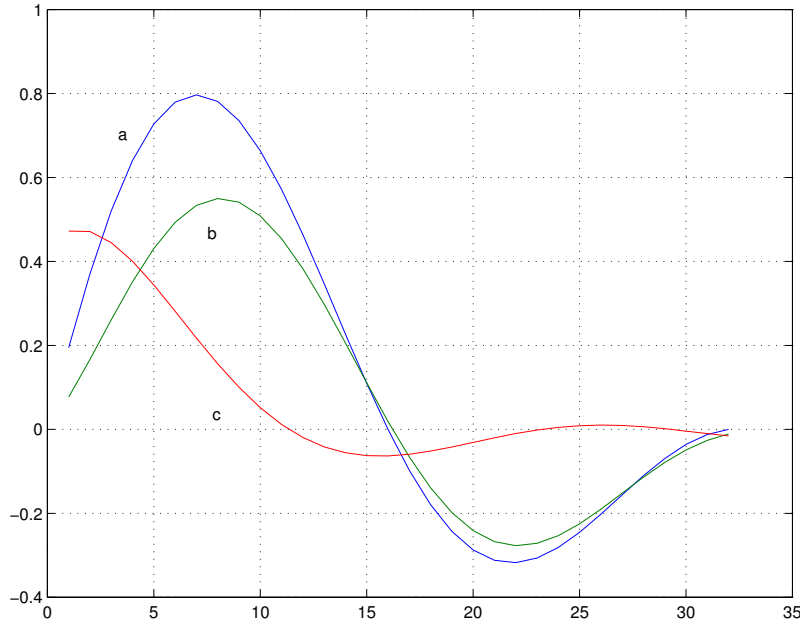


FIGURE 4. $C = .711$ bpt, $R^2 = .443$, rational whipsaw a

we set $a(s) = \sin(\pi(s+1)/32) \cdot (1 - s/32)$, $s = 0, \dots, 31$ and capacity at .269. We emerge with an unconditional R^2 of .697, and, as can be seen from Figure 5, a distinct delay in the response of Y to X , as well as the expected damping.

From this set of examples we can confirm the idea that solutions to tracking problems with information-processing constraints mimic signal-extraction problems. But the information-processing approach makes the nature of the “noise” endogenous. We don’t need to import the physicist’s idea of i.i.d. experimental error or query ourselves about intuitively nebulous sources of exogenous noise in our view of economic data. Instead, the nature of the time series being tracked, together with the available information capacity, delivers a model for the noise.

If we take the tracking problems of this section as schematic representations of the way agents react to aggregate market signals, it may seem that the rates of information flow in the examples that show significant amounts of smoothing are implausibly low. A one bpt rate of information flow corresponds to making one yes-no decision per time period in reaction to the information flow. If the time unit is a month, it is clear that ordinary people’s information-processing capacity is vastly higher than this. To justify information flow about major macroeconomic aggregate variables at this low rate, we must assume, as seems to be realistic, that most people devote nearly all of their information-processing capacity to types of information other than the time paths of macroeconomic variables. While it does seem realistic to suppose that people

FIGURE 5. $C = .269$, $R^2 = .697$, oscillatory a

ordinarily pay only slight attention to aggregate economic time series, though, there is obviously plenty of room for them to shift more attention to these series' behavior when it becomes important to do so. A theory that treated capacity devoted to connecting aggregate data to economic behavior as exogenously fixed would be easier to produce, but it seems likely that treating this “economic capacity” as endogenous will be necessary to arrive at a realistic theory.

It would be interesting to consider a collection of tracking problems with a single capacity constraint. The amount of capacity allocated to each problem will then depend on its weight in the objective function and on the returns to capacity. Difficult tracking problems may get less capacity if they are difficult because of low marginal returns to additional capacity. With the same objective function and the same capacity limit, capacity allocations will change as the serial correlation and variance scales of the variables to be tracked change.

We can go some way toward these objectives by using the recursive formulation of the next section.

V. LINEAR-QUADRATIC CONTROL WITH A CAPACITY CONSTRAINT AND MULTIVARIATE STATE

This section is technically dense. Readers may wish to read first (or only) the subsequent discussion of examples that apply this section's methods to economic

models. The single-state version of the permanent income problem discussed at the beginning of the next section brings out some of the main ideas with much simpler mathematics.

We consider a standard linear-quadratic control problem with imperfectly observed state, with the requirement that the observations on the state involve information transfer at a rate less than some given rate C . It is thus part of the optimization problem to choose the character of the observation error.

The problem is

$$\max_{C, S} E \left[\sum_{t=0}^{\infty} \beta^t (-S'_t A S_t - C'_t B C_t) \right] \quad (15)$$

subject to

$$S_t = G_0 + G_1 S_{t-1} + G_2 C_{t-1} + \varepsilon_t \quad (16)$$

$$S_t \mid \mathcal{I}_t \sim \mathcal{D}_t \quad (17)$$

$$S_{t-1} \mid \mathcal{I}_{t-1} \sim \mathcal{D}_{t-1} \quad (18)$$

and to the requirement that the rate of information flow at t implicit in the specification of $\mathcal{D}_{t-1}$ and $\mathcal{D}_t$ be less than C . Here S_t is the state at t , C_t is the control at t , and $\mathcal{I}_t$ is the information available at t . We are maintaining a convention (and an implicit assumption) that variables dated t are “known” at t , so that C_t and S_t are measurable with respect to the $\mathcal{I}_t$ information set.

Once the current period information has been received, the problem becomes a standard LQ control problem with measurement error, and we can apply certainty-equivalence. That is, if the (linear) decision rule that solves the deterministic version of the problem (that with $\text{Var}(\varepsilon) = 0$) is

$$C_t = H_0 + H_1 S_t, \quad (19)$$

then the optimal decision rule for the problem with measurement error is

$$C_t = H_0 + H_1 \hat{S}_t, \quad (20)$$

where $\hat{S}_t = E[S_t \mid \mathcal{I}_t]$.

Let us now assume that both $\mathcal{D}_t$ and $\mathcal{D}_{t-1}$ are normal. Later we will return to consider to what extent we can deduce these properties of the signal-processing error from the structure of the problem. With $\mathcal{D}_t = N(\hat{S}_t, \Sigma_t)$ for each t , we will examine the situation where Σ_t is constant, verifying along the way that such a limiting case exists. If we let $\Omega = \text{Var}(\varepsilon_t)$, then we can see from (16) that

$$\text{Var}(S_t \mid \mathcal{I}_{t-1}) = \Psi = G'_1 \Sigma G_1 + \Omega. \quad (21)$$

The information flow constraint can then be expressed as

$$-\log |\Sigma| + \log |\Psi| < 2\kappa , \quad (22)$$

where κ is channel capacity. In the case of a one-dimensional state, this constraint completes the characterization of the problem. When the state is multidimensional, however, (22) leaves open the possibility that $\Psi - \Sigma$ might not be positive semi-definite. This in effect implies that information flow can be kept low by “forgetting” some existing information, trading this off for increased precision about other dimensions of the state vector. Since transmission of information cannot produce this result, we need to add as a separate constraint

$$\Psi \succeq \Sigma , \quad (23)$$

where “ $\succeq$ ” is interpreted as implying that the difference of left and right-hand sides is positive semi-definite.

We use the notation

$$V(S_t) = -S'_t \theta_2 S_t + \theta_1 S_t + \theta_0 \quad (24)$$

to denote the value function for the problem without capacity constraints and define

$$\hat{V}(\hat{S}_t) = E \left[\sum_{s=0}^{\infty} \beta^s (-S'_t A S_t - C'_t B C_t) \mid \mathcal{I}_t \right] , \quad (25)$$

where the expectation is formed under the assumption that current and future C 's are all being chosen subject to the capacity constraint on information flow.

Of course, since the information capacity constraint can't help in the optimization, we know that $E_t V(S_t) > \hat{V}(\hat{S}_t)$. (Here and henceforth we will use $E_t[\cdot]$ as shorthand for $E[\cdot \mid \mathcal{I}_t]$.) It turns out to be handy to characterize the optimization problem as being that of choosing Σ to minimize $E_t V(S_t) - \hat{V}(\hat{S}_t)$, in other words as that of choosing the structure of our uncertainty about the state so as to bring expected utility from the current date onward as close as possible to the expected value of the unconstrained value function. We begin by writing

$$E_t V(S_t) - \hat{V}(\hat{S}_t) = -\text{tr}((A + H'_1 B H_1) \Sigma) + \beta E_t \left[V(S_{t+1}^*) - V(S_{t+1}) + V(S_{t+1}) - \hat{V}(\hat{S}_{t+1}) \right] , \quad (26)$$

where $S_{t+1}^* = G_0 + (G_1 + G_2 H_1) S_t + \varepsilon_t$ is the value of S_{t+1} that would emerge if C_t were chosen optimally without uncertainty at t about the value of S_t . We use S_{t+1} to refer to the value of the state at $t+1$ when C_t is chosen subject to the capacity constraint, i.e. to satisfy (20). Then we write

$$\tilde{S}_{t+1} = S_{t+1}^* - S_{t+1} = G_2 H_1 (S_t - \hat{S}_t) . \quad (27)$$

Because of the LQ structure of the problem, the left-hand side of (26) will be a constant, determined entirely by variances, not the current estimate of the state. (Again, we'll verify this at the end.) Let this constant be M . Then we can write

$$(1 - \beta)M = -\text{tr}((A + H_1' B H_1)\Sigma) + \beta E_t \left[-\frac{1}{2}(\tilde{S}_{t+1}' \theta_2 \tilde{S}_{t+1} + 2\tilde{S}_{t+1}' \theta_2 S_{t+1}) \right]. \quad (28)$$

Using (27) and (16), we can then write the whole expression in terms of known matrices and Σ :

$$\begin{aligned} (1 - \beta)M &= \\ & -\text{tr} \left((A + H_1' B H_1 + \frac{1}{2}\beta(H_1' G_2' \theta_2 G_2 H_1 + H_1' G_2' \theta_2 G_1 + G_1' \theta_2 G_2 H_1))\Sigma \right) \\ & = -\text{tr}(W\Sigma). \end{aligned} \quad (29)$$

Our optimization problem then takes the form

$$\max_{\Sigma} \{\text{tr}(W\Sigma)\} \quad (30)$$

subject to

$$-\log |\Sigma| + \log(G_1 \Sigma G_1' + \Omega) \leq 2\kappa \quad (31)$$

$$\Sigma \preceq G_1 \Sigma G_1' + \Omega. \quad (32)$$

The information-theoretic constraints (31) and (32) have taken us out of the convenient linear-quadratic realm, but they are in some respects well-behaved. In particular, each defines a convex subset of Σ -space. To see that (31) defines a convex set of Σ 's, observe that the second derivative of the left-hand side with respect to $\vec{\Sigma}$ is⁷

$$\Sigma^{-1} \otimes \Sigma^{-1} - (\Sigma + G_1^{-1'} \Omega G_1^{-1})^{-1} \otimes (\Sigma + G_1^{-1'} \Omega G_1^{-1})^{-1}, \quad (33)$$

where $\otimes$ is the Kronecker product. Obviously $\Sigma^{-1} \succeq (\Sigma + G_1^{-1'} \Omega G_1^{-1})^{-1}$, and the fact that for any square matrices X and Y , $X \succeq Y \Rightarrow X \otimes X \succeq Y \otimes Y$ then delivers the desired result. And that (32) defines a convex set of Σ 's follows from its linearity in Σ and from the fact that $A \succeq 0$ and $B \succeq 0$ imply $A + B \succeq 0$.

Since our problem is therefore one with a linear objective function and convex constraint sets, it will have a uniquely defined maximized objective and we can characterize its solutions as maximizing the Lagrangian for certain values of the Lagrange multipliers on the constraints. One approach to solving this problem that I have found to work is to reparameterize in terms of the Choleski factor Φ of $\Lambda^* = \Psi - \Sigma$, where $\Phi' \Phi = \Lambda^*$ and Φ is upper triangular. This imposes the positive definiteness of $\Psi - \Sigma$, as required by (32), automatically. One can then maximize the Lagrangian

⁷We use the notation $\vec{\Sigma}$ to denote Σ stacked up, column by column, into a single vector. In deriving (33) and elsewhere we are using the identities $\overrightarrow{ABC} = (C' \otimes A)\vec{B}$ and $(d/d\Sigma) \log |\Sigma| = \Sigma^{-1}$.

with λ fixed. Note that the mapping from Λ^* to Σ , which must be evaluated in order to evaluate the objective function, is determined from the solution to

$$G_1 \Sigma G_1' + \Omega = \Sigma + \Lambda^* . \quad (34)$$

This is in the form of a standard discrete Lyapunov equation that can be solved,⁸ e.g., with Matlab's `dlyap.m` program, or (if the equation is multiplied through by G_1^{-1}) by `lyap.m`.⁹

Once we have found the optimal Σ , we then find the corresponding $\text{Var}(\xi_t) = \Lambda$ from the usual formula for the variance of a Gaussian distribution updated based on a linear observation:

$$\Sigma = \Psi - \Psi(\Psi + \Lambda)^{-1}\Psi . \quad (35)$$

Equation (35) can be solved for Λ^{-1} , yielding

$$\Lambda^{-1} = \Sigma^{-1} - \Psi^{-1} . \quad (36)$$

Note that Λ^{-1} , like Λ^* , is likely to be near singular. When this occurs, it means that it is efficient to observe only a certain linear combination (or combinations) of the state variables rather than the whole state vector. Measurement error on the other linear combinations is effectively infinite.

With the problem solved, we can form a dynamic system that characterizes the evolution of the vector $[S_t, \hat{S}_t, C_t]$ as it is driven by the underlying structural shocks

⁸If G_1 has a unit eigenvalue or pairs of eigenvalues that are reciprocals of each other, this equation can't be solved for Σ . This means for example that in the permanent income examples below, the algorithm fails if the exogenous income process has a unit root. This does not mean the problem is unsolvable, or even especially difficult in principle. But further cleverness will be required to produce a parameterization that works automatically in these cases. Also, some values for the Λ^* matrix may imply that there is no corresponding $\Sigma \succeq 0$. Numerical routines that search over Φ of course must take this into account, but this will not create important difficulties so long as $|\Sigma| > 0$ at the solution. Also, finding a feasible starting value for Λ^* may be a problem. If Ω is nonsingular, the solution to $\Lambda^* = G_1 \Sigma G_1' + \Omega - \Sigma$ is always p.s.d. if Σ is taken small enough.

⁹These routines are part of an extra-cost Matlab toolbox. A slower but slightly more general program called `lyapcs.m` is available on my web site. `lyap.m` quits without producing output under certain conditions in which there is a solution, but it is not unique. `lyapcs.m` attempts to provide a solution in these conditions. Because G_1 generally has both stable and unstable eigenvalues, doubling algorithms do not avoid the need for an eigenvalue decomposition of G_1 in this problem and thus lose their main advantage over the Schur-decomposition-based methods in the programs cited here.

ε_t and the information-processing-induced measurement error ξ_t . The equations are

$$S_t = G_0 + G_1 S_{t-1} + G_2 C_{t-1} + \varepsilon_t \quad (16)$$

$$\hat{S}_t = (I - \Sigma \Lambda^{-1})(G_1 + G_2 H_1) \hat{S}_{t-1} + \Sigma \Lambda^{-1}(S_t + \xi_t) \quad (37)$$

$$C_t = H_0 + H_1 \hat{S}_t. \quad (20)$$

This system can then of course be used to generate impulse responses in the usual way.

To justify the assumptions we have made along the way, it must turn out that the system formed by (16), (37) and (20) is consistent with stationarity of the $[S_t, \hat{S}_t, C_t]$ process. With stationary disturbance terms, we need, therefore, that the matrix

$$\begin{bmatrix} I & 0 & 0 \\ -\Sigma \Lambda^{-1} & I & 0 \\ 0 & -H_1 & I \end{bmatrix}^{-1} \begin{bmatrix} G_1 & 0 & G_2 \\ 0 & (I - \Sigma \Lambda^{-1})(G_1 + G_2 H_1) & 0 \\ 0 & 0 & 0 \end{bmatrix} \quad (38)$$

has all its roots less than one in absolute value.

It can be shown that the eigenvalues of this matrix are those of the two smaller matrices $G_3 = G_1 + G_2 H_1$ and $\Sigma \Psi^{-1} G_1$. The first of these, G_3 , is the matrix characterizing the dynamics of the state in the model with no information capacity constraint. It will therefore have all its eigenvalues less than one in absolute value whenever the problem with no capacity constraint has a stable solution. The second of the two matrices seems likely also always to have all its values less than one in absolute value, whenever we can solve for Ψ and Σ , and I have yet to encounter an example where it has eigenvalues larger than one, but proving this seems to be challenging.

If κ is set too low, it is possible that the intersection of the sets of Σ 's defined by (22) and (23), with Ψ defined by (21), is empty, in which case no stationary solution satisfying the capacity constraint is possible. This makes intuitive sense. In most rational expectations problems G_1 has at least some unstable roots, so that if C were never changed, S would blow up exponentially. Specification of too small a κ may in effect prevent C from moving enough, or accurately enough, to prevent this explosive behavior. But there is always a solution if κ is large enough.

VI. A RATIONAL INATTENTION VERSION OF PERMANENT INCOME THEORY

We consider a standard linear-quadratic (LQ) permanent income example, in which an agent maximizes

$$E \left[\sum_{t=0}^{\infty} \beta^t (C_t - .5 C_t^2) \right] \quad (39)$$

subject to

$$W_t = R \cdot (W_{t-1} - C_{t-1}) + Y_t, \quad (40)$$

where as usual we interpret W as wealth, C as consumption, Y as labor or endowment income, and R as the gross interest rate. We will suppose that the agent devotes limited capacity to observing Y and W , so that C_t is always being chosen as if Y and W up to the current date are known only up to some pattern of random error. We will use the idea of a finite Shannon capacity for the agent to derive the form of the pattern of random error and the effects of it on the way C and W respond to Y . This problem fits precisely into the framework of the general LQ control problem with capacity constraint that we considered in the previous section.

To begin with the simplest possible case, suppose Y_t is i.i.d. with mean $\bar{Y}$ and $\beta R = 1$. Then W_t by itself can serve as state variable. This model fits in to the general framework of the previous section, but it is much simpler to solve because of the one-dimensional state. Aspects of the problem that require numerical optimization in the multivariate case here can be solved analytically.

The optimal decision rule for the deterministic problem is simply

$$C_t = (1 - \beta)W_t + \beta\bar{Y}. \quad (41)$$

Optimal policy with finite capacity will therefore have the form

$$C_t = (1 - \beta)\hat{W}_t + \beta\bar{Y}. \quad (42)$$

To fit this problem to the notation of the previous section, we would make the notational correspondences $S_t \sim W_t$, $C_t \sim C_t - 1$ ¹⁰, $G_0 \sim \bar{Y} + R$, $G1 \sim R$, and $G2 \sim -R$.

Rather than simply invoke the more general framework, we proceed here to work out this example analytically, as this may aid understanding. With a quadratic loss function, minimization of losses subject to an information-flow constraint implies that the conditional distribution of W_t given information at t will be $N(\hat{W}_t, \sigma_t^2)$.¹¹ Then the budget constraint (40) implies that

$$E_t[W_{t+1}] = \hat{W}_t \quad (43)$$

$$\text{Var}_t[W_{t+1}] = R^2\sigma_t^2 + \omega^2, \quad (44)$$

where ω^2 is the variance of Y_t . To keep things linear, we assume now that the distribution of Y_t is Gaussian. With a finite capacity κ per time unit, then, the

¹⁰The general model has no linear term in the objective function, so we have to recenter C at its satiation level of 1 in order to match the general setup's notation. This entails adjusting the constant term G_0 in the budget constraint also.

¹¹This follows because the entropy of a pdf with a given variance σ_t^2 is maximized when the pdf is Gaussian.

optimizing agent will choose a signal that reduces the conditional standard deviation of W_{t+1} by

$$\kappa = \frac{1}{2}(\log(R^2\sigma_t^2 + \omega^2) - \log(\sigma_{t+1}^2)) . \quad (45)$$

This equation has a steady state at

$$\bar{\sigma}^2 = \frac{\omega^2}{e^{2\kappa} - R^2} . \quad (46)$$

In steady state the agent behaves as if observing a noisy measurement $W_{t+1}^* = W_{t+1} + \xi_{t+1}$, with ξ_{t+1} independent of all previous random disturbances to the system and with

$$\text{Var}(\xi_{t+1}) = \frac{\bar{\sigma}^2(R^2\bar{\sigma}^2 + \omega^2)}{(R^2 - 1)\bar{\sigma}^2 + \omega^2} . \quad (47)$$

We compute (47) by setting the conditional variance of W_{t+1} given W_{t+1}^* and information at t to be $\bar{\sigma}^2$.

In some respects this model reproduces results of standard permanent income theory for this special case. Consumption and estimated wealth are random walks, in the sense that $E[C_{t+s} | \{C_v, v \leq t\}] = C_t$ and $E[\hat{W}_{t+s} | \{\hat{W}_v, v \leq t\}] = \hat{W}_t$. However consumption is not a martingale, meaning that it is not true that $E_t C_{t+s} = C_t$, where E_t is expectation conditional on *all* information available at t . That is, variables other than C 's own past, and wealth and income variables in particular, may help predict future values of C .

To get a full solution for the system in terms of the exogenous process Y and the information-processing error ξ , we can assemble the budget constraint (40), the decision rule (42), and the regression formula describing how $\hat{W}$ is revised based on noisy observation:

$$\hat{W}_t = \hat{W}_{t-1} + \theta(W_t + \xi_t - \hat{W}_{t-1}) = (1 - \theta)\hat{W}_{t-1} + \theta W_t + \theta \xi_t . \quad (48)$$

These form the system of difference equations

$$\begin{bmatrix} 1 & 0 & 0 \\ -\theta & 1 & 0 \\ 0 & -1 + \beta & 1 \end{bmatrix} \begin{bmatrix} W_t \\ \hat{W}_t \\ C_t \end{bmatrix} = \begin{bmatrix} R & 0 & -R \\ 0 & 1 - \theta & 0 \\ 0 & 0 & 0 \end{bmatrix} \begin{bmatrix} W_{t-1} \\ \hat{W}_{t-1} \\ C_{t-1} \end{bmatrix} + \begin{bmatrix} 1 & 0 \\ 0 & 1 \\ 0 & 0 \end{bmatrix} \begin{bmatrix} Y_t - \bar{Y} \\ \xi_t \end{bmatrix} . \quad (49)$$

The classic permanent income theory literature characterizes the distributed lag relationship between C and Y , emphasizing that C should respond only slightly to temporary changes in Y , which are the only kind that occur in this model with no serial correlation. In fact, in this model without information constraints

$$C_t = (1 - \beta) \left(W_0 + \sum_{s=1}^t (Y_s - \bar{Y}) \right) + \beta \bar{Y} . \quad (50)$$

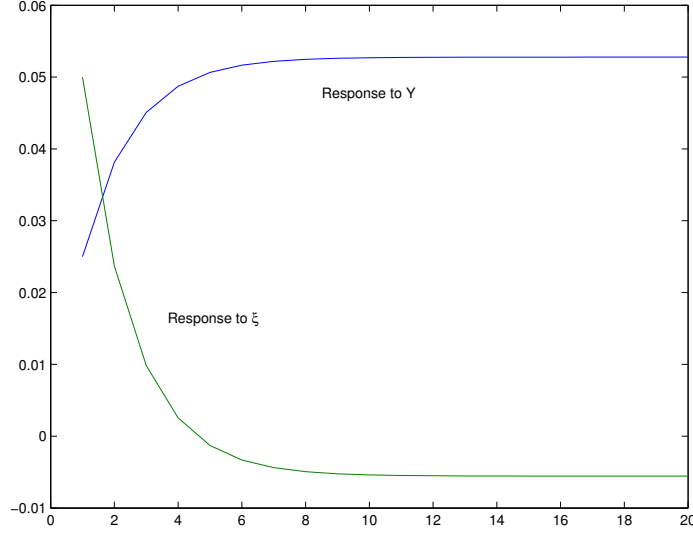


FIGURE 6. Responses of C in the Permanent Income Model with Serially Uncorrelated Y

This implies of course that the impulse response of C to Y shocks is flat, with an immediate upward jump that then persists indefinitely. When we solve the system (49), we get instead a response to Y that is “rounded off”, with a steady rise to a flat asymptote that is above the response for the case without capacity constraint. The delay is of course because of the need to separate signal from noise, and the fact that the asymptote is above that for the standard case reflects the fact that an income shock, initially undetected, accumulates interest for a while before consumption responds fully. The information-processing error is much less serially correlated than the part of C that responds to Y . The two impulse responses — to $Y_t - \bar{Y}$ and to ξ_t — are shown in Figure 6. The figure assumes a discount factor of .95 and a regression coefficient θ of $\hat{W}_t$ on the observed $W_t + \xi_t$ of .5. This in turn implies that channel capacity is $-\frac{1}{2} \log_2(1 - \theta^2) = .21$.

The noticeable smoothing and delay of response to income shock in this example seems to rest on assuming a very low bit rate of information transmission. While this rate is clearly well below the total information processing capacity of human beings, it may not be unreasonable as the rate assigned to processing economic data, particularly aggregate economic data, when there are many competing demands on capacity.

For example, we can consider what happens when the income process contains several components. We will suppose that it has two components with high innovation

variance and modest serial correlation, and another that has much lower innovation variance and stronger serial correlation. We might think of the latter as an “aggregate” component of the income of an individual whose personal fortunes are dependent, month to month, much more on local and idiosyncratic uncertainties than on aggregate economic fluctuations.

The setup here will be exactly as in the previous example, except for the specification of the exogenous Y process. Here we assume

$$Y_t = \bar{Y} + X_t + Z_t + \varepsilon_{Yt} \quad (51)$$

$$X_t = .97X_{t-1} + \varepsilon_{Xt} \quad (52)$$

$$Z_t = .9Z_{t-1} + \varepsilon_{Zt} , \quad (53)$$

with

$$\text{Var} \begin{bmatrix} \varepsilon_{Yt} \\ \varepsilon_{Xt} \\ \varepsilon_{Zt} \end{bmatrix} = \begin{bmatrix} .01 & 0 & 0 \\ 0 & .0001 & 0 \\ 0 & 0 & .003 \end{bmatrix} . \quad (54)$$

So the X component of income is to be thought of as the stable, slow-moving “aggregate”. This model again falls in to our general framework, but this time cannot be solved by hand. Figure 7 shows the responses to the three true component income shocks and the three error shocks, with channel capacity .72 bpt, four times that in Figure 6. Each of the responses to true components is accompanied by a horizontal line showing the level of the flat optimal response in the absence of capacity constraints. The response to Z , the large-variance serially correlated component, is similar in shape to the response to the single shock in the single-state example. The response to the serially uncorrelated component is essentially undamped, while the response to the low-shock-variance, near-unit-root component is extremely damped, with the response rising steadily throughout the 20 periods plotted.

If we triple channel capacity, to about 2.1 bpt, we get the responses shown in Figure 8. Here the response to the X component shock has almost the same form as the response to the single i.i.d. shock in the one-state example, but total channel capacity is ten times greater. In these multi-state examples the optimal use of channel capacity is to track closely the more unpredictable components of labor income, allocating proportionately much more observation error to the slower-moving “aggregate” component. Of course in reality people have many more than three economic time series to monitor and much more to keep track of than just the economic side of their lives. Thus it is not unreasonable to model them as reacting to macroeconomic data as if it reached them through a low-capacity channel.

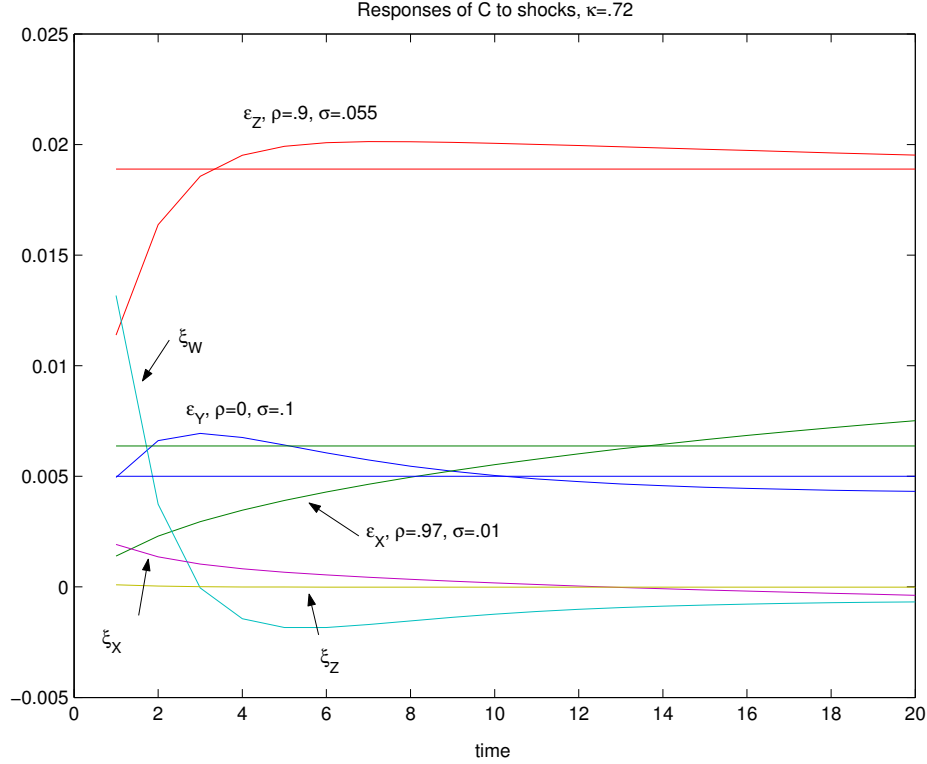


FIGURE 7

VII. IMPLICATIONS FOR MACROECONOMIC TIME SERIES BEHAVIOR

While the examples worked out above are far from constituting a general equilibrium theory based on these ideas, they suggest likely qualitative behavior of such a full equilibrium model. This way of thinking can provide a basis for critical thinking about the results of other approaches before it has been developed to the point of providing a fully worked out alternative.

As I noted in a previous paper (1998), it is apparent from nearly any VAR study and from the bivariate investigations of Keating (1997) that most cross-variable relationships among macroeconomic time series are smooth and delayed, as would be predicted by an information-constraint approach. It is possible (as is also shown in the 1998 paper) to reproduce this behavior with conventional DSGE models by introducing adjustment cost mechanisms pervasively, for both prices and quantities. The required adjustment costs are large, however, and the dynamics of the model starts to depend mainly on these mechanisms, which are hard to interpret in terms of microeconomic common sense.

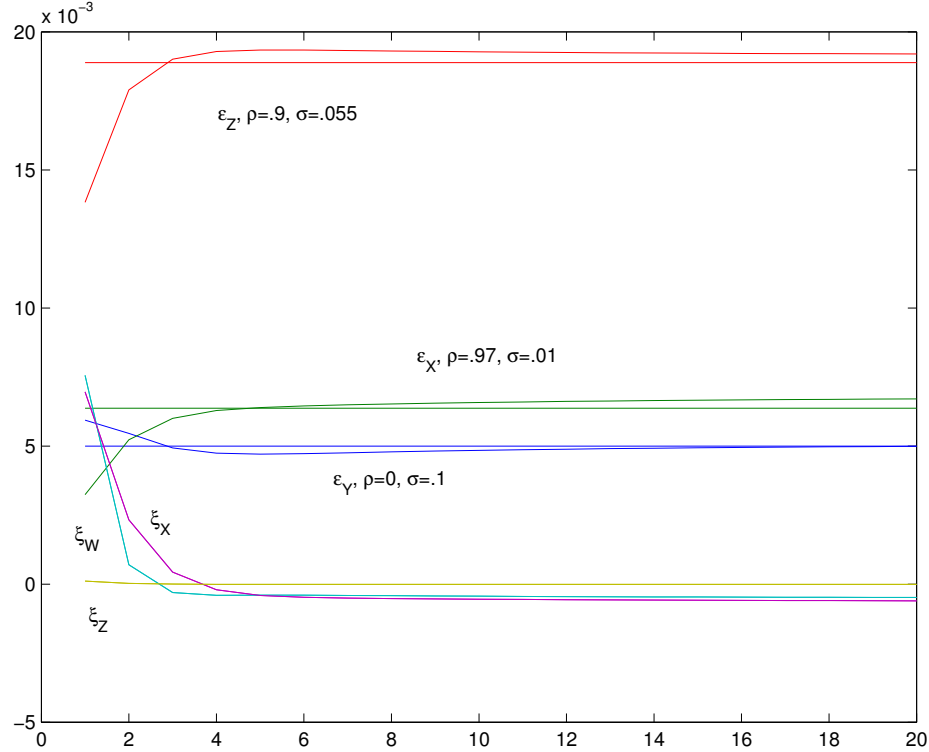


FIGURE 8

Furthermore, if one looks at the diagonal of the matrices of impulse response graphs that emerge from VAR studies, one finds impulse responses that are strongly discontinuous at zero.¹² The adjustment cost models of macroeconomic theory generally imply that variables subject to adjustment costs should respond smoothly to every source of disturbance. To explain the quick estimated responses to own shocks requires introducing disturbances to the adjustment mechanism itself. While it is possible to build a DSGE model containing such disturbances (as shown in the 1998 paper), the distance from microeconomic intuition in the resulting construction is uncomfortably great.

As we have seen in our examples above, information-capacity limits can account simultaneously for smooth response to other variables, real or nominal, and for an idiosyncratically random component of variation, arising from the same source as the smoothness in the response to other variables.

¹²Matrices of impulse response graphs of various sizes can be found, e.g., in Leeper, Sims, and Zha (1996).

The theory does suggest, though, that the randomness in an individual's response to market signals should be truly idiosyncratic, arising from his own internal information-processing constraint. It might be thought, then, that it should vanish, or at least shrink drastically, when aggregated across individuals, so that the responses to own-shocks in VAR's could not come from this source. Recall, though, how the idiosyncratic information-processing randomness arises. It arises from coding inaccuracy, the need to approximate fine-grained information with cruder approximations. People share a need to code macroeconomic data efficiently, and they pay for this service. To a considerable extent, people's needs for coding are similar, so they rely on common sources of coded information. The result is that a considerable part of the erratic response arising from information capacity constraints is common across individuals.

To make this point concrete, consider one of the most pervasive coding services, the daily newspaper, and how it presents macroeconomic data. Many newspapers report the Federal Funds Rate to 3 significant figures every day, at a predictable location in the back of the business section. The vast majority of newspaper readers do not look at this number every day, and of those that do look at the page containing the number, the vast majority make no adjustment in their behavior in reaction to the number. On the other hand, if the New York Times ran as a three-column, front page headline "FED UNEXPECTEDLY RAISES FEDERAL FUNDS RATE 1.5%", many readers of the newspaper would be likely to act on the news. The coding of the time series behavior of the Federal Funds rate into different type sizes at different locations in the newspaper according to its importance is part of the overall information-processing service that a newspaper performs for its readers and that readers (and advertisers) pay for. But, just as with the coding of a Gaussian random variable into a finite set of 0-1 switches introduces a coding error, the newspaper's information processing can influence the erratic component of behavioral response to data. If everyone were tracking and reacting to the Federal Funds rate hour by hour, it would not matter whether the newspaper put it on page one in one inch type, on the front page below the fold, on the first business page, or simply in the usual daily table with no mention in a text story. But in fact the treatment that newspapers (and TV) give this news affects the way people react to it, creating a common component to the idiosyncratic error generated by information-processing. Newspapers are far from the only example of such a phenomenon. Information spreads among people through conversation and imitation, for example, and these channels are themselves subject to coding error that is common across people.

Of course not all of the stochastic component of behavior induced by information-processing is common, and this does imply limitations on the theory as applied to aggregate data. The tight relation between the degree of smoothing in the systematic

component of behavior and the nature and size of the stochastic component that comes out of the examples we have discussed in sections IV and VI will not translate reliably to aggregate data. In particular, we might expect, because of the effects of averaging across agents, that smoothing effects will be stronger relative to the size of idiosyncratic error components than a “representative agent” theory would suggest.

VIII. COMPARISON TO RATIONAL EXPECTATIONS THEORIES

Versions of rational expectations that postulate a common information set for all agents at all times imply quick, error-free reactions of all prices and all kinds of agent behavior to every kind of new information and therefore contrast strongly with the implications of rational inattention theory — and with the data. Versions that postulate differing information sets, e.g. between policy-makers and the public or between workers and firms, if they postulate that the difference is in the form of a pure delay in arrival of information, are equally in conflict with rational inattention theory. Delay alone, without smoothing and idiosyncratic error, has no effect on the rate of information flow.

Rational expectations theory based on signal-extraction, like that in Lucas (1973) is much closer to rational inattention theory. Since filtering a behavioral time series Y_t through a one-sided linear filter does not change its information content, in tracking problems like those in section IV the behavior of rationally inattentive agents will always be as if they faced exogenously given noise of the same form as the endogenous noise derived from information-processing constraints. Since rational inattention implies restrictions on the relation between noise and systematic component, we could in principle test for it vs. more general forms of signal-extraction effects, though the problems with aggregation and “indexation” mentioned above imply that this will be difficult.

More importantly, the three types of theory (information-delay RE, signal-extraction RE, and rational inattention) have different implications for how we extrapolate from observed history in projecting the effects of changes in policy that change the dynamic properties of the economy. Information-delay RE suggests that agents act on optimally formed forecasts of the future. It implies that functions relating behavior to optimally-formed forecasts of the future, as generated from the true aggregated model, should remain stable as the dynamic properties of the economy change. Neither signal-extraction RE nor rational inattention theory shares this prediction. Both of these theories postulate the existence of constraints on agents’ behavior that makes them act on forecasts that are worse than those that could be constructed from exact knowledge of all the data in the aggregated model.

Signal-extraction rational expectations takes the nature of the noise as exogenously given. It leads, therefore, to the prediction that scaling up the variance of the signal leads to a higher correlation of the signal with agents' behavior, as Lucas (1973) pointed out. Rational inattention theory predicts that agents will behave as if facing noise whose nature changes systematically as the dynamic properties of the economy change. If a fixed amount of capacity is allocated to monitoring the aggregate price level, for example, the amount of noise will rise with the variability of the price level, so that the accuracy of agents' estimates of the inflation rate will not improve, in terms of R^2 , as the variance of inflation increases. On the other hand if, as seems more likely, increased variation in inflation is associated with increased marginal returns to estimating it accurately, capacity may be reallocated from other forms of information-monitoring to allow increased accuracy of inflation-monitoring. In this case, the rational-inattention theory provides an explanation for why economic efficiency might deteriorate in the presence of highly variable inflation. It also provides a qualitative explanation for phenomena like the tendency of inflation-indexation clauses in labor contracts to become more prevalent when inflation is variable, but then to disappear again when inflation stabilizes.¹³

IX. WORK AHEAD

To proceed to general equilibrium models incorporating capacity constraints will require attacking some interesting issues. Most important, how do market mechanisms operate in coordinating behavior of finite-capacity agents? There seems to be no technical barrier to working out models of such markets, but there are important questions about how to formulate them. It seems likely that purely competitive exchange markets relating such agents would make actual sales smoother than they would be without capacity constraints and at the same time might lead to more volatile prices than otherwise. But results may depend on whether we think of agent as setting prices in response to quantities or vice versa. With price-setting sellers, the smoothed response of buyers to price changes due to information-processing constraints creates a source of temporary market power. On the other hand, buyers might seek out sellers whose price time series are easier to monitor. Observations like these may eventually lead to more convincing general equilibrium stories about the origins and consequences of price and wage stickiness than we now have, but there is obviously a long way to go.

The models we have considered postulate a limit on information processing capacity, but no limit on agents' abilities to behave optimally given the constraints on capacity. We have split behavior into two levels, an outside-of-time optimization level,

¹³Find reference.

in which optimal rules are derived, conditional on the limitations of real-time data processing but assuming no limits on computational capacity in solving the optimization problem, and the real-time reaction level itself, in which we recognize limits on computational capacity. While this may be a reasonable approximation, it is obviously subject to criticism — there is not in fact any “phase” of our lives during which we optimize behavior without constraints of time or computational capacity. There is previous work in the game theory literature (Abreu and Rubinstein, 1988) that works with the notion of agents as “finite automata”. This approach also splits the people it models into an unboundedly rational optimizing level and a computationally constrained level, but it postulates a very different dividing line between levels.

Of course this is only the tip of the iceberg of ways this theory is still incomplete.

X. CONCLUSION

It seems presumptuous to have a section titled “Conclusion” in a paper like this that consists mostly of thinly supported speculation. This paper has improved on the even vaguer speculations in Sims (1998) by showing that a capacity constraint can substitute for adjustment costs in a dynamic optimization problem. In several respects the resulting setup seems more realistic than adjustment cost frameworks, and there are interesting differences in its implications. It is probably worthwhile to work on this a little further.

APPENDIX A. SOLUTION METHODS

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30 June 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

There was a risk-on tone overnight as peace talks over the Strait of Hormuz are set to continue, with both the US and Iran agreeing to halt the attacks seen over the weekend.

US equities rallied, reversing some of last week's sharp sell-off. Tech stocks led the market higher, with the Mag Seven index climbing more than 2.5%. European equities were mixed, while Asian markets were generally higher.

Bond markets were little changed, while the US dollar index slipped. The yen touched its weakest level against the dollar since 1986. The Aussie was slightly lower, trading at 0.6886 against the greenback, while the TWI was broadly unchanged.

Commodity markets were mixed, with oil jumping higher despite the prospect of peace talks. Iron ore also edged higher.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.8	0.0%
AUD/USD	0.6886	-0.1%
AUD/JPY	111.49	0.0%
AUD/GBP	0.5195	-0.6%
AUD/NZD	1.2178	-0.3%
AUD/EUR	0.6027	-0.4%
AUD/CNH	4.6819	-0.2%
AUD/SGD	0.8901	-0.2%
AUD/HKD	5.3995	-0.1%
AUD/CAD	0.9785	0.0%
EUR/USD	1.1426	0.3%
USD/JPY	161.92	0.1%
USD Index	101.12	-0.2%

Equities	Close	Change
S&P/ASX 200	8,823	0.7%
S&P 500	7,440	1.2%
Japan Nikkei	69,468	0.2%
Hang Seng	23,027	1.6%
Euro Stoxx 50	6,232	0.2%
UK FTSE100	10,484	-0.2%
VIX Index	17.65	-4.1%

Commodities	Current	Change
CRB Index	351.31	-0.3%
Gold	4015.33	-1.8%
Copper	13278	-0.6%
Oil (WTI futures)	70.75	2.2%
Coal (coking)	243.17	0.0%
Coal (thermal)	127.45	1.8%
Iron Ore	98.80	0.1%
ACCU	36.13	-4.3%

AUS Interest Rate Swaps	p	Change
30 day BBSY	4.34	-0.01
90 day BBSY	4.51	0.00
180 day BBSY	4.86	0.00
1 year swap	4.50	0.00
2 year swap	4.42	0.00
3 year swap	4.36	0.00
4 year swap	4.35	0.00
5 year swap	4.38	-0.01
6 year swap	4.42	-0.01
7 year swap	4.47	-0.01
8 year swap	4.52	-0.01
9 year swap	4.57	-0.02
10 year swap	4.61	-0.01

Government Bond Yields	Close	Change
Australia		
3 year bond	4.39	0.03
10 year bond	4.75	0.03
United States		
3-month T Bill	3.68	0.01
2 year bond	4.10	0.01
10 year bond	4.37	0.01
Other (10 year yields)		
Germany	2.86	0.01
Japan	2.64	0.02
UK	4.72	-0.01

Sydney Futures Exchange	Current	Change
10 yr bond	4.77	-0.01
3 yr bond	4.37	0.00
3 mth bill rate	4.51	0.00
SPI 200	8,825	0.0%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



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Financial Markets

- There was a slight risk-on tone overnight after President Trump said peace talks with Iran are set to resume. Control of the Strait of Hormuz is expected to be a key focus of upcoming negotiations, with Iran stating that it wants to maintain oversight of traffic through the Strait, while US Secretary of State Marco Rubio said that any attempt to impose tolls on ships passing through the waterway would be unacceptable. The prospect of renewed diplomacy helped ease some geopolitical concerns and supported sentiment across financial markets.
- With negotiations back on, major US equity indices rallied, recovering some of last week's sharp losses. The market was led higher by technology stocks, with the Magnificent Seven megacaps rising 2.6%. Sentiment in the tech sector was further supported after Samsung Electronics and SK Hynix announced plans to invest more than US\$500bn in a new semiconductor manufacturing hub in South Korea.
- The S&P 500 climbed 1.2%, while the Dow Jones Industrial Average added 306 points, or 0.6%. The Nasdaq Composite outperformed, rising 2.1% as investors rotated back into growth stocks. Volatility also eased, with the VIX falling 4.1% to 17.65 points.
- European markets were mixed. The Euro Stoxx 50 rose 0.2%, while the FTSE 100 slipped 0.2%. Elsewhere, Asian equities performed well, led by a 1.6% rise in the Hang Seng, while the Nikkei gained 0.2%. Locally, the S&P/ASX 200 rose 0.7% to 8,823, supported by gains across resources and financials. SPI futures were little changed, suggesting a steady start for the local market.
- Moves in bond markets were generally modest. US Treasury yields edged slightly higher across the curve, with the 2-year Treasury yield up 1bp to 4.10% and the 10-year Treasury yield up 1bp to 4.37%. Interest rate futures now price one hike in late 2026 and no change through 2027.
- European bond markets were mixed. German 10-year Bund yields rose 1bp to 2.86%, while UK 10-year gilt yields eased 1bp to 4.72%. In Japan, the 10-year government bond yield rose 2bps to 2.64%.
- Australian government bond yields were little changed on futures. The 3-year government bond yield was unchanged at 4.37% on futures, while the 10-year yield declined 1bp to 4.77%. OIS pricing suggests a terminal cash rate of around 4.47% this year, with the market still not convinced of another hike.
- In foreign exchange markets, the US dollar softened modestly. The DXY fell 0.2% to 101.12, extending its recent pullback. The yen touched its weakest level against the

Today's key data and events

Time	Event	Exp	Prev
9:30	JP Job-to-Applicant May	120.0%	120.0%
9:50	JP Industrial Production May Prel.	0.7%	0.5%
11:00	NZ ANZ Business Confidence Jun	-	10pts
11:30	AU RBA Minutes	-	-
11:30	AU Private Sector Credit May	0.6%	0.7%
11:30	CN Manufacturing PMI Jun	50.1pts	50pts
11:30	CN Non-Manufacturing PMI Jun	49.9pts	50.1pts
16:00	GB GDP Q1 Final	0.6%	0.6%
23:00	US FHFA House Prices Apr	0.2%	0.1%
23:00	US S&P/Cs Home Price Index Apr	-0.1%	-0.2%
23:45	US Chicago PMI Jun	55.4pts	62.7pts
0:00	US Consumer Confidence Jun	94.6pts	93.1pts
0:00	US Jolts Job Openings May	7287.5k	7618k

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

dollar since 1986. The Australian dollar was weaker against most major currencies, falling 0.1% against the US dollar to 0.6886, 0.6% against sterling, 0.4% against the euro and 0.3% against the New Zealand dollar. Against Asian currencies, moves were generally modest, leaving the TWI unchanged at 64.8.

- Commodity markets were mixed. WTI crude oil rose 2.2% to US\$70.75/bbl as traders assessed the prospects of upcoming peace talks between the US and Iran. Industrial commodities were also mixed, with iron ore edging 0.1% higher to US\$98.80/t, while copper declined 0.6%. Coal prices were also stronger, with thermal coal rising 1.8%. In contrast, precious metals weakened, with gold falling 1.8%.

International Data

The EC Economic Confidence Survey showed that confidence in the euro area improved this month, with the headline index rising 1.3pts to 95.0, though it remains well below the levels seen at the beginning of the year. Construction firms reported the lowest confidence levels in almost two years, while businesses in industry and services turned slightly more upbeat in the latest month. The retail sector saw a more substantial improvement, with the relevant index rising by more than 1pt

The Dallas Fed Activity Survey of Texas business executives indicated that business conditions were unchanged in June, with the headline index coming in at zero, very similar to the May's print. The survey highlighted weaker production growth and softer new orders, with both indicators falling to their lowest levels this year. On the inflation front, input cost growth remained very high, while the indicator for product prices also rose significantly, suggesting substantial pass-through.

Local Data

There was no top tier data released yesterday.



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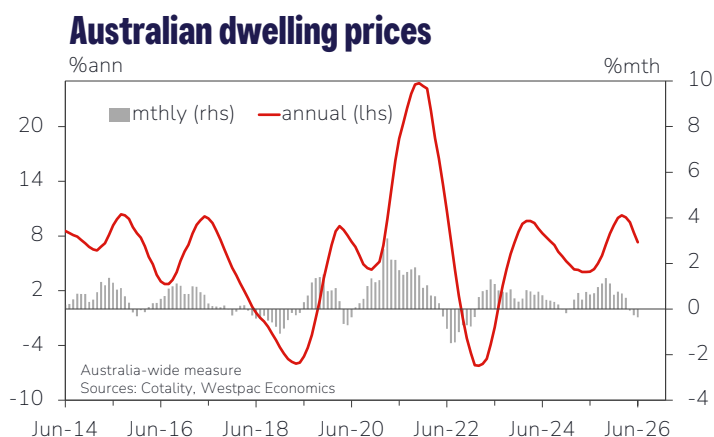
1 July 2026

AUSTRALIAN DWELLING PRICES BULLETIN

Sydney-Melbourne correction deepens

Key points

- The Cotality home value index – covering all of Australia – fell 0.4% in June, following a 0.3% decline in May and a 0.1% dip in April. Annual growth slowed to 7.3%yr. The quarterly decline is the most significant since the 2022-23 price correction.
- Corrections in Sydney and Melbourne are becoming more pronounced, led by material declines in 'top tier' segments with turnover also down sharply. Momentum is slowing elsewhere but price and turnover growth are still mostly positive.
- Uncertainty about the outlook for interest rates and impact of tax policy changes means markets – particularly those already in a correction – are somewhat prone to 'air pockets' emerging near term.



**June Cotality
home value
index: -0.4%*mth*;
+7.3%*yr***

Markets heading south or slowing



Matthew Hassan
Head of Australian Macro-Forecasting

The Cotality home value index, covering all of Australia, fell 0.4% in June following a 0.3% decline in May and a 0.1% dip in April. The cumulative 0.7% fall over the quarter is the biggest quarterly decline since the 2022-23 correction. Annual growth has slowed to 7.3%yr.

The detail continues to show deepening price corrections in Sydney and Melbourne, a moderation in previously strong gains in Brisbane, Adelaide and Perth and slowing momentum in other cities and regional areas. Across the fifty detailed sub-markets covered, 28% recorded price declines in Q2 compared to 16% in Q1.

Note that, unless specified, figures in titles, tables and the commentary below are in non-seasonally adjusted terms, consistent with the 'headline' figures reported by Cotality. Figures shown in charts are in seasonally adjusted terms.

The slowdown to date mainly reflects the rate hikes in February, March and May and uncertainty around the Middle East conflict with some likely added drag more recently from tax policy changes announced in the Federal budget in mid May.

Turnover is starting to weaken more materially in the Sydney and Melbourne markets where price corrections have been more pronounced. Preliminary estimates points to a 4.6%qtr decline in turnover nationally in Q2, following a 5%qtr decline in Q1. The same estimates point to falls of around 15%qtr for Sydney and Melbourne, compared to 7% declines in Q1. The gap between sales and new listings, which have been relatively steady, is narrowing quickly, particularly in these softer markets. The shift is reflected in auction markets, with clearance rates moving further below average in Sydney and Melbourne and a notable rise in pre-auction withdrawals.

By dwelling type, the price cycle continues to be slightly more pronounced houses than units. Price growth is also weaker for 'top-tier' properties across each market (defined as the top 25% of properties by value). Indeed, weighted across cities, prices in this segment declined 1% in June to be down 2.6%qtr. The same measures for mid and low price tiers show 1.4%qtr and 0.1%qtr declines respectively.

The June price results by capital city were as follows:

- **Sydney:** with a sharp 1.2% fall in June coming on top of a 1.1% decline in May, Sydney is now leading the correction nationally with prices down 3.2%qtr and annual price growth dropping back to just 0.3%yr. 'Top tier' houses are down more meaningfully, -4.6%qtr and -4.7%yr. 'Bottom tier' houses are still sitting on a 9%yr annual gain.

Cotality home value index: June 2026

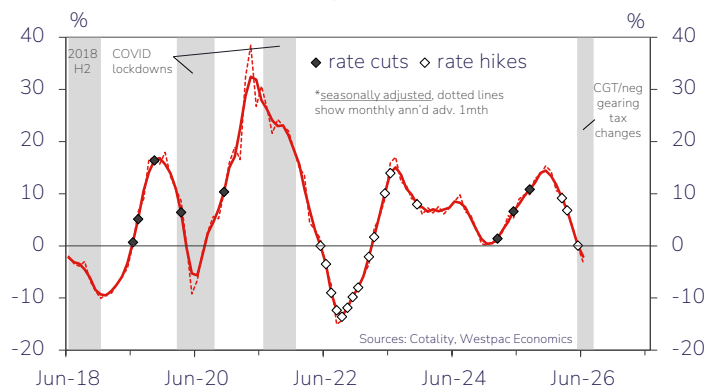
	%mth				%ann			
	Mar	Apr	May	Jun	Mar	Apr	May	Jun
Australia*	0.5	-0.1	-0.3	-0.4	10.0	9.5	8.4	7.3
seas. adjusted	0.3	0.0	-0.3	-0.2	10.0	9.6	8.5	7.4
- houses	0.5	-0.1	-0.3	-0.4	10.9	10.3	9.0	7.8
- units	0.4	-0.1	-0.1	-0.2	7.0	6.8	6.1	5.6
Major capital cities								
Sydney	-0.4	-0.9	-1.1	-1.2	5.2	4.1	2.1	0.3
Melbourne	-0.7	-0.8	-0.8	-1.0	3.3	2.1	0.6	-0.9
Brisbane	1.5	0.7	0.3	0.3	18.9	18.9	18.3	17.4
Adelaide	1.2	0.9	0.3	0.0	11.3	12.0	12.0	11.6
Perth	2.0	0.7	0.6	0.7	24.5	24.5	24.2	23.9
Turnover^	-5.0	-3.4	-3.2	-4.6	2.0	0.3	-1.8	-7.0

* Australia-wide measure, covering both capital cities and regional areas.

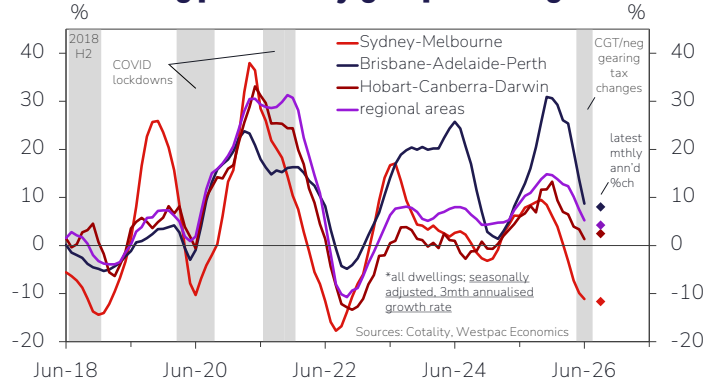
Sources: Cotality, Westpac Economics.

^ rolling 3mth total, %3mth and %ann ch, seasonally adjusted by Westpac.

Australian dwelling prices: 3mth ann'd



Dwelling prices: city groups and regional areas

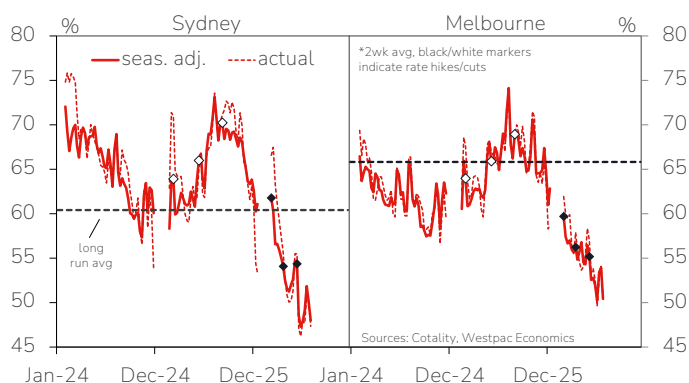


- **Melbourne:** a -1%^{mth} decline, a slight acceleration on the -0.8%^{mth} falls in May and April, leaving prices off 2.6%^{qtr} and tipping annual growth into outright negative (-0.9%^{yr}). 'Top tier' house prices are down 4.5%^{yr}, comparable to the weakness in this segment in Sydney. However, that follows a much poorer price performance in Melbourne in recent years – 'top tier' house prices have declined 4.4% since mid-2021 in Melbourne but are up 4.6% for this segment in Sydney and by just over a third for capital city dwelling prices more generally.
- **Brisbane:** prices rose 0.3% in June, in line with May's rise and consistent with a continued tapering in growth back from the very strong gains seen over the ten months to March. At 17.4%^{yr}, annual growth remains strong but gains have been tracking a 6% annualised pace more recently. The detail continues to show the familiar pattern of outperformance across lower-priced tiers although the wedge is narrowing. Notably, all tiers are still seeing positive, albeit slower, price growth.
- **Adelaide:** stalled flat in June, annual price growth slowing back 11.6%^{yr} with a clearer step-down in recent months. Interestingly, the detail here shows the latest slowing has been a little more pronounced for 'low and middle tier' segments. South Australia has seen a more meaningful rise in new dwelling construction than other states and this price pattern could be a sign that new supply is starting to ease pressures in some segments.

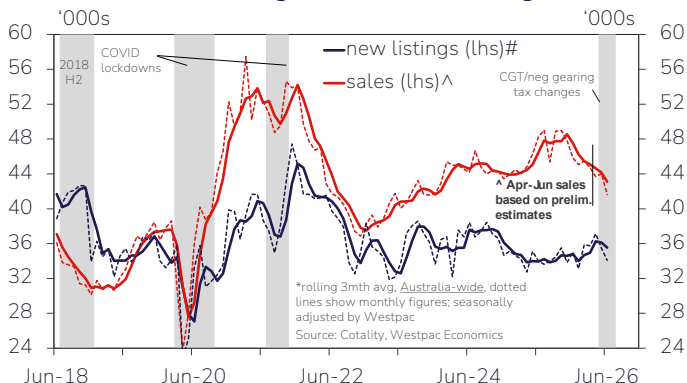
- **Perth:** continues to lead the major capitals price-wise posting another 0.7%^{mth} gain in June, broadly in line with May and April but a significant step-down on the string of 2%+ monthly rises between August and March. Annual price growth is still very strong at 24%^{yr} but gains in recent months have been at around a 10% annual pace.
- Outcomes across the smaller capitals were again more mixed, price growth holding up in Darwin (1.4%^{mth}, 19.8%^{yr}), more subdued in Hobart (0.6%^{mth}, 9.3%^{yr}), and dipping in Canberra (-0.6%^{mth}, 2.9%^{yr}).
- **Regional markets** showed flat prices in NSW and Victoria but and modest gains in Queensland (which includes the Gold and Sunshine Coasts).

Overall, the June update showed a similar picture to May with deepening corrections underway in Sydney and Melbourne and momentum slowing everywhere else. As we highlighted in our recent [Housing Pulse](#), tight supply, the likely absence of 'urgent' selling and relatively well anchored consumer price expectations should limit downside risks to prices going forwards. Notably, new listings are starting to show some pull back as well. However, current uncertainty about the outlook for interest rates and impact of tax policy changes means markets – particularly those already in a correction – are somewhat prone to 'air pockets' emerging near term. If these were to emerge, thin trading conditions could result in sharper price moves.

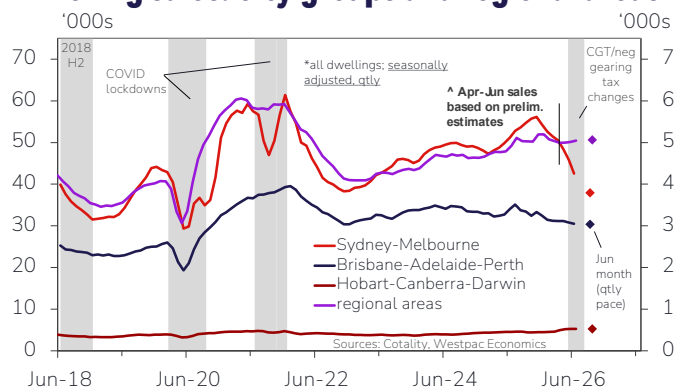
Auction clearance rates



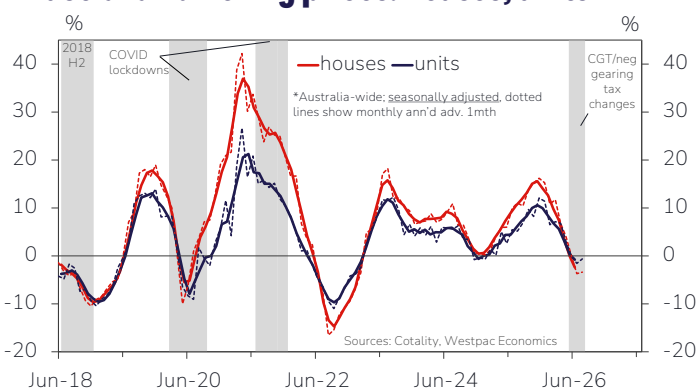
Australian dwellings: sales and listings



Dwelling sales: city groups and regional areas

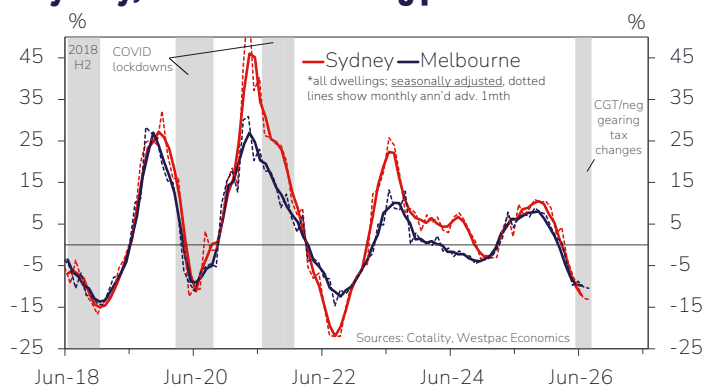


Australian dwelling prices: houses, units

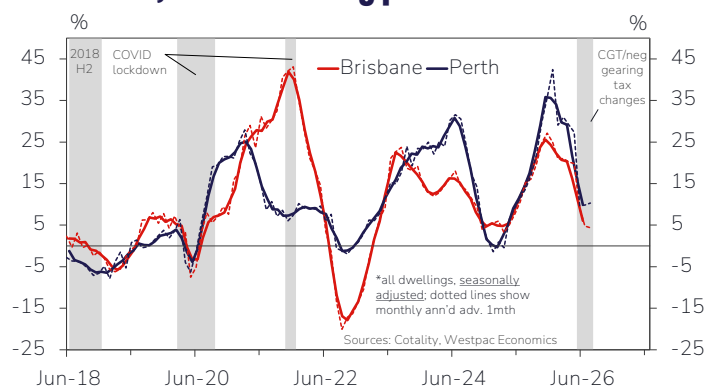


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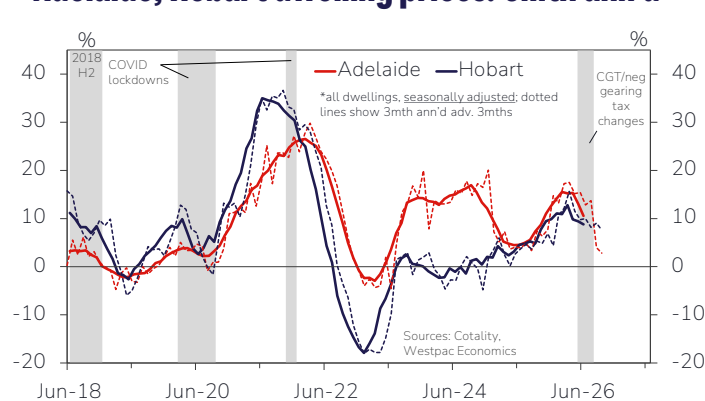
Sydney, Melbourne dwelling prices: 3mth ann'd



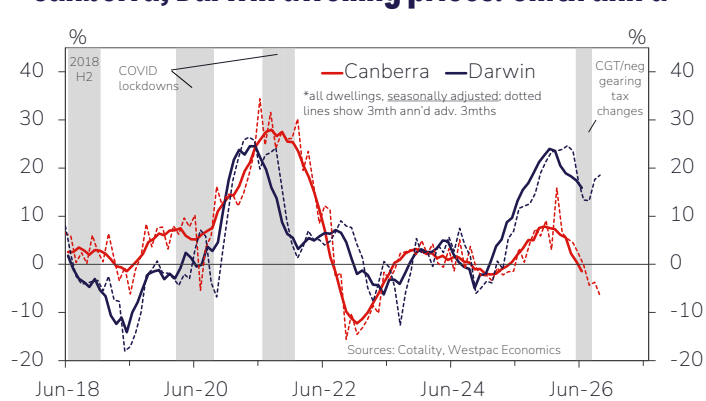
Brisbane, Perth dwelling prices: 3mth ann'd



Adelaide, Hobart dwelling prices: 6mth ann'd



Canberra, Darwin dwelling prices: 6mth ann'd



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Q2 Job Vacancies: drifts lower

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By Neha Sharma
Economist, Westpac

15:00 June 25 2026

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The number of job vacancies fell by 7.1k (–2.1%) between February and May. Much of the decline was concentrated in public sector vacancies which fell –7.9%, with a shallower –1.4% drop in private sector vacancies.

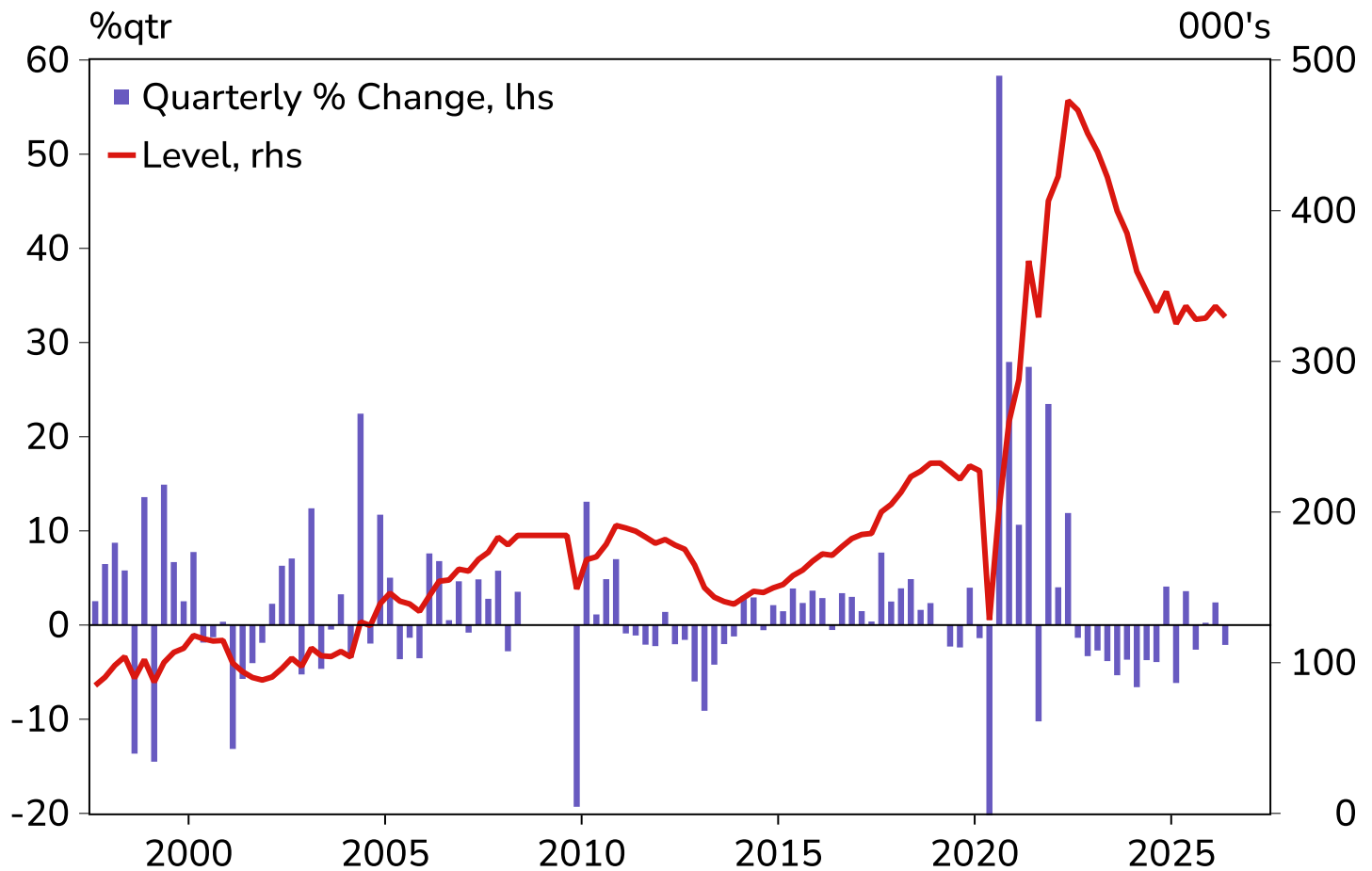


The number of job vacancies fell by 7.1k (–2.1%) between February and May, a slightly smaller decline than our expectation of a –3.5% quarterly fall. The February estimate was also revised lower, to 336.6k from 338.0k. Overall, today's result was broadly consistent with the softness signalled by the monthly partial indicators.

Much of the decline was concentrated in public sector vacancies which fell –7.9%, with a shallower –1.4% drop in private sector vacancies.

Despite the declines, vacancies have largely moved sideways since early 2025. Between 2022 and 2024, vacancies fell rapidly from their post-pandemic peak as labour supply recovered and labour market imbalances eased. The subsequent stabilisation is somewhat surprising given the gradual softening that has emerged in the labour market over the past year. Overall vacancies are still around 40% above pre-pandemic levels.

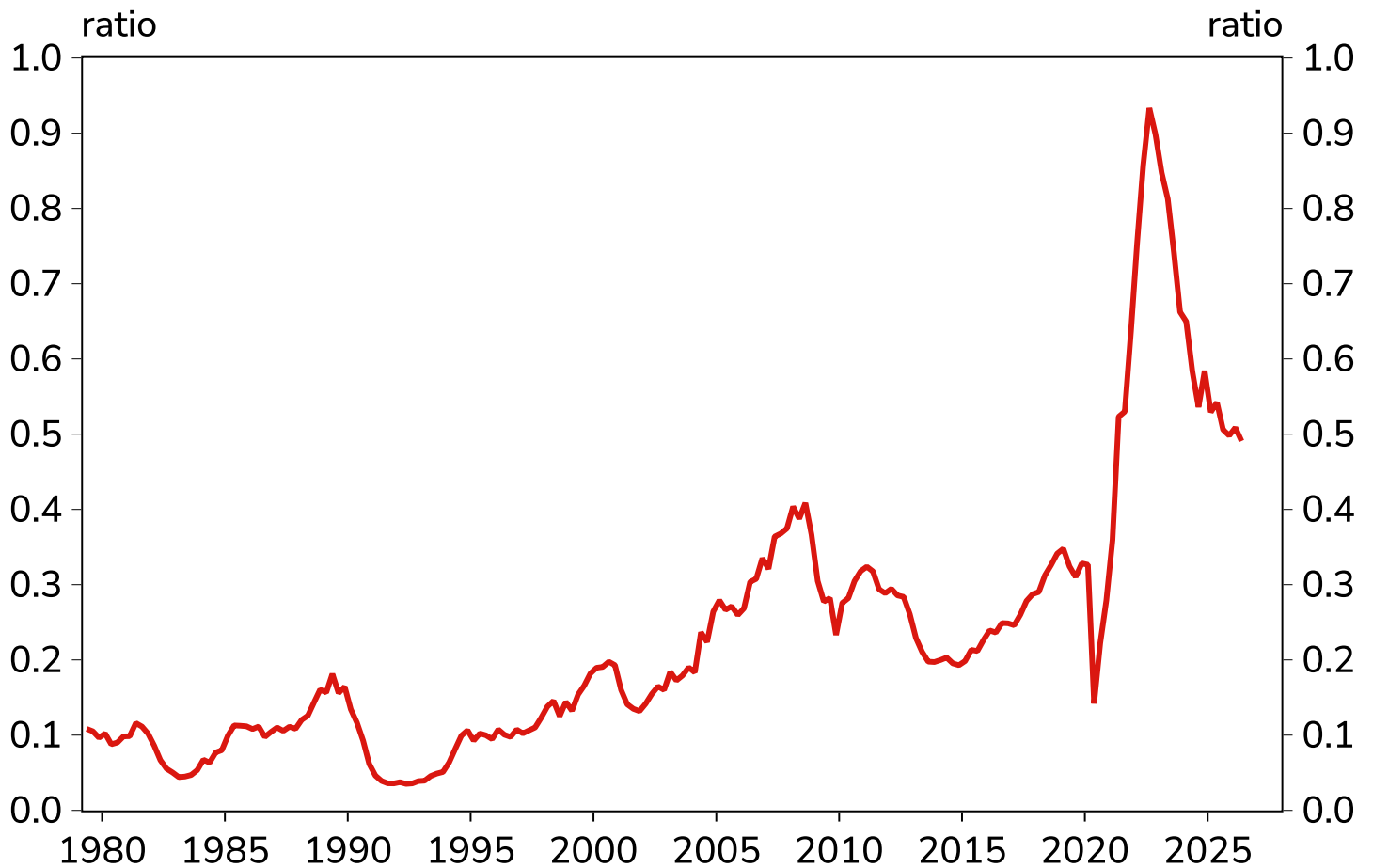
Job Vacancies



Source: ABS, Macrobond, Westpac Economics

The vacancy-to-unemployment ratio – a key measure of labour market tightness closely monitored by the RBA – continued its gradual and somewhat uneven decline, easing from 0.51 in February to 0.49 in May. This reflected both the fall in vacancies and a 1.4% increase in the number of unemployed people over the period. While the move points to a further easing in labour market tightness, the ratio remains well above its historical average of around 0.2.

Vacancy-to-Unemployment Ratio

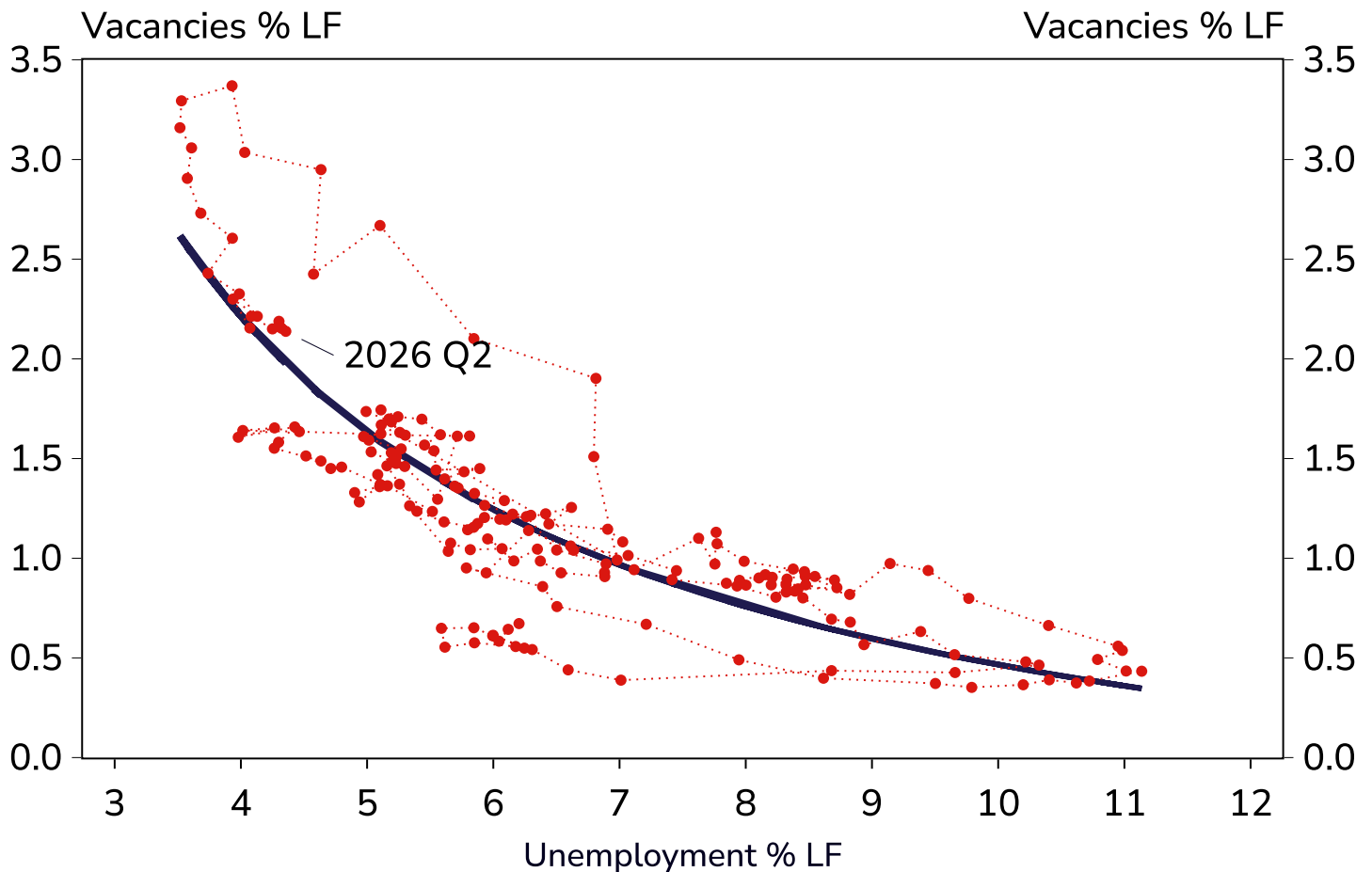


Source: ABS, Macrobond, Westpac Economics

The Beveridge curve can help us place recent developments in a historical context – comparing the relationship between vacancies and unemployment, each as a share of the labour force to better control for growth in the size of the overall labour market. Between 2022 and 2024, the labour market moved down the ‘steeper’ part of the Beveridge curve, where substantial declines in vacancies occurred alongside only modest increases in unemployment.

Vacancies have nudged lower over the past three months and at the same time the size of the labour force continued to grow. This drove the vacancy rate tick lower in the quarter but it was managed without a large increase in the unemployment rate suggesting that the labour market continues to operate around the steeper part of the Beveridge curve, in line with what is expected based on longer-run historical relationships.

Beveridge Curve



Source: ABS, Macrobond, Westpac Economics

All statistics mentioned below are not seasonally adjusted and hence may not add up to the seasonally adjusted statistics referenced above.

By industry, 14 of the 18 industries saw job vacancies decline over the three months. The largest fall was seen in financial & insurance services (–21.2%). This was followed by weakness in a string of consumer facing sectors including: food & accommodation (–16.3%); retail trade (–15.3%); and arts & recreation services (–13.3%). Areas with rises include manufacturing (16.7%), information, media & technology (9.1%), wholesale trade (5.3%) and mining (1.0%).

Overall market services vacancies fell –8.4%, the strongest since mid-2023. Other parts of the market sector saw vacancies rise 2.6%. Non-market sector vacancies fell –3.5%, with the largest declines concentrated in education & training (–6.8%)

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FOMC ready to weather economic uncertainty

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By [Elliot Clarke](#)

Head of International Economics, Westpac

08:22 June 18 2026

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At Chair Warsh's first meeting, the FOMC showed an intent to bring inflation to target, but also a belief that the economy's strength can be maintained.



The first FOMC meeting with Kevin Warsh as Chair was largely as anticipated, with communication on the state of the economy and outlook kept tight and Chair Warsh focused on the practices of the Committee and the Federal Reserve more broadly.

On the latter, a large portion of the press conference was given over to the announcement and rationale of five task force streams across communications, the Fed's balance sheet, data sources, productivity and jobs, and the Fed's inflation framework, with work to be completed "hopefully" by year end.

On the current state of the economy, the labour market was characterised as largely in balance, the statement noting that "Job gains have kept pace with the workforce". Economic activity was also said to be expanding at a "solid pace", with productivity and capital investment "strong" – without recognition of the disproportionate contribution of tech. The wording on inflation was blunt, Chair Warsh making clear in the press conference that the "elevated" inflation of the past 5 years is unacceptable and that the Committee "will deliver price stability".

Regarding the near-term policy outlook, the market showed concern over 9 of 18 respondents expecting at least one rate hike by year end. However, in the press conference, Chair Warsh made clear the degree of uncertainty participants felt in coming to these views. Also, at least with respect to energy prices, in recent days risks have begun to recede, allowing the FOMC to look through immediate pressures – if the nascent trend in oil prices and refining margins remains in place. It is also important to highlight that the fed funds projection for end-2027 is the current rate of 3.625% and the end-2028 median 25bps lower at 3.375%. Chair Warsh refrained from personally offering point forecasts, consistent with his position on forward guidance.

Overall, the FOMC are cognisant of inflation risks and the potential need to react to them, but members also believe robust growth and inflation at target can co-exist. If the US/Iran deal holds over coming months, the FOMC will most likely keep policy on hold. But, if the conflict flares again and/or there is evidence of secondary impacts in prices or expectations, the FOMC is willing to hike to bring inflation back to the 2.0%yr target inside the current forecast period.

As we have repeatedly highlighted, the reaction of the long end of the yield curve will have a material bearing on upcoming policy decisions, determining financial conditions for main street, particularly via mortgage rates.

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1 July 2026

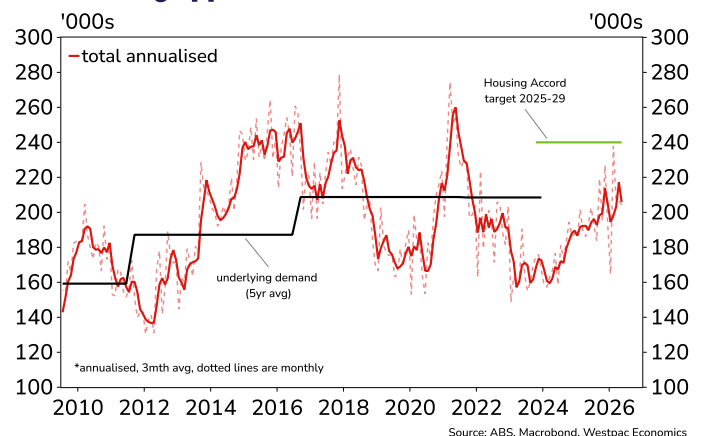
AUSTRALIAN DWELLING APPROVALS BULLETIN

Detached dwellings remain resilient

Key points

- Total dwelling approvals fell 1.1%*mt*h in May, with the annual pace easing to 5.3%*yr*. Approvals continue to normalise from the elevated levels reached in February.
- Private detached dwelling approvals returned to growth, rising 2.8%*mt*h. In contrast, private unit approvals fell 10.4%*mt*h, led by high-rise projects.
- SA and NSW recorded growth, while WA and Victoria posted modest declines. Queensland recorded the weakest outcome.
- The value of residential building approvals fell 5.7%*mt*h, although a sharp rise in non-residential approvals, led by data centre-related projects, saw the total value of building approvals increase 14%*mt*h.
- Further softening appears likely amid a higher rate environment and elevated construction costs, while tax changes add uncertainty to the outlook.

Dwelling approvals



**Total dwelling approvals
-1.1%*mt*h,
5.3%*yr***

Total approvals continue to soften



Luka Belobrajdic
Economist

Total dwelling approvals fell 1.1%*mth* in May, with the annual pace easing to 5.3%*yr*. The result was in line with Westpac's expectation for a 1.0%*mth* decline, although weaker than market expectations for a flat outcome. Private detached dwelling approvals continued to show resilience, while unit approvals further unwound the sharp gains recorded in February.

Note that most figures in the charts and table are presented on a rolling-three month basis to smooth out monthly volatility.

Private detached dwelling approvals returned to growth in May, rising 2.8%*mth* and more than offsetting April's decline. The April result was revised higher, with approvals now estimated to have fallen 0.4%*mth* (+0.6*ppts*) in the month. As a result, the annual pace strengthened to 13.2%*yr*, the strongest outcome since September 2024, suggesting detached housing approvals have remained relatively resilient despite higher interest rates.

Private unit approvals continued to unwind from February's surge, declining 10.4%*mth* in May. This follows an upwardly revised 4.0%*mth* increase in April, compared with an initial estimate of a 3.6%*mth* decline. The annual pace has moved into contraction at -8.6%*yr*, with approvals in the month sitting below the average level recorded across 2025. High rise unit approvals again drove the headline move, with the Westpac seasonally adjusted estimate across both sectors falling 35%*mth*, while low mid rise approvals declined 6.9%*mth*.

Across the states, SA was the strongest performer, with private dwelling approvals rising 8.4%*mth*, driven by unit approvals, while detached dwellings declined. NSW also recorded growth, with private dwelling approvals increasing 1.4%*mth*. WA recorded a modest decline of 0.2%*mth*, while Victoria fell 2.2%*mth*. Queensland was the weakest performer, with approvals falling 14.2%*mth* as both segments retreated.

In value terms, residential building approvals fell 5.7%*mth* in May, with a 0.1%*mth* rise in renovation activity outweighed by a 6.6%*mth* decline in new residential approvals. Non-residential approvals rose 41%*mth*, led by the data centre-dominated 'other commercial' segment, up +254%*mth*. As a result, the total value of building approvals increased 14%*mth*.

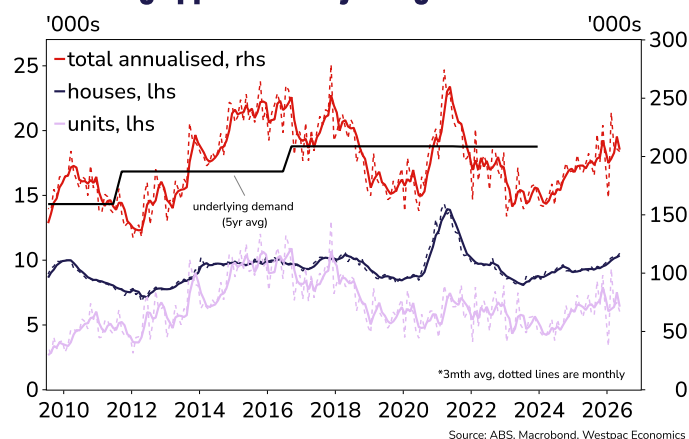
Approvals continue to ease from the elevated levels reached in February, although detached dwellings continue to support the headline result. Looking ahead, downside risks remain, with further possible RBA cash rate increases and elevated construction costs posing headwinds, while tax changes add uncertainty to the outlook. For a full assessment of housing market conditions, see our latest Housing Pulse ([here](#)).

Building approvals – May 2026

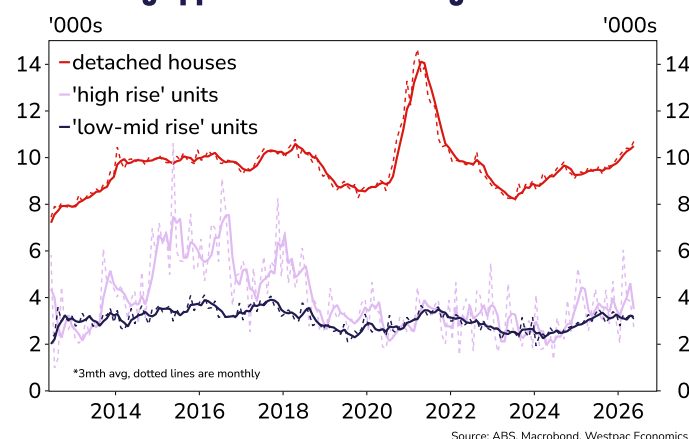
3mth avg	3mth %chg*			%yr	
	latest	Apr	May	Apr	May
Private houses	10,356	4.7	3.8	10.3	11.4
Private units	6,412	24.1	3.1	17.6	4.2
Public dwellings	389	-8.7	27.4	-3.4	8.3
Total dwellings	17,157	11.7	3.9	12.9	8.5
Total dwellings, mthly*	17,019	-0.2	-1.1	10.9	5.3
– units in 'high rise'^	3,516	45.6	-1.5	34.3	10.3
– units in 'low rise'^	3,132	5.0	1.1	7.5	2.2
Renovations, \$bn	1.344	4.1	2.4	14.0	12.6
Non-res., \$bn	8.193	-4.1	4.1	7.2	9.5

*figures for 'total dwellings mthly' are monthly and mthly%ch, all others are rolling 3mth avg and 3mth%ch; ^all sectors, Westpac estimates
Sources: ABS, Westpac Economics

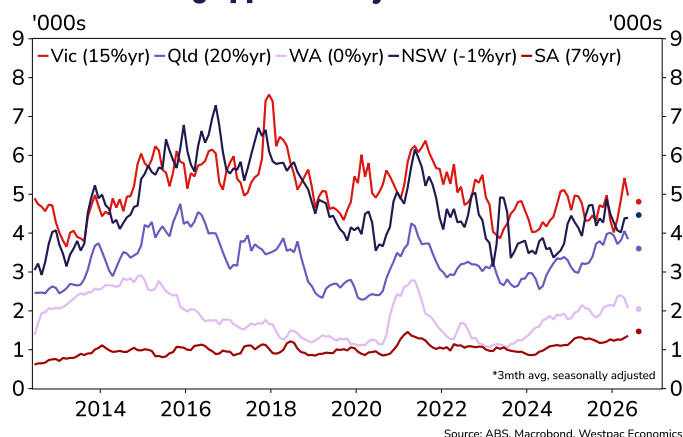
Dwelling approvals: major segment



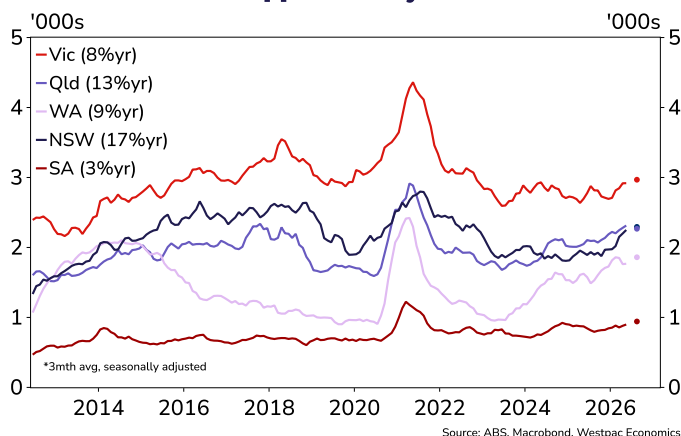
Dwelling approvals: detailed segment



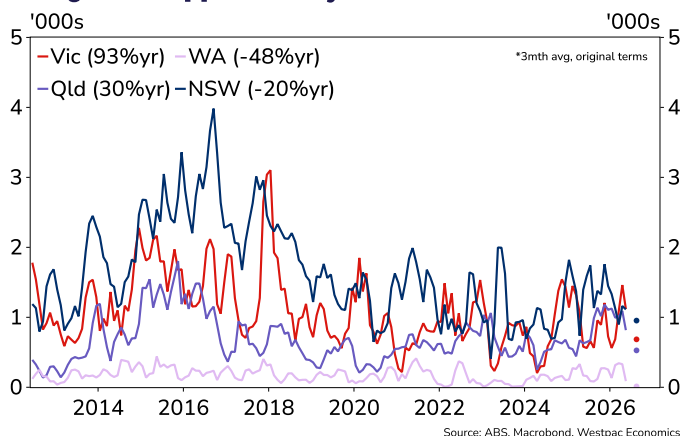
Total dwelling approvals: by state



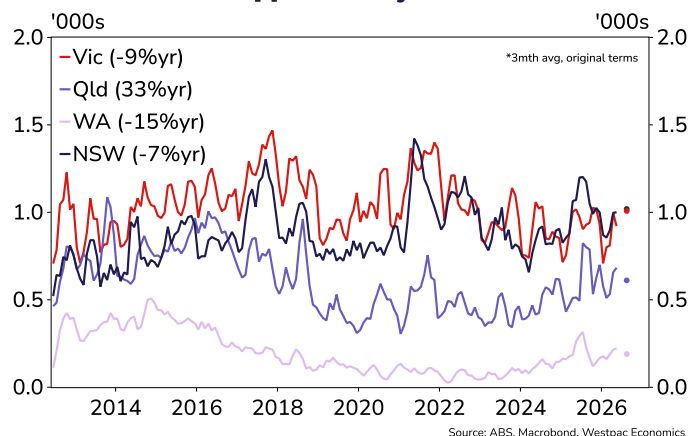
Detached house approvals: by state



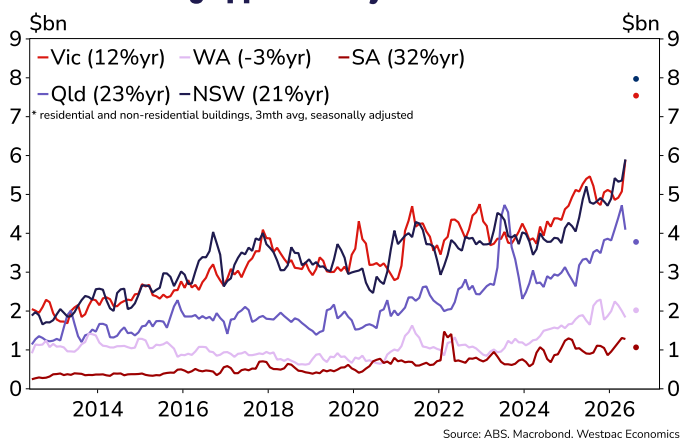
'High rise' approvals: by state



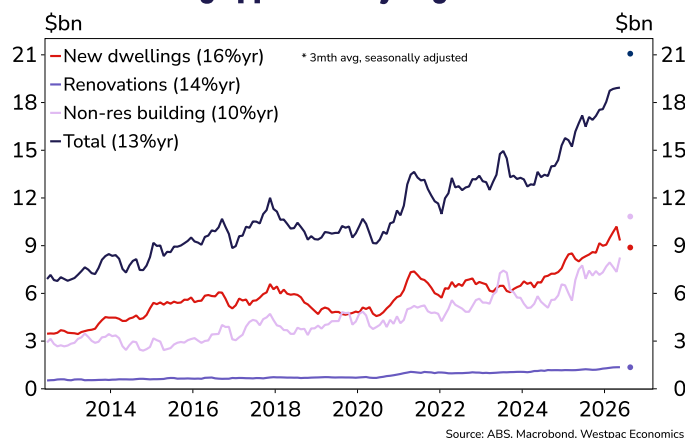
'Low-mid rise' approvals: by state



Total building approvals: by state



Total building approvals: by segment





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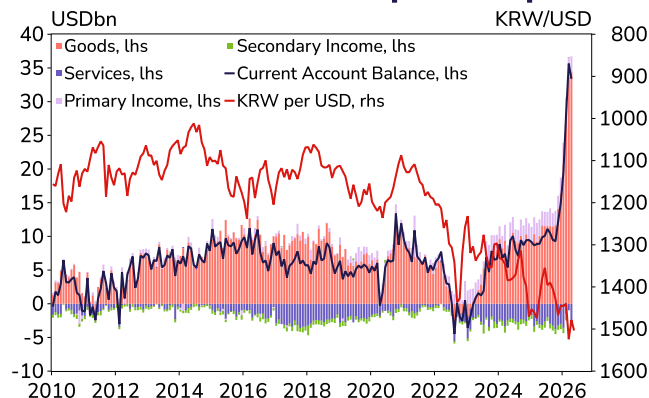
Mapping out Asia ...

- In South Korea, the KOSPI has risen 103% since January 2025, while the won has depreciated by 5.5% against the greenback over the same period.
- The historical relationship between equity performance and the won has weakened materially. Several factors are driving this divergence.
- Retail investors are increasingly allocating capital offshore—often on an unhedged basis—driven by expectations of currency weakness and concerns around concentration risk in the domestic equity market.
- At the same time, corporates across Korea and Taiwan are holding higher USD balances, delaying conversion in anticipation of further currency weakness.

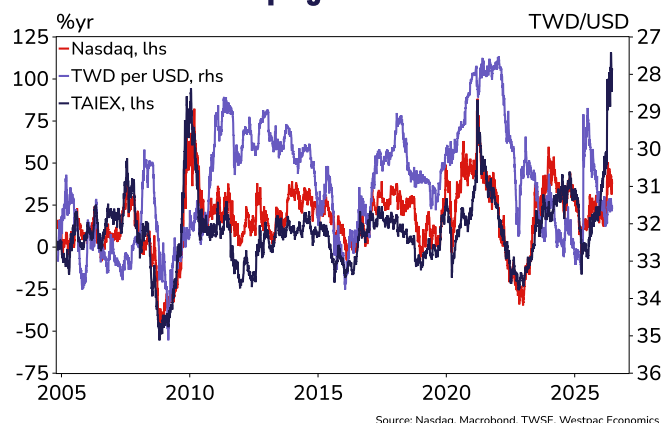


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Won weakens even as external position improves



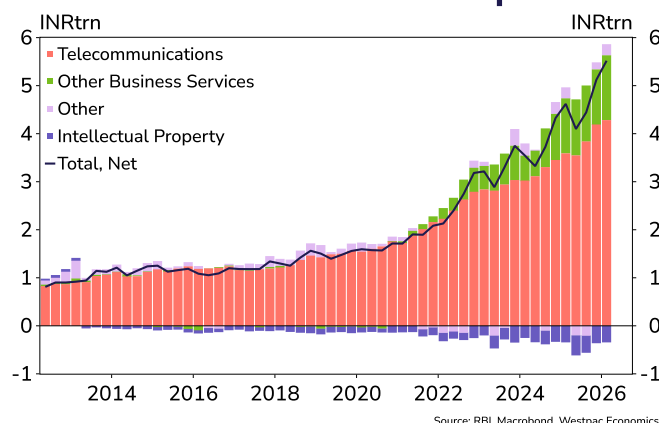
The TWD also not reaping benefits of the tech boom



- Taiwan's large exposure to the tech sector means its equity market is highly sensitive to the Nasdaq. However, like Korea, recent strength in global tech has not translated into gains for the TWD.
- While part of this reflects higher oil prices tied to Middle East tensions, unlike high-beta peers such as the KRW, the TWD has remained range-bound and less responsive to both equity moves and oil-driven shocks.
- This partly reflects the TWD operating as a softly managed float, with policy smoothing limiting sharp moves and dampening short-term volatility.
- More importantly, exporters hedge USD revenues via forwards, pre-committing FX transactions and reducing the sensitivity of spot FX to market developments, weakening the usual equity–FX relationship.

- India's export base has become increasingly services-driven. Telecommunications and broader IT-enabled services remain key strengths; a ₹5.3trn surplus in services partially offsets the ₹8.4trn goods deficit.
- In the near term, AI adoption is likely to automate some offshored activities, posing a headwind to services exports.
- Over a longer horizon, however, the same technological shift could expand the scope for remote work and digital service delivery, supporting India's comparative advantage.
- Companies such as Microsoft and Anthropic are expanding their presence in the region.
- India remains well placed to meet global demand for such services given its young and adaptable population—its median age is 29, compared with 39 in Australia.

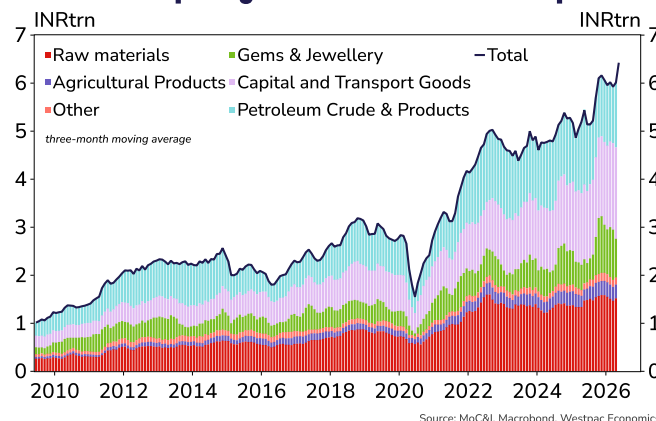
Pressures ahead for India's services exports



... in charts

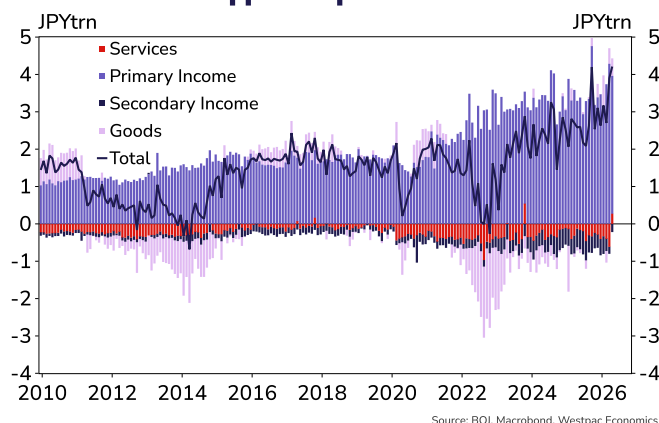
- However, tailwinds in India's growth story can also act as a headwind for the rupee.
- India imports the majority of its energy -- around 20% of imports are oil -- and relies heavily on foreign capital goods for investment.
- As a result, periods of strong growth tend to lift imports, widening the current account deficit and placing downward pressure on the currency.
- India's reliance on imported energy is structural, and it is unlikely to replicate Northeast Asia's scale in high-tech manufacturing.
- As such, persistent external pressures are likely to limit any sustained recovery in the rupee, even in a weaker US dollar environment.

Petrol and capital goods dominate Indian imports



- In Japan, persistent outbound reinvestment of profits continues to exert [structural downward pressure on the yen](#).
- One area of support has been the services sector, with strong tourism inflows boosting activity and contributing to an improved services balance since COVID.
- However, there are clear constraints on expansion.
- Japan's ageing population limits labour supply, which is particularly binding for the labour-intensive services sector is one such constraint.
- Policy reluctance towards large-scale immigration also constrains the potential for further growth, limiting the degree of support the services sector can provide to the yen.

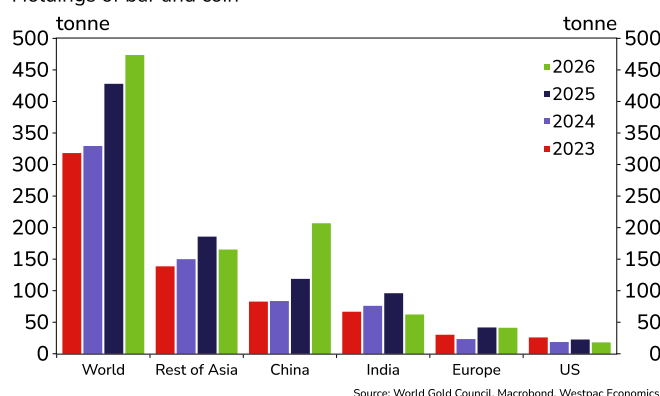
Services could support Japan's current account



- Across Asia, domestic policy is likely to weigh on gold demand in the near term.
- India and Malaysia have introduced import restrictions to curb gold inflows, partly to support external balances and fiscal positions amid rising fuel subsidies.
- Asia's share of global gold holdings has declined (now around 35%, down from roughly 50% in 2025).
- That said, underlying demand remains firm, with some economies -- particularly China -- taking advantage of price dips to increase holdings.
- Over the medium term, this structural affinity for gold is likely to remain supportive of prices despite short-term policy headwinds.

Asian demand is influencing global gold prices

Holdings of bar and coin





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ECONOMIC BULLETIN

Preview of RBNZ July 2026 Monetary Policy Review (Wednesday 8 July, NZT 2pm).

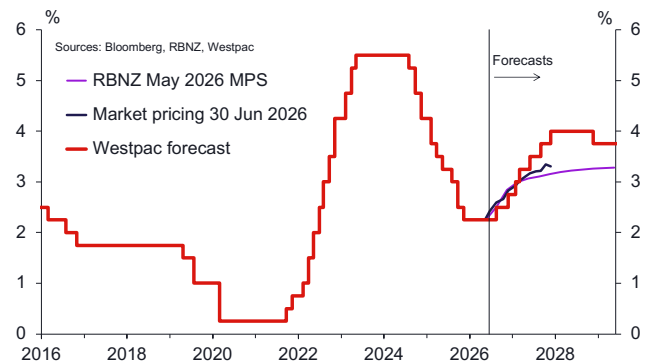


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Keep calm and focus on the data

- We expect the RBNZ to leave the OCR at 2.25% at the 8 July Review.
- Much has changed over the past six weeks. Therefore, while three MPC members had voted for a rate hike in May, we think the “on hold” decision may well be reached by consensus.
- Forward guidance should remain consistent with a lift in the OCR this year. However, the message is expected to be more data dependent than came across at the *May Statement*.
- The press release will likely reaffirm that the timing of OCR increases will depend on what data and other developments suggest about the outlook for medium-term inflation pressures.

Official Cash Rate forecasts



“What we’re saying is it’s likely we’ll see OCR hikes at coming meetings, but we’re not being, you know, exact... how much and at what meeting because we will consider, you know, the incoming data and how the inflation outlook evolves. So, if we see oil prices falling really much more than expected, if we see much much weaker growth, then we may not hike.”

– Governor Anna Breman, Heather du Plessis-Allan
Drive interview, 27 May 2026

RBNZ decision and communication.

We expect the OCR to remain at 2.25% at next week’s 8 July policy meeting. A tightening bias will remain in place that will be explicitly data dependent. In determining when that bias might be acted upon, key factors cited will be the extent of second round pricing pressures, wages pressures and evidence of increasing medium to long term inflation expectations. Evidence that the economic recovery is resuming and the output gap narrowing would also prompt policy tightening at some stage, as was the RBNZ’s forecast in the *February Statement*. The language

pointing to OCR increases as likely in coming meetings could be kept but with a more explicit rider that these are conditional on evidence warranting those increases.

While three MPC members voted for a rate hike in May, the significant developments over the past six weeks make it quite possible that a vote is not required on this occasion. It would be perfectly reasonable for those previously hawkish members to change their view given the relatively quick resolution of the Iran tensions have caught most if not all commentators by surprise. Data dependence is a virtue not a failing in a well-functioning MPC.

Should a vote be needed, then we expect only a small minority of external members to support an OCR increase in July. We don't think any of the doves from the May meeting will want to join the hawkish group. There is also a strong prospect that the hawks from last time will be happy to review the key data that will be released in the week's that follow the July meeting and raise the case for an OCR rise at the September meeting, should that data support that stance.

The discussion will aim to redirect market attention on upcoming data to justify future OCR hikes. Markets became unduly fixated on a July hike after the May meeting and saw it as relatively independent of incoming data and developments in the Middle East, which was unfortunate. We expect the MPC to take the opportunity to correct that impression.

Prospects for a normalisation of the OCR will remain a feature of the RBNZ's communication. But we expect the Bank to shift the frame of reference towards the view the MPC held pre-war. This envisaged a single OCR hike no sooner than the end of this year. As inflation is still higher than anticipated back in February, we think they will signal bringing forward of the date of lift off in the OCR to September but suggest a gradual trajectory from there if second-round inflation pressures from the Middle East supply shock remain in check. The option of consecutive increases in the OCR from September might still be a possibility but would not be presented as base case and would be dependent on data warranting a less gradual cadence of OCR increases. We don't expect the MPC to present a September OCR increase as a given. A slow bounce back of economic activity and evidence of weak underlying inflation pressures in the June quarter CPI could justify delaying to December and thus moving the RBNZ's stance all the way back to that communicated in the February 2026 *Statement*. Reintroducing data dependence into the MPC's future decision-making framework will aim to preserve the option to push the tightening cycle back to December should data suggest that appropriate.

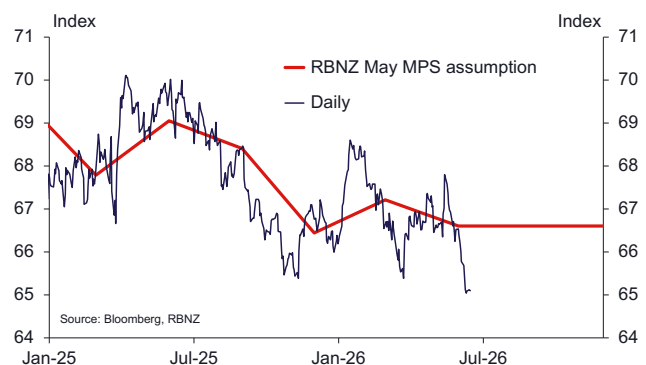
We expect market pricing to take a bit more out of the amount of tightening expected for 2026 and move to a situation where markets price between one and two 25 bp increases by year end. From there the data will determine how market pricing evolves.

Arguments in favour of a hike.

The most prominent argument we have heard among market participants expecting a July hike is that this was more-or-less promised in the May Statement. It's certainly the case that the RBNZ's Q3 2026 assumption of an average OCR of 2.51% is most consistent with a July hike and for some members a July hike may have been the presumption in the absence of a marked change in the inflation outlook. But we certainly don't agree that a hike was in any way promised.

The Governor described OCR increases "in coming meetings", which was deliberately and appropriately vague given the uncertain nature of the environment. The quote we included on the front page of this note illustrates the conditionality of the policy outlook. The Governor explicitly noted in a radio interview after the May meeting that "... if we see oil prices falling really much more than expected, if we see much much weaker growth, then we may not hike". And in various speaking engagements the Governor has referred to a desire to see evidence of second-round pricing dynamics, rising wage pressures and increasing inflation expectations to confirm that any earlier hike in the OCR was necessary. No such evidence has accumulated since May. Similarly, in her public appearances, Assistant Governor Silk has noted that all options were on the table for the July meeting, including a "hold". We think that the near \$30/bbl decline in oil prices since the May meeting was probably beyond even the most optimistic scenario that Silk might have envisaged when she made that comment.

NZD Trade Weighted Index



Another argument is the weakening in the exchange rate in the face of wide interest rate differentials. It is the case that the US dollar has been stronger since the FOMC shifted towards a tightening bias at their last meeting. Similarly, the Reserve Bank of Australia Board sent a message in their last meeting that cash rate increases were still possible. The associated weakening in the NZD has added to inflation pressures. But it's still unclear how persistent these will prove to be in much the same way we don't know how persistent energy related costs pressures will be. More generally the weaker NZD is a positive economic influence as it is assisting the competitive parts of the economy that are the key drivers

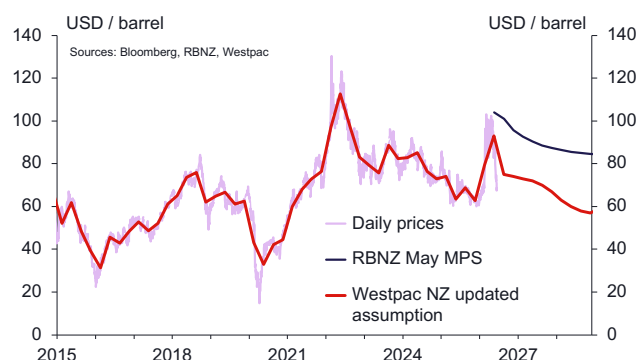
of economic recovery. It's also useful additional pressure on less competitive parts of the economy to adjust (for example import demand, the construction and real estate sectors). The risks of FX depreciation are more likely better managed by retaining the view that the OCR will eventually need to return to developed country norm levels, adjusted for risk premia, as opposed to justify what might be premature OCR increases.

The resolution of at least some of the uncertainty associated with the Iran war will be a fillip to growth in the second half of 2026. The RBNZ has modest expectations for Q3 GDP (0.2% growth) that should be revised higher. Similarly, forecasts for later quarters could be revised higher in line with the stronger anticipated terms of trade now energy prices are lower. Business and consumer confidence, along with housing market prospects, should bounce as the Iran war uncertainty is reduced. Indeed, there is some evidence of this in today's monthly business confidence survey that shows general business confidence rising in June. We think there is some merit to these arguments. But importantly it seems very unlikely that future upgrades to the growth outlook will be sufficient to restore the RBNZ's February *Statement* growth outlook, when recall the RBNZ forecast no more than one 25bp hike in the OCR this year. Today's business survey also shows that its very much early days in the business sector recovery given that backward looking measures of activity suggest still weakening growth momentum. Also the level of business confidence, while higher than that seen in May, is some distance below the levels seen in early 2026, when the RBNZ saw OCR increases coming at the end of 2026.

Arguments in favour of no change.

No further evidence on second round inflation impacts, rising wages pressures or increasing inflation expectations has accumulated since the May meeting. Indeed, short term inflation expectations appear to have reduced in business and consumer surveys as energy prices have fallen and will likely continue to decline if current energy price levels are sustained. Westpac's employment confidence survey shows a still fragile labour market that seems unlikely to support upward pressure on wages.

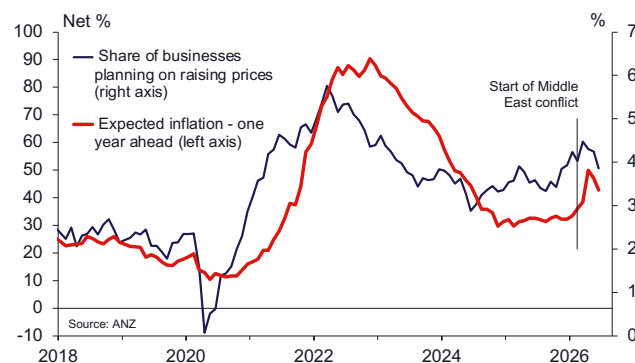
Dubai oil prices



The Iran war has resolved (at least for now) unexpectedly quickly. A \$30/bbl decline in oil prices is big news, sufficient to change the medium-term outlook, just as a \$30/bbl increase was on the way up. With oil and refined fuels prices now well below the levels assumed in prior forecasts (including the RBNZ's May forecasts), forecasts of peak and end year inflation are being revised lower. For example, Westpac now sees CPI inflation peaking a quarter earlier in the June quarter at 4% and ending 2026 at 3.5%. The risks of prolonged inflation dynamics – such as those that had clearly bothered MPC member Prasanna Gai – taking hold must have a much lower probability now compared to that contemplated back in May. Similarly risks to inflation expectations have reduced.

Importantly, further key information will be available soon. The June quarter CPI (released 21 July) will show how widespread inflation pressures are. The monthly indicators provide little insight but to the extent they do, they have shown less inflation than previously feared. The June quarter QSBO will be available in a week and will similarly provide indicators on businesses' pricing and margins as well as activity indicators. The June quarter labour market reports due early August will shed light on the strength of the labour market and wage pressures. The best measures of inflation expectations are also available in August. This avalanche of relevant data scheduled between the July and September meetings always made a July hike a courageous move. With the sharp decline in energy prices significantly reducing the merit of pre-emptive action we suspect even the hawkish MPC members will now be content to see what this data reveals.

Businesses inflation expectation and pricing intentions

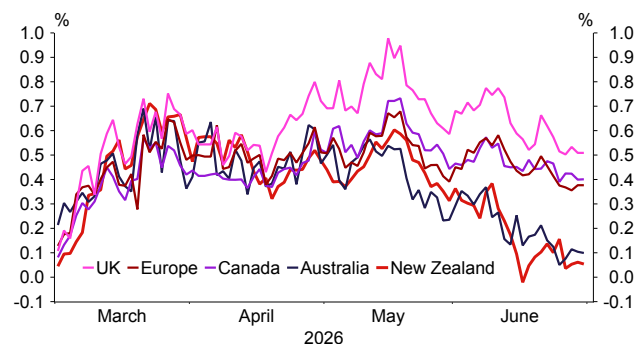


Activity data seemingly confirm a stagnant economy in the June quarter. Most indicators suggest little growth occurred in the June quarter, hence the output gap should have widened. Q1 GDP data was pretty much in line with RBNZ views once revisions are considered (the economy was just 0.1% larger than assumed in the May MPS).

It's also useful to remember that global views on the need for interest rate increases have generally pulled back noticeably (with the key exception of the United States). Market pricing of the expected change in 90-day rates

in the coming 2 years has pulled back across most peer economies with the adjustment to Australasian interest rate expectations being greater than for most. We note that the Bank of Canada remains cool on the potential for interest rate increases this year. This is interesting as Canada seems to be the closest comparator to New Zealand in that both countries are operating with a negative output gap and have similar monetary policy frameworks.

Change in the 3 mth rate 2 years ahead relative to February



Sources: Macrobond, Bloomberg, Westpac

Scenarios.

More hawkish and dovish possibilities exist including:

- A hawkish scenario where the OCR is increased and language suggesting the RBNZ's views haven't shifted much. Markets would rationally assume at least 3, possibly 4 hikes in aggregate for 2026. We see this as implausible and assign a 10% probability to it.
- A dovish scenario that seriously questions a hike before December. The forward guidance could be omitted noting that inflation risks seem much less prominent relative to the still large level of excess capacity. Evidence of strong core inflation and broadening second-round inflation pressures would need to be seen to justify a lift in the OCR, and the statement could note that such evidence is lacking at this stage. The February MPS forecasts could be explicitly referred to as being nearer to the MPC's current frame of reference. This is more plausible and we attach a 30% probability to this scenario.

Kelly's take.

This is an easy decision. While I advocated for an increase in May, there seems much to be gained from waiting to see the outcome of the June quarter CPI. Certainly, the risks of prolonged second-round price impacts are lower than thought earlier given the Iran conflict seems to have resolved much sooner than expected and energy prices have declined far sooner than expected.

Higher interest rates are in prospect in time. But the urgency to begin the process now when such critical evidence is available just around the corner is gone. I suspect a gradual approach of 25bp increases in September and December should prove sufficient for now. The economy will continue to recover through the second half of the year, calling for a return of the OCR to hopefully not much higher than neutral levels (in the high 3s in my view) next year.

I see the risk that the exchange rate will depreciate further over the balance of the year given steep negative interest rate differentials. But if this occurs, this will aid the needed rebalancing of the economy. The market needs to be reminded of the importance of data dependence in determining future OCR adjustments.

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25 June 2026

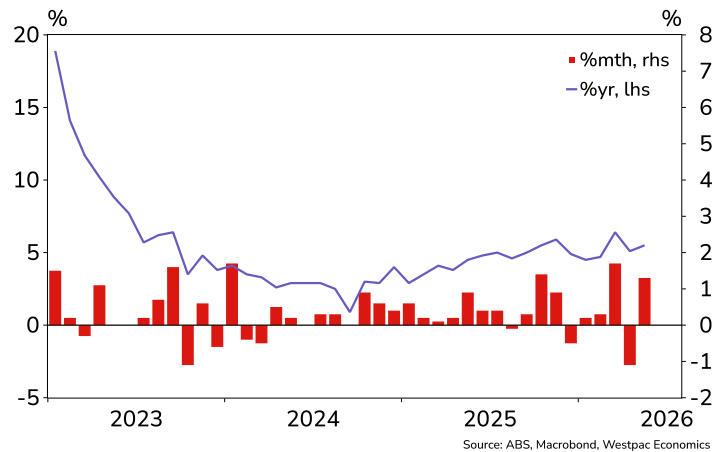
HOUSEHOLD SPENDING INDICATOR BULLETIN

Spending sees broad-based support

Key points

- Household spending rose 1.3%_{mt} in May, fully unwinding April's -1.1%_{mt} fall, with annual growth strengthening to 5.5%_{yr}.
- Services led the rebound after a sharp fall in April, while goods spending rose modestly. Discretionary spending outperformed, while non-discretionary spending edged lower.
- The increase was broad based, with all nine spending categories recording gains. Clothing & footwear, miscellaneous goods & services, and hotels, cafes & restaurants led the gains, while transport spending rebounded as travel-related refunds normalised following April's disruption.
- All states except Tasmania posted gains, with WA outperforming and recording its strongest monthly increase since 2022.
- The outlook for consumer spending remains soft, with consumer sentiment continuing to decline and card activity pointing to a clear moderation in momentum.

Monthly Household Spending Indicator Growth



May household spending indicator: 1.3%_{mt}, 5.5%_{yr}

All spending categories see a rise



Luka Belobrajdic
Economist

The monthly household spending indicator rose 1.3%*mt* in May, fully unwinding April's -1.1%*mt* fall. Today's result came in stronger than both our expectation for a 0.7%*mt* rise and the market's expectation of 0.5%*mt*. With March data revised slightly higher to a 1.7%*mt* increase, annual growth strengthened to 5.5%*yr*. The three-month growth pace also firmed, rising to 1.7%*qtr* from 1.1%*qtr* previously.

By broad category, services led the rise, posting a 2.6%*mt* gain (5.1%*yr*) following a -1.8%*mt* result in April. Meanwhile, goods spending rose a modest 0.1%*mt* (5.9%*yr*), nevertheless marking a reversal in last month's weakness. Discretionary spending increased 2.1%*mt* (5.6%*yr*), while non-discretionary spending declined -0.2%*mt* (5.2%*yr*).

Across the detail, all nine spending categories recorded gains, highlighting the broad-based nature of the increase. Clothing & footwear led the gains, rising 2.7%*mt*, with the ABS attributing the increase to base effects associated with sales events in April. Miscellaneous goods & services also posted a solid rise, increasing 2.2%*mt* in May. Hotels, cafes & restaurants rose 1.9%*mt*, driven primarily by restaurant meals, takeaway and dining out, supported by sporting and cultural events across Australia as well as higher hospitality prices.

Transport spending rose 1.4%*mt*, following April's sizeable decline associated with the halving of the fuel excise. The ABS noted that the increase largely reflected travel-related refunds returning to more typical levels after being significantly elevated in April due to flight cancellations associated with the Middle East conflict. Excluding air transport spending, total household spending would have risen 0.6%*mt*. Elsewhere, all remaining categories recorded gains, with food spending rising 1.1%*mt*, alcoholic beverages & tobacco 1.0%*mt*, furnishings & household equipment 0.8%*mt*, recreation & culture 0.8%*mt*, and health 0.2%*mt*.

State outcomes were broadly positive, with all jurisdictions except Tasmania recording gains. Tasmania declined -0.5%*mt*, while WA outperformed, rising 2.6%*mt*, its strongest result since 2022, consistent with the state's strength in non-fuel spending observed in our latest Westpac-DataX Card Tracker data (see [here](#)). Victoria (+1.7%*mt*), SA (+1.6%*mt*), Queensland (+1.1%*mt*) and NSW (+0.7%*mt*) also posted gains in the month.

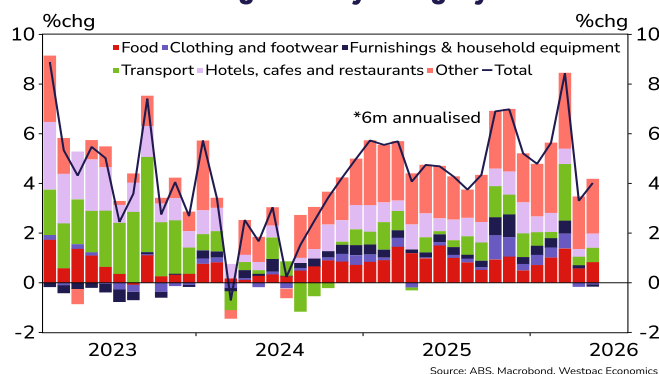
Looking ahead, the outlook for consumer spending remains soft. Our Westpac-DataX Card Tracker points to a clear moderation in activity excluding fuel through to end-May, while consumer sentiment declined further in June from already historically low levels, with cost-of-living pressures remaining front of mind (see [here](#)).

Household spending indicator – May 2026

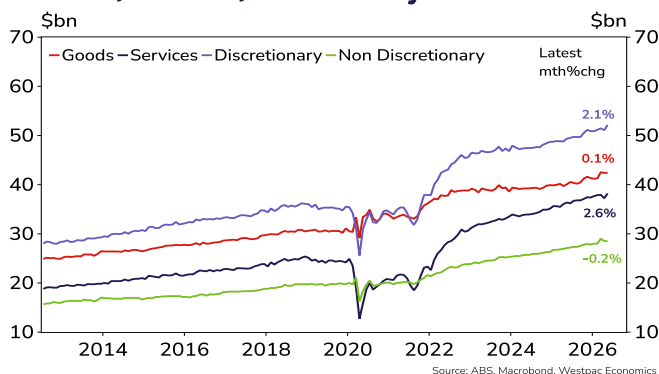
	\$bn	% chg mth		% chg yr	
	May-26	Apr-26	May-26	Apr-26	May-26
sa	80.64	-1.1	1.3	5.1	5.5
trend	80.20	0.4	0.3	5.1	5.1

Source: ABS, Macrobond, Westpac Economics.

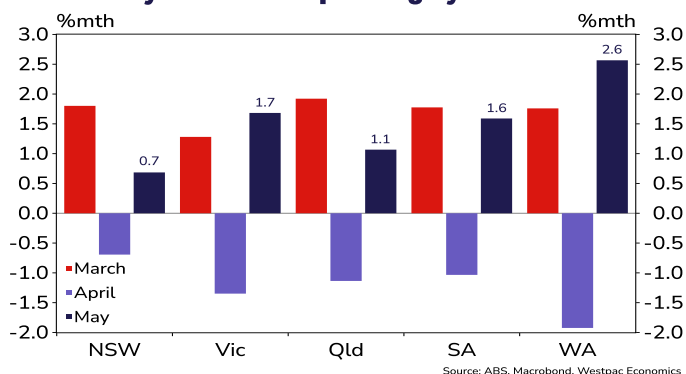
Contribution to growth by category



Goods, services, discretionary & non-discret.



Monthly household spending by state





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WESTPAC WAILIS

PNG ECONOMIC UPDATE AND OUTLOOK

June 2026



PNG in first half

Shamal Chand

Senior Economist, Westpac Pacific Economics

Will Papua New Guinea's economy falter amid the ongoing conflict or emerge largely unharmed? Are elevated LNG prices and an overperforming resources sector sufficient to absorb shocks from higher fuel import costs and surging freight prices? These are the key questions in the current uncertain economic environment.

Since our last major economic update in February, several geopolitical developments have unfolded, most notably the Middle East conflict, which began on 28 February. Now in its 4th month, the conflict has led to the closure of the Strait of Hormuz, which supplies around one-fifth of global energy needs. This disruption has contributed to rising inflation and cost-of-living pressures globally, particularly in fuel-import-dependent economies.

As this report goes to press on 17 June, the United States and Iran have reached an interim agreement to reopen the Strait of Hormuz for 60-days while negotiations continue. While this reduces immediate risks, the deal remains provisional and fragile, with key issues unresolved and escalation still possible. [Westpac Economics in its June 2026 market outlook](#) expects only a gradual recovery in shipping and Gulf production, with flows unlikely to normalise until mid-2027. Oil prices have eased, but current levels are viewed as too optimistic as temporary buffers fade. Brent is forecast to average around US\$87/bbl in Q3 2026, before easing to about US\$68/bbl by late-2027, while LNG remains elevated near US\$19.5/mmbtu in Q3. Risks are two-sided: faster normalisation could see oil fall to US\$60/bbl by 2027, while renewed disruption could push prices above US\$155/bbl.

PNG's economy has so far withstood the Middle East shock relatively well. The government's response has focused on cushioning domestic impacts through aggressive fuel price and supply stabilisation, fiscal buffers and supply management. A K1.0bn programme has capped fuel prices at March levels, supported by direct subsidies and financing for importers. While there were bureaucratic delays in subsidy payouts in mid-May, which led to temporary market-based pricing and panic, the issue has since been resolved.

Authorities have also indicated that supplementary budgets may be introduced to sustain support, funded by higher LNG and mining receipts, while closely monitoring inflation risks. Parallel efforts are being directed towards strengthening energy security, including investments in biodiesel, renewables and supply diversification. The government is also positioning PNG as a stable LNG supplier globally.

Energy security remains a top priority. In April, reports emerged of a potential government plan to acquire the Napa Napa Oil Refinery to ensure long-term fuel security, although no further updates have been provided.

Amid these developments, a key positive outcome has been the activation of Starlink operations in early May. This was widely welcomed by businesses and households following the National Court decision overturning the previous ban. Some telcos have become resellers, complementing broader efforts to expand 4G mobile broadband coverage across the country, one of the fastest-growing non-resource sectors. On May 8, 2026, the cross-border Pukpuk Submarine Cable System (Pukpuk-1) was also officially launched in Jayapura, establishing the first direct high-capacity fiber link between Indonesia and Papua New Guinea.

The Papua LNG project's final investment decision has been delayed again. However, optimism is building for a decision later this year, with the Development Forum scheduled for late June to early July 2026. TotalEnergies' CEO has reaffirmed that the 6.6tn cubic feet project remains a priority. As noted in our February outlook, once construction begins, the project could boost growth by around 2.5 to 3.5ppt for 5 years, with an additional uplift of 1.6 to 2.0ppt during the production phase. This remains one of the most critical upcoming resource developments since PNG LNG began production in 2014.

Cocoa continues to support rural livelihoods and improve living standards, with domestic prices doubling since the start of the year. Global cocoa prices have also been supported by concerns over supply risks in West Africa and the impact of El Niño, boosting export earnings in 2025. While much of the focus remains on resource sector developments, the non-resource sectors continue to strengthen PNG's economic base, supported by increasing rural-urban migration and economic activity in the Highlands.

Headline inflation for the March quarter was 2.24% y/y, with underlying inflation at 1.7% y/y. Although annual inflation has eased, the June quarter reading is expected to rise due to the impact of the Middle East conflict. In response, the Bank of PNG's Monetary Policy Committee has maintained a largely stable policy stance, keeping the Kina Facility Rate at 5.0% and the Cash Reserve Requirement at 9.0%, while continuing with the crawl-like exchange rate regime, as the Kina is still considered overvalued.

Amid ongoing reforms, the International Monetary Fund (IMF) Executive Board has completed the sixth review under the Extended Fund Facility (EFF) and Extended Credit Facility (ECF), along with the third review under the Resilience and Sustainability Facility (RSF). This milestone grants PNG immediate access to approximately US\$163mn (AU\$231mn), with US\$82mn directed towards addressing structural balance of payments issues and easing foreign exchange shortages, and US\$81mn allocated to support long-term climate resilience under the RSF.

Growth outlook still strong

Despite ongoing supply risks and higher import prices, PNG's economy is still expected to grow strongly in 2026, building on the momentum from 2025, when growth is estimated to have reached around 5.5%.

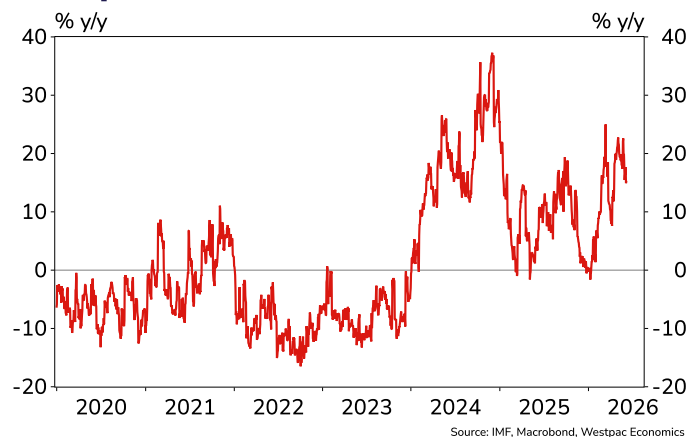
In our February outlook, we projected growth at 4.6%, driven largely by a strong uplift in the non-resource sector. While multilaterals such as the IMF and ADB expect more moderate outcomes of around 3.6% to 3.8%, these forecasts still point to resilience in the domestic economy amid global uncertainty.

The key support continues to come from the non-resource sectors. Agriculture, industry and services are all showing firm expansion, particularly in provincial centres. There are reports of strong growth in retail and industrial output across the Highlands, supported by internal migration and increasing urbanisation. This population shift is attracting new business investment and generating higher real return opportunities. Inflation trends reinforce this demand story, with headline inflation in key centres such as Goroka, Mt Hagen and Madang rising sharply by 12.8% y/y in Q1 2026, reflecting strong consumption pressures alongside supply-led weakness.

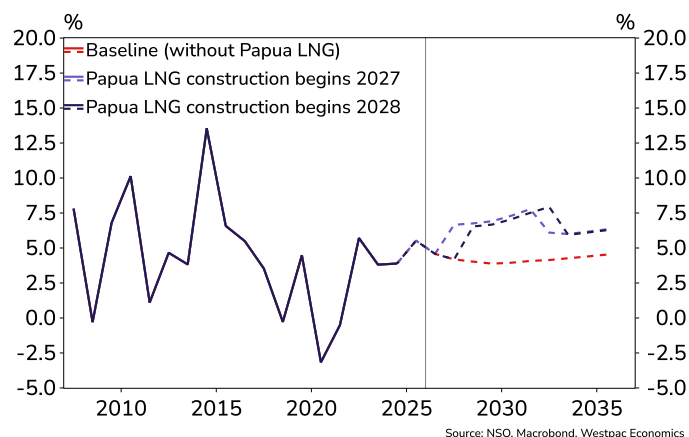
Importantly, investment and trade activity remain robust. Our PNG Ports Imports Indicator Tracker shows that import volumes strengthened through early 2026, with annual growth peaking at around 26% y/y in early May. Although this eased to around 15% y/y by early June, likely due to temporary shipping disruptions linked to the Middle East conflict, import demand remains elevated. This suggests continued strength in both consumer spending and capital investment in PNG.

The resource sector provides additional upside potential. While the Papua LNG project is yet to reach a final investment decision, it remains a major medium-term growth catalyst. In the interim, ongoing expansion in mining and energy projects, including increased production and exploration activity, continues to support output, exports, and fiscal revenues.

PNG Imports Indicator



PNG Growth Outlook



Medium-term economic growth forecast

% Growth	2018	2019	2020	2021	2022	2023	2024	2025	2026(f)	2027(f)	2028(f)	2029(f)
Primary	-4.8	8.1	-5.5	-7.1	4.3	1.2	2.3	6.1	3.5	2.8	2.2	1.6
<i>of which mining</i>	-9.2	11.3	-9.2	-11.6	5.1	1.3	2.4	8.9	4.7	3.4	2.4	1.5
Industry	-1.4	-5.5	-0.7	6.1	11.2	2.5	7.4	4.3	4.6	4.4	4.2	4.4
Service	5.1	2.5	-0.2	4.5	6.3	5.0	5.2	5.4	5.6	5.4	5.6	5.7
Net taxes	3.9	5.0	-9.9	10.5	2.7	20.4	-0.7	4.8	4.6	4.2	4.0	3.9
Real GDP	-0.3	4.5	-3.2	-0.5	5.7	3.8	3.9	5.5	4.6	4.2	4.0	3.9

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

Kina convertibility and foreign exchange

The Monetary Policy Committee (MPC) at its June 2026 meeting kept the Kina Facility Rate unchanged at 5.0% and the Cash Reserve Requirement (CRR) at 9.0%. The MPC also uniformly agreed to maintain the crawl-like exchange rate arrangement, arguing Kina remains overvalued. Stability and certainty were the general tone across all 5 MPC members who voted 5-0 for no changes.

PGK/USD under the crawl-like regime has weakened -0.78% over the month and -2.0% since the start of the year to 0.2287 midrate as of 11 June. Based on various analyses conducted by the BPNG, the Kina is still deemed overvalued. In Westpac's viewpoint, Kina is expected to bottom out at 0.2150 by the end of this year, before BPNG lets it free-float or transition towards the fixed exchange rate system.

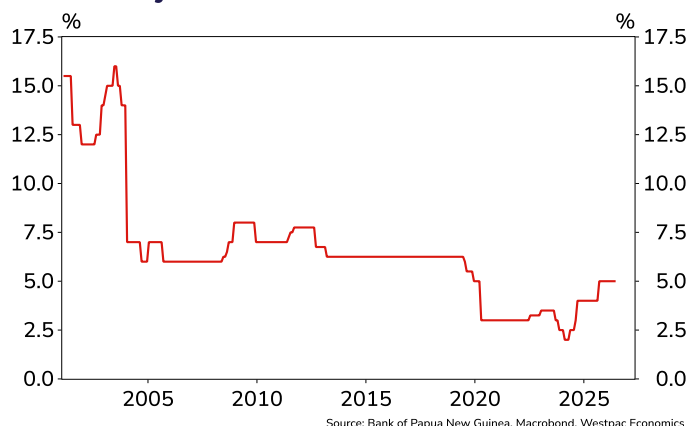
Foreign exchange reserves remained adequate. Gross reserves stood at US\$4.05bn at end December 2025, equivalent to 7.5 months of total imports, before easing to US\$3.75bn by end March 2026.

Government TBILLs were fully subscribed at K370mn on 5 June 2026 across all 3 tenors. As always, TBILLs demand was high, with total bids at K888.63mn. The weighted average yields also moved with 182-days at 4.85%, 273-days at 4.93% and 1-year TBILLs at 5.06%. The 10 June 2026 Government TBILLs auction was also fully subscribed at K480mn, with total bids reaching K993.3mn. Weighted average yields have faced downward pressure, ranging between 4.73% and 4.99%, below BPNG's official policy rate. While one tranche was slightly under-subscribed (273 days), overall excess demand reached K513.3mn.

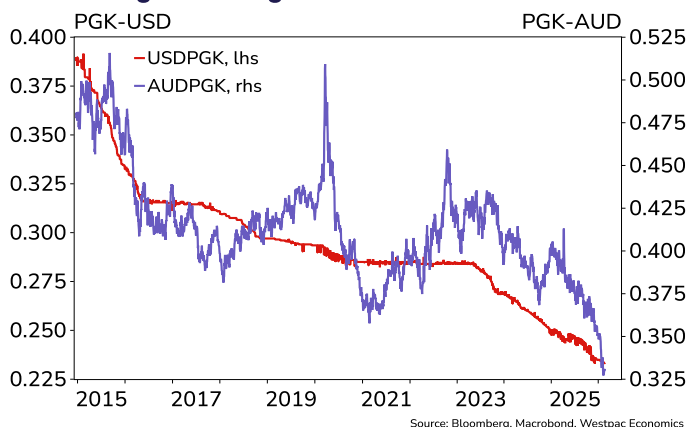
PNG Government plans to raise K3.5bn via TBILLs in Q2, representing roughly 26% of its annual K13.36bn TBILLs appropriation.

Market demand for Government securities remains strong.

Kina Facility Rate



Kina Foreign Exchange Rate



Exchange rate forecast

	Latest	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
PGK/USD	0.2286	0.2200	0.2150	0.2150	0.2170	0.2220	0.2270	0.2320	0.2370
PGK/AUD	0.3248	0.2973	0.2945	0.2945	0.2932	0.3000	0.3068	0.3178	0.3247
PGK/NZD	0.3927	0.3729	0.3583	0.3468	0.3391	0.3415	0.3439	0.3515	0.3591
PGK/EUR	0.1976	0.1880	0.1822	0.1807	0.1808	0.1835	0.1861	0.1902	0.1943
PGK/GBP	0.1705	0.1630	0.1581	0.1569	0.1572	0.1597	0.1621	0.1645	0.1681
PGK/JPY	36.64	34.76	33.54	33.11	32.98	33.30	33.60	33.87	34.13
PGK/SGD	0.2938	0.2794	0.2709	0.2709	0.2734	0.2797	0.2838	0.2900	0.2963

Source: Bloomberg, Westpac Economics Market Outlook

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

Liquidity and risks

After facing major liquidity and foreign exchange shortages, IMF-led intervention has dramatically enhanced foreign exchange market liquidity. This managed adjustment has significantly improved FX conditions. Backed by strong resource export receipts, the chronic domestic foreign exchange backlog has dropped markedly; typical order clearing times have compressed from several weeks to just days. Weekly FX interventions remain active, with standard auctions fully allocating blocks such as US\$5.0mn at a stable average clearing rate of 0.2270.

To insulate the banking sector from sudden shocks, BPNG also launched a robust Emergency Liquidity Assistance (ELA) Policy Framework in April 2026, granting solvent commercial banks access to temporary, fully collateralised 12-month liquidity facilities priced materially above market rates.

In the private space, wholesale corporate bond markets saw innovation, with Kina Securities listing a 10-year, K235mn wholesale fixed-income instrument.

With the improving foreign exchange situation, this has supported the private sector lending space, with credit growth exceeding 13% y/y at 2025-end.

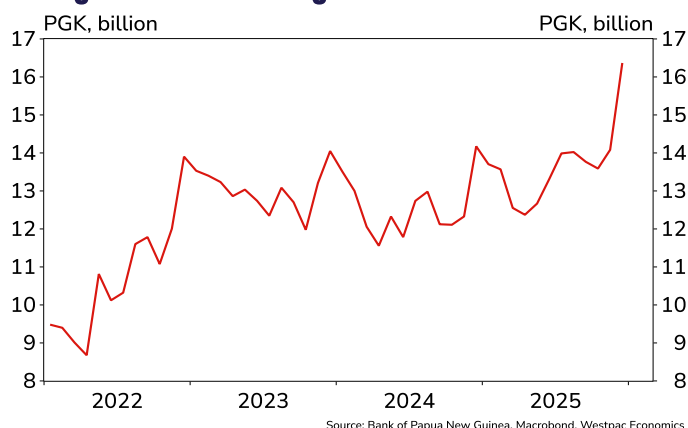
Despite these positives, PNG faces ongoing governance alignment challenges. In early 2026, the Financial Action Task Force (FATF) placed Papua New Guinea on its international “grey list,” identifying persistent compliance gaps in domestic anti-money laundering (AML) and counter-terrorism financing legislative frameworks.

Westpac PNG leadership has emphasised that grey listing does not constitute an economic sanction or a judgment on the solvency of domestic banks, sentiments also shared by other financial institutions.

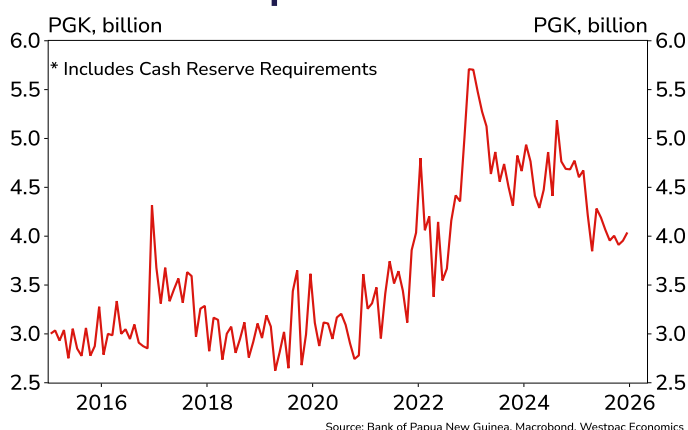
To expedite a removal track, a senior delegation from the US Treasury visited Port Moresby from March 9 to 13, establishing deep technical cooperation with the BPNG, the IRC, and the Financial Analysis and Supervision Unit (FASU). This intervention focuses directly on closing major financial compliance leakages.

Reflecting this heightened enforcement environment, the FASU 2025 review revealed that the unit processed 8,336 Suspicious Matter Reports and over 4.8mn threshold transactions, while publishing a comprehensive Forestry Sectoral Risk Assessment uncovering over US\$2bn in structural transfer pricing and illicit financial leakages between 2014 and 2019. This data-driven push is critical to restoring long-term global investor confidence.

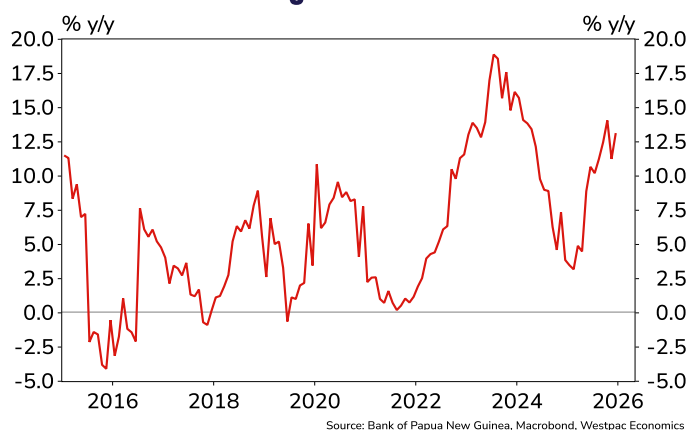
Foreign reserves holding



Commercial bank deposits with BPNG



Private sector credit growth



Underlying inflation lifts up in March

The headline CPI rose by 0.50% q/q and 2.24% y/y in Q1 2026 (March quarter). The annualised headline inflation has fallen to 3.7% compared to 4.4% previously.

The quarterly increase was overwhelmingly driven by Food and Non-Alcoholic Beverages. Within food, meat (notably chicken and lamb) and processed staples (bread, cakes, pasta) were the key upward movers, while rice prices declined slightly, partially offsetting gains. A notable counterweight came from Betel Nut and Mustard, which fell sharply and generated the largest negative contribution to inflation, pulling down the broader Alcoholic Beverages, Tobacco and Betel Nut category.

On a year-on-year basis, the 2.24% increase was driven less by food and more by Alcoholic Beverages, Tobacco and Betel Nut alongside communication, transport, and services (health, education, recreation). Food's annual contribution was comparatively modest, reflecting base effects and earlier price normalisation, while cereals and rice exerted downward pressure.

Underlying inflation measures show stronger momentum than headline. Core inflation (measured by excluding seasonal, excise, and price-controlled items) rose by about 1.76% q/q, significantly above the 0.50% q/q headline rate, suggesting that underlying price pressures, particularly in services and non-volatile components, are firmer than headline implies.

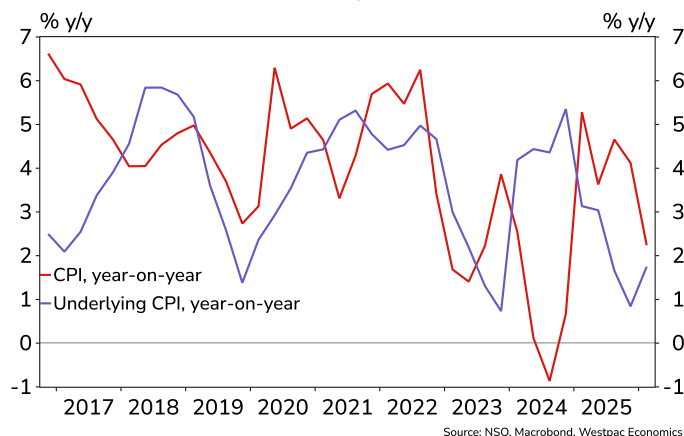
However, the gap between headline and underlying inflation remains relatively narrow in annual terms, indicating no sharp divergence.

Regionally, inflation is highly uneven but fell broadly. Regions (Lae and Port Moresby) closer to ports and business districts recorded much lower inflation as usual. The headline inflation in Lae rose by 0.8% y/y, softer than 1.7% y/y prior quarter. In Port Moresby, headline CPI fell by 0.2% y/y compared to prior quarters increase of 0.4% y/y. In the Highlands, inflation remained higher, driven by both distance from ports and rising demand. Prices increased by 6.0% y/y in Alotau, Kimbe, Kokopo and Rabaul, and by a significantly higher 12.8% y/y in the Goroka, Hagen and Madang region.

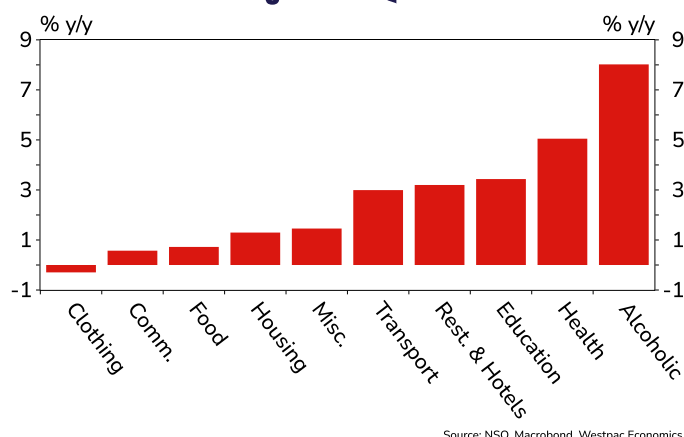
Overall, inflation in Q1 2026 is low but structurally food-driven and regionally fragmented, with emerging signs of firmer underlying pressures. The dominance of a few categories, particularly food and betel nut, continues to mask broader but moderate price increases across services and urban centres.

The Middle East conflict is expected to provide import-led driven uplift in Q2 2026 and later inflation reading for PNG.

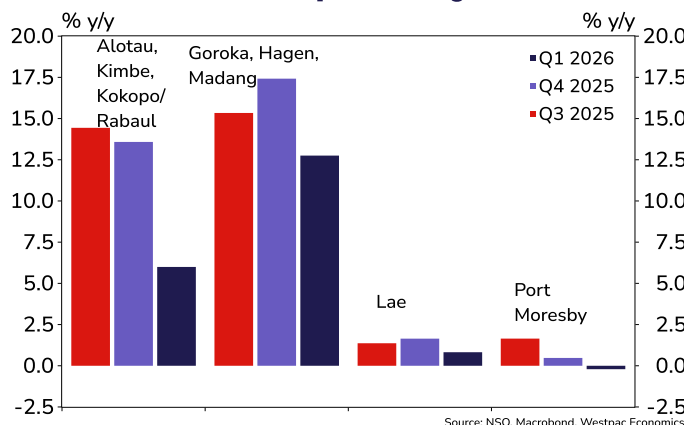
Headline inflation 2.2% in Q1-2026



PNG's inflation categories in Q1 2026



Headline inflation in respective regions



Mining exports boost

Papua New Guinea's LNG and gold export performance in 2026 reflects a steady production profile alongside shifting price dynamics led by the Middle East conflict.

PNG LNG operations have remained robust, with export volumes reaching approximately 3.73mn tonnes year to date to May 2026 (January to May), compared with around 3.41mn tonnes over the same period in 2025. This reflects consistently high utilisation rates, mostly at or above 100%, indicating stable upstream production and minimal operational disruptions. The strength in volumes has underpinned export flows to key markets, particularly Japan and China.

For Japan, LNG export values totalled K3.33bn year to date to April 2026, slightly higher than K3.29bn over the same period in 2025. The marginal increase in export value to Japan despite global LNG prices surging signifies operations under long-term contract arrangements. Exports to China also strengthened, reaching 685mn kilograms year to date to April 2026, up 23% from roughly 555mn kilograms in 2025.

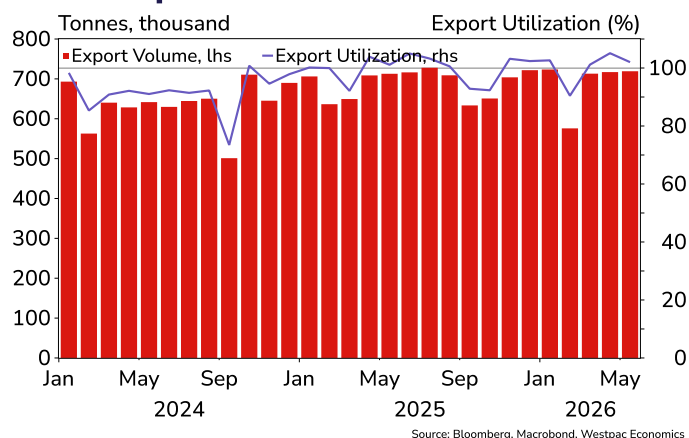
However, the dominant driver of LNG export performance has been the global price cycle shaped by the Middle East conflict. Early in 2026, disruptions to shipping through the Strait of Hormuz and damage to regional energy infrastructure created a significant supply shock, tightening global LNG markets and lifting prices. This supported PNG's export receipts despite modest volume gains.

Furthermore, gold exports to Australia reached K6.51bn year to date to April 2026, up sharply by 30% from K5.02bn in the same period in 2025. This increase reflects both higher export volumes and earlier elevated gold prices driven by geopolitical uncertainty. Importantly, production outcomes in PNG's mining sector have exceeded expectations.

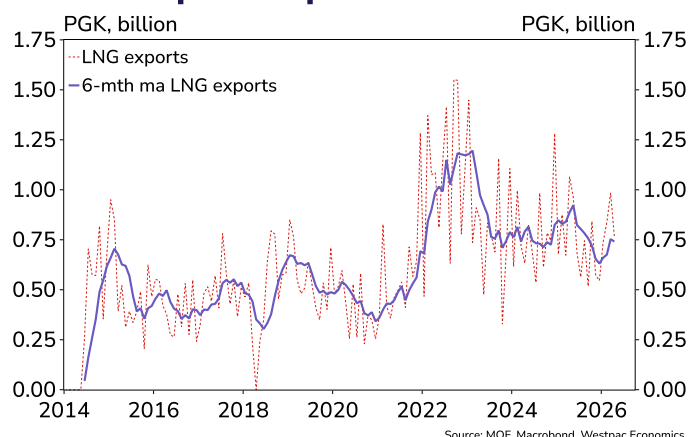
Recent data highlights that gold miners have not only benefited from prices but have also outperformed production forecasts, particularly among major operators. K92 Mining, for instance, recorded strong production expansion and record output as its operations scaled up, while exploration activity and capacity expansion across key sites have accelerated. Similarly, ongoing production growth in projects such as Kainantu and steady output from operations like Ramu Nickel and other resource projects point to a broader trend of mining sector outperformance, with firms delivering higher-than-anticipated volumes.

Despite this strong performance, the gold outlook is also moderating. Global gold prices have softened more recently as rising interest rates and reduced safe-haven demand weigh on markets. This suggests that while PNG's miners have exceeded output expectations, the price environment may become less supportive in the second half of the year.

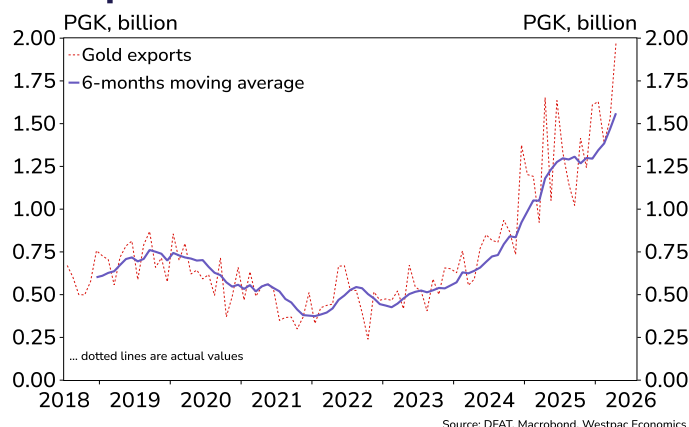
PNG LNG Export



PNG's LNG export to Japan



Gold exports to Australia



Update on key investments

Papua LNG – A US\$14bn LNG megaproject

The single largest anticipated investment is the Papua LNG project led by TotalEnergies, with partners ExxonMobil and Santos, now fully cost optimised to about US\$14bn. PNG's Prime Minister and Petroleum Minister have reaffirmed the project as a top priority, with a Final Investment Decision (FID) targeted by late 2026. To pave the way, the government announced a landowner Development Forum for June to July 2026 to finalise benefit-sharing arrangements.

Officials report the project remains on track after cost reductions from an earlier US\$18bn estimate. Once sanctioned, Papua LNG's two planned trains, supported by around 6.6tn cubic feet of gas, are expected to significantly lift growth and export receipts, one of the largest after the PNG LNG project in 2014.

Mining and Petroleum

In the mining sector, Wafi-Golpu, a proposed US\$5.0bn gold copper project, is progressing toward final approvals, with the State targeting a 30% equity stake. At the same time, K92 Mining has committed up to K150mn exploration to expand drilling at its Kainantu operation, where recent production has already exceeded expectations. Broader sector performance remains strong, with record output at Kainantu and steady expansion at Ramu Nickel.

Additional investment momentum is emerging across exploration and mid tier projects. K92 Mining's broader expansion programme, linked to its Stage 4 development, continues to scale output, while Adyton Resources and other gold projects are advancing regulatory milestones to restart or expand operations. Gold exploration activity has intensified across Morobe and Upper Sepik regions, signalling a growing pipeline of future production capacity.

In the petroleum sector, PNG is advancing new exploration alongside major LNG developments. The Mailu 1 ultra-deepwater well, led by TotalEnergies and PETRONAS, is expected to commence drilling in 2026, targeting offshore reserves.

Meanwhile, the ExxonMobil led P'nyang LNG project remains deferred pending fiscal negotiations but could deliver significant long term benefits, including a 63% national share when it proceeds.

Further, the PNG LNG joint venture formally approved the Agogo tie-in upstream gas development project in mid-2026. This project represents a targeted US\$400mn capital investment encompassing the construction of a new 19km pipeline and localized production wells, designed to deliver an additional 135mn cubic feet per day of natural gas capacity by its target completion in Q2 2028.

National Infrastructure Initiatives

The government is implementing large-scale infrastructure investments to address capacity constraints and support growth. A K2.5bn redevelopment of Port Moresby International Airport was launched in 2026, aimed at expanding long-term passenger capacity. In addition, Cabinet has approved a K400mn redevelopment of Rabaul port, backed by financing from French and European partners.

The government has also secured approximately K109mn (EUR25mn) from the European Investment Bank to upgrade Port Moresby's water supply network, improving urban resilience and service delivery.

At the centre of this is the Connect PNG programme, the government's flagship infrastructure initiative. This is a K20bn, 20-year investment (2020–2040) aimed at transforming national connectivity through road expansion and rehabilitation. The programme targets the construction and upgrading of over 16,000km of roads, alongside critical bridge infrastructure to connect rural and resource-rich regions to major economic centres.

Progress to date shows both momentum and constraints. More than K4.0bn has already been spent, with Phase One (2020–2027) partially implemented and focused on priority highways such as the Highlands Highway and key economic corridors. However, implementation has faced funding and execution challenges. While the programme is legislated to receive around 5.6% of the national budget annually, actual disbursements have fallen short of requirements, creating funding gaps and slowing progress in some areas.

Urban and Real Estate Development

In Port Moresby, Baosen International Holdings is moving ahead with a K4bn mixed-use development at Five Mile, including a 90,000sqm retail complex and over 600 residential units. The project will operate under a Special Economic Zone framework, supported by dedicated utilities and infrastructure. This reflects strong foreign investor participation in urban development.

Importantly, the government's "Take Back PNG" agenda continues to emphasise stronger national participation and benefit-sharing arrangements, although at the risk of investor pull-back.

Cocoa and coffee boom lifts livelihoods

Cocoa

Domestic cocoa prices in PNG have remained elevated into early–mid 2026, sustained by the after-effects of the global cocoa supply shock. Global cocoa prices surged from around US\$2,600–3,000/ton in 2023 to over US\$10,400 in April 2024, before easing through 2025 and moderating further to around US\$3,200–4,000 by early 2026.

Cocoa export earnings surged from K398.6mn in 2023 to K1.15bn in 2024, before climbing further to K1.80bn in 2025, a near 4.5 times increase in just two years. This marks the strongest expansion in PNG's modern cocoa export history.

The scale of the export windfall has driven a significant liquidity injection into rural provinces, supporting consumption and development across cocoa-growing regions. Cocoa is now firmly anchoring agricultural export earnings, reversing a decade-long period of stagnation where receipts largely remained below K400mn annually (2017–2022). Bougainville continues to play a central role in this expansion, maintaining its position as the country's leading producer, with production approaching pre-crisis capacity.

However, forward risks are intensifying. Global cocoa markets are now undergoing a rapid correction. Prices have fallen sharply from their 2024 peaks, declining by more than 60% at the trough in early 2026 before partially stabilising. This reflects improving supply conditions and a shift toward a global surplus (around 48,000 tonnes in 2025/26). For PNG, this creates a clear downside risk to export receipts.

Coffee

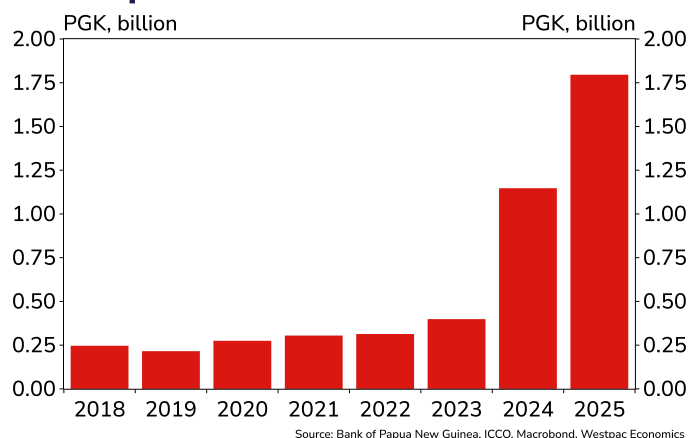
The coffee sector is now entering a cyclical downturn after peaking in 2025. Export data highlights this volatility clearly. Coffee export earnings rose from K737mn in 2024 to K1.31bn in 2025, representing a 78% increase, driven by elevated global prices. However, this surge follows an already volatile trajectory, including a previous spike to K854mn in 2022.

Global coffee prices rose steadily from around US\$150–180/lb in 2023 to over US\$330–400/lb in early 2025, before declining to approximately US\$285–300/lb by mid-2026. This correction reflects a major supply response, led by Brazil.

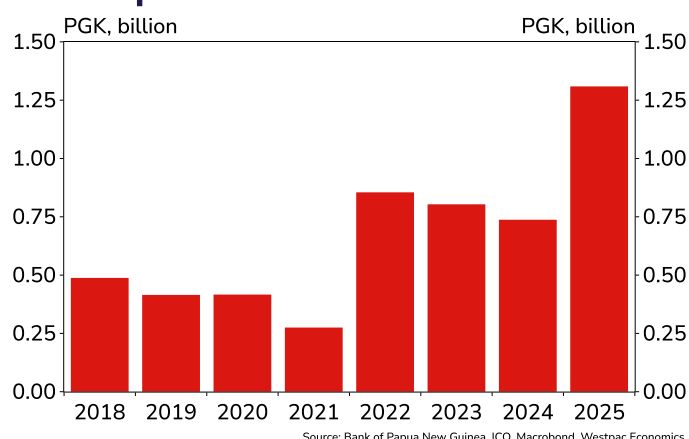
Brazil's 2026/27 harvest is expected to expand significantly, pushing global production into surplus for the first time in 5 years. This shift is already feeding into price decline. PNG's domestic coffee prices are softening, with roadside parchment returns reportedly trending lower.

Despite this, PNG retains a competitive niche in premium and specialty segments, where demand remains relatively resilient. However, volumes and farmgate returns remain highly sensitive to global price movements, particularly given limited value-add domestically.

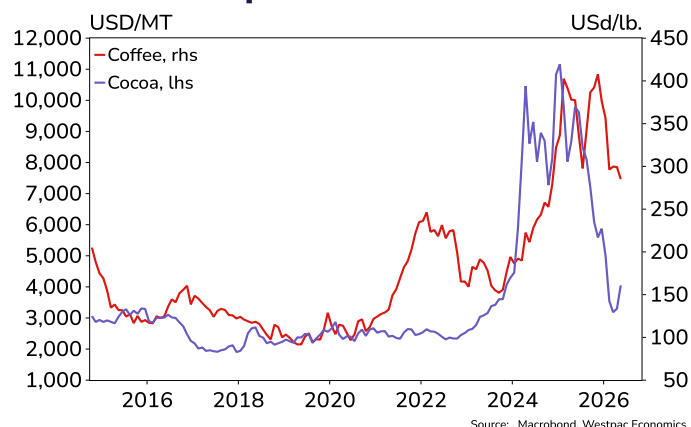
Cocoa exports at K1.8bn in 2025



Coffee exports at K1.3bn in 2025



Cocoa and coffee price fall in 2026



Commodity price forecast

End of Period	Latest	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28
Bulk commodities										
Crude oil (US\$bbl) Brent	95	87	85	84	77	74	69	65	62	60
LNG in Japan US\$mmbtu	18.7	19.5	18.8	17.7	16.5	15.0	13.0	12.4	11.6	10.8
Gold (US\$/oz)	4,442	4,600	4,630	4,570	4,540	4,570	4,600	4,630	4,660	4,700
Copper (US\$/t)	13,828	13,510	13,630	13,590	13,520	13,420	12,960	12,590	12,300	12,100
Iron ore finesTSI @ 62% US\$/t	105	102	97	90	84	83	84	84	85	85
Nickel (US\$/t)	18,743	18,520	18,220	18,020	17,820	17,620	17,120	16,230	15,730	15,530

Source: Westpac Economics Market Outlook

Interest rate forecast

Economies	Latest	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28
Australia										
Cash	4.35	4.85	4.85	4.85	4.85	4.85	4.85	4.60	4.35	4.10
10 Year Bond	4.82	4.90	4.90	4.90	4.85	4.85	4.85	4.85	4.85	4.90
United States										
Fed Funds	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
10 Year Bond	4.47	4.50	4.50	4.55	4.55	4.60	4.65	4.70	4.75	4.80
New Zealand										
Cash	2.25	2.50	3.00	3.50	3.75	4.00	4.25	4.25	4.25	4.25
10 Year Bond	4.48	4.65	4.80	4.95	5.05	5.10	5.10	5.10	5.10	5.05

Source: Westpac Economics Market Outlook

Economic growth forecasts (year average)

Country	2021	2022	2023	2024	2025f	2026f	2027f	2028f
World	6.6	3.8	3.5	3.3	3.4	3.1	3.3	3.3
United States	6.2	2.5	2.9	2.8	2.1	2.1	1.8	1.9
China	8.4	3.1	5.4	5.0	5.0	4.7	4.6	4.4
Japan	3.6	1.3	0.7	-0.2	1.1	0.6	0.8	0.9
India	9.7	7.6	7.2	7.1	7.6	6.5	6.7	6.6
Europe	6.4	3.7	0.5	0.9	1.5	0.2	1.1	1.5
Australia	5.4	4.2	2.1	1.0	2.0	1.7	1.3	2.3
New Zealand	5.5	2.6	2.2	-0.3	0.2	1.5	2.7	3.4

Source: Westpac Economics Market Outlook

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PNG's Metal/Mineral exports forecast

Commodity	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029
Cobalt ('000 tonnes)	2.6	3.6	3.3	3.1	2.8	3.0	3.4	3.0	3.3	3.3
Condensate ('000 barrels)	9,523.0	8,618.5	7,055.3	6,092.5	4,914.3	5,608.0	4,685.5	4,084.7	3,484.0	2,883.8
Copper ('000 tonnes)	82.3	66.0	73.9	94.7	115.4	105.5	111.2	115.5	119.7	123.8
Crude Oil ('000 barrels)	4,819.8	6,176.7	7,214.1	7,071.1	7,380.5	4,567.9	4,648.2	4,671.9	4,516.8	4,349.1
Gold (tonnes)	54.1	44.0	39.6	41.9	47.2	47.5	41.2	39.5	37.6	35.7
Logs ('000 cubic meters)	2,891.0	2,787.1	3,059.7	2,261.0	1,990.0	1,833.3	1,632.2	1,429.9	1,225.6	1,020.1
Marine Products ('000 tonnes)	203.4	129.6	129.1	84.6	261.2	224.1	195.4	205.4	212.9	217.9
Nickel ('000 tonnes)	29.7	39.1	37.2	34.1	30.6	32.8	38.6	35.7	41.4	39.6

Source: Westpac Pacific Forecast

PNG's Agricultural exports forecast ('000s tonnes)

Commodity	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029
Cocoa	33	36.6	40	38.5	39.9	58.6	51.2	46.5	49.3	53.0
Coffee	40.7	25	50.9	57.9	49.6	49.7	50.0	50.0	50.0	50.0
Copra	36.7	35.1	23.8	13.3	23	22.4	13.3	23.7	24.0	19.5
Copra Oil	10.4	11.6	30.1	17.1	22.7	15.5	19.0	20.2	20.7	21.3
Palm Oil	557.9	657.5	676	684.4	679.5	696.8	727.3	741.1	763.1	779.5
Rubber	3.1	2.8	2.6	2.7	2.3	2.8	2.7	2.6	2.6	2.6
Tea	0.17	0.33	0.17	0.4	0.35	0.4	0.3	0.2	0.2	0.1

Source: Westpac Pacific Forecast



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Week beginning 29 June 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: Between a rock and a hard place.

The Week That Was: Patience is a virtue.

Focus on New Zealand: RBNZ to scale back OCR hikes as energy prices recede.

For the week ahead:

Australia: RBA minutes, private sector credit, home value index, goods trade balance, dwelling approvals.

New Zealand: Monthly employment indicator, business confidence, consumer confidence, building permits.

Japan: Jobless rate, Q2 Tankan large manufacturers index, industrial production.

China: NBS PMIs.

Euro Area: CPI, unemployment rate, economic confidence, consumer confidence.

United Kingdom: Q1 GDP (final estimate).

United States: Unemployment rate, nonfarm payrolls, average hourly earnings, ADP employment change.

Global: S&P Global manufacturing PMIs.

Information contained in this report current as at 26 June 2026.

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Between a rock and a hard place



Matthew Hassan
Head of Australian Macro-Forecasting,
Westpac Group

- The detailed June quarter CPI release on July 29 will be the most important domestic update ahead of the RBA Monetary Policy Board's August meeting.
- This week's monthly releases on inflation and the labour force were clearly of interest as well but would probably not have shifted the RBA's views.
- Concerns about a more prolonged period of high inflation are expected to dominate the Board's thinking. It's assessment of risks will be key but are likely to lean in favour of a further 25bp hike in August.

The RBA's 'hawkish hold' in June included a clear warning that inflation was too high and that it was prepared to raise interest rates further if required. If a further move is required, it is most likely to involve a hike at the Monetary Policy Board's next meeting on August 9–10, a little over seven weeks away. As always – and paraphrasing the Board's June decision statement – its judgement will rest on the evolving assessment of the outlook and risks, informed by developments in the global economy and financial markets and by trends in domestic demand and the outlook for inflation and the labour market.

Information-wise, the detailed June quarter CPI release on July 29 will be the most important update. However, this week's monthly releases on inflation and the labour force were clearly of interest as well. These did contain some surprises but not ones big enough to really shift the RBA's views.

Underlying inflation still uncomfortably high

As set out in our regular **Cliff Notes** recap on p3, headline inflation surprised to the downside in May, dropping back to 4%yr, but with the all-important Trimmed Mean measure of underlying inflation lifting from 3.4%yr to 3.6%yr.

On balance, we think the detail would have underscored the RBA's concerns about the pass-through of higher energy costs, particularly in the dwelling construction space, noting that the high weight of housing in the CPI means this often sets the pace for underlying inflation. The full June quarter update will be important here given the reversal lower in fuel prices since April and a clearer weakening now showing through in housing markets more generally (see our latest [Housing Pulse](#), released at the start of this week, for more details).

There was some evidence of pass-through effects in other CPI items as well while some significant direct effects may not have shown through yet. Specifically, the 'holiday travel and accommodation' component, which was a notable downside

surprise in May, includes air travel costs that get captured with a one-to-two-month lag (reflecting the typical timing difference between booking and travel). As such, the sharp re-pricing due to spiking jet fuel costs in April-May will likely only start to appear in the CPI from June (noting that this may only affect the headline measure with no impact on the Trimmed Mean).

Overall, inflation is likely to still be uncomfortably high for the RBA going into its August meeting and there will be ongoing concerns that high inflation is becoming embedded in domestic wage and price setting behaviour.

“... inflation is likely to still be uncomfortably high for the RBA going into its August meeting ...”

Labour force softening slowly, growth sluggish

The May labour force update would not have been a game-changer for the RBA either. Employment bounced-back as expected but from a slightly bigger, downwardly revised, decline in April. While the underlying pace of growth is a touch softer, the tick-down in the unemployment rate from 4.5% to 4.4% was as expected. That is a touch higher than the RBA's May forecasts, which had 4.2% pencilled in for the June quarter average, but the difference mainly comes down to the RBA's more pessimistic assessment of labour participation rates rather than a significantly different picture on employment growth.

There is likely to be more softness to come as the full impact from higher interest rates and the Middle East conflict works through but for now the labour market is broadly unfolding in line with expectations.

The wider pool of high frequency data continues to point to weak growth through the middle of the year. Our first **Westpac-Now** estimate for Q2 GDP points to growth of around 0.2%qtr in line with the sluggish 0.3%qtr outcome in Q1 2026. The signals suggest there is about a one-in-four chance that the economy could jag a negative result in the quarter, but month to month, there are tentative signs that growth is stabilising at this pace rather than weakening further (see [here](#) for more detail). Again, this is likely a touch weaker than implied by the RBA's current forecasts.

Inflation rather than growth is the Board's dominant concern at the moment. As such, it would take a substantially weaker than read on this front to influence its decisions. The extent of any additional slowing is of interest but slow growth on its own will be seen as an unavoidable cost of ensuring inflation makes a sustained return to the 2-3% target over a reasonable time-frame.

Judging the risks

All up, we expect the RBA will view this week's domestic data flow as broadly in line with its forecasts. As always, it should be remembered that the Bank's base case forecasts, set down in May, were conditioned on an assumed path for the cash rate that had an additional increase (worth about one and a half 25bp hikes). As such, outcomes that are 'as expected' tend to endorse some further tightening. Or, to put it another way, the data needs to provide evidence that the economy is undershooting baseline forecasts for inflation and growth, for this alone to be the basis for the Board to leave rates unchanged.

The May updates do not seem to meet these criteria. The June round of data may do so but at this stage we still see the risks stacked towards an uncomfortably high CPI update and an August interest rate hike.

The Board's judgement of risks may prove to be just as critical as the data flow. Here the question will be whether the better-than-expected improvements in the Middle East and in global energy markets are likely to be sustained and enough to ensure a domestic disinflation without the need for additional interest rate tightening. On balance, we expect oil and gas supply normalisation to be a slow and bumpy process and that concerns about a more prolonged period of high domestic inflation will carry the August decision. With growth already sluggish, that decision will be a difficult one for the Board. This week's updates have not made its deliberations any easier.

Cliff Notes: patience is a virtue

Elliot Clarke, Head of International Economics

Ryan Wells, Economist

Illiana Jain, Economist

Australian consumer prices fell 0.7% in May, bringing the annual rate of headline inflation down from 4.2%yr to 4.0%yr. The main cause of the decline was an 11.9% fall in auto fuel prices; but, relative to our own forecast, it was holiday travel and accommodation that was the primary contributor.

Stripping out these factors, trimmed mean inflation lifted from 3.4%yr to 3.6%yr. Housing inflation was, once again, key with rents surprising to the upside and new dwelling costs recording their strongest monthly increase since late-2022. The latter contrasts with growing evidence of cooling demand in the [housing market](#), pointing to margin pressure for homebuilders. Cost pass-through was also evident in the detail, though weak [household spending](#) may stop businesses from recouping costs through mid-year and beyond. The abrupt reversal in energy supply and prices through June (see below) may also see businesses write off margin compression as a transient concern.

Employment subsequently bounced back from holiday-related weakness in April as expected, jobs up +40.3k and the unemployment rate ticking down to 4.4%. That said, revisions to April offset May's gain, stalling growth in Q2-to-date after a robust Q1. Looking past the month-to-month volatility, the unemployment rate trend is starting to edge up, in line with our expectation for a sustained softening.

Offshore, the past week saw the Memorandum of Understanding between the US and Iran take effect and a consequent rapid opening up of the Strait of Hormuz, freeing circa 20 million barrels of oil from the Strait in recent days. For the most part, the price of oil has trended down, reaching USD72 mid-week, a level last seen before the conflict began in February. It has not been all smooth sailing, however, an attack on a commercial ship off the coast of Oman overnight sparking concern and an increase in the oil price back above USD75. Several points still require detailed negotiation, including Iran's nuclear program and the management of the Strait beyond the first 60 days. Discussion on a framework to resolve differences on these matters began at the weekend in Switzerland, and are likely to continue for weeks, if not months. Risks for energy supply and price will therefore linger for the foreseeable future.

On the data front, US personal income surprised to the upside in May, rising 0.7% after being unchanged in April. Compensation growth was more modest at 0.4%, consistent with the average since the beginning of the year. Personal spending growth also accelerated to 0.7%, although much of the gain was driven by inflation, with real spending up just

0.3% after a flat April print. PCE inflation was a touch softer than expected in May at 0.4%, while core inflation was in line at 0.3%. Q2 is therefore looking like another soft period for the US consumer. Notable too is that revisions have been against the consumer, the third estimate of Q1 GDP this week seeing quarterly consumption growth revised down to just 0.5% annualised. An upgrade to business investment and a material reduction in import growth in the quarter more than offset for GDP; but being more than 70% of the economy, the weakness in consumption will have a significant bearing on the aggregate pulse hence.

“...the unemployment rate trend is starting to edge up, in line with our expectation for a sustained softening.”

In our view, this data and events in energy markets warrant the FOMC remaining on hold for the remainder of the year as inflation risks slowly abate. However, the market is likely to continue to price the risk of further tightening, particularly while the White House remains out of the monetary policy debate and AI optimism persists.

RBNZ to scale back OCR hikes as energy prices recede

New Zealand Economics team

A great deal has changed since early May, when we last reviewed our forecasts for both the global and domestic economies – more than financial markets appear to have fully appreciated, judging by the continued pricing of an RBNZ rate hike at next month's policy review. At the centre of these developments has been the unexpectedly rapid progress in reducing Middle East tensions. In particular, the prospect of a faster-than-expected restoration of shipping flows through the Strait of Hormuz has materially altered the outlook for global trade. This has implications not only for oil, petrochemical products and natural gas, but also for a broader set of inputs such as fertiliser – goods that play a crucial role in global economic activity and, by extension, New Zealand's macroeconomic environment.

While it is still too early to conclude that geopolitical tensions in the region have been durably resolved, there is now sufficient evidence to suggest that diplomatic efforts are gaining traction. A sustained ceasefire and a return to more normal shipping conditions appear increasingly plausible. Against that backdrop, it is appropriate to incorporate this new information into our macroeconomic assessment.

The most important revisions to our assumptions relate to the level and expected path of oil and refined fuel prices. These prices have pulled back much more rapidly than anticipated, reaching levels that we previously did not expect until the middle of 2027. Brent crude oil is currently trading at around US\$73 per barrel, broadly in line with pre-conflict levels. We now expect prices to ease further, reaching around US\$69 per barrel over the course of 2027. Refined fuel prices have followed a similar, though more gradual, downward trajectory. After peaking at around US\$195 per barrel in March, they have fallen to approximately US\$110, compared with roughly US\$92 prior to the conflict. We anticipate further declines, with prices easing to around US\$102 per barrel by the end of this year and to US\$90 by the end of 2027.

Crucially, current oil and fuel price levels are now materially below those assumed by the RBNZ in its May forecasts. This divergence has important implications for the inflation outlook, the pace of economic recovery, and the stance of monetary policy.

Alongside these developments, our updated forecasts also take into account recent domestic economic data, including the latest data on GDP, selected price indices, and a range of high-frequency indicators of activity. We have not, at this stage, updated our global growth forecasts or exchange rate projections aside from incorporating the latest starting point for the New Zealand dollar, as these will be reviewed

more comprehensively in the upcoming July Market Outlook. Similarly, we have not yet incorporated the implications of the fiscal position set out in Budget 2026. However, we expect those effects to be modest and will integrate them fully in our next quarterly Economic Overview.

Turning to growth, the faster-than-expected easing in energy prices has led us to upgrade our GDP forecasts, particularly for the June quarter and the second half of this year. Much of this reflects a bringing forward of the recovery that had previously been delayed by the oil shock. As a result, while growth in 2026 is now expected to be stronger, there is a corresponding moderation in the growth profile for 2027.

We now forecast GDP growth of 2.0% for 2026 and 2.9% for 2027. This compares with a previous forecast of around 1.5% growth for 2026. Nonetheless, it is worth noting that this remains well below the 3.3% growth we had anticipated prior to the outbreak of the Iran conflict, underscoring the lasting effect that the shock has had on economic momentum.

Recent data suggest that the economy has held up better than expected during the peak of the oil price shock in April and May. We now expect GDP to decline by just 0.1% in the June quarter, rather than the 0.3% contraction previously forecast. This estimate incorporates ongoing seasonal distortions in the data; on an underlying basis, we judge that the economy has continued to expand modestly, with growth of around 0.2%, partially offset by seasonal factors.

Looking ahead, as oil prices continue to recede, we expect the economy to return to a more typical recovery trajectory. Quarterly growth is forecast to rise to around 0.6% in the September quarter and 0.7% in the December quarter. This would result in a solid, albeit incomplete, recovery over the remainder of the year.

In the labour market, the improved growth outlook translates into a slightly more favourable trajectory for unemployment. While some near-term softness remains likely (reflecting the uncertainty that has weighed on hiring decisions), we are now less concerned about a sustained deterioration in labour market conditions. High-frequency indicators point to broadly flat employment in the June quarter. However, this is unlikely to absorb ongoing population growth, suggesting that the unemployment rate could edge higher in the near term, rising to around 5.4% after easing to 5.3% in the March quarter. We expect a gradual improvement beyond that time (previously we expected unemployment to rise further to a peak of 5.6%), dropping below 5% by late 2027.

The housing market, meanwhile, continues to show limited momentum. House prices have remained flat in recent months, with softness in related indicators such as days to sell. Nevertheless, there are signs that conditions may begin to improve modestly. The combination of lower energy costs and reduced expectations of near-term OCR hikes has contributed to an easing in mortgage rates, which in turn should support sentiment.

We've revised up our forecast for house prices in 2026, and now expect a small increase of around 0.6%yr (in contrast to our earlier forecast for a modest decline). In 2027, we continue to expect growth of around 2%yr. Regional markets are still likely to outperform the major North Island urban centres, with the strength in commodity exports underpinning firmer economic conditions and labour markets in regions with strong rural backbones, like Canterbury.

Inflation dynamics have also shifted materially. The faster-than-expected decline in oil prices has led us to lower our inflation forecasts. We now expect annual inflation to peak at around 4.0% in the June quarter (down from our previous estimate of 4.5%), before easing to around 3.5% by the end of the year. This is notably below the RBNZ's May projection of 4.1% for year-end inflation.

Lower fuel costs have already been reflected in retail prices. Petrol and diesel prices have fallen significantly from their peaks, directly subtracting around 0.5 percentage points from our inflation forecast. In addition, we now expect that the pass-through of high fuel costs to other prices will be more moderate, reflecting both the smaller magnitude and shorter duration of the cost shock.

Looking further ahead, inflation is expected to decline through 2027 as the effects of the oil shock fade. Indeed, base effects may temporarily push headline inflation below 2% at some point, before a gradual pickup as economic activity strengthens. Core inflation measures, however, remain relatively firm, reflecting underlying pressures that have persisted despite weak demand in recent years.

These developments have important implications for monetary policy. The improved inflation outlook reduces the urgency for the RBNZ to raise the Official Cash Rate and will likely reduce the need for at least one of the rate hikes that had been factored into the RBNZ's May projections. That would leave a baseline outlook of one to two rate increases over the course of the year. This would represent a meaningful recalibration, albeit not a complete reversal to pre-conflict assumptions, given that inflation remains elevated in the near term.

For the upcoming 8 July policy meeting, we continue to expect that the OCR will be left on hold. The sharp decline in energy prices and the associated improvement in the inflation outlook have significantly weakened the argument for pre-emptive tightening. While some members of the Monetary Policy Committee may still favour rate increases later in the year, there appears to be little pressure to act immediately.

Moreover, additional key data covering inflation, the labour market, and business conditions will be released between the July and September meetings. Waiting for this information seems prudent, particularly given ongoing uncertainty around geopolitical developments and the durability of the recent improvement in oil prices.

We continue to expect that the RBNZ will leave the OCR on hold at 2.25% in July. This decision is likely to be less contentious than the previous meeting and could potentially be reached by consensus.

We expect the RBNZ will begin lifting the OCR at the September MPS meeting and move again once more towards neutral settings before the end of the year – most probably at the December MPS meeting.

But even these forecasts are not a slam dunk and have two-sided risks. Should the June quarter CPI reveal benign core inflation, then the RBNZ could leave the OCR unchanged until December. In contrast, if the CPI runs hot, then we could still see the three 25bp rate hikes that we previously anticipated.

Our central view implies one less rate hike this year than we had forecast most recently. However, the elevated path for inflation means that increases in the OCR are still expected.

We have retained the same OCR changes that we had previously forecast to occur in 2027. But with one less hike now expected in 2026, the OCR is now forecast to peak at 4.0% – 25bps lower than we previously anticipated. A lower peak OCR is consistent with the smaller and shorter duration oil-related supply shock now assumed. Our view on the neutral OCR remains at 3.75%.

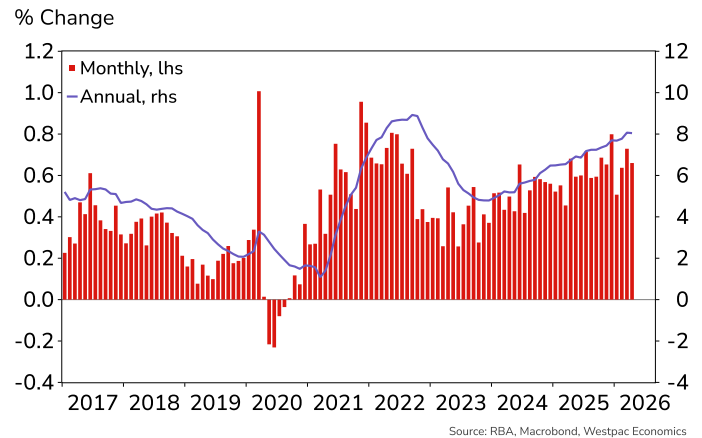
AUS: May Private Sector Credit (%mth)

Jun 30, Last: 0.7, Westpac f/c: 0.6
Mkt f/c: 0.6, Range: 0.5 to 0.7

Despite the weaker economic outlook and higher interest rates, the latest private sector credit figures showed no signs of softening in April, with growth holding steady at 0.7%*mth*. All major categories maintained solid momentum, with investor housing credit leading the way, up 0.9%*mth*, and business credit growth close behind at 0.7%*mth*.

We expect May to bring the first signs of slowing. Following the RBA's first cash rate hike in early February, enough time has likely passed for the impact of higher interest rates to begin flowing through. The drag from increased economic uncertainty amid the war in the Middle East should also begin to play a role. We expect growth to slow to 0.6%*mth* but would not rule out a 0.5%*mth* increase. Please note that the data may be delayed – last month, it was released three working days later.

Private Sector Credit Growth



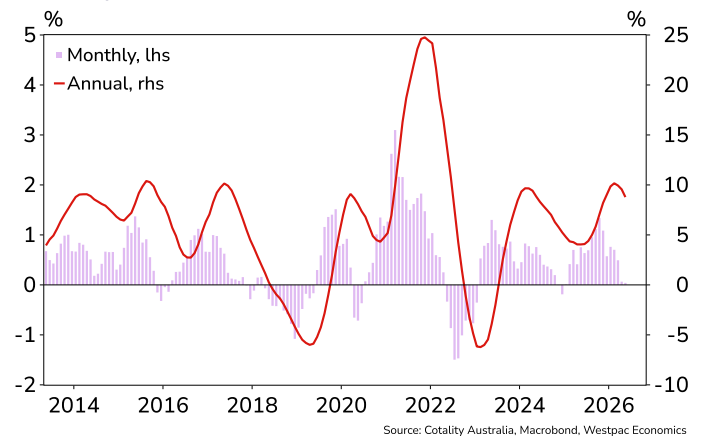
AUS: Jun Cotality Home Value Index (%mth)

Jul 1, Last: -0.1, Westpac f/c: -0.5

The Cotality home value index dipped -0.1% in May with revisions showing price growth stalled flat over the three months to May led by a deepening price correction in Sydney and Melbourne and more pronounced slowdowns in other capital cities.

June will reveal a more marked deterioration with the daily measure now pointing to a 0.5% fall nationally, dip for the month as a whole. The detail shows Sydney and Melbourne prices declining at a 1.2% and 0.9% monthly pace and a further slowing in momentum in Brisbane, Adelaide and Perth. Turnover will be a key area to watch as tax policy changes announced at the Federal budget start to impact investor activity.

Cotality home value index



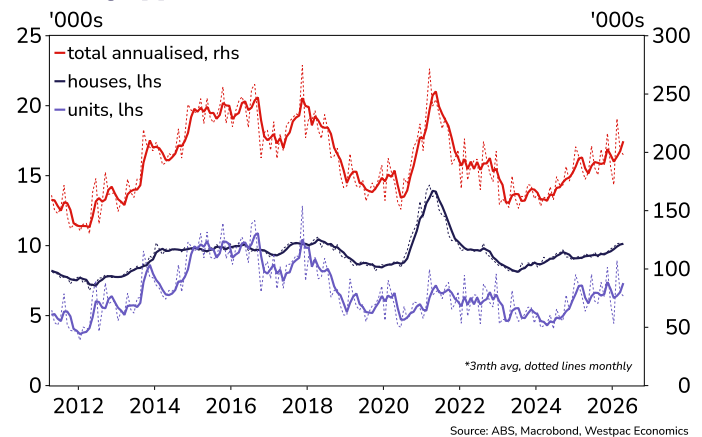
AUS: May Dwelling Approvals (%mth)

Jul 1, Last: -3.4, Westpac f/c: -1.0
Market f/c: 0.0, Range: -5.0 to 5.0

Dwelling approvals fell 3.4%*mth* in April but with the annual pace still lifting to 10.2%*yr*. Activity looks to be normalising back towards the 2025 average monthly run rate after a brief surge earlier in the year.

That normalisation is likely to continue in May with high rise approvals still above average 2025 levels in April. Non-high rise components are likely to show some flattening. The key question is the extent to which rate rises impact – these tend to have a delayed impact on approvals activity, usually taking several months to show through. Meanwhile there are some potential countervailing forces coming through state government policy measures aimed at lifting supply, which likely work through even longer lags.

Building approvals



AUS: May Goods Trade Balance (\$bn)

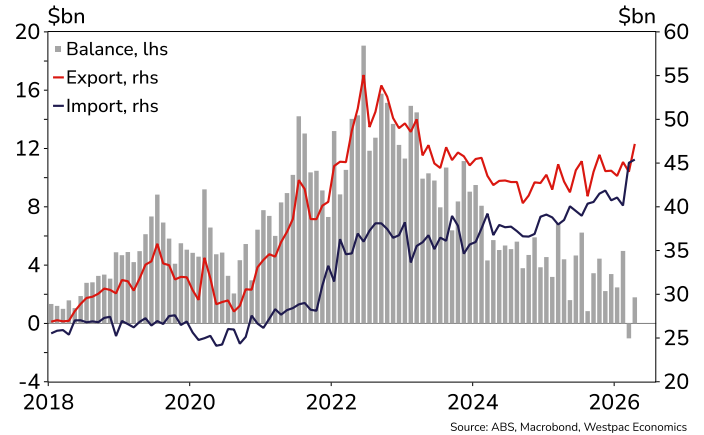
Jul 2 Last: 1.8, Westpac f/c: 2.5

Mkt f/c: 2.4, Range: 1.0 to 3.5

Having dipped below zero in March, the headline goods trade balance recovered to \$1.8bn in April, supported by strong commodity outflows after a weak Q1. We are expecting a further improvement in May to \$2.5bn.

The May picture again looks nuanced, with multiple categories pulling in different directions. Major commodity exports are set to decline, led by LNG. Rural goods exports should rise, with meat exports taking another step higher from already elevated levels. On the imports side, the key categories to watch are fuel and ADP equipment. The former more than doubled in March and April, and lower oil prices point to some reversal this time. The ADP is much harder to judge, given the recent volatility. We have pencilled in a recovery after the April retreat, although total imports may still fall.

Goods trade balance

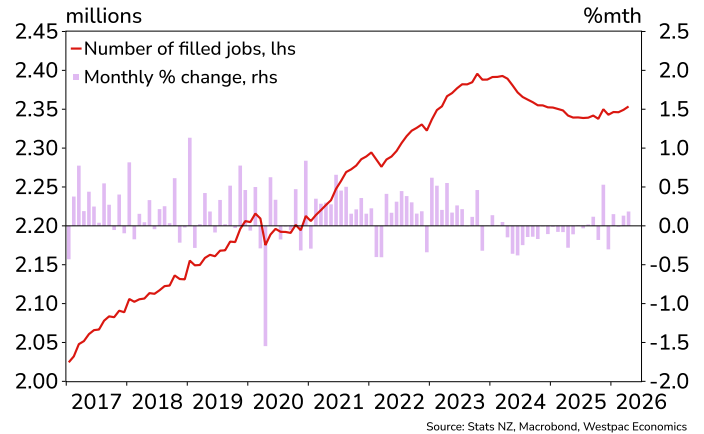


NZ: May Monthly Employment Indicator (%mth)

Jun 29, Last: 0.2, Westpac f/c: 0.2

The MEI has been showing a modest uptick in employment since late 2025, adding to the evidence that the New Zealand economy was regaining momentum prior to the Iran conflict. The weekly snapshots provided by Stats NZ suggest that the labour market has held its ground during the conflict, with the number of filled jobs continuing to track slightly above year-ago levels. Given that the MEI tends to be overstated on the first release, we expect to see a 0.2% rise for May initially, which is then likely to be revised closer to flat. The April increase is also likely to be revised lower.

Monthly Employment Indicator

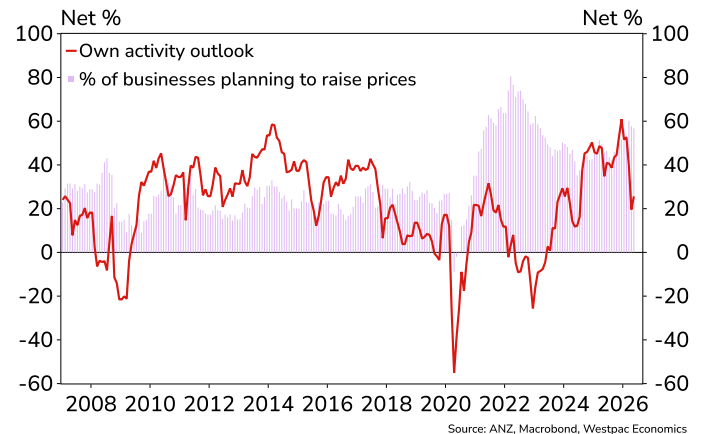


NZ: Jun ANZ Business Confidence (index)

Jun 30, Last: 10.0

Business sentiment improved a bit in May, after falling sharply in March and April in response to the Iran conflict. With domestic fuel prices easing further in recent weeks, we should see a further lift in confidence in the June survey – although given the timing of the US-Iran peace agreement, we could see another sharp distinction between early and late responses during the month (the latter group typically being smaller). With a critical RBNZ decision looming next month, the focus will also be on the inflation indicators in this survey such as pricing intentions and expected wage growth.

ANZ Business Outlook survey

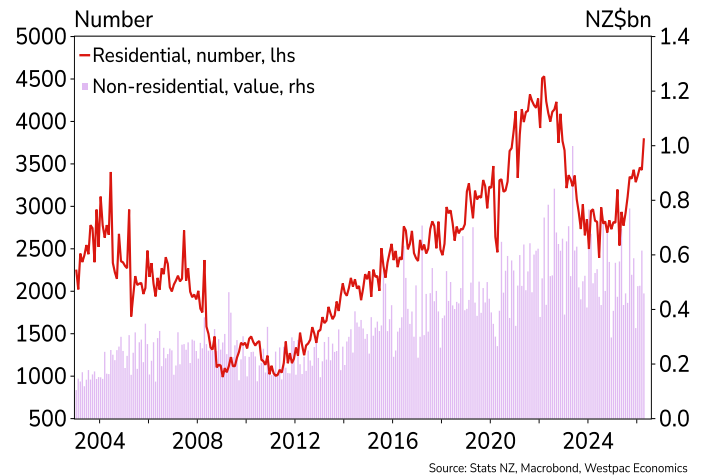


NZ: May Building Consents (%mth)

Jul 2, Last: 10.9, Westpac f/c: -5

April saw an 11% rise in dwelling consent numbers, underpinned by a large number of apartment consents. As such consents are typically issued in batches, we expect they will drop back this month. However, the underlying trend in consent issuance more generally has remained firm, with the annual total rising to its highest level since 2023. Even with the expected easing in the May month, the annual total is set to continue climbing. On the non-residential front, nervousness about economic conditions means that the amount of commercial building work planned is expected to continue tracking broadly sideways, though trends are mixed across segments.

Building consents



US: Jun employment report (000s)

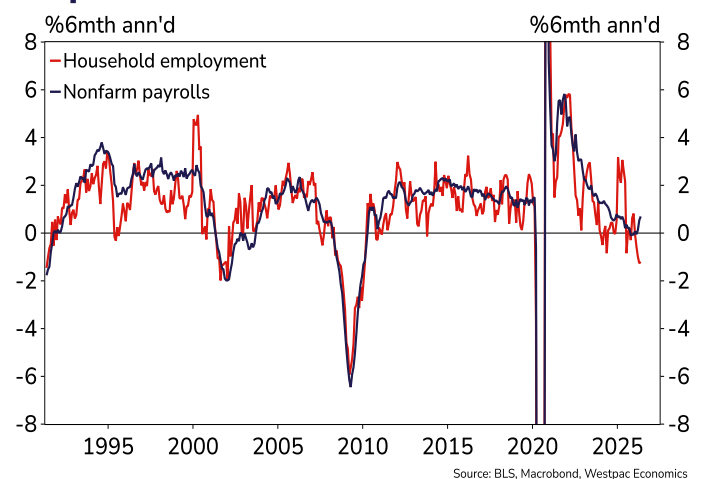
Jul 2, payrolls, Last: 172, Mkt f/c: 115, WBC f/c: 100

Nonfarm payrolls surprised materially to the upside in May, a gain of 172k reported in the month as well as 93k in back revisions to March and April. The 3-month average more than doubled to 188k as a result, a pace of employment growth well in excess of new labour supply.

Household employment growth remained weak, however, and the unemployment rate unchanged at 4.3%. Average hourly earnings growth was also benign at 3.5%yr.

June's report will provide guidance on whether the labour market is just marking time or tightening anew. It will also provide clarity on whether one-off's were behind May's surge, most notably owing to the staging of the World Cup.

Job pulse to be determined



What to watch

For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Mon 29						
Aus	RBA Speak	–	–	–	–	Speech by Assistant Governor Kent in Sydney, 9:30am AEST.
NZ	May Monthly Employment Indicator	%mth	0.2	–	0.2	Jobs have held their ground through the Iran conflict.
Eur	May M3 Money Supply	%ann	2.7	2.7	–	Tight credit conditions and weak demand keep supply weak.
	Jun Economic Confidence	index	93.5	94.8	–	Confidence stabilising but remains at levels consistent...
	Jun Consumer Confidence	index	–17.7	–	–	...weak activity offering limited support for spending.
US	Jun Dallas Fed Manufacturing	index	0.4	–	–	Weak conditions highlight ongoing industrial softness
Tue 30						
Aus	RBA Minutes	–	–	–	–	Detail the deliberations of the hawkish hold.
	May Private Sector Credit	%mth	0.7	0.6	0.6	Likely to see the first signs of slowing post RBA rate hikes.
NZ	Jun ANZ Business Confidence	index	10.0	–	–	Should see a lift but especially among later responses.
Jpn	May Jobless Rate	%	2.5	2.5	–	Structural forces keep labour markets tight.
	May Industrial Production	%mth	0.5	0.1	–	Underlying momentum mixed with volatile output figures.
Chn	Jun NBS Manufacturing PMI	index	50.0	50.1	–	Manufacturing activity remains soft reflecting weak...
	Jun NBS Non-Manufacturing PMI	index	50.1	49.9	–	...demand and ongoing headwinds.
UK	Q1 GDP	%ann	1.1	–	–	Consistent with a subdued expansion.
US	Apr FHFA House Prices	%mth	0.1	–	–	House price growth easing as affordability..
	Apr S&P/CS Home Price Index	%mth	–0.2	–	–	...constraints weigh on demand.
	Jun Chicago PMI	index	62.7	–	–	Reinforcing broader industrial softness.
	Jun Conf. Board Consumer Confidence	index	93.1	94.3	–	Confidence remains fragile amid ongoing cost pressures
	May JOLTS Job Openings	000s	7618	7275	–	Job openings trending lower, signalling easing labour demand
Wed 01						
Aus	Jun Cotality Home Value Index	%mth	–0.1	–	–0.5	Turnover will be a key area to watch.
	May Dwelling Approvals	%mth	–3.4	0.0	–1.0	Activity looks to be normalising after a brief surge.
Jpn	Q2 Tankan Large Manufacturers	index	17	16	–	External demand is supporting business sentiment.
Wrld	Jun S&P Global Manufacturing PMI	index	–	–	–	Global factory activity remains subdued
Eur	Jun CPI	%ann	3.2	3.1	–	Soft demand sees inflation ease.
US	Jun ADP Employment Change	000s	122	118	–	Hiring is moderating consistent with a cooling labour market.
	Jun ISM Manufacturing	index	54.0	53.8	–	Likely to show continued contraction in the industrial sector
Thu 02						
Aus	May Goods Trade Balance	\$mn	1.8	2.4	2.5	Nuanced result with categories pulling in opposite directions.
NZ	May Building Permits	%mth	10.9	–	–5.0	Monthly pullback, but longer term trend still firm.
Kor	Jun CPI	%ann	3.1	3.2	–	Pressures easing consistent with regional disinflation trend.
Eur	May Unemployment Rate	%	6.3	6.3	–	Forward indicators suggest gradual softening
US	Jun Nonfarm Payrolls	000s	172	115	100	Jobs and wage growth is moderating, pointing to a gradual...
	Jun Average Hourly Earnings	%mth	0.3	0.3	–	easing but still above levels consistent with target inflation
	Initial Jobless Claims	000s	215	220	–	Claims remain low, suggesting layoffs are still contained
	Jun Unemployment Rate	%	4.3	4.3	–	Edging higher, consistent with a softening labour market
	May Factory Orders	%mth	4.8	–	–	Orders likely to pick up after a recovery in durable goods.
Fri 03						
NZ	Jun ANZ Consumer Confidence	index	86.5	–	–	Further gains likely after a modest rebound in May.

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

Economic & financial forecasts

Interest rate forecasts

Australia	Latest (26 Jun)	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
Cash	4.35	4.85	4.85	4.85	4.85	4.85	4.85	4.60	4.35	4.10	3.85
90 Day BBSW	4.46	4.90	4.90	4.95	4.95	4.95	4.80	4.55	4.30	4.05	3.95
3 Year Swap	4.35	4.65	4.65	4.60	4.50	4.40	4.30	4.20	4.10	4.00	3.90
3 Year Bond	4.36	4.65	4.65	4.60	4.50	4.40	4.30	4.20	4.10	4.00	3.90
10 Year Bond	4.72	4.90	4.90	4.90	4.85	4.85	4.85	4.85	4.85	4.90	4.95
10 Year Spread to US (bps)	35	40	40	35	30	25	20	15	10	10	10
United States											
Fed Funds	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
US 10 Year Bond	4.38	4.50	4.50	4.55	4.55	4.60	4.65	4.70	4.75	4.80	4.85
New Zealand											
Cash	2.25	2.50	2.75	3.25	3.50	3.75	4.00	4.00	4.00	4.00	3.75
90 Day Bill	2.69	2.75	3.15	3.50	3.75	4.00	4.20	4.20	4.20	4.15	3.95
2 Year Swap	3.32	3.55	3.85	4.05	4.20	4.25	4.20	4.20	4.15	4.15	4.10
10 Year Bond	4.36	4.40	4.55	4.80	5.00	5.05	5.05	5.05	5.05	5.05	5.05
10 Year Spread to US (bps)	-2	-10	5	25	45	45	40	35	30	25	20

Exchange rate forecasts

	Latest (26 Jun)	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
AUD/USD	0.6893	0.72	0.73	0.73	0.74	0.74	0.74	0.73	0.73	0.73	0.73
NZD/USD	0.5645	0.59	0.60	0.62	0.64	0.65	0.66	0.66	0.66	0.66	0.66
USD/JPY	161.57	158	156	154	152	150	148	146	144	142	140
EUR/USD	1.1379	1.17	1.18	1.19	1.20	1.21	1.22	1.22	1.22	1.21	1.21
GBP/USD	1.3205	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.40	1.40
USD/CNY	6.8010	6.75	6.70	6.60	6.50	6.45	6.40	6.35	6.35	6.30	6.30
AUD/NZD	1.2212	1.22	1.22	1.19	1.16	1.14	1.12	1.11	1.11	1.11	1.11

Australian economic forecasts

	2026				2027				Calendar years			
% change	Q1	Q2(f)	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
GDP %qtr	0.3	0.0	0.1	0.3	0.4	0.4	0.4	0.4	-	-	-	-
%yr end	2.5	1.6	1.3	0.7	0.9	1.2	1.4	1.5	2.5	0.7	1.5	2.6
Unemployment rate %	4.2	4.4	4.6	4.9	5.0	4.9	4.9	4.9	4.3	4.9	4.9	4.5
Wages (WPI) (sa) %qtr	0.8	0.8	1.0	0.8	0.8	0.8	0.8	0.8	-	-	-	-
%yr end	3.3	3.2	3.4	3.4	3.4	3.4	3.2	3.2	3.4	3.4	3.2	3.4
Headline CPI %qtr	1.4	1.0	1.5	0.7	0.7	0.7	0.8	0.5	-	-	-	-
%yr end	4.1	4.4	4.6	4.7	4.0	3.7	3.0	2.8	3.6	4.7	2.8	2.2
Trimmed Mean CPI %qtr	0.8	1.0	1.1	0.9	0.8	0.7	0.7	0.7	-	-	-	-
%yr end	3.5	3.8	3.8	3.8	3.7	3.5	3.2	3.0	3.4	3.8	3.0	2.4

New Zealand economic forecasts

	2026				2027				Calendar years			
% Change	Q1	Q2(f)	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
GDP %qtr	0.8	-0.1	0.6	0.7	1.0	0.5	0.6	0.7	-	-	-	-
Annual avg change	0.8	1.6	1.8	1.9	2.0	2.1	2.4	2.6	0.3	1.9	2.6	3.2
Unemployment rate %	5.3	5.4	5.4	5.3	5.2	5.1	5.0	4.9	5.4	5.3	4.9	4.4
CPI %qtr	0.9	1.4	0.7	0.4	0.6	0.2	0.7	0.4	-	-	-	-
Annual change	3.1	4.0	3.7	3.5	3.1	1.9	1.9	2.0	3.1	3.5	2.0	2.0

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Week beginning 22 June 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: RBA holds at 4.35%, ready to hike if needed; Melbourne Cup, World Cup, or Eurovision?

The Week That Was: Policy matters.

Focus on New Zealand: July RBNZ pause more likely following ceasefire.

For the week ahead:

Australia: CPI, labour force survey, job vacancies, household spending, Westpac-Now, RBA Deputy Governor Hauser speaking.

New Zealand: Q2 Westpac-McDermott Miller employment confidence.

China: current account balance, industrial profits.

Euro Area: consumer confidence, IFO business climate survey.

United States: personal income and spending, PCE deflator, durable goods orders, regional manufacturing surveys, new home sales.

Global: S&P Global PMIs.

Information contained in this report current as at 19 June 2026.

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RBA holds at 4.35%, ready to hike if needed



Luci Ellis
Chief Economist, Westpac Group

As was all but universally expected, the RBA Monetary Policy Board (MPB) held the cash rate steady at 4.35% at its June meeting. But in a move that was less surprising to us than to some in the market, it explicitly signalled that further hikes remain on the table.

The final sentence of the media release added the clause “including increasing the cash rate target further if required” to the usual remark about doing what is needed to achieve its policy goals. In the opening statement to the post-meeting media conference, Governor Bullock repeated this point. This drafting decision is unusual for an RBA statement, and a stronger steer than in recent communication. It suggests that the MPB wanted to hose down recent speculation that they are done hiking rates.

We therefore retain our view that further cash rate increases are coming. If we are right that the June quarter result for trimmed mean inflation will again be strong, the next hike will come at the August meeting. A longer pause is possible if the next few inflation prints are less alarming, but the direction of travel is still most likely up. We expect it will take a further unexpected weakening in the domestic economy – and a better inflation outlook – to entirely prevent further cash rate hikes from here.

The post-meeting statement highlighted the RBA's key view that inflation was too high, and a period of slower growth would be needed to get inflation back to target. The RBA continues to view the Australian economy as facing capacity pressures, and only able to grow by about 2%yr before inflation rises. This is in line with previous RBA messaging, though lower than our own view.

The MPB has not been as spooked by the recent data flow on the household sector and labour market as market pricing implied it would be. The RBA's forecasts, which were based on an assumed path for the cash rate of one-and-a-bit hikes, already envisaged some slowdown. Indeed, the RBA regards the labour market as still a bit tight at the current unemployment rate, a point the Governor noted in the media conference.

The energy price shock is seen adding to the pre-existing inflation problem. Energy and “most related” commodity prices were mentioned as still being above pre-war levels, and – consistent with our own [Market Outlook](#) forecasts – the recovery following resolution of the conflict is expected to be gradual.

The discussion of the real side of the economy was sanguine. The slowdown in consumer spending was “as expected”, comments on the housing market suggested little alarm, and most labour market indicators were seen as “resilient”. In the media conference, the Governor stated that it was too early to say what the effect of recent macro policy changes, including the rate rises as well as the Budget, would be on the housing market.

“RBA holds cash rate steady at June meeting as expected, strikes a hawkish tone with rate hikes still on the table.”

The tone of the discussion on pass-through of the energy shock to other prices was also more hawkish than previously. The May post-meeting statement described “early signs” that firms were looking to pass through higher costs to their own prices. This month, these were “signs”, not “early signs”, and some of the price increases were noted as already occurring, especially in new housing construction. This language is important given the importance the MPB is placing on ensuring the current energy price shock does not become embedded in ongoing inflation. Also noteworthy in the media conference, the Governor highlighted that firms can only pass on higher costs into their own prices if demand is strong enough that consumers will accept that. The comments in May that passing on costs was “reasonable” were not repeated; rather, pass-through was an “expected” reaction by businesses, especially small businesses given this is “their livelihood”.

Overall, this meeting's outcome and communication were in line with our existing view of the RBA's analysis of the economy. The MPB has not been spooked by recent soft data, seeing these outcomes as a necessary part of the slower growth needed to get inflation down. It is more concerned about upside risks to inflation than downside risks. And it is now seeing more pass-through into prices, especially in housing construction, as we first flagged in [early April](#).

Melbourne Cup, World Cup, or Eurovision?

- **Forecasting the future is hard. It would be nice if you could just apply mathematical models that map from the past to the future. That is what most models do – and in physics and other physical sciences that makes sense. The models might be complicated to the point of intractability, but at least conceptually, past performance is a guide to future performance.**
- **In economic systems, though, human factors matter. Where exactly the system sits on the spectrum of complexity depends on what time horizon you are forecasting and how much the outcome is shaped by human behaviour and judgement. You need to know what kind of game is being played.**
- **Some systems are like the Melbourne Cup and other horse races. Randomness can matter, but physical reality is the main determinant of outcomes. In these cases, studying the “form guide” and leveraging lag relationships can produce decent, if not perfect, forecasts.**
- **Others, including most business and military competitions, operate more like the Football World Cup. Physical reality matters, but human interactions matter even more. When forecasting these systems, always allow for second and higher-order thinking, and the fact that people and teams interact, learn and adapt.**
- **When it comes to forecasting financial markets though, it is more like forecasting Eurovision and other popularity contests. An ultimately correct view about the fundamentals might still be out of tune with the consensus or market view. Material reality wins out in the end, but the market can stay “[Bangaranga](#)” for longer than you might hope.**

Forecasting the future is hard. It would be nice if you could just apply mathematical models that map from the past to the future. That is what most models do – and in physics and other physical sciences that makes sense. The models might be complicated to the point of intractability, but at least conceptually, past performance is a guide to future performance.

In economic systems, though, human factors matter to at least some degree. Where exactly the system sits on the spectrum of complexity depends on what time horizon you are forecasting and how much the outcome is shaped by human behaviour and judgement.

Study the form guide

Many outcomes are driven by physical processes where current state depends on the previous state. Forecasting these processes is a bit like betting on horse races. Studying the form guide – knowing the current situation and recent past

performance – is a reasonable guide to the next outcome, or so I’m told. Betting on horse races or other non-human endeavours is still far from a sure thing. Random conditions matter: one horse might have a bad warm-up, or weather conditions might differ from the range seen over the period that your form guide covers. But physical reality is what matters, not least because horses do not collude amongst themselves.

There are circumstances where forecasting based on leading indicators works well, at least in the short term. Physical and decision-making processes induce [process lags](#) that predict future outcomes. Physical reality also helps determine other outcomes. For example, a country’s endowment of mineral resources and past investment in their extraction will determine whether that country is currently an energy importer or exporter, and so the impact of an energy price shock. Understanding these relationships can go a long way to supporting economic understanding more broadly, but it is not the whole picture.

Team of champions or champion team

Things get more complicated when groups of people are involved. Consider sporting competitions. You might have a team of talented players, but they need to train together and work well today. A poor playbook – the “operating model” of the team – will lead the team to underperform a better-organised team of lesser-known players. (Playing and training together in the same league – and mostly the same team, Barcelona – is, incidentally, one reason why the Spanish women’s soccer team does so well on the international stage. Examples in the current men’s World Cup competition, both positive and negative, are left as an exercise for the reader.)

Competition between businesses and conflicts between nations both fall into this category. The “form guide” of material reality, covering sizes of balance sheets or number of fighter jets, will not necessarily be a good predictor of the outcome. This is one reason some analysts misread the likelihood of a swift Russian victory over Ukraine. It was a category error to believe that the starting point of resources mattered more than the opposing side’s ability to out-organise and out-innovate. Some analysts were effectively forecasting as if it were a horse race, not a human competition.

The problem with forecasting in these environments is that it is much simpler to focus on what you can measure than to work out how people will react. Game theory can help here but quickly becomes intractable. It also presumes a lot about people’s priorities and preferences that might not be observable by a forecaster. Counting the fighter jets is so much easier.

This is an example of the broader point that we should always go beyond first-round thinking when forming our views. From [higher](#)

[participation by older workers](#) swamping ageing of the population as a determinant of labour supply, to Saudi Arabia's decision to truck oil to route around the Strait of Hormuz, people respond to their circumstances – including the human environment.

Pure [Bangaranga](#)

At least with a soccer match, the result is clearly defined: the team that scores the most goals wins. It is even harder when what you are trying to forecast is the result of a popularity contest. Consider Eurovision. Good songs and performances generally do well, but not always. 'Jury panels' of industry experts and the public both get a vote, and international sympathies matter, especially for the public vote. (This is why Germany and the UK tend to underperform most years, and Ukraine won in 2022. It is also why strong public votes have put Israel into second place both this year and last year.)

Financial markets fall into this category. At least in the short to medium term, forecasting financial prices such as equity prices or bond yields boils down to an attempt to assess what everyone else thinks about that asset and its prospects. This is essentially a popularity contest where people's beliefs about the future matter, if anything more than their understanding of the present. In this environment, it does not matter what you think about AI, or US exceptionalism, or whatever other narrative has taken hold in the moment. It matters what everyone else thinks. The market can stay bonkers (or perhaps "Bangaranga") longer than you can stay solvent.

Economics tries to handle this complexity by putting some structure around how people are assumed to form and update beliefs. Internal consistency, using all the information reasonably available, is the usual assumption here – also known as "rational expectations". Other "bounded rationality" approaches consider the cost of [obtaining](#) or [processing](#) information, or the [lags involved](#) in learning about the world. The profession has not yet settled on which of these "bounded rationality" approaches should be the standard. This is a shame, because these models have [strong implications](#) for macro policy.

Reality matters in the end

The lesson for forecasters is to know what kind of game you are forecasting. This depends partly on the time horizon and partly on the nature of the thing being forecast. The longer the horizon, the more so-called fundamentals cut through. How people react will still matter, though, and can even shape the future path in a lasting way. Always allow for second-order responses.

When thinking about the outlook for interest rates, your forecasts for inflation, the labour market and so on serve as a kind of material reality benchmark. But what matters in the short run is how the policymaker will interpret and respond to those outcomes. That might not be how you would respond to the same information if you were in their shoes. There is a role for judgement in policy decisions, which means you are forecasting someone else's judgement. A bit like predicting Eurovision, but with a lot less glitter.

Cliff Notes: policy matters

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The RBA Monetary Policy Board (MPB) unanimously decided to [leave the cash rate unchanged](#) at 4.35% this week, as widely expected. However, in the subsequent communications, the MPB clearly leaned against the idea that the hiking cycle is definitively over. After emphasising that both headline and underlying inflation is “too high” and warning that “[t]here are signs that some firms experiencing cost pressures are increasing the prices of their goods and services and others are looking to do so”, the MPB explicitly signalled that it will not rule out “increasing the cash rate target further if required” in order to achieve its objectives.

As discussed by [Chief Economist Luci Ellis](#) in a video update midweek, markets have recently taken a larger cue from a softer run of data around consumer spending, housing and the labour market. Some of the weakness in the labour market reflected ‘abnormal seasonality’ which [we expect will revert in](#) May. But the important point is that Governor Bullock framed a weaker economy as an intended consequence of tighter monetary policy – slowing demand growth enough to squeeze inflation out of the system and prevent it from becoming embedded in expectations. With [upcoming inflation data](#) likely to show further persistence, we think the MPB will feel compelled to respond with further rate hikes in August and September.

Before moving offshore, a final note on local manufacturing. The latest [Westpac-ACCI Survey of Industrial Trends](#) revealed that momentum stalled heading into mid-year, the Actual Composite falling from a robust 57.6 in Q1 to a neutral reading of 50.5 in Q2. Underpinning the result was a flattening in new orders, a deceleration in output growth and a decline in employment. This comes as the Middle East conflict compounds the cost-of-living pressures households face, weighing on demand. It has also reignited cost pressures within manufacturing, a net 51% of firms reporting a rise in average unit costs. Firms expect further material increases in selling prices as a result, suggesting the pass-through of higher costs will persist into the second half. What was once budding optimism on the general business outlook has now collapsed to deep pessimism, leading many firms to delay or cancel plans to increase investment and hiring over the coming year.

Before moving further afield, [New Zealand received an update on economic activity](#) this week, the 0.8% rise in Q1 GDP a little less than we expected, though revisions meant the annual growth pace came out ahead of our forecasts. The pick-up in momentum evident over recent quarters likely came to a halt in Q2 due to the Middle East conflict, but this week’s apparent resolution (see below) could see the economy pick up again sooner than we had assumed.

In the US, the [first FOMC meeting with Kevin Warsh](#) as Chair was largely as anticipated. Notably, Chair Warsh focused on the practices of the Committee and the Federal Reserve as much as the economic outlook, announcing the formation of five separate task forces. On the current state of the economy, the labour market was characterised as largely in balance. The message on inflation was blunt, Chair Warsh making clear the Committee “will deliver price stability”.

Regarding the near-term policy outlook, the market showed concern over 9 of 18 respondents expecting at least one rate hike by year end. However, in the press conference, Chair Warsh made clear the degree of uncertainty participants wrestled with in coming to these views. Also, at least with respect to energy prices, in recent days risks have begun to recede.

“If the US/Iran deal holds over the coming months, we expect the FOMC to remain on hold”

The Bank of England also marked time in June, with seven of the nine Monetary Policy Committee members voting to keep Bank Rate unchanged at 3.75%. The minutes showed that Chief Economist Huw Pill and external member Megan Greene preferred a 25bp hike as a risk-management response given the possibility of material second-round effects from energy inflation. Other members took comfort from the recent fall in energy prices. The latest labour market and inflation prints were meanwhile interpreted as evidence that disinflation was well underway before the Middle East conflict. Nonetheless, the statement carried a hawkish tone, signalling the Committee still sees price risks as the dominant concern.

In Asia, the Bank of Japan raised its policy rate by 25bps to 1.0%. This follows strong wage outcomes earlier this year and growing evidence of pass-through to domestic inflation, particularly for services. In Governor Ueda’s absence, Deputy Governor Uchida signalled further rate hikes ahead. We expect that productivity gains and sustained domestic inflation pressures will support the BoJ reaching a terminal rate of around 1.5% in mid-2027.

The Policy Board also confirmed that it will continue tapering JGB purchases, albeit at a slower pace. Importantly, the Bank retains the flexibility to scale up purchases in the event of disorderly moves in yields and will continue to pre-commit to purchase amounts on a quarterly basis.

On the data front, Chinese activity disappointed again in May. Retail sales contracted over the year, -0.6%yr, as soft income growth, declining wealth and an absence of confidence weighed. Fixed asset investment fell 4.1%ytd, driven by declines in sectors including property, health and education, but also owing to a lull in previously strong areas of the economy, namely manufacturing and utilities. Industrial production growth of 5.4%ytd shows the effective use of current capacity to meet strong growth in external demand, however. Aggregate growth in the economy is largely dependent on net exports' contribution at present. This is unsustainable given the record-high level of the trade surplus, hence the need for material and urgent stimulus for the domestic economy.

Finally, to the Middle East conflict. A resolution now looks to be in effect, at least for the next 60 days after a 14-point Memorandum of Understanding was signed by both the US and Iran. On day 1 of the Strait's re-opening, several VLCCs, which each carry 2 million barrels of oil, were seen transiting the Strait as others readied at port. Further, not only will shipments from other Middle East countries now come to the global market, but also from Iran – waivers allowing the nation to freely sell into the global market without delay and, as conditions are met, the removal of sanctions should confirm long-term access. Negotiations over Iran's nuclear program are still necessary, and until agreed there is risk of further conflict. Also, it will take time for damaged infrastructure and global inventories to be rebuilt. Still, the initial market reaction has been positive, the price of Brent oil falling from a recent peak near USD110 per barrel to USD79, compared to an average of USD63 in Q4 2025.

July RBNZ pause more likely following ceasefire



Satish Ranchhod
Senior Economist

With global fuel prices dropping back, the current uplift in inflation is likely to be slightly more moderate than expected, and the risks of a widespread and enduring lift in pricing pressures is less pronounced. This gives the RBNZ more breathing space to observe how the economy is tracking before hiking the Official Cash Rate. We continue to expect that the RBNZ will keep the cash rate on hold until September. And depending on how fuel prices evolve, the RBNZ might become circumspect about how quickly rates need to rise beyond that time.

After a firm start to the year, economic momentum has faded

The [latest GDP figures](#) showed that the New Zealand economy had been gaining traction in the early part of the year, ahead of the conflict in the Middle East. The economy grew by 0.8% in the March quarter, with activity up 1.5% over the past year – the latter slightly firmer than expected due to an upward revision to growth in the December quarter. Growth was also a bit firmer than the RBNZ had expected, underpinned by earlier interest rate reductions and the continued strength in the agricultural sector.

But despite that encouraging start to the year, more recent data have shown that the economy's momentum has been dented by the conflict in the Middle East. The significant rise in living costs has been weighing on households' spending, and recent business surveys (including this week's PMI and PSI) have shown a downturn in trading activity over the past few months. On top of that, the related nervousness about the outlook has seen plans for hiring and capital expenditure wound back.

It hasn't all been bad news though. Demand for our key commodity exports has remained firm, with notable strength in dairy and red meat prices. And trade data for May revealed strong growth in both consumer and capex imports, suggesting that businesses had been anticipating robust demand prior to the conflict.

Nevertheless, the economy is on course for another year of soggy growth. We expect that economic activity will expand by just 1.4% over 2026 (a rate that's well below average), with unemployment lingering above 5%.

Inflation pressures moderating

Against that challenging backdrop, the easing in tensions in the Middle East has been a welcome respite. The immediate impact for New Zealand households and businesses has been

a decline in fuel costs. With global oil prices dropping back, the average price of 91 unleaded around the country has already fallen around 6 c/ltr over the past week, with diesel prices down nearly 20 c/ltr. And if global oil prices remain around current levels, 91-unleaded could drop by another 20 to 30 c/ltr over the coming weeks. That would take prices back to around \$2.80 to \$2.90 / ltr.

But while the global headwinds that have been buffeting the New Zealand economy have moderated, it will still take time for the disruptions to global supply chains and related increases in cost pressures to fully reverse. In the meantime, fuel costs remain well above the levels we saw prior to the conflict, and that is continuing to squeeze households' finances. Similarly in the business sector, many firms are likely to see continued increases in materials costs over the next few months. Given ongoing concerns about the durability of the ceasefire in the Middle East, it's also likely that businesses will remain reluctant to take on new staff or commit to significant capital expenditure (at least until we see definitive signs of a turn in economic activity).

We're currently reviewing our forecasts in light of the changing global backdrop. However, we've already made some changes to our [inflation forecasts](#). We've revised down our forecast for inflation through the middle part of the year and now expect that it will peak at 4.2%yr in the September quarter (down from our previous forecast of 4.5%). That downwards revision is in part due to the easing in oil prices. We've also seen softness in airfares. More generally, subdued demand has constrained how far many businesses have been able to raise their prices despite increases in operating costs.

Our updated forecast for inflation is slightly lower than the RBNZ assumed in their latest projections in May (which showed inflation peaking at 4.3%).

The changing global backdrop gives the RBNZ more headroom

These shifts in the global and domestic outlooks have important implications for the RBNZ. At the time of their last policy statement in May, all members of the RBNZ's Monetary Policy Committee agreed that the Official Cash Rate would likely need to rise through the latter part of the year. However, the Committee was split in terms of how quickly hikes were needed - three members voted for an immediate hike in May, the other three (including the Governor) voted to keep the OCR on hold. Those members who voted for a hold wanted to see how inflation pressures were shaping up. In particular, there were questions

about whether the recent uplift in fuel prices would give rise to a more widespread and long-lasting lift in price pressures.

We're still looking at a firm near-term inflation outlook. However, with global fuel costs dropping back, the longer-term risks to the inflation outlook are now less pronounced. And with softness in domestic activity and the labour market, the RBNZ has more headroom to watch how the economy is tracking before it hikes the OCR.

Given that moderation in longer-term inflation risks, we continue to expect that the RBNZ will remain on hold until September. We can't entirely rule out an earlier start at the July policy meeting, and financial markets still see a strong chance of a July hike (around 85%). However, we think that recent developments have certainly strengthened the case for a continued hold. Even some of those on the Committee who had previously advocated for a hike may reconsider how quickly policy needs to be adjusted given the changing global backdrop. They may now see merit in waiting to see the outcome of the June quarter CPI and labour market reports, as well as the next round of inflation expectation surveys, which will all be released between the July and September OCR reviews.

Depending on how fast oil prices fall, the RBNZ could also become more circumspect about just how far and fast the OCR ultimately has to rise. However, this isn't a one-way bet, with the longer-term outlook for activity and monetary policy opaque. Although global headwinds are easing back, inflation remains elevated, including the domestic non-tradable components which have been slow to decline. In addition, the easing in near-term cost pressures and economic uncertainty that we're now seeing could help the economy regain its momentum sooner than we previously thought.

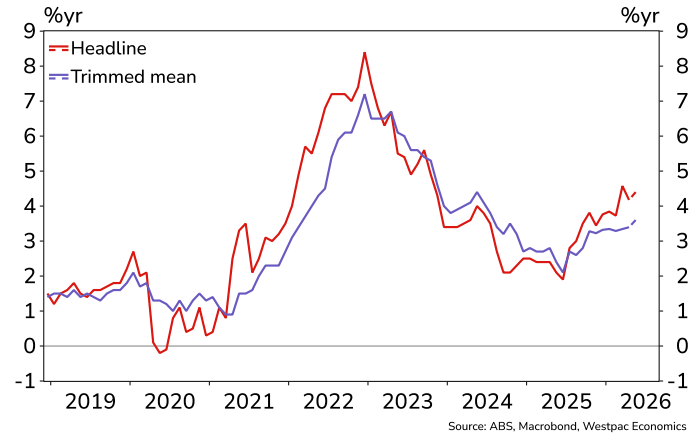
AUS: May CPI (%ann)

June 24, Last: 4.2, Westpac f/c: 4.4
Market f/c: 4.3, Range: 3.8 to 4.9

In April, headline inflation undershot expectations easing to 4.2%yr with trimmed-mean inflation rising to 3.4%yr. Despite this firming, there was only limited indications of a broadening in pass-through from the Middle East energy shock.

The focus in May will again be on evidence of second round effects from higher oil prices. We expect the CPI to fall -0.3%mt, rising to 4.4%yr annually. The weakness is centred on lower fuel prices and softer clothing. The trimmed mean is forecast to rise 0.4%mt/3.6%yr, though uncertainty on the strength and speed of price adjustments remains a key downside risk. For the full preview, see [here](#).

Inflation with forecasts



AUS: May Labour Force – Employment Change (000s)

Jun 25, Last: -18.6, Westpac f/c: +45
Market f/c: +30, Range: +15 to +45

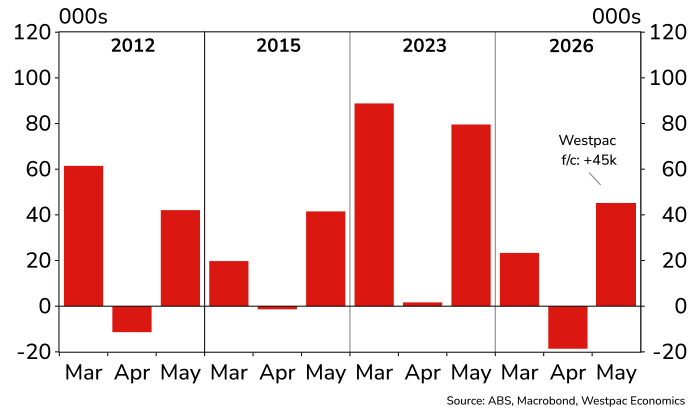
April surprised materially to the downside across most fronts. Employment fell by 18.6k in the month, against expectations for a modest increase.

As discussed in [our preview](#), the weakness in employment might be related to an 'abnormal seasonality' – this year's April LFS ran over the full Easter long weekend, and so it may have captured a bit more Easter holiday-related softness in the raw data that was not fully removed by seasonal adjustment.

We expect a bounce-back of +45k in May. This would amount to an average monthly gain of around +13k/mth over April and May, a clear step down from the +30k/mth pace over Q1.

Employment Change in 'Full Overlap' Years

Years April LFS Covers Good Friday & Easter Monday



AUS: May Labour Force – Unemployment Rate (%)

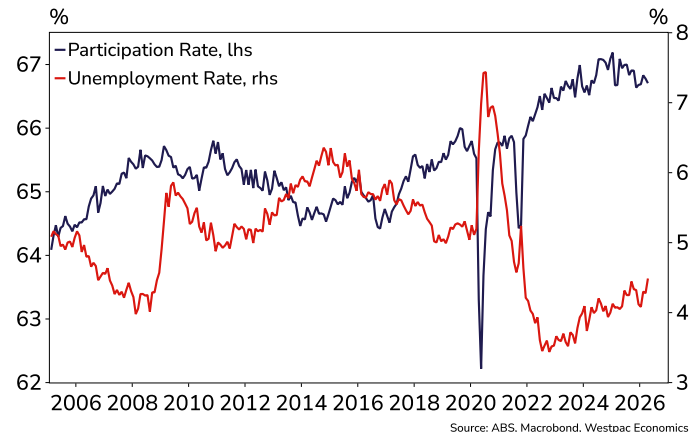
Jun 25, Last: 4.5, Westpac f/c: 4.4
Market f/c: 4.4, Range: 4.3 to 4.6

Despite a tick down in the participation rate to 66.7%, the fall in employment was large enough to see the unemployment rate jump from 4.3% to 4.5% in April, the highest since the 'delta' COVID-19 outbreak in late-2021.

As stated above, this weakness possibly due to extra holiday-related weakness tied to the survey's timing over Easter. This is set to fade in May's data. With the participation rate ticking back up to 66.8%, we expect the unemployment rate will fall from 4.5% to 4.4%.

If April's decline was indeed driven entirely by Easter or other noise, May's data could surprise to the stronger side, meaning a potentially lower unemployment rate.

Unemployment rate at 4½%, highest since Nov-21



AUS: Q2 Job Vacancies (%qtr)

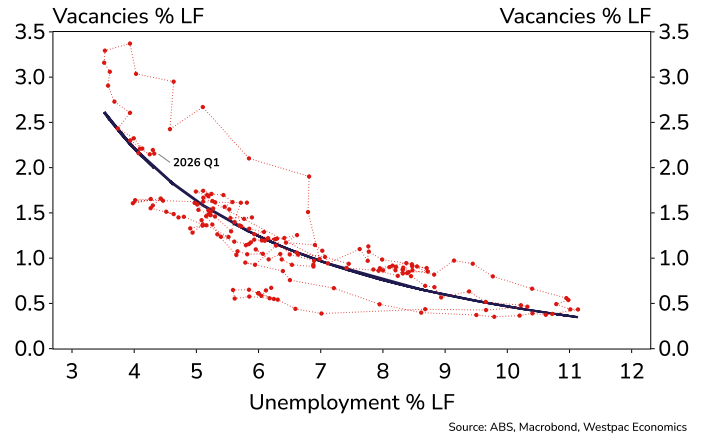
Jun 25, Last: 2.7, Westpac f/c: -3.5

The number of job vacancies increased by 8.9k (2.7%) between November and February. That result was consistent with the recovery that was taking place in the labour market earlier in the year, prior to the onset of the Middle East conflict.

While the level of job vacancies remains elevated, as a share of the labour force it has come back down to more normal levels. As seen on the chart rightwards, we are around the 'steeper' part of the Beveridge Curve – suggesting that the relationship between vacancies and unemployment continues to behave broadly as expected.

Based on the available partial monthly indicators, we think a fall in the official ABS measure of job vacancies is likely in Q2. We have pencilled in around -3.5%qtr.

Beveridge Curve



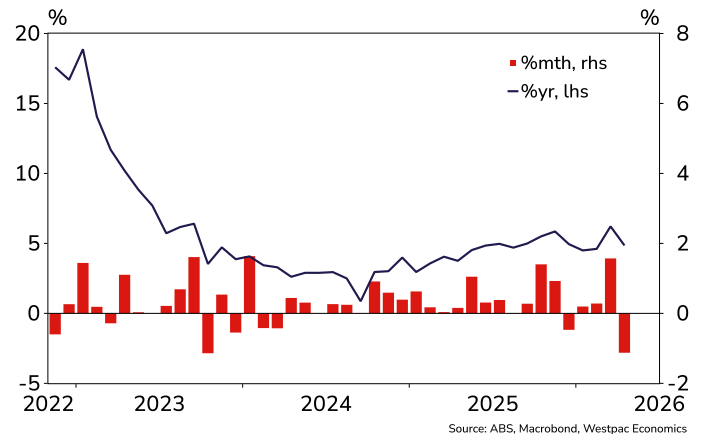
AUS: May Household Spending Indicator (%mth)

Jun 25, Last: -1.1, Westpac f/c: 0.7
Market f/c: 0.5, Range: -0.5 to 4.5

The Household Spending Indicator fell -1.1% in April, unwinding most of the 1.6% jump in March. The main driver was a mostly price-led unwind in auto fuel-related spending, reflecting the temporary halving of fuel excise tax and waiving of GST.

May was a more settled month for fuel prices although it saw a third 25bp interest rate rise from the RBA and a sharp fall in consumer sentiment. Our [Westpac-DataX Card Tracker](#) points to a clear moderation in momentum with activity ex-fuel stalling flat in recent weeks. However, that's likely to be more evident as June spending figures roll in with the wash-up for the May month still pointing to a +0.7% gain in the Household Spending Indicator.

Monthly household spending indicator



AUS: Q2 Westpac-Now – First Estimate (%qtr)

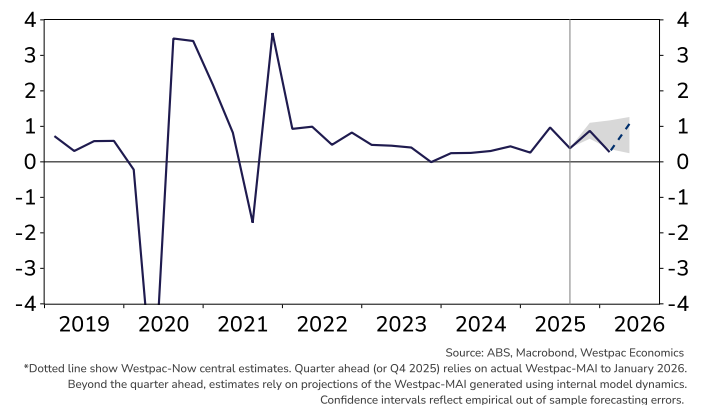
Jun 26, Last: 0.4 (Q1 2026)

Westpac-Now's final estimate for Q1 had GDP growth moderating to just 0.4%qtr in Q1 2026, down sharply from the 0.9%qtr recorded in Q4 2025. This was broadly in line with the 0.3%qtr recorded in the Q1 National Accounts, signalling that Australia's cyclical upturn had come to an end.

Westpac-Now also pointed to growth stalling at just 0.1%qtr in Q2 2026, with a 'negative quarter' well within standard confidence intervals. We expect our first estimate for Q2 2026 to reinforce the view that activity eased through the first half of 2026, with something close to a flat quarter the most likely outcome.

Quarterly GDP Growth*

Quarterly % growth. Axis truncated for covid.

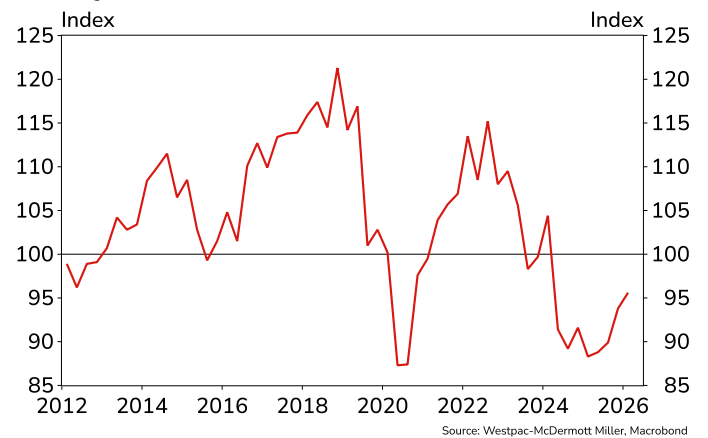


NZ: Q2 Westpac-McDermott Miller Employment Confidence (index)

Jun 23, Last: 95.6

The Employment Confidence Index rose slightly in the March quarter survey, led by a lift in perceptions about job availability. That measure in particular is often a useful leading indicator of the unemployment rate, which looked to have reached its peak for the cycle until the Middle East conflict provided a fresh blow to the economy. As with our consumer confidence index, the March survey was held early in the month, largely before the conflict began to flow through into fuel prices, while the latest survey was held in early June before the US-Iran peace agreement was reached.

Employment Confidence Index



What to watch

	For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Mon 22							
Eur	Jun	Consumer Confidence	index	-19	-16	-	Remains deeply pessimistic owing to current conditions.
Tue 23							
NZ	Q2	Westpac MM Employment Conf.	index	95.6	-	-	Surveyed before the ceasefire announcement.
Jpn	Jun	S&P Global Manufacturing PMI	index	54.5	-	-	Activity supported by new orders and inventory expansion ...
	Jun	S&P Global Services PMI	index	50.0	-	-	... though services activity looks to have stagnated.
Eur	Jun	S&P Global Manufacturing PMI	index	51.6	51.5	-	Upturn in manufacturing activity has lost momentum ...
	Jun	S&P Global Services PMI	index	47.7	49.3	-	... with cost pressures for services on a persistent uptrend.
UK	Jun	S&P Global Manufacturing PMI	index	53.9	50.0	-	Upturn gathering pace, with production hitting a 3mth high ...
	Jun	S&P Global Services PMI	index	49.3	53.0	-	... services takes a setback with the first fall in a year.
US	Jun	S&P Global Manufacturing PMI	index	55.1	54.6	-	May recorded the fastest upturn in production since Apr-22 ...
	Jun	S&P Global Services PMI	index	50.7	51.0	-	... but sluggish growth in services is a drag on overall activity.
	Jun	Richmond Fed Manufacturing	index	13	8	-	Some reversal expected following May's bounce.
Wed 24							
Aus	May	Monthly Headline CPI	%ann	4.2	4.3	4.4	Lower fuel prices will continue to weigh on the headline print.
	May	Monthly Trimmed Mean CPI	%ann	3.4	3.5	3.6	Construction costs becoming a key pressure point.
		RBA Deputy Governor Hauser	-	-	-	-	Speaking in Melbourne, 6:00pm AEST.
Ger	Jun	IFO Business Climate Survey	index	84.9	85.5	-	Continues to suggest a weak growth outcome for H2 2026.
US	May	New Home Sales	%mth	-6.2	3.5	-	Builders are reporting bloated inventories of homes.
Thu 25							
Aus	May	Employment Change	000s	-18.6	30	45	Bounce-back from holiday-related weakness in April ...
	May	Unemployment Rate	%	4.5	4.4	4.4	... will give a clearer idea of underlying momentum.
	Q2	Job Vacancies	%qtr	2.7	-	-3.5	Partial indicators point to a small pull-back.
	May	Household Spending Indicator	%mth	-1.1	0.5	0.7	Moderation in consumer momentum further ahead.
US	May	Personal Income	%mth	0.0	0.4	-	A strong jobs report likely supported income growth and ...
	May	Personal Spending	%mth	0.5	0.6	-	... higher spending despite bleak sentiment among consumers.
	May	PCE Deflator	%mth	0.4	0.4	-	Non-durables and services driving most of the increase.
	May	Durable Goods Orders	%mth	8.0	-4.7	-	Upheld by tech-related investment; transport adds volatility.
	May	Chicago Fed Activity	index	0.14	-	-	Growth moving above trend signalling pressures on inflation.
		Initial Jobless Claims	000s	226	-	-	Seasonal volatility high this time of year.
	Q1	GDP	%ann'd	1.6	1.7	-	Final estimate.
	Jun	Kansas City Fed Manufacturing	index	8	-	-	Defying expectations for steep falls amid higher input costs.
		Fedspeak	-	-	-	-	Williams.
Fri 26							
Aus	Q2	Westpac-Now	%qtr	0.4	-	-	First estimate will likely point to a further softening in activity.
Jpn	Jun	Tokyo CPI	%ann	1.4	1.6	-	Pass-through of higher labour and import costs likely.
Chn	Q1	Current Account Balance	US\$bn	184.1	-	-	Final estimate.
US	May	Wholesale Inventories	%mth	0.6	0.2	-	Normalising from its surge in March.
	Jun	Uni. Of Michigan Sentiment	index	48.9	50.0	-	Final estimate.
		Fedspeak	-	-	-	-	Goolsbee, Kashkari.
Sar 27							
Chn	May	Industrial Profits	%ann	24.7	-	-	Manufacturing industry a key source of strength.

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

Economic & financial forecasts

Interest rate forecasts

Australia	Latest (19 Jun)	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
Cash	4.35	4.85	4.85	4.85	4.85	4.85	4.85	4.60	4.35	4.10	3.85
90 Day BBSW	4.47	4.90	4.90	4.95	4.95	4.95	4.80	4.55	4.30	4.05	3.95
3 Year Swap	4.44	4.65	4.65	4.60	4.50	4.40	4.30	4.20	4.10	4.00	3.90
3 Year Bond	4.45	4.65	4.65	4.60	4.50	4.40	4.30	4.20	4.10	4.00	3.90
10 Year Bond	4.80	4.90	4.90	4.90	4.85	4.85	4.85	4.85	4.85	4.90	4.95
10 Year Spread to US (bps)	35	40	40	35	30	25	20	15	10	10	10
United States											
Fed Funds	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
US 10 Year Bond	4.45	4.50	4.50	4.55	4.55	4.60	4.65	4.70	4.75	4.80	4.85
New Zealand											
Cash	2.25	2.50	3.00	3.50	3.75	4.00	4.25	4.25	4.25	4.25	4.00
90 Day Bill	2.71	2.95	3.40	3.75	4.00	4.25	4.45	4.45	4.45	4.40	4.15
2 Year Swap	3.38	3.85	4.15	4.30	4.40	4.40	4.35	4.30	4.25	4.20	4.15
10 Year Bond	4.44	4.65	4.80	4.95	5.05	5.10	5.10	5.10	5.10	5.05	5.05
10 Year Spread to US (bps)	-1	15	30	40	50	50	45	40	35	25	20

Exchange rate forecasts

	Latest (19 Jun)	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
AUD/USD	0.6992	0.72	0.73	0.73	0.74	0.74	0.74	0.73	0.73	0.73	0.73
NZD/USD	0.5735	0.59	0.60	0.62	0.64	0.65	0.66	0.66	0.66	0.66	0.66
USD/JPY	161.37	158	156	154	152	150	148	146	144	142	140
EUR/USD	1.1428	1.17	1.18	1.19	1.20	1.21	1.22	1.22	1.22	1.21	1.21
GBP/USD	1.3169	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.40	1.40
USD/CNY	6.7682	6.75	6.70	6.60	6.50	6.45	6.40	6.35	6.35	6.30	6.30
AUD/NZD	1.2204	1.22	1.22	1.19	1.16	1.14	1.12	1.11	1.11	1.11	1.11

Australian economic forecasts

	2026				2027				Calendar years			
% change	Q1	Q2(f)	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
GDP %qtr	0.3	0.0	0.1	0.3	0.4	0.4	0.4	0.4	-	-	-	-
%yr end	2.5	1.6	1.3	0.7	0.9	1.2	1.4	1.5	2.5	0.7	1.5	2.6
Unemployment rate %	4.2	4.4	4.6	4.9	5.0	4.9	4.9	4.9	4.3	4.9	4.9	4.5
Wages (WPI) (sa) %qtr	0.8	0.8	1.0	0.8	0.8	0.8	0.8	0.8	-	-	-	-
%yr end	3.3	3.2	3.4	3.4	3.4	3.4	3.2	3.2	3.4	3.4	3.2	3.4
Headline CPI %qtr	1.4	1.0	1.5	0.7	0.7	0.7	0.8	0.5	-	-	-	-
%yr end	4.1	4.4	4.6	4.7	4.0	3.7	3.0	2.8	3.6	4.7	2.8	2.2
Trimmed Mean CPI %qtr	0.8	1.0	1.1	0.9	0.8	0.7	0.7	0.7	-	-	-	-
%yr end	3.4	3.8	3.8	3.8	3.7	3.5	3.2	3.0	3.4	3.8	3.0	2.4

New Zealand economic forecasts

	2026				2027				Calendar years			
% Change	Q1	Q2(f)	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
GDP %qtr	0.8	-0.3	0.4	0.6	1.1	0.6	0.8	0.8	-	-	-	-
Annual avg change	0.8	1.5	1.6	1.6	1.6	1.8	2.2	2.6	0.3	1.6	2.6	3.4
Unemployment rate %	5.3	5.4	5.5	5.6	5.5	5.3	5.1	4.9	5.4	5.6	4.9	4.4
CPI %qtr	0.9	1.5	1.1	0.5	0.5	0.1	0.6	0.4	-	-	-	-
Annual change	3.1	4.1	4.2	4.1	3.7	2.3	1.8	1.7	3.1	4.1	1.7	2.0

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Week beginning 15 June 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: RBA & inflation: June hold, rate hikes still ahead.

The Week That Was: Stuck in the moment.

Focus on New Zealand: A promising start.

For the week ahead:

Australia: RBA policy decision, Westpac-MI leading index.

New Zealand: Q1 GDP, Q1 current account balance, Westpac-MI consumer confidence, retail card spending.

Japan: BoJ policy decision, CPI, core machinery orders.

China: Retail sales, fixed asset investment, industrial production.

Euro area: HICP, industrial production, trade balance.

United Kingdom: BoE policy decision, CPI, unemployment rate, retail sales, consumer sentiment.

United States: FOMC policy decision, retail sales, import price index, industrial production, housing starts.

Information contained in this report current as at 12 June 2026.

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RBA & inflation: June hold, rate hikes still ahead

Luci Ellis, Chief Economist, Westpac Group
Neha Sharma, Economist

- We affirm our [existing expectation](#) that the RBA Monetary Policy Board (MPB) will hold the cash rate steady at its June meeting next week. Although inflation remains above target, the previous three rate increases have given the MPB time to assess cross-cutting trends of weak consumers and housing markets versus high inflation pressures and a secular boom in data centres and related investment. The recent run of inflation and labour market data has been a bit mixed, supporting the case for a pause.
- We update our inflation forecasts below, ahead of the release of our June Market Outlook publication later today. A lower peak for oil, and thus petrol and diesel, prices lowers the peak for headline inflation from 5.0% to 4.7%. Trimmed mean inflation is revised marginally lower across Q2, Q3 and Q4, lowering the peak in the year-ended rate from 4.0%yr to 3.8%yr. We continue to see significant pass-through from higher fuel costs into some other prices. In addition, the larger-than-expected increase in award wages will add a little to some market services components of the CPI, where labour costs are particularly important and many workers are on awards.
- This slightly lower track for underlying inflation is still higher than the RBA's own forecasts. If we are right about the inflation profile from here, the RBA will be surprised on the upside. We therefore retain our view that further rate hikes will occur in the following meetings (August and September). This is consistent with the RBA's priority to get inflation down. While ever inflation trends are this far away from the 2.5% target midpoint and showing little tendency to decline, the MPB will regard soft outcomes for the consumer and housing sectors as being a necessary part of the transmission of monetary policy.
- The risks are clearly on the downside, though, in the sense that zero or one further hike is much more likely than three hikes. A more extended pause would be associated with a smaller overall hiking cycle.

While markets are increasingly pricing a faster resolution, our base case for the reopening of the Strait of Hormuz and Gulf oil supply normalisation remains broadly unchanged. We continue to assume shipping rises to around 10% of normal levels by end-June, with full normalisation not occurring until mid-2027.

Q2 average Brent spot and dated prices are tracking below our baseline assumptions of US\$110 and US\$125 respectively, reflecting a decline in supply risk premia following the ceasefire and a less tight crude balance than anticipated.

Stronger-than-expected US exports and weaker Chinese import demand have provided a near-term buffer, though prices have remained volatile amid shifting headlines.

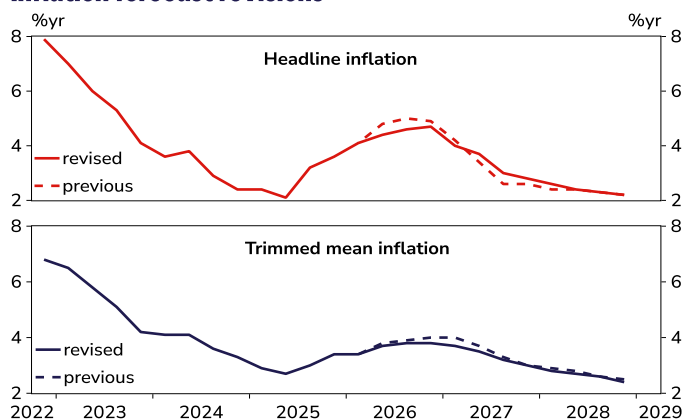
We have lowered our price assumptions through Q2–Q4 2026, with the largest downgrade in Q3 (–US\$13/bbl) and a smaller adjustment in Q4, while leaving 2027 broadly unchanged. Prices are likely to fall, potentially below US\$90/bbl, on confirmation of a deal and the resumption of shipping, before it becomes evident that the pace of normalisation in traffic and Gulf production will be gradual. The Q2 buffer from US exports is unlikely to persist, while some recovery in Chinese demand is expected. Beyond 2026, we continue to assume a gradual normalisation in shipping and production, alongside a rebuild in global strategic reserves from H2 2027.

Petrol and diesel price assumptions have been revised materially lower across Q2–Q4 2026, reflecting the softer oil price backdrop. The largest adjustments occur in Q3, where petrol is down around 20c/l and diesel close to 100c/l, averaging \$2.05/l and \$2.39/l respectively.

Following on from these revisions, we have lowered the near-term inflation profile which is partly offset by a stronger wages outlook feeding into market services.

Headline inflation is expected to reach 4.4%yr in Q2 and peak later at 4.7%yr in Q4 (previously 5.0%yr in Q3). Base effects see a more gradual easing thereafter in year-ended terms, with inflation reaching 2.8%yr by end-2027 and 2.2%yr by end-2028.

Inflation forecast revisions



Trimmed mean inflation has also been revised lower, reaching 3.7%yr in Q2 before peaking at 3.8%yr in Q3 and holding through Q4 (down from 4.0%yr). The quarterly path for the remainder of 2026 is 1.0%, 1.1% and 0.9% – the H2 2026 profile sits slightly above that implied by the RBA's May Statement on Monetary Policy forecasts. Trimmed mean inflation is expected to return to the RBA's target band by end-2027 (3.0%yr) and ease to 2.4%yr by end-2028.

While the near-term profile is lower, the risk of second-round effects from higher fuel costs to broader prices remains. Current policy measures are dampening the pass-through, but with most of these set to expire by the end of June, the bulk of the impact from higher freight costs still lies ahead. Additionally, the impact of higher fertiliser costs will likely feed through in the second half of this year with industry surveys showing growers are scaling back planting schedules in response to higher input costs. Drier weather conditions, with the risk of a more severe El Niño, also adds upside pressure.

They key downside risks to our profile stem from weaker consumer demand that limits firms' ability to pass through higher costs and a faster-than-expected normalisation of shipping through the Strait of Hormuz.

The RBA faces a difficult set of trade-offs in its near-term monetary policy decisions. As well as the more benign developments in energy prices and the conflict more broadly, some domestic data releases have been softer than generally expected. Consumer spending looks to have stalled, tax changes have induced uncertainty in the housing market, and sentiment surveys have weakened. Weak GDP reads are likely in coming quarters.

At the same time, Australia started the year with inflation too high, and the second-round inflation response to higher energy prices is becoming more evident in the data. While the RBA has already tightened policy in response to the lift in inflation that pre-dated the Middle East conflict, business surveys and other information suggest that the pass-through of higher energy prices to other prices has been significant and front-loaded. Contention for resources to construct the pipeline of data centres – an investment boom largely impervious to interest rates – will add to cost pressures.

We continue to expect that the RBA will pause at its June meeting as it assesses the data flow. However, we believe it will remain focused on getting inflation back down to target and will be less swayed by some of this softer data than some observers might assume. Indeed, it is likely that it views the softer data as being a necessary part of the transmission of restrictive monetary policy. Trimmed mean inflation is drifting up, and even after revising the outlook for the somewhat better oil price trajectory, our base case remains higher than the RBA's May forecasts through the rest of this year. Pass-through is starting to become evident in categories such as home-building costs, dining out and postal and courier services.

Because our inflation forecast is above the RBA's most recent published forecast, it implies that the RBA will receive an upside surprise in coming months. This implies further rate hikes as the second-round inflation impact of the energy price shock emerge. Given the weaker outlook for the household sector, risks are skewed to the downside, in the sense that zero or one hike from here is much more likely than three hikes. We still regard our two-hike track as the most appropriate base case view, given the inflation outlook.

CPI forecasts Item	Mar-26 Actual	contrib	Jun-26 forecast	contrib
	% qtr		% qtr	
Food	1.0	0.18	1.2	0.22
of which, fruit & vegetables	1.7	0.03	5.9	0.12
Alcohol & tobacco	1.3	0.09	0.7	0.05
of which, Tobacco	1.1	0.02	1.7	0.03
Clothing & footwear	2.3	0.07	1.8	0.06
Housing	2.9	0.65	0.7	0.16
of which, Rents	0.9	0.06	0.8	0.05
of which, House purchases	0.9	0.07	1.5	0.11
of which, Utilities	12.1	0.55	-0.4	-0.02
H/hold contents & services	-0.3	-0.02	0.8	0.06
Health	2.2	0.15	2.4	0.17
of which, Pharmaceuticals	3.6	0.03	-0.8	-0.01
Transportation	2.0	0.23	-0.8	-0.10
of which, car prices	1.0	0.03	-0.1	0.00
of which, auto fuel	5.2	0.18	-2.4	-0.08
Communication	0.0	0.00	0.4	0.01
Recreation	-1.3	-0.16	2.1	0.26
of which, audio visual & computing	1.1	0.02	0.7	0.01
of which, holiday travel	-3.8	-0.23	3.9	0.24
Education	3.0	0.14	0.5	0.03
Financial & insurance services	1.0	0.06	1.0	0.05
CPI: All groups	1.4	–	1.0	–
CPI: All groups % year	4.1	–	4.4	–

Forecast changes

- A full update to our forecasts was published in our Market Outlook publication on June 12.

Cliff Notes: stuck in the moment

Elliot Clarke, Head of International Economics

Mantas Vanagas, Senior Economist

Ryan Wells & Illiana Jain, Economists

Our latest [Westpac-MI Consumer Sentiment Survey](#) proves the tense backdrop of elevated inflation, restrictive interest rates and heightened economic and political uncertainty is weighing heavily on the consumer mood. The headline index fell 2.9% to 80.6 in May, leaving sentiment stuck near pandemic-era lows. Cost-of-living pressures are the chief concern: 'family finances vs a year ago' and 'family finances next 12 months' down 7.5% and 8.5% respectively, reversing April's reprieve and leaving both measures circa 20% below historical averages. This tone is hardly surprising given inflation expectations are holding around 5½%yr, 3ppts above the RBA's target range mid-point.

“the threat of broad-based passthrough still makes the case for further rate hikes”

It is notable that RBA Governor Bullock has characterised the three rate hikes delivered earlier this year as necessary to deal with the domestic inflation risks present before the Middle East conflict began, and that this “gives space” for the RBA to see how the conflict plays out. Markets are increasingly adopting a sanguine view on the conflict despite a run of military strikes, seeing Brent oil generally trade between US\$90 and US\$95 per barrel over the past week, with the lower limit of that range tested overnight after President Trump announced a deal would be signed in coming days (more below). While the RBA is [set to pause](#) in June, input cost inflation and the threat of broad-based passthrough still makes the case for further rate hikes in August and September

Over two-thirds of respondents to the consumer sentiment survey also expect a further increase in mortgage rates over the next year. The threat of an additional squeeze on households' real incomes makes for a pessimistic assessment on the near-term economic outlook amongst consumers, a viewpoint shared by business. The latest [NAB business survey](#) showed that business confidence remained very weak in May, though a moderation in cost pressures lifted the collective mood slightly. Business conditions are reportedly stalling as profit margins are squeezed by higher costs. This is consistent with our view for GDP growth to hold below the pace of population growth through 2026. Our detailed forecasts will be published later today in our June Market Outlook on [WestpacIQ](#).

In the US, May non-farm payrolls materially beat expectations, gaining 172k against a circa 90k expectation, with 93k in back revisions to March and April. These results left the 3-month average at 188k, three times April's initial 48k. The unemployment rate and participation rate were unchanged, however, at 4.3% and 61.8%. Average hourly earnings were also benign at 0.3%, 3.4%yr. Headline US CPI inflation then printed in line with expectations at an elevated 0.5% in May, principally due to a 3.9%mt jump in energy prices. But core inflation has printed at 0.2% for four of the past six months (including May), and the monthly average is 0.25%, suggesting underlying inflation in the US is only modestly above the 2.0%yr medium-term target. While the market has been flirting with the idea of impending rate hikes by the FOMC, these data points instead suggest the best course is for the Committee to remain on hold.

An extended period of on-hold policy is also likely to be seen in Canada. Having left the policy rate unchanged in June, the Bank of Canada highlighted that the Middle East conflict and US trade policy are lingering risks for inflation, but Canadian GDP is weak, having disappointed in Q1 at -0.1%, and employment stalled on a multi-month basis. A recovery in growth in coming quarters is still expected to leave Canada with excess supply, allowing the initial impacts of the current energy shock to be looked through, unless evidence of secondary effects materialise.

In contrast, the ECB is now officially back in tightening mode. The Governing Council delivered an expected 25bp increase at their June meeting. In the press conference, President Lagarde indicated that policymakers had little doubt about the need to tighten policy, with the decision taken unanimously and no alternative options considered. The policy statement was explicit that this shift is a response to inflationary pressures stemming from the war in the Middle East, which, looking ahead, will depend on “the intensity and duration of the energy price shock, as well as the scale of its indirect and second-round effects”.

The ECB's new economic projections illustrated the range of possible effects the war could have on the economy. The baseline projects GDP growth of 0.8%yr this year and 1.2%yr next year, 0.1ppts lower than the last update. The adverse and severe stress scenarios instead point to materially weaker growth in the near term, with the economy slipping into a technical recession in both cases. On inflation, the baseline outlook now sees inflation peaking at 3.4%yr, up from 3.1%yr previously, and remaining elevated for longer. The adverse and severe scenarios showed headline HICP inflation peaking at 4.1%yr and 6.3%yr respectively, little changed from the March

projections. Looking ahead, President Lagarde's comments confirm that inflationary momentum is broadening, suggesting a single 25bp hike is unlikely to be sufficient. So, we expect another hike, most likely in September when the ECB will next update its projections.

In closing, it is worth highlighting the state of the Middle East conflict. The past week has been eventful to say the least. Last weekend, Iran and Israel hit one another with several barrages of missiles. The US requested the hostilities cease, and both Iran and Israel acquiesced. But an Iranian drone then hit a US Apache helicopter patrolling the Strait of Hormuz, seeing the US retaliate with force against numerous Iranian military assets. Iran then responded, and the US followed up with further attacks. A reported request from Iran to cease the attack saw President Trump cease fire on Thursday only to again threaten to hit Iran "VERY HARD" on Friday and to take control of Iran's oil production facilities. Within hours though, President Trump announced that an agreement had been reached and would be signed off in coming days, leading to a re-opening of the Strait. Brent crude currently trades around US\$90, having initially broke through that level. Participants are clearly hopeful this update will prove accurate and herald at least a temporary end to the conflict.

A promising start



Michael Gordon
Senior Economist

While there weren't many new developments this week, we did get the last batch of data needed to finalise our forecast of next Thursday's GDP release. In recent months there's been a steady stream of data suggesting that the New Zealand economy was regaining some momentum in the early part of this year, but this is the first time we'll get the complete picture.

[As we detailed in our preview](#), we're now expecting a 1% rise for the March quarter, up from our earlier pick of 0.8%. Agriculture, retailing and tourism were the known points of strength; what this week's data also revealed was a strong lift in manufacturing output, wholesale trade and professional services. Construction remains the biggest weak spot, with a pickup in building consents over the last year not yet translating into a higher level of activity.

This seemingly positive result comes with two caveats though. The first is that seasonal distortions mean the reported result will overstate the underlying pace of growth. We showed in [our analysis last year](#) how the methods used to calculate GDP result in a 'balancing item' that in recent years has been both unusually large and strongly seasonal. This currently has its greatest impact on March quarters, contributing around 0.4ppts to the reported growth rate.

The balancing item itself is not a problem – it's an inevitable product of the 'chain-linking' method used to update the sectoral weights of GDP over time, and it exists in other countries' figures as well. But it's usually less intrusive – for instance, in Australia it generally accounts for no more than plus or minus 0.2ppts of quarterly growth, and more significantly, it doesn't have a predictable pattern.

[Stats NZ produced a recent article](#) exploring this issue further, and in particular the options of direct seasonal adjustment (add the sectors, then adjust the total) versus indirect adjustment (adjust, then add). Direct adjustment is the method currently used for New Zealand's GDP data; we've proposed that switching to indirect adjustment would reduce the influence of the balancing item and make the figures easier to interpret.

Stats NZ notes that international standards allow for either method, and neither of them is superior to the other in every circumstance. Indirect adjustment will reduce the volatility of quarterly GDP at some times, but could increase it at other times. There are also differences in how well each method can deal with major shocks, especially the Covid lockdown and border closure where the effects on activity were both very large and spread unevenly across sectors.

Our view is that interpretability, rather than volatility, should be the deciding factor here. Sectoral activity data is inherently volatile, whether that's due to genuine variation in the economy or just sampling error. The balancing item provides an additional source of volatility, which may add to the existing volatility at times, and dampen it at other times. But in both cases, a large balancing item makes the GDP figures harder to interpret because a significant share of the growth in the economy can't be attributed to any sector. In that respect, we still favour indirect adjustment as it reduces the influence of the balancing item.

Under indirect adjustment, our forecasts would work out as a 0.6% rise in GDP for the March quarter, up from a 0.3% rise in the December quarter. While not raging away, it's an encouraging sign that the economy was heading in the right direction – at least up until the Iran conflict. While that kicked off at the end of February, it's probably too soon for this to have had an impact on activity here in the March month. So it's the indicators for the June quarter that we really need to watch, and there certainly have been some signs of a loss of momentum.

While the GDP report suffers from being dated, it's really the only major data release ahead of the RBNZ's policy review on 8 July. Given the Committee's extremely close decision in May, could these figures be enough to tip the balance of voting?

We suspect not. The RBNZ's forecast in its May policy statement was in line with our pick of a 1% rise for the quarter, so it would probably take a large surprise in either direction to change any of their minds. That said, given that interest rate markets are already 90% priced for an OCR hike in July, the risks around the GDP release may be skewed to the downside – a weaker than expected result could cast some doubt on whether the RBNZ would move that soon, rather than waiting for the flood of inflation-related data that will come between the July and September reviews.

AUS: RBA Policy Decision (%)

Jun 16, Last: 4.35, Westpac f/c: 4.35

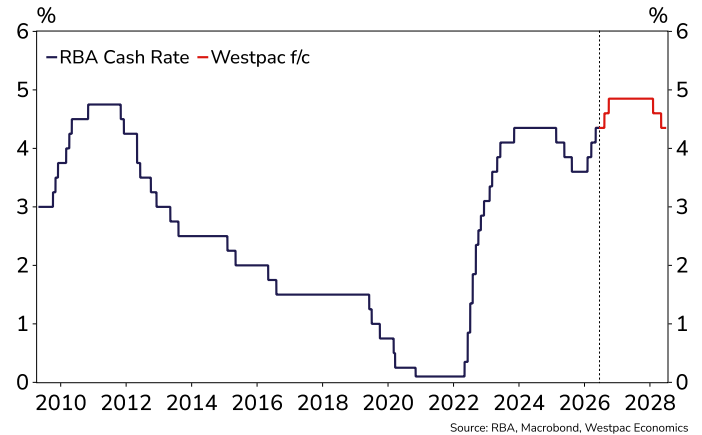
Market f/c: 4.35, Range: 4.35

Westpac expects the RBA Monetary Policy Board (MPB) will leave the cash rate unchanged at 4.35% at its June meeting.

Governor Bullock characterised the three rate hikes so far as dealing with the high inflation issue that already existed before the conflict in the Middle East started, and that this "gives space" for the MPB to see how the conflict plays out.

The April CPI came in slightly below our expectations on a headline basis, giving the MPB some space to pause in June. However, the MPB won't have much time to catch its breath – growing evidence of pass-through of upstream costs will compell the RBA raise the cash rate further in the second half of the year. For more detail, see Page 2.

RBA to hold in June



AUS: Q2 Westpac-ACCI Business Survey

Jun 16, Actual Composite, Last: 59.3

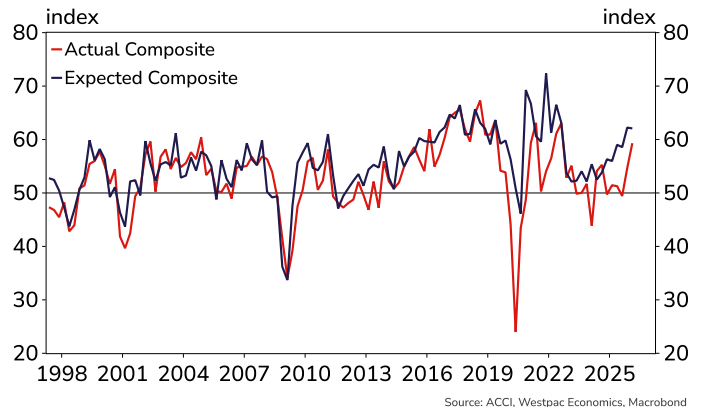
Momentum in Australia's manufacturing sector accelerated in early 2026. The Westpac-ACCI Actual Composite lifted to a fresh cycle high of 59.3 in Q1 from 54.7 in Q4, its strongest result since September 2023.

However, these results were recorded before the Middle East conflict started to unfold, which threatens to unwind much of the long-awaited improvement in conditions given manufacturing's acute exposure to higher fuel prices.

The Q2 reading will provide deeper insights into how demand conditions are faring, the scale of cost pressures manufacturers are facing, and the degree to which it is being passed through in the form of higher prices.

Westpac-ACCI Composite Indexes

Actual & Expected, Seasonally Adjusted



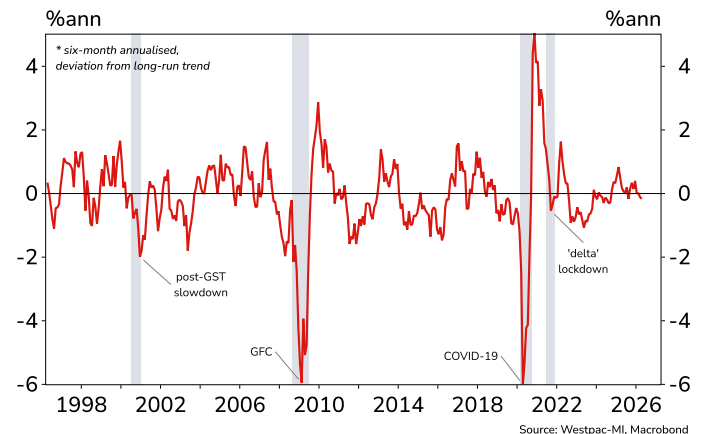
AUS: May Westpac-MI Leading Index

May 27, Last: -0.17%

The Leading Index growth rate declined to -0.17% in April from -0.11% in March, pointing to below-trend growth momentum through the second half of 2026 and into early 2027. While the pulse is still not overly weak, the soft signal is becoming more persistent with this marking the first back-to-back below trend read since late 2024.

The May update is likely to be mostly soft as well. It will include soft monthly updates for several components, including the Westpac-MI Consumer Expectations Index (-2.8%), dwelling approvals (-3.4%), and the yield spread (narrowing further after the RBA's May rate hike). Financial market components have been steadier though with total hours worked posting a solid 0.8% gain.

Westpac-MI Leading Index

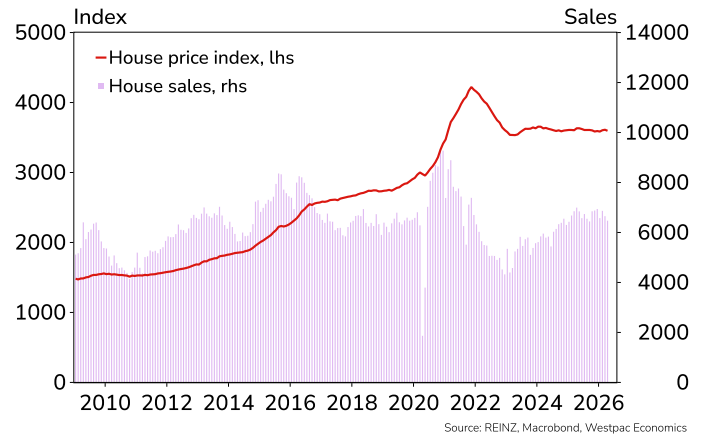


NZ: May REINZ House Sales and Prices (%yr)

Jun 15, Sales last: -7.9, Prices last: -0.9

The housing market softened again in April, with sales falling about 3% in seasonally adjusted terms and prices dipping lower. While there were signs of the market emerging from hibernation earlier in the year as the economy started to gain momentum, the Iran conflict has removed much of that support. Sharply weaker consumer confidence, weaker employment prospects, and the potential for OCR hikes to come sooner and faster, imply a much weaker outlook for the housing market. We expect a 1% fall in prices over 2026, with the weakness most apparent through the middle part of the year.

REINZ house sales and prices

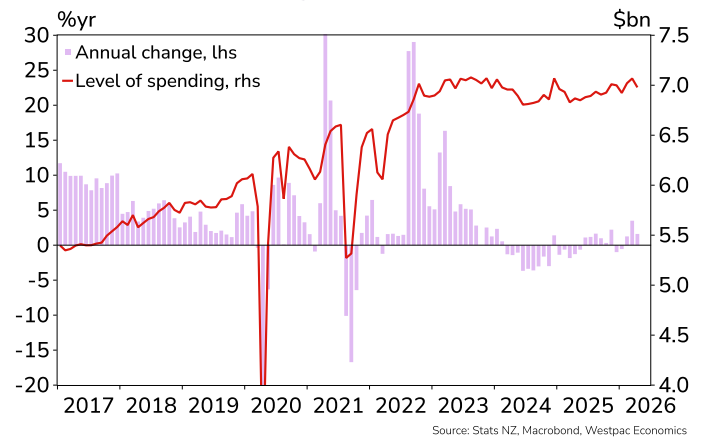


NZ: May Retail Card Spending (%mth)

Jun 15, Last: -1.3, Westpac f/c: 0.4

Retail spending fell sharply in April. While some of that drop may have been due to swings related to public holidays, high fuel costs will also have been a drag on discretionary spending. With an easing in fuel costs more recently, we expect a modest bounce in spending in May. However, smoothing through such month-to-month swings, the recent trend in retail spending is looking flat in the face of ongoing cost of living pressures.

NZ retail card spending

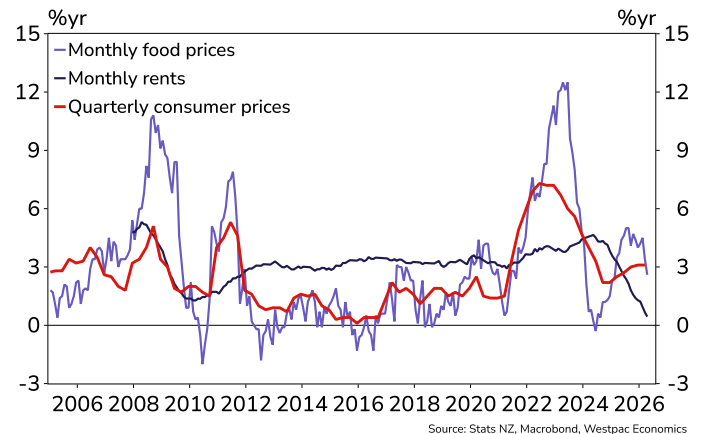


NZ: May Selected Consumer Prices (%mth)

Jun 16

The Selected Prices provides a monthly update on around half of the CPI basket and will be closely watched ahead of the RBNZ's line-call July OCR meeting. The previous month's release was a bit softer than expected, with much of the surprise centred on volatile categories, like food and fuel. Since that time fuel prices have eased, though they remain elevated. We will be watching for signs that higher production costs are pushing up output prices more generally. However, any such increases are likely to be more pronounced in the second half of the year. In the meantime, soft demand is likely to be a brake on price rises.

NZ selected consumer prices

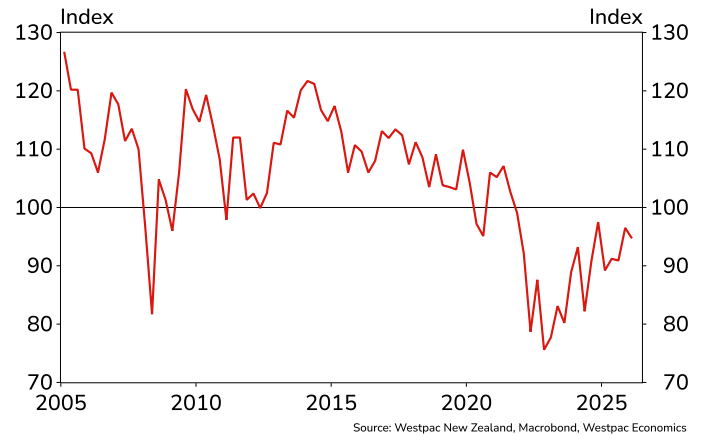


NZ: Q2 Westpac-McDermott Miller Consumer Confidence (index)

Jun 17, Last: 94.7

Consumer confidence dropped back in the March quarter, but only modestly. Our previous survey was conducted in the first two weeks of March – the same time as the war in the Middle East broke out. Against that backdrop, households had become more nervous about the economic outlook. Our latest survey was in the field in the first two weeks of June. Recent weeks have seen the global backdrop remaining rocky, while concerns about domestic inflation and activity have mounted.

Consumer confidence

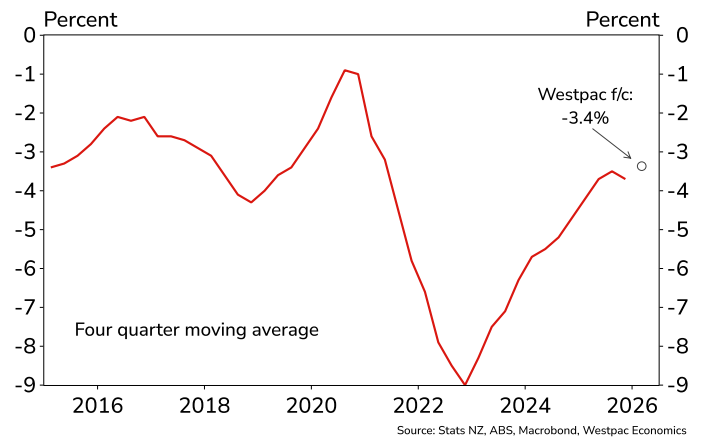


NZ: Q1 Current Account Balance (% of GDP)

Jun 17, Last: -3.7, Westpac f/c: -3.7, Market f/c: -3.7

We expect that the current account deficit – measured on a 12-month annual basis – remained steady at 3.7% of GDP in the March quarter. The merchandise trade deficit is likely to have widened by a couple of tenths due to strong growth in imports. However, the services deficit is likely to have continued to narrow, in large part due to strong growth in tourist arrivals and thus spending. This will likely represent the low point for the current account deficit, with sharply higher fuel prices driving the trade deficit wider from the June quarter.

Current account balance, % of GDP

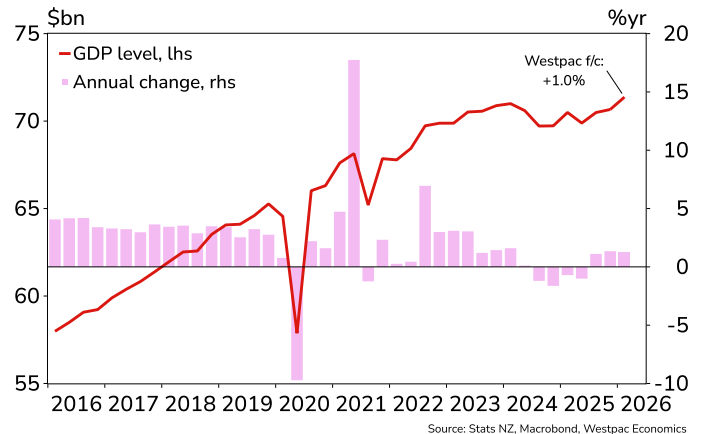


NZ: Q1 GDP (%qtr)

Jun 18, Last: 0.2, Westpac f/c: 1.0, Market f/c: 0.9

We expect a 1% rise in GDP for the March quarter. Seasonal distortions in the way that GDP is calculated mean the reported result will be overstated by around 0.4ppts, but the underlying details still point to an economy that was regaining momentum in late 2025 and early 2026, prior to the Iran conflict. While this is one of the few major data releases ahead of the RBNZ's July policy review, we think it's unlikely that it will tip the balance of the committee one way or another, given their apparent focus on forward-looking indicators of inflation pressures.

NZ quarterly GDP



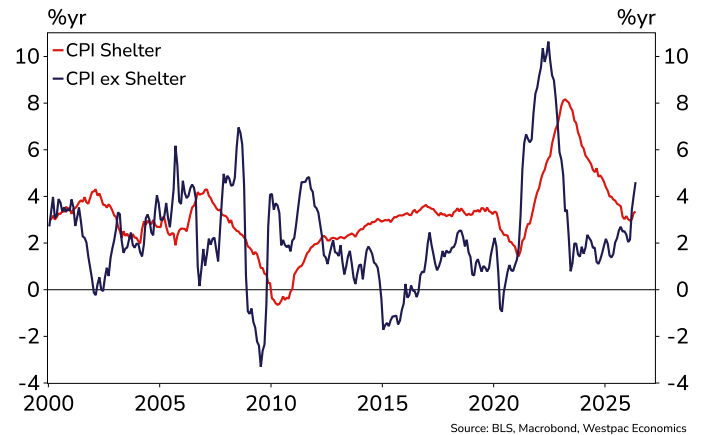
US: June FOMC meeting

Jun 16-17, Last: 3.625%, Mkt f/c: 3.625%, WBC f/c: 3.625%

The FOMC's June meeting will be the first with Kevin Warsh as Chair. Participants are certain there will be no change in the fed funds rate at this meeting, but will be paying very close attention to how Chair Warsh and the Committee convey the risks ahead through the press conference and updated forecasts/statement respectively.

Up to two rate hikes were recently priced by the market for the coming 12 months, though the probability of such an outturn has receded since core CPI inflation printed at 0.2% in May and President Trump announced that a deal has been reached with Iran. Obviously considerable risk remains, but if these developments prove to be accurate signals, the Committee is likely to remain on hold through 2026-2028.

Inflation detail requires careful study

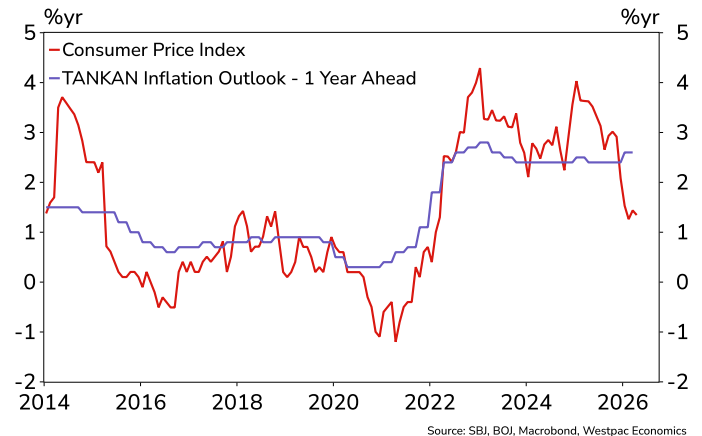


JAPAN: June BoJ meeting

Jun 15-16, Last: 0.75%, Mkt f/c: 1.0%, WBC f/c: 1.0%

The Bank of Japan is expected to raise its policy rate by 25bps to 1.0%. The Board is likely to point to further evidence of sustained domestic inflation, with services inflation holding above 1% and recent Financial Statements Statistics of Corporations data indicating firmer investment. A more durable inflation regime and improving supply-side capacity — supported by corporate reform and fiscal policy — suggest a gradual lift in the economy's potential. We now anticipate the terminal rate to reach 1.5%. We also expect some guidance toward further rate increases, although Governor Ueda's absence may limit how explicit that signalling is. The Board will also review the bond tapering plan. We expect little change to the existing path. Despite recent volatility, auction outcomes have been sound and volatility in yields appears more reflective of geopolitical factors than supply concerns. Higher yields are also improving the domestic appeal of JGBs, with some pension funds reportedly increasing allocations.

Japan's inflation expectations anchored



What to watch

	For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Mon 15							
NZ	May	REINZ House Prices	%yr	-0.9	-	-	Iran conflict has undermined household confidence and...
	May	REINZ House Sales	%yr	-7.9	-	-	...raised the prospect of earlier and faster OCR hikes.
	May	Performance Services Index	index	48.9	-	-	Businesses have reported soft trading conditions.
	May	Retail Card Spending	%mth	-1.3	-	0.4	Modest bounce as fuel costs have eased.
Eur	Apr	Industrial Production	%mth	0.2	0.3	-	Will likely come under pressure from rising costs ...
	Apr	Trade Balance	€bn	3.5	-	-	... as tariffs and FX moves narrow the trade surplus.
US	Jun	Fed Empire State Manufacturing	index	19.6	12.5	-	Energy costs to likely weigh on manufacturing conditions...
	May	Industrial Production	%mth	0.7	0.2	-	... with survey data hinting to a soft read on output.
	Jun	NAHB Housing Market	index	37	36	-	Homebuilder confidence largely stagnant in 2026.
Tue 16							
Aus	Jun	RBA Policy Decision	%	4.35	4.35	4.35	Pause and assess in June, but further rate hikes still likely.
NZ	May	Selected Price Indices - Food	%mth	0.0	-	0.6	Boosted by seasonal lift in fresh vegetable prices.
	May	Selected Price Indices - Rents	%mth	0.0	-	0.0	Rents subdued with large numbers of homes available.
Jpn	Jun	BoJ Policy Decision	%	0.75	1.00	1.00	Sustained domestic inflation driving the BoJ's decision to hike.
Chn	May	Retail Sales	ytd %yr	1.9	-	-	The domestic economy is likely to continue to struggle
	May	Fixed Asset Investment	ytd %yr	-1.6	-2.3	-	... as the weakness in investment sets to deepen ...
	May	Industrial Production	ytd %yr	5.6	-	-	... with only external demand to support production.
Eur	Jun	ZEW Survey Of Expectations	index	-9.1	-	-	Sentiment looks to have bottomed out but remains fragile.
US	May	Import Price Index	%mth	1.9	-	-	April saw the strongest monthly rise since March 2022.
	May	Housing Starts	%mth	-2.8	-2.2	-	Despite declines, broader trend looks firm for now ...
	May	Building Permits	%mth	4.4	-0.2	-	... but the pipeline for activity looks to be slowing.
Wed 17							
Aus	May	Westpac-MI Leading Index	%ann'd	-0.17	-	-	Showing clearer loss of momentum.
NZ	Q2	Westpac-MM Consumer Conf.	index	94.7	-	-	Surveyed in the first two weeks of June.
	Q1	Current Account Balance	% of GDP	-3.7	-3.7	-3.7	Deficit steady in Q1; fuel import costs to lift deficit in Q2
Jpn	Apr	Core Machinery Orders	%mth	-9.4	0.9	-	Recent months have been volatile owing to manufacturing.
Eur	May	HICP inflation	%ann	3.2	3.2	-	Final estimate.
UK	May	CPI	%ann	2.8	-	-	Signs of pass-through did not come in April.
US	May	Retail Sales	%mth	0.5	0.5	-	To remain solid, partly bolstered by fuel prices.
	May	Pending Home Sales	%mth	1.4	-	-	Gradually picking up despite affordability pressures.
		FOMC Policy Decision	%	3.625	3.625	3.625	The first FOMC meeting with Kevin Warsh as Chair.
Thu 18							
NZ	Q1	GDP	%qtr	0.2	0.8	1.0	Seasonally overstated, but the underlying picture is solid.
UK	Apr	ILO Unemployment Rate	%	5.0	-	-	Has been volatile recently; easing likely to continue.
	Jun	BoE Policy Decision	%	3.75	3.75	-	On hold for now before likley policy tightening in H2 2026.
US		Initial Jobless Claims	000s	229	-	-	Picking up since mid-May on a 4 week moving average basis.
	May	Leading Index	pts	0.1	-	-	Consumers continue to hold a pessimistic view on outlook.
Fri 19							
NZ	May	Trade Balance	\$m	1920	-	420	Surplus to shrink as higher fuel prices drive imports higher
Jpn	May	CPI	%ann	1.4	1.5	-	Inflation risks building despite softer Tokyo CPI read.
UK	Jun	GfK Consumer Sentiment	index	-23	-	-	Sentiment has plunged to a 2.5 year low ...
	May	Retail Sales	%mth	-1.3	-	-	... with fewer purchases of fuel seeing spending volumes.

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Economic & financial forecasts

Interest rate forecasts

Australia	Latest (12 Jun)	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
Cash	4.35	4.85	4.85	4.85	4.85	4.85	4.85	4.60	4.35	4.10	3.85
90 Day BBSW	4.47	4.90	4.90	4.95	4.95	4.95	4.80	4.55	4.30	4.05	3.95
3 Year Swap	4.43	4.65	4.65	4.60	4.50	4.40	4.30	4.20	4.10	4.00	3.90
3 Year Bond	4.44	4.65	4.65	4.60	4.50	4.40	4.30	4.20	4.10	4.00	3.90
10 Year Bond	4.82	4.90	4.90	4.90	4.85	4.85	4.85	4.85	4.85	4.90	4.95
10 Year Spread to US (bps)	35	40	40	35	30	25	20	15	10	10	10
United States											
Fed Funds	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
US 10 Year Bond	4.47	4.50	4.50	4.55	4.55	4.60	4.65	4.70	4.75	4.80	4.85
New Zealand											
Cash	2.25	2.50	3.00	3.50	3.75	4.00	4.25	4.25	4.25	4.25	4.00
90 Day Bill	2.69	2.95	3.40	3.75	4.00	4.25	4.45	4.45	4.45	4.4	4.15
2 Year Swap	3.43	3.85	4.15	4.30	4.40	4.40	4.35	4.30	4.25	4.20	4.15
10 Year Bond	4.48	4.65	4.80	4.95	5.05	5.10	5.10	5.10	5.10	5.05	5.05
10 Year Spread to US (bps)	1	15	30	40	50	50	45	40	35	25	20

Exchange rate forecasts

	Latest (12 Jun)	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
AUD/USD	0.7044	0.72	0.73	0.73	0.74	0.74	0.74	0.73	0.73	0.73	0.73
NZD/USD	0.5826	0.59	0.60	0.62	0.64	0.65	0.66	0.66	0.66	0.66	0.66
USD/JPY	160.21	158	156	154	152	150	148	146	144	142	140
EUR/USD	1.1569	1.17	1.18	1.19	1.20	1.21	1.22	1.22	1.22	1.21	1.21
GBP/USD	1.3410	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.40	1.40
USD/CNY	6.7746	6.75	6.70	6.60	6.50	6.45	6.40	6.35	6.35	6.30	6.30
AUD/NZD	1.2090	1.22	1.22	1.19	1.16	1.14	1.12	1.11	1.11	1.11	1.11

Australian economic forecasts *

	2026				2027				Calendar years			
% change	Q1	Q2f	Q3f	Q4f	Q1f	Q2f	Q3f	Q4f	2025	2026f	2027f	2028f
GDP %qtr	0.3	0.0	0.1	0.3	0.4	0.4	0.4	0.4	–	–	–	–
%yr end	2.5	1.6	1.3	0.7	0.9	1.2	1.4	1.5	2.5	0.7	1.5	2.6
Unemployment rate %	4.2	4.4	4.6	4.9	5.0	4.9	4.9	4.9	4.3	4.9	4.9	4.5
Wages (WPI) (sa) %qtr	0.8	0.8	1.0	0.8	0.8	0.8	0.8	0.8	–	–	–	–
%yr end	3.3	3.2	3.4	3.4	3.4	3.4	3.2	3.2	3.4	3.4	3.2	3.4
Headline CPI %qtr	1.4	1.0	1.5	0.7	0.7	0.7	0.8	0.5	–	–	–	–
%yr end	4.1	4.4	4.6	4.7	4.0	3.7	3.0	2.8	3.6	4.7	2.8	2.2
Trimmed Mean CPI %qtr	0.8	1.0	1.1	0.9	0.8	0.7	0.7	0.7	–	–	–	–
%yr end	3.4	3.7	3.8	3.8	3.7	3.5	3.2	3.0	3.4	3.8	3.0	2.4

* Forecasts and history are not up to date. Full forecast update will be released with our Market Outlook publication on June 12.

New Zealand economic forecasts

	2026				2027				Calendar years			
% Change	Q1f	Q2f	Q3f	Q4f	Q1f	Q2f	Q3f	Q4f	2025	2026f	2027f	2028f
GDP %qtr	1.0	–0.3	0.4	0.6	1.1	0.6	0.8	0.8	–	–	–	–
Annual avg change	0.6	1.3	1.4	1.5	1.7	1.9	2.3	2.7	0.2	1.5	2.7	3.4
Unemployment rate %	5.3	5.4	5.5	5.6	5.5	5.3	5.1	4.9	5.4	5.6	4.9	4.4
CPI %qtr	0.9	1.8	1.2	0.4	0.5	0.0	0.6	0.4	–	–	–	–
Annual change	3.1	4.4	4.5	4.4	4.0	2.1	1.6	1.6	3.1	4.4	1.6	2.1

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